The New India Assurance Company Ltd. (NIACL)

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THE NEW INDIA ASSURANCE COMPANY LTD.
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Ref. No.: NIACL/CMD_BoardSectt/2022-23
To, 22nd February, 2023
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Tower
Dalal Street
Mumbai 400 001 The Manager
Listing Department
The National Stock Exchange of India Ltd.
Exchange Plaza, 5th floor, Plot C/1,
G Block, Bandra-Kurla Complex
Mumbai 400 051
Scrip Code: (BSE - 540769/NSE - NIACL)
Dear Sir/Madam,
Sub: Transcript of Investors/Analysts meet
Disclosure under Regulation 30 read with para A of Schedule III and Regulation 46 (2) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations 2015. Please find enclosed the transcript of analyst/ institutional investors meeting with senior management of the company held in Mumbai.
You are requested to kindly take the same on records.
Thanking You
Yours faithfully
For The New India Assurance Company Limited
Company Secretary & Chief Compliance Officer
— Interviewer:
- So, I just wanted to understand what your experience has been for the motor TP loss ratio. We have the reported numbers of course, but there's a little bit of diversion. There could be progression of booking of reserves in the books of different companies. But, generally it was low in the COVID period, and of course, we can see that reverting in your numbers. Had you paid to the extent of foreclosures in your peak period, and to that extent, some acceleration of claims? And, do you expect it to come back to pre-COVID levels, or is there a structural change?
— Interviewee:
- In TP have been pretty consistent, except for the COVID year. We have been consistent at around 85-86%. With COVID of course, 1 or 2 quarters we had a lower provisioning. But later we corrected it and now it's more or less stable around 85% kind of a mark, in terms of ICR, if you want to count. During COVID, of course, some bit of provisioning was actually lowered. Now, it has been done conservatively and now we are just waiting for the actual experience to emerge, and based on that, we'll do the course correction. Mostly it will be around... but, we'll have to do the course correction based on how the experience emerges.
— Interviewer:
— And the Motor TP Act, what is your take on how that will impact you ROEs and your provisions?
— Interviewee:
— TP, it has got a few provisions which is good for GI companies as well, especially the 6 month window ones. There was also some Chennai court ruling also which was in favour of the insurers. But, we have rushed to actually take the credit for all those things. We really feel that some genuine cases or the other will come up and the entire thing will be again relooked. So for the time being, we haven't really made any major changes depending on what it's going to do to the act, even in terms of registration.
— Interviewer:
— As a company, you have not been seeing... in your personal book, in stances where

the ruling was applicable and it has been escalated.
— Interviewee:
- Not yet. Actually, we haven't really done anything, even setting of reserves level of whatever. We haven't really taken any good part of that which will help us after 6 months window putting a closure in terms of registration. Even the Chennai verdict was quite surprising because it was talking about... even we were expecting it to be on a prospective basis. We think all those things will be corrected. Finally the court will always take a stand which is closer to the policy holder.
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— Interviewee:
- Further I want to add, now recently we ar

e more stressing on compromising the
claims, the pending claims, where we can save our interest and other liabilities later on, so that the pendency will gracefully reduce. Instead of long term claims, it will come down drastically in the coming days. So, more stress is there. We have come out with a very clear cut instruction through the operating officers or dealing officers to compromise maximum cases. Because generally, in Motor TP we generally lose. The award comes and we try to save our... we try to prove that... but generally it doesn't happen. So, more stress on the compromising the claims, we can save on the interest part where we compromise. So drastically that reduction will be there instead of pendency, because during that period also, we could not participate in the Lok Adalats, during that COVID 2 years. Even last Saturday there was a Lok Adalat and we have done about 7,000-8,000 compromised during that period. So, more stress...
— Interviewer:
— Pardon me, but what do you mean when you say 'compromised'?
— Interviewee:
— Compromised means, during the Lok Adalat where the judge also sits and the opponent party comes and the advocate comes, from our side our people go...
— Interviewer:
— So you mean settlement?
— Interviewee:
- Yes, settlement. It's like a mutually... So, the lag of pendency will reduce, the interest liability will reduce. In the future we don't know how much award will come. So then, it gives us a benefit that we will not... that the claimant cannot go further for appeal. Suppose today I have settled through compromise or mutual understanding through Lok Adalat, then he cannot file an appeal before the High Court. So that benefit also we get. So, we are also restricting further litigation. Generally when award comes, then there is option of the claimant to go to a higher court for enhancement or for any other purpose. So that also comes down. That's also an area where more stress is there. So over the period, whatever he said, those claim ratios will be hovering around 80-85, which is quite good as far as TP is concerned.
— Interviewee:
— The client also gets the money well in time. So, he's also...
2
— Interviewee:
And, we have come out in 2-3 places, especially in New Delhi and Tamil Nadu, that within 30 days. So, that manipulations of involving vehicles and other things... investigation. So, within 30 days there is a DAR which is in collaboration with the police, insurance companies and the claimant. So, within 30 days they are supposed to submit the report, and if everything is in order, we are supposed to submit our offer as per the laid down rules because the rest is all factored now. So on that basis, we offer and he accepts and the claim closes there. So now the pendency to new claims will drastically come down. Though old claims are still continuing, but these 2-3 cases... The Supreme Court wants that it should be over in all states. So slowly slowly other states are also coming out that they should adopt this DAR facility (Detailed Accidental Report).
— Interviewer:
— Have you seen intimations happening more quickly than before?
— Interviewee:
— Yes, yes. Immediately when an accident happens, we have a team in the legal hub we have in Delhi. So, they that intimation and our own people get involved in the investigation. Immediately they take action and...
— Interviewer:
— If you look at the industry data, IRD data, they suggest that 30% of the claims get reported within 6 months, meaning whatever accidents happen for that particular

year. So, that number... given that 7.26 has been now 9 months or...
— Interviewee:
— 6 months.
— Interviewer:
— 9 months, April to now. It has been effective for 10 months. Have you seen that intimation within 6 months... 30% is improving to 40-50% or the claim frequency has gone up, in that sense?
— Interviewee:
— On the incurred side if I see, within the first 12 months when I just mod

elled it, I see
a higher figure, definitely. But, whether it will be 30% and all, it's too early to say. That was projected, but the final is...
— Interviewer:
— But, that number bump up you're seeing?
3
— Interviewee:
- But the initial figure, usually what is actually getting reported during the first 12 months, I am seeing an increase; definitely there is an increase. But, along with that, if the end difference is also going to increase, I'm not sure. So for the time being we are making some provisions based on the past loss ratios.
— Interviewer:
— You said Motor TP loss ratio 84.
— Interviewee:
— ICR.
— Interviewer:
— Yes ICR, the incurred figure. Your total motor loss ratio is 94-95, means OD is...
— Interviewee:
— Above 100.
— Interviewer:
— So this is bleeding, and we are growing that segment more aggressively in the current year compared to what we did last year. So, exactly what is the strategy? Why are we chasing that business when the losses are so huge?
— Interviewee:
Whenever we go for package policy, we get third party also along with that. If we are getting for 3 year premium... suppose a new vehicle is there, we were tying with a dealer like Maruti and Hyundai. So when somebody purchases the vehicle, he takes the insurance. So the third party premium comes for 3 years and the OD part comes for only 1 year. So along with that, we take some decision that if new vehicles are coming, atleast we are getting 3 year premium, which is slightly profitable. So, when we merge both OD and TP, it will be I think less than 96-97%. So to that extent, if we have some margin in TP, because in private cars loss ratio of third party is less, two-wheelers' loss ratio in third party is less... So, in commercial vehicles we get one year only because there is no computsiom -two-wheeler we get 5 year third party premium along with that. So, that also we consider. So yes, OD at present, where we are in competition and the private companies are paying more than what we are paying, it is very difficult to even continue with that business. And, motor is our core business. For any insurance company, as far as general insurance is concerned, motor has to be a dominant LOV for us. But now, after COVID and other things, I think health has_become_more dominant. So, to that extent, I can see that for some time it will continue, but later on it will stabilise.
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— Interviewee:
— To add 2-3 other points, in case of commercial vehicles, the decision driver, is it going to be TP? If your OD premium is say 5,000, you TP premium is say 40,000, so the decision driver on whether to take the business or not is going to be the third party contribution. That is the first thing. Second thing, during COVID time, of course we saw some unrealistically lower loss ratios as far as third party... that is the time when the motor OD discounting, that phenomenon started. And now, the clawback of that discounting, it's taking more time than anticipated, because all of us got used to lower pricing as far as OD is concerned. So now, to revert to the old days of lower TP discounting is taking some more time. And third thing of course, the relationship with the dealers and all for us... there was a time when due to this NIST and all happening, there was a lot of business loss which had happened at the dealership. So, little bit of that clawback also.
— Interviewer:
— What made it to happen sir suddenly? Why are the dealers okay to not work with

private companies, but public companies?
— Interviewee:
— No, right now of course, we are trying to re-establish our relationships because from April the situation is going to change totally with the new regulations coming in. So, that time dealers are going to play a much more important part. So again, having that connect with the dealers has become much more...
— Interviewer:
- Sir, you being a CAG audited company, never have been able to match the payouts wh

ich private companies made. So now, which expense of management rules relaxation, will you match the payouts what private make and then we can see the combined ratio to further deteriorate only, or do you think pricing will improve?
— Interviewee:
- Pricing can improve, because payouts are not going to be indiscriminate, it's going to be driven by loss ratios. So they are all linked actually. For this particular loss ratio, this is going to be... we used to have that for 2014-15 and all, that used to be the arrangement where the entire payouts were going to be linked to the loss ratios. So, depending on the profitability and the kind of vehicles, what is the experience we have where retail is concerned... So, an elaborate new pricing regime has to now evolve which will be depending on the...
— Interviewer:
— But will the industry behaviour show sanity or will cut-throat competition continue?
5
— Interviewee:
- If you see, around 30% is the proposed EOM limit. And if you see, most of the companies are between 25% and 35%; most of the companies. So, there is not much scope to actually behave in an indiscriminate manner. But, whatever they have been doing till now, they may continue to...
— Interviewer:
— But sir, it could potentially happen that you have a group business high exposure like crop, and then it can cross-subsidise and make your payouts.
— Interviewee:
That is the issue which is there, but I think the private companies are choosing the lesser of the evil, I would say, because they already got into all those suits because of the payrolls, GST implications, taxation department after them and all those. They got into a real mess. So, they also... One thing is there, unanimously, they are going in for EOM, so there is no protest at all. Even from companies whose current EOM is more than 30%, everyone has unanimously agreed that this is what we want. So, that is going to be the new regime.
— Interviewee:
- What will happen in this EOM is that we will have some cushion to pay for the profitable business. At present we don't have that cushion. As far as profitable business of motor or any other segment is concerned, private companies they benefit because they are not subject to audit of CAG or any government regulations. So, we have limitations. It's unethical. We cannot -pay some extra —money to the agent or to the broker. You know in the market how it is happening. If I have experienced that w.r.t. a school bus, even third party they are giving 50%. Out of third-party premium, how these private companies are paying 50%? Because, school buses are profitable. How much we can pay? We have some limitation to pay some fixed amount, 2.5% we can pay. Over and above, if we want to pay some extra incentive, we can pay 10%. But, we cannot match. But after EOM coming, that will change. So, that profitable segment which have been slashed by these private players, then we can target those profitable... and then balancing will happen. So, a level playing field will be there. Then we can also think of paying some extra for the business and that cushion would be there. So ultimately, it would be good for the industry.
— Interviewer:
— Sir, with the TP long-tail reducing, ultimately the investment work will reduce, the investment income will reduce, we'll have to look at even better COR.
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— Interviewee:
- No, actually what is happening currently is, right now we make a provision for outsourcing. Then that comes to us as investment corpus, we earn investment income. But, every year we also put an interest loading to the outstanding claims at 7-7.5%; we put a loading on the outstanding claims. That is a part of incurred claim. So, our incurred claim will include the provisions of the outstanding that we make on

the TP claims. And correspondingly, the same amount we are getting back as investment income. But those distortions happen in the combined ratio calculation because the

7% outstanding on the 10,000 crore plus of TP outstanding, that is simply getting added to my incurred claims. But, the same amount or much than that, because of my equity exposure, I'm getting investment income, that is not considered for the combined ratio calculation. So now what will happen is, there won't be any change with the overall profitability, the only thing is, instead of interest loading which used to happen because of the pendencies, the pendency is reducing, you'll settle the claim quickly. Correspondingly to some extent, your assets under management may slightly come down and your investment income will also reduce to the same extent. Optically, your metrics will look better, but operationally there is not going to be, I would say, much difference. Only thing, the risk will come down, because what happens is TP is, the biggest risk at any point of time is, some court verdict comes and says that your method of calculation has to change and you have a huge amount of outstanding. You are exposed to a massive risk. So, if you're able to settle it quickly and clear it, you are actually saved from the risk of an adverse ruling. So that way, the risk levels of the company will actually come down if you're able to settle the TP claims faster. But operationally, it's not going to change, optically it will look better.
— Interviewer:
- Your provisioning method will also change in a way, because earlier when the settlement timeframe was 4 years, 5 years, more than 5 years also, so for all these contingencies you have to make some bit of provision. Now, given the settlement is earlier, will that change the provisioning method?
— Interviewee:
- Provisioning method won't be changed much. With the case result setting, it's going to be the same. In terms of your projections for the non-reported claims, the method will be similar. There will be some distortions in the past claim patterns and all that, and we'll have to make manual adjustments.
7
— Interviewee:
- At present, whenever the claim is reported, we provide the reason... provision. So, if it is pending for 1 year, again 7.5% interest is loaded at the end of... if suppose that is not going to be pending for a longer period, so interest loading for that period will not be there. So, ultimately, it will not affect, because we are already loading our provisions to that interest.
Interviewer:
— Sir, what is your share of new cars in the motor segment basically?
— Interviewee:
- New cars, overall...
— Interviewee:
- Because off late, our mix has totally changed with lot of dealer business coming back during the last 12 months. So, the mix has changed and the proportion have definitely increased, but the exact figures I may not be having.
— Interviewee:
— In private cars it's almost 50%.
— Interviewer:
- Given what feedback we are getting from the various industries, especially with new cars, especially the competitive intensity remains very very high, and probably it will continue for some more timeframe. And the loss ratios probably we'll continue to see are elevated. Given our 50% also, how are we going to see some improvement towards the motor loss ratios? How should one think from a 12 to 24 month perspective on this?
— Interviewee:
- That's what he has already mentioned, that EOM will play an important role in the coming days. On 1st April that 30% limitations or regulations, whatever comes, we will balance accordingly and analyse it. Wherever profitability is there, there we can pay and get the new cars business or new two-wheeler business. At present we are getting private cars maybe 50%, but two-wheeler segment we are not getting that much. So, we will target that two-wheeler segment also. So, in that segment also where we are going to add a 5 year third party premium at a stretch. So there automatically it will balance. So, maybe in 12 to 24 months you can say, that after this regulation comes, things w

ill change, even for new vehicles.
— Interviewer:
- Sir, you're saying that the underlying loss experience in commercial vehicles is worst compared to PVs and two-wheelers. So, the next change will automatically improve your loss ratios and the EOM will let you choose...
— Interviewee:
- ... to be profitable.
— Interviewer:
— to be in those. But, you don't expect the industry as such to correct the pricing in motor OD?
— Interviewee:
— It will happen, but it follows this typical cycle.
— Interviewer:
— So, things will get worst before they get better?
— Interviewee:
— We can't comment on when it will. But over a period what will happen is, everyone will have to finally look at net profitability, ROE, everything. So, it follows a cycle. Right now, motor is probably at a level where pricing is slightly...
— Interviewee:
- I think the industry itself is having a hype.
— Interviewee:
- Hmmm. Across the board I think even private sectors are seeing much elevated loss ratios in motor. And for them, because of the payouts, even a lower loss ratio actually translates to a much higher combined ratio. For instance, if the payouts are not there, even a high loss ratio, but combined ratios would still be alright.
— Interviewee:
— Also, that online settlement of claims we have started.
9
— Interviewee:
- Online settlement, that also we have recently started. The claims up to 50,000 through PVO online settlement people are sending photographs and we will send a link also. That also we are in the process, and we have already on the pilot project which we have done in 3-4 hours, and it is quite successful. So, now as an industry at the GIPSA Level, we are coming out with a new RFQ for inviting the service providers for settlement of claims for private cars upto 50,000 through online. So, our in-house surveyor will assess the photograph sitting in the office and he will tell you to start your repair. So those manipulations will come down... wherever this segment. If the vehicle goes to the garage and the garage guy will say I will give you this, you make it. So those things we are going to improve in the next 642 months. So, this will also aid us to reduce our ICR of OD.
— Interviewer:
- The surveyors will be in-house or will it be almost like TPA?
— Interviewee:
- Now we are authorised up to 50,000w we can survey and assess the loss in house also. We are planning to have in house survey sitting at our office. We will see the photograph, we will talk to the garage and we will allow the claim damages, you go ahead. And then immediately he will start the work.
— Interviewer:
— In group health you had been ceding market share, if I just take aggregate through the year numbers. So what is the strategy there?
— Interviewee:
- In group health, in the last maybe 2-3 years, especially during COVID period, health portfolio has well because of the awareness of the people as well as
so many relaxations given by the government also that you pay, you cannot say no. Though maybe in some cases there could be exclusions, but we are proud to say that we have served the country during the pandemic, and whatever is payable, even that we paid. So, during these 2 years our loss ratios were not very encouraging; maybe 130 or 135 was there. But anyway, I think this happens once in 100 years. And, when the country needed our services as an insurance company, not only New Indiabut other companies -also suffered. A-nd, everybody was around -125-130 range that year. But, now we have recovered very well after that. So, we have corrected our pricing also. We are not now very aggressive as far as group GMCs are there. So, things are improving and now we have around 103-104 claim ratio, which was 130 last year. So, it has come Abwn. And over the period, maybe it will come down to less than 100.
10
— Interviewer:

— So, in the last 2 years, on how many instances have you effected this price increase and wha

t is the rough magnitude?
— Interviewee:
— In group it is case to case pricing, because the group behaves in a particular (inaudible) on a case-to-case basis we price. On retail, I would say, during COVID, of course we were considering, we couldn't really increase the prices. But now on the flagship individual Mediclaim product, we have rolled out a price increase, which should come out pretty soon. It's just pending some queries with IRDA. But, by March or April we should be able to roll it out. So, roughly minimum 30% increase is there as far as retail health is concerned. And, another product, floater product, these are the two major retail products. The floater also, I think in another week or so, we will be filing the price increase. Overall, retail premium increase will be close to 30% plus, which will be effective from the next financial year.
— Interviewee:
— As far as group is concerned, I want to further add in that, we you have the maximum about 40%-50% our corporate clients are there. They are giving us the other business also, fire business is there, marine is there, miscellaneous is there, and that is very, very profitable, so whenever GMC or Medical Insurance Council at that time that they demand that at least you give some discount into that. So, that's why also I can say if you send 4%-5% increase to GMC that is about it, actually because of that but because of we have a huge premium coming from those clients like Reliance you can say. We are getting 1000 crore and that there it can happen.
— Interviewer:
— So, this retail pricing what you've taken is good enough for the hospital inflation?
— Interviewee:
— What we have found is, there is a massive increase, this has happened post-COVID, which is something which you really, I think across the road the entire industry fell back. After the COVID, in fact when the case returned to normalcy, the security is the real short up, when the frequencies we identify in the change, but the severity is drastically short up and because of this we were forced to and also we had an increase for five years, usually we increase it in a 3-year period. We last increased in 2017, so by 20, they were due for increase, but by that time COVID wave hit and at that time it
— Interviewer:
— Increasing that time
11
— Interviewee:
- We had our own responsibility, so we cannot really push up the retail price increase during that period. So, now we are rolling it out and the severity has definitely increased, but I think 30% plus increase and there are also its across different age groups, we have different increases.
— Interviewer:
Finally, a cumulative price 30% is good enough?
— Interviewee:
— No, I'm saying across the board because what happens is there are some age groups where the performance has been altered, some age groups will witness almost 50%-55% increase, so it is going to be kind of mixed depending on the age group.
— Interviewer:
— Sir, now it has become an industry practice, right Sir. All the players I think have taken retail health price hike of around 25% to 30%.
interviewee
Recently, they have took actually, we are late I would say.
— Interviewer:
— You are late?
— Interviewee:
— We are late, so both the products you'll see a significant price increase coming, so that along with the group maybe it may be around 103 like say that plus this one together should see further improvement in the loss ratio. Maybe for the next year, we have about 50% of the impact you will see in the next year, the year after the increase.
— Interviewer:
— Certainly, you seem to have stopped growing government business?
— Interviewee:
— Who?
— Interviewer:

- We, this year, PH business, which we -clicriast-yearTwe-a-re-not doing today, and even the group health -- the government group health we have slowed down. I mean the number suggests.
12
— Interviewee:
— No, no, what happened?
— Interviewer:
— PA has clearly

declined right?
— Interviewee:
— PA was a COVID policy. So, what happened we had done special policy for the government for two years for the PH. So, what happened all the medical practitioners and all the COVID workers
— Interviewer:
— Sorry, its COVID warriors
— Interviewee:
— COVID warriors they used to do. So, all those workers we actually rolled out a policy for them that 50 lakhs death cover.
— Interviewer:
— Oh okay.
— Interviewee:
— So, that policy because COVID was also very high and lots of people lost lives, correspondingly premium also went up. So, we lost about 500-600 crores, this year 700 plus, yes. So, roughly 700 crores decrease in premium during the course of nine months is because of this policy being not renewed.
— Interviewer:
— Not renewed as there is no COVID, I can say because of that and actually growing that product in this market would have been most profitable?
— Interviewee:
— No, no, it's a government policy.
— Interviewer:
— Oh, government policy, it's a government policy.
13
— Interviewee:
- Basically, it was more like an execution kind of a thing. Government says you operated at 90% loss ratio, so we are also assured of some profit and we execute the policy for the government. So, that's how it was structured. Last year when we accepted crop also near ahout,Imean full insurance crop rinse to 1000 crores .
— Interviewer:
— 1000 crores, that is no longer there.
— Interviewee:
— So, that also government business is reduced.
— Interviewer:
Roughly, first nine months if you see the premium growth you see only 1.9%.
— Interviewer:
— Yeah because of that.
— Interviewee:
— 1900 crore, if you adjust for it, the growth is still out.
— Interviewer:
— Got it, got it. yeah, because there's a 13% decline in the other category which is part of the crop,
-- Interviewee:
That is crop.
— Interviewer:
— Almost 1000 crore was crop?
— Interviewee:
— 900 crores.
14
— Interviewer:
- 900 crores, yeah. So, next year what you're thinking on crop, government is going to go that beat formula wave or do you think that the scheme because this is the last year of the scheme, last year. If build formula becomes a new norm, then you will participate how you think on crop?
— Interviewee:
— Crop, actually what we see that our sister company, agriculture insurance company is there. So, all CMDs are put together, they discuss among them that they have the

specialization in that agriculture, we don't have.
— Interviewer:
— Right.
— Interviewee:
— We started accepting business in 16-17 and 17-18 and we burnt our fingers. So, see we don't have that expertise, we don't have and we should not enter into it.
— Interviewer:
— Got it.
— Interviewee:
— So, then later on two years back, they took the decision that at least agriculture is having the specialized insurance company they do crop insurance, so let them to do. So, last year as per their agreement, we caught the co-insurance from the agriculture insurance company from this 900-crore the premium that we have not done any direct business. So, at present, I can say we don't have a core capability. If you say, I admit it that so - that if we accept it and then again burn our fingers, so instead of going into dark, better to go to somebody who is there our core, so we will follow it. so, we have the requesting to our sister company that wherever the capacities are there they can provide capacity we can provide and we can accept a business insurance and that is more or less it is profitable, but because we manage in a more systematic way.
— Interviewer:
— But Sir, beat formula becomes that 80-110 loss corridor formula becomes new norm then, probably the losses are capped because it's 10%, then would you think that seriously you are getting into crop despite not
15
— Interviewee:
— Finally, it has to be executed because it's a 1000 crore business then you end up at 1:10, so 100 crores loss and profit is

between 1000 and 2000, then can really, so still
a lot of execution skills.
— Interviewer:
— It's co-insurance only that you will do?
— Interviewee:
- At present, what we are thinking or maybe later on, maybe with the new management who are concerned, they may think of accepting direct business also, but at present what we are thinking that going slow towards this business and another thing what we think that in crop that we are this 80 or 100 also, then you require some reinsurance arrangement also at your level and other things. so , it is better to be away from this. So, at present we are going slow on this front.
— Interviewer:
— Okay, it works because the government itself is acting as a reinsurance?
— Interviewee:
— You don't have reinsurance cost as a bigger saving.
— Interviewer:
— that's_a_big_s_aving and not only that reinsurance will come with lot of restrictions.
— Interviewee:
- So, to accept anything other than that it requires a lot of more exposure, everything is on the higher side. You go in direct, because these all payments are linked with the subsidies you are supposed to receive from the state as well as centre and they don't pay the money. To be very frank, it comes very later and we stop the payment of claims and then all farmers will come to the offices, they will create a scene in the office, it has 54ppened in the Poona and Baja Allianz, it has happened in our offices also. Then the government - they don't realize, they want their claim should be paid and then forcefully government will tell you pay, so sometimes it becomes a very difficult situation as far as to handle these types, all farmers will come together, they will put dharna outside your office, and then it gives the wrong message among the people that companies are not paying the claim. So, these things are there, so with the government scheme this is the problem.
16
— Interviewer:
— Got it. See anything you are hearing on composite license means LIC will subsume everyone, our government is thinking of those things?
— Interviewee:
- First thing is if you read the act, the amendment, one of the major changes is that they have defined tariff as a line, earlier it was life norm, now it is life, health, and non-life. So, when you create a new line called health automatically, we are

composite insurance, the next year when we apply for a license, we are doing health and non-life. So, one reason why the word composite was put in was an enabler because they have defined health as a different line and so all the non-life companies doing health obviously, they have become
— Interviewer:
— They automatically become composite.
— Interviewee:
— So, was this, but along with that it's got interpreted that life can get into health, life can also get into health and all. So, it all depends because even now it is up to the IRDA to decide whether to allow it or not and justice because composite license is going to be allowed that is needed from an operational point of view because all non-life companies have to be composited, but along with that whether they are going to allow the health companies to get into - life companies to get into health and all there are lots of
— Interviewer:
— So, for example if LIC applies for a composite license, they renew their license and say composite license, then they automatically be eligible to do both the businesses right. If they want to do motor or if they want to do health?
— Interviewee:
— No, first of all IRDA has to - let the revolution do come first. Revolution has not come
— Interviewer:
— Even act is Act has to be postponed.
— Interviewee:
- No, the Act amendment should happen first then later on we should think of — the initial thought process for that word composite was because you have normalized plus health companies you define health as a different line obviously, we have to go become a composite company.
17
— Interviewer:
— But has it go

ne to backburner or it will come in monsoon session?
— Interviewee:
— No, no, Sir I think our council has also represented earlier
— Interviewer:
— Yeah, they are in the news, definitely.
— Interviewee:
— Council has represented—against allowing life companies—to get into that. They already have their own problems why they want to get (all laughing)
— Interviewer:
— But in expensive management rules, w -hith will come i s a known fact that why Sai took market share from you guys, public sector companies because they paid more than_then what you were_able to not pay. So, now with you changing the passibility of that same agent who is working for you with motor but he is working with the Sai to distribute health, can you convince him to come back and to get your products and-you-can see a scale growth in the retail health in a meaningful way?
— Interviewee:
- Yeah, yeah. Every agent if you see, you'll be having 3-4 families each one associated with some other company, so they can legally itself they can do for non-life as well as the health company and the life company, legally itself they can do along with that they also have multiple people in different - having allegiance to different c-ompanies, so that whoever pays the best on that name the business will be. So, to that extent if will see as far as five companies are concerned, they have paid more, but now nothing prevents us from paying. So, if you want to actually look at having a differential structure, if you to attract the 25 to 30-year-old more, so probably we can have a compensation structure where you pay 5-year old there. Right now, we were constrained that everything has to be within 15%.
— Interviewer:
— So, probably for a 60-year-old guy you say that I will give only commission to them, but a 25-year-old guy, I can give you a commission of 40, you bring in the business.
— Interviewee:
— Overall
— Interviewer:
— Overall, it should be kept with 30% that can happen.
18
— Interviewee:

You see this line we had to file. Their staff and management expenses is if you today also you see very small and their advertisement and other expenses you will find they are equal to us, means the marketing expenses are more than what we are doing. so , we have a lot of 1000-2000 offices among all over India, they have maybe 20 officers all over India, but their management expense is very less and advertisement so, total expenses are put together it will match to us. So, where that money is going, that do you see that recently
— Interviewer:
— Recently the rates have taken 35 for Sai one reason was —
— Interviewee:
— Now they know that the competition will heat up, they wanted the extra cushion of 5%.
— Female Speaker:
— Sir general consensus then is that commissions will probably step up a little bit because it puts the smaller players at a disadvantage the EUM guideline and the bigger place will probably go
— Interviewee:
— No, for smaller companies there is a carve out, as long as their market share is less than 11/2 to 2 crore.
— Female Speaker:
— Yeah, but most of them are like I don't know if that's at a gross level across all lines?
— Interviewee:
— It is market share
— Female Speaker:
— Not within respective - not within health?
— Interviewee:
— No, grossly. It depends on the license you have taken.
— Female Speaker:
— So, if you're a Sai
19
— Interviewee:
— Sai is also market share criteria applies the same, but 35% is there allowable limit.
— Female Speaker:
— So, one if I have Sai and then I have PA% market share in health
— Interviewee:
— Then you are stuck to 35.
— Female Speaker:
— Then I'm stuck to 35.
— Interviewee:
— But if it is less than 1.5, then you will get a 4 variance, so you can go to any extent you want-
— Interviewer:
- IRDA removing the IAB thing on fire because previously the industry was pricing everything based on burning cost, so now the burning cost IRDA said that that

you
can't use this as a rate card to price to industry. So, if that is going away then fire which is one of our most profitable portfolio and we are market leaders there, do you think again price discounting war will start and this portfolio can become much worser than what you have experienced in last 3-4 years?
—Interviewee:_
- IRDA has not put that means the IRDA has not that you should accept the IAB rates because of our RI treaties are based on this, that's why we are charging. So, it depends on the individual insurance companies to charge the rate. It is not compulsion that you have to
— Interviewer:
- No, no, it came from top I know
20
— Interviewee:
- So, if GIC has put a condition that I'm providing you the insurance coverage because if you charge the IAB rates because he has to see - they have to see their profitability also. So, accordingly maybe later on, the individual companies whenever they are taking new reinsurance plans they may think of factoring through that discount also tomorrow that is to be given to the profitable clients that also we will negotiate with the GIC or whoever insurer providing reinsurance support to us that some reduction should be allowed. So, I think your audit
— Interviewer:

— You have already started your April negotiations, are you seeing GIC or any other reinsurance reducing the - allowing you to price below IAB rates?
— Interviewee:
- I think in some exceptional cases it can - no actually there are two aspects. One, what was happening was IAB was monitored by GIC and second thing because of wherever GIC was the leader, we were all tight. As an insurer wherever companies are there who didn't have GIC as a leader, they could offer always more competitive rates. So, lot of business was also not coming to these companies because you are tied to a reinsurer. So, this IRDA was ensuring that you are not going to speak to IAB that's more like an order to the GIC and not to insurance companies.
— Interviewer:
— But it indirectly benefited you guys right because for the (inaudible)
— Interviewee:
— But lot of business was also lost because GIC was not the leader in some other companies which used to quote price. It used to in a quote in a more competitive environment. So, it all depends on for the business scheme which came and second thing the same business was divided into you can say fire can be divided into three parts. One, which is less than 150 - less than 50 crore category, then you have the midsize segment, and then you have the large size segment. Less than 50 crore already is decoded, there is no IAB, whenever the product was launched itself was made very clear that you don't stick to IAB, so every company is already pricing in based on the occupancy somewhere and the larger - when it comes anywhere reinsurers have a say because they are - because the retention and the insurance is going to be less there and mostly it will be sent to the insurance, so they already continue to have a say. So, if it is not IAB also, it will be a rate which they are going to accept, so that is going to be there. So, what is left is only the middle segment of the property where we simply blindly used to charge the IAB where the business comes, on that segment there will be some kind of a what do you call price again it

can be lower or more of occupancy based, everything will start and GIC will definitely now accept whatever the price and then they will have to put the conditions based on the performance of each.
— Interviewer:
— Got it. Any thoughts on the solvency of the other - especially the other three DAC players like they are below the IRDI requirement, so that will the government continue to influence capital, so any thoughts on that the solvency side?
— Interviewee:
- Already government is thinking on restructuring these people. So, to bring them above the required solvency, so there are certain instructions which have gone probl

ems to all of them to you know manage your business, how to restructure, reorganize your offices, so all that is being done bring them up to the apart from giving them the required capital these things are also happening simultaneously. So, hopefully as we go forward you might see an improvement there also.
— Interviewer:
— And could you share your motor mix in terms of like how much is CV, how much is PV there?
— Interviewee:
— We have around 19% at CV.
— Interviewer:
— Okay.
— Interviewee:
— And 54% as private and then standalone we have another 22 OD policy for QUIPC
— Interviewer:
— Sorry?
— Interviewee:
— Standalone OD policy for private car which is another 22% arid far -two-wheeler it's around 1%, standalone only.
— Interviewer:
— okay. Sir, sorry since I joined late, there is one question with respect to the Madras

— Interviewee:
— Come, come, you can sit here now.
— Interviewer:
— With respect to the Madras High Court order, has there been any release in the reserving or what would you see?

— Interviewee:

— It's too early to take the call on that because we have to see because it's not, especially on a retrospective reserve, release is not yet.

— Interviewer:

— On an incremental loss ratio are you baking in this thing six-month gap?

— Interviewee:

— No, because even the six-month thing, we are not so confident that it will clearly stick with us, some genuine case comes and it may get over, so and we'll just wait for some time, if at all after 2-3 years also it is standing and nothing is happening then hopefully you can think of putting an end to the claims which have been filed after that particular date.

— Interviewer:

— Sir, just one last question given our nine-month growth is around 2%, crop we are not looking basically in this, even personal accident because COVID is gone now, how you think the growth probably to pan out for FY24 because motor also has some segments which are high competitive intensity given our motor share is very high and although some price hike is there in the retail health, but how you think overall growth to pan out?

— Interviewee:

— No, growth will be in all 10Ds, if I feel in my personal view. It will be a little increase in fire, marine, also because now the movements are happening, earlier those were stopped during the COVID period and a little bit increase in motor that is what we earlier discussed maybe after this new EUM regulation after that we can maneuver our payouts also and we can grow more in motor in profitable segment. At present maybe we are getting the left-out business or where the business is not that much profitable. So, that will improve and definitely after COVID awareness and health has increased a lot. So, even people are coming to us not for renewal, for a new business also, for new policies also, so that also awareness has created a demand in

the health sector. So, you see if the entire business if you see mixed, the health is now dominant, earlier motor used to be dominant. So, that segment also will likely to grow in the steady fashion at 10% to 15% and the other side effects now liability another businesses where we want to target small communities where we are slightly lagging in that segment, so in that segment also and miscellaneous segment also we are going to see some growth in the coming days.

— Interviewer:

— You some new products also introduced?

— Interviewee:

— In fact, one major change that has happened is your all the product filing has moved to use and file.

Interviewer:

— Correct.

— Interviewee:

- That has actually reduce the time to market rush, so we are actually launching quite a lot of products around the annual and_within short time we can actually conceptualize the product, bring it to the market everything can be done very, very quickly, so that is one major advantage not just for us for the entire industry, so that is going to be a real game changer becaus

e use and file for product because earlier it used to just get stuck in IRDA after (includible) anoth -er-oompetitor launches the projectile slightly lower price, we've to wait for another three months, four months, so it was a real pain, but that is completely gone I think. All the new regulatory changes which are happening, there is going to be a principle based regulations, there is not going to be months in terms of prescriptions, so that's going to be a very open this thing and even on health side thankfully help is not dependent on tax incentive, even though you get some tax incentive, it's not dependent on income tax side, because people are really recognizing the need and taking the cover and not for any tax breaks or whatever.

— Interviewer:

— But retail health repricing you have to go to them for approval?

— Interviewee:

No, ideally what use and file says you can actually get it done, but they have the right to question. So, then we file the retail even though we filed it the use and file, because our policy holder base is pretty high, there are some queries which IRDA had asked and so we are in the process of addressing it and after that we will roll in, but otherwise if it's a small product, do you want to launch a new product, small

product or even within the small product because if you want to change the price, it
--ca-null happen very quickly.
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— Female Speaker:
— Sir your pricing relative to the competitors where would you
— Interviewee:
— the competitors, it will be similar with the competitors.
— Interviewer:
— And the three-year time frame is also now removed that after only three years you can replace the retail?
— Interviewee:
— No, the clause still says but it also has that under exceptional circumstances if you want to get it replaced you have an option of doing, but that clause is still staying, but what is happening is all the regulations are being relooked and there is a chance that even that may get removed from the new set of regulations to come.
— Female Speaker:
— Thank you, Sir.
— Interviewer:
— Thank you very much Sir.
End of Transcript
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Call: Jun 2023

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G Block, Bandra-Kurla Complex
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Dear Sir/ Madam,
Sub: Transcript of the Conference Call held on 05th June 2023
With reference to our letter dated June 01, 2023, intimating you about the
conference call with Analysts/Investors held on June 05, 2023, please find attached
the transcript of the aforesaid conference call.
You are requested to kindly take the same on records.
Thanking You
Yours faithfully
For The New India Assurance Company Limited
Jayashree Nair
Company Secretary & Chief Compliance Officer
The New India Assurance Company Limited
Q4 & FY23 Earnings Conference Call
June 5, 2023
Management:
• Ms. Neerja Kapur, Chairman and Managing Director
• Mr. Titus Francis, Director and GM, CFO
The New India Assurance Company Limited
Q4 & FY23 Earnings Conference Call
June 5, 2023
Moderator:
Neerja Kapur: Ladies and gentlemen, thank you for joining us today for The New India Assurance Company Limited Earnings call for Q4 & FY23. I'm Faizan, your moderator for this call. With us today are Ms. Neerja Kapur, Chairman and Managing Director, Mr. Titus Francis, Director and GM, CFO; and other members of the executive team. Before we begin, I would like to remind everyone that today's discussion may contain forward-looking statements based on our current expectations. These statements are subject to risks and uncertainties that could cause actual results to differ materially. Please refer to our latest exchange filing for more information on these risks. At this moment, all participants are in the listen only mode. Later, we will conduct a question & answer session. At that time, if you have a question, please press "*" and "1" on your telephone keypad. Please note that this conference is being recorded. I would now like to hand over the floor to Ms. Neerja Kapur for opening remarks. Thank you, and over to you, madam.
A very good afternoon to all, and thank you for joining us today for the earnings call of the The New India Assurance Company Limited (New India) to discuss our financial results for the financial year. '22, '2322 23. I am Neerja Kapur, Chairperson and Managing Director of the company, would like to begin by first of all expressing my gratitude to all our valued shareholders, analysts and investors for your continued support and interest in our organization.
We have all been witness to the remarkable growth in the Indian insurance sector over the past few years, thanks to the country's growing affluent, strong economic growth and an expanding middle class leading to rising levels of disposable income, young population with high digital

penetration as well as dynamic regulatory developments and support of the government. The sector expanded at a compound annual growth rate of 17% over the previous two decades. And it is forecast that premium volumes will grow by an average annual rate of 12% to 14% per annum over the next decade. At this rate, India will be the 6th largest insurance market in the world by 2032, ahead of Germany, Canada, Italy and South Korea.
India has made improvements, but in terms of insurance penetration and density, it still has a long way to go. At 1% non-life insurance penetration in India last year was significantly below the global average of 3.9% and the protection ga

p as we all know ranges from 35% to 95%
across different lines of business. The Indian Government as well as the regulator are giving utmost priority to formulate appropriate strategies to address this and close the protection gap. IRDAI has implemented a number of regulatory reforms recently in the last 1 year with the goal of increasing penetration. These reforms aim to simplify insurance products, to facilitate product innovation, to lower the premiums and strengthen distribution channels. Focus is also on facilitating ease of business and moving from a-rule-basedi44€44450-yregulations to a principle-based-i4444444-yregulations. As per market analysts, it is expected that lead segments of growth would be health, property, casualty, motor and agriculture. These sectors are expected to benefit from the government focus on infrastructure development, increased awareness and the introduction of new products.
Market for health insurance in India is quickly expanding with the rising costs for high quality healthcare, rising income level, longer life expectancy. Post pandemic, people are now more conscious of life uncertainties and unpredictability. As a result, over the past 2 years, there has been a considerable change in the health insurance sector in India. Coming to the performance of New India in this financial year, New India continued to be the market leader with the highest market share of 13.42% in the non-life insurance industry in India. Gross written premium increased by 5.3% for New India as the company pursued its strategy of growth with profitability, which meant that the company had to let go some businesses where the price was inadequate or the terms were unfavorable. This conscious call and efforts taken by the company to weed off loss making accounts of approximately Rs. 800 crore in Group Mediclaim and approximately Rs. 900 crore of crop insurance has resulted in a lower market share in comparison to last year, but set off by a large improvement in the performance of that segment. Profit after tax has increased to Rs. 1,0655 crore in this financial year as compared to a profit after tax of Rs. 164 crore of the previous financial year, an increase of nearly 543%. aUnderwriting results were negatively impacted in the fourth quarter to an extent of Rs. 224 crore due to adverse development of claims pertaining to the previous years in the crop line of business. Some tax CAT losses in foreign operations in the fourth quarter also negatively impacted the results with the full year results getting adversely impacted by Rs. 107 crore due to these losses. An-d4The company's guarded approach to Group Mediclaim will continue. Strict implementations of the guidelines framed by the company has enabled the ICR of Group Mediclaim to reduce to 1205% in financial year '23 from a very high of 120% in financial year '22. The company has rolled out price increase in retail health also after many years, and the company's focus is on increasing its footprint in the retail health.
After the muted performance, we are also seeing good growth in the motor portfolio once again after many years and steps are being taken to reduce loss ratio in this segment also. Increase in repo rate augurs well for New India as incremental deployment of funds in fixed income is happening at around 7% plus. In financial year '23, the company absorbed the entire impact of the wage arrears and additional provisioning on account of employee benefits to the extent of Rs. 3,445 crore. Despite this, the fair value change continues to remain in excess of Rs. 198000 crore as of financial year '23.
In financial year 24, we aim to grow by 12% or in line with the industry growth with targeted reduction of 4% to 5% in the combined ratio. We have continued to enhance our product offerings and expand our distribution channels to better serve our customers. Some of the new product offerings which you have seen in the mar

ket in the last few months are my cyber
insurance, surety bonds, drone insurance, pay as you drive under the motor line of business, the credit card guardpolicy covering critical illness. Our strong relationships with agents, brokers and corporate clients have enabled us to deepen our market penetration and to capitalize on emerging opportunities.
Additionally, we have placed a strong emphasis on digital transformation and technological innovation, enabling us to streamline processes, improve customer experience and to drive operational efficiency. These initiatives have positioned us well for the future, ensuring that we
Titus Francis: remain agile and adaptive in an ever-evolving industry landscape. I would like to take this opportunity to express my appreciation for the unwavering dedication and hard work of our employees and our dedicated force of agents. Despite a restructuring of the corporate structure, their commitment and professionalism have been instrumental in accomplishments

and have played a very crucial role in delivering value to our stakeholders.
Looking ahead, we remain cautiously optimistic about the prospects of our industry dnd-our ability to navigate the challenges that lie ahead. We will continue to focus on strengthening our core business, exploring new growth avenues and further enhancing our customer centric approach. I am confident that there with our strong fundamental, dedicated team and strategic vision, New India is well positioned to achieve sustainable growth and generate longterm value for our shareholders.
Before I conclude, I would like to express our commitment to transparency and open communication. We are here to address any questions or concerns you may have during the question & answer session that follows our financial presentation. Once again, thank you for your participation in today-'s call. I will now hand over to our Chief Financial Officer, Mr. Titus, to present the financial highlights of this quarter and this year.
Good afternoon to all. Thank you for joining the call. 1 2_,rn Titus Francis here. I would like to briefly present the company's overview and the financial results of the company for the year ended March 1'23. So, we are th e largest general insurance company in India with an established brand and expansive multi-channel distribution network and a strong international presence.
We are #1 in India in terms of net-worth, domestic gross direct premium, highest number of offices and maximum number of claims settled. We are into the 104t h year of operations. We have
already issued 30 million policies in FY22, '23. We have 1800 offices plus offices in India and we have a presence in 26 countries through international branches, agency offices, subsidiaries including a box at Lloyd's London.
We are the market leaders. We continue to be market leaders with a 13.42% of the domestic share in the market. We are leaders in almost all the lines of business, fire, marine, engineering, motor health, including PA, as well as aviation. As already mentioned, we are the largest non-life general insurer in India with the highest market share of 13.42%. We are consistent in the market leaders in terms of network, domestic gross direct premium and we are multi-product, multi-channel and having a global presence as mentioned in 26 countries. We have a diverse product portfolio and a multi-channel distribution, dominant market position, consistent market leadership and growth, and we strive to be excellent in customer service and technology.
Coming to the key highlights, our gross return premium global, we have completed Rs. 38,791 crore against Rs. 36,835 crore with an accretion of 5.31%. Though we were lower than the market, but it was a conscious call to grow with which can be seen in the incurred claims where the last year's incurred claims was Rs. 28,750 crore, this year it is Rs. 28,909 crore with a very small increase of 0.55%. Co

mmission witnessed an increase of 5%. Expenses Rs. 4,300 crore
against last year's Rs. 4,114 crore, an increase of 7%.
Investment income has increased to Rs. 10,442 crore from Rs. 6,666 crore. This was to take care partly for the wage arrears. So, our profit before tax is Rs. 1,245 crore against Rs. 160 crore last year, 678% accretion and a profit after tax of Rs. 1,055 crore against Rs. 164 crore, 543.29% accretion. Our incurred claim ratio because of the conscious efforts to get the correct price, the claims ratio has come down to 95.59% against 99.46% last year. Commission ratio has more or less been the same at 7.7%. Expense ratio is 13.82% against 13.49% earlier, a-combined ratio or saw a 3% drop from 120.66% to 117.15%.
If you look at our business mix, most of our business is coming from the health and PA segment with a 45.38% ratio. Motor will be around 26%, fire 16.60%, and marine is 2.72% and others 8.66%. If you look at our channel mix, we have brokers contributing 33%, direct 30%, agency 28%, dealer 8% and bancassurance 1%. We have adequately provided and this can be seen in the movement in technical reserves and we have as on FY23, Rs. 47,547 crore. If you look at our gross return written premium impact against Rs. 36,835 crore, we have completed Rs. 38,791 crore, an impact of Rs. 164 crore last year and impact this year of Rs. 1,055 crore.
Coming to our key ratios, our incurred claimsratio have come down from 99.46% to 95.59%. Our commission is almost the same at 7.75% against 7.70%, and our expense ratio at 13.82% against 13.49%. As already mentioned, our combined ratio has come down by 3% to 117.15% from
120.66%. Our solvency has improved from 1.66 to 1.87 and ROE has also improved to 5.53% from 1.22%. We are striving to get to double digit figures.
And coming to the balance sheet highlights, the net worth is Rs. 19,919 crore against Rs. 18,232 crore. Net worth including fair value is Rs. 37,957 crore against Rs. 38,191 crore. General reserves at Rs. 15,791 crore against Rs. 14,785 crore, and an investment assets at market value Rs. 86,111 against Rs. 83,372crore. Solvency ef-is 1.87 against 1.66.
Coming to the segment information. We will see that we have grown in all the lines of business except in others, basically because of the crop line of business. Last year, we had aR underwritten almost Rs. 900 crore, this year it was very insignificant amount. The accretion is 5.31% so we have completed Rs. 38,791 against Rs. 36,835 last year. As already mentioned,

our ICR has improved from 99.46% to 95.49% and basically because of health and PA ICR coming down from 120.59% to 103.33%.
Our future strategy is increasing the return on equity and maintaining the increased market share and leverage benefits of economies of scale driven by growth, rationalization of operating offices, maintaining healthy solvency margin and increasing digital penetration. We also aim to leverage technology to drive customer satisfaction, profitability and growth.
Madam has already given her comments in the opening address. So, we are ready to take ea-Asouestions. Thank you very much.
Moderator: Thank you very much. We will now begin the question & answer session. The first question is from the line of Uday, an investor. Please go ahead.
Uday: I jtist have one question. How do you see the growth and competiiW intensity in the motor segment and what is your plan in that sense?
Neeria Karim This is Neerja here. I'll take this question. Like, I mentioned in my opening remarks that we are seeing a growth in the motor segment after quite a few years and we are seeing good growth in the region of nearly about 15% to 17% and we expect this growth to continue looking at the economy doing well and the motor segment as a whole doing very well.
And what about the competitive in terms of pricing? How do you feel the claims ratio and combined ratio will move in this segment? Uday:
Neerja Kap

ur: So, this segment, traditionally, the losses have been quite high in the motor OD, that is own damaged segment. Like you know, there are 2 segments in motor, there's an OD segment and the TP segment, and the OD segment has t+aditionally-19seen high claim segment usually-offset by the third-party segment, the premium coming from the third-party segment. So, a lot of competition happens here. Overall, our pricing is extremely competitive. As far as New India is concerned, our pricing is very, very competitive and we are in line with the market, but we have found that last year, the claims experience has been adverse due to some increase in the standalone OD segment. So, we are taking steps to take corrective action there, and in this particular year, we are having a segmented discount structure and segmented pricing structure based on the claims experience in individual regions and that will be dynamic process which will be carefully graded throughout the year, which will be watched, analyzed and graded throughout the year.
Moderator: The next question is from the line of Arjun from Avendus Spark. Please go ahead.
Arjun:
Madam, continuing with the previous question, post expense of management being implemented from this year onwards, especially in the motor OD segment, do you believe discounting, etcetera, has normalized? Has it helped in normalization of pricing in OD segment? That is no. 1? In line with this, does this expense of management give you an advantage to pay more to your retail arms like health, etcetera, where you also had mentioned would be driver for growth in the coming years. So probably till now, there was a 15% commission on retail health book. Going ahead would you be aggressive in retail health? Does it give you an advantage? These are my first 2 questions. I'll follow up.
Neerja Kapur: So, thank you again. I'll take this question. So, when it comes to EOM, we have actually publicly thanked the regulator for bringing a level playing field to the entire insurance industry by just one stroke of introducing the new expenses of management (regulations). So, as you are aware, last year, being a PSU, a public sector undertaking, we were not in a position to pay anything other than the regulatorsily allowed commission. And so, we did face a disadvantage in the sense that even though we were offering one of the best prices in the market, the attraction was for pushing the offers made by other insurers who were able to offer differential incentives to the intermediaries. But going forward from this April, since introduction of expenses of management, New India is finding that it brings us a level playing field in the markets. And since our total expense of management, if you see what Titus had presented in the financial year results are total combined expenses of management are in the range of 21.20%. So that gives us substantial ground for incentivizing our intermediaries to bring us the healthy proportion of the motor business as also the health business and which will we expect improve overall incurred claim ratio. Of course, the ICR is higher and when the combined ratio of the organization is high, it will put the brakes in making payments for additional expenses of management, but we do expect that giving the attractive expenses of management in the right segments will attract the right kind of business also, which will improve the ICR and overall improve the combined. I hope that answers your question.
Yes, madam, very much. With respect to fire, there has been a price correction in the primary market that is happening at the same time, at least domestic reinsurer indicates that they have ensured that the prices go up or the reinsurance cost has gone up in the fire segment. So, from the primary sales perspective, what would be the growth outlook? Do you see price correction happening? What would be the impact on growth? On loss ratio, what would be the impact

because the reinsurer also has indicated that the reinsurance price has gone up? Your comments on that please?

We have seen the reinsurance market globally hardening and maybe it's going up and I think all insurers have paid substantial increase in their reinsurance premium outgoes in the current year. And so, yes, this will have an impact on the kind of discounts that many of the insurers were giving to their clients. But New India has actually moved to a risk-basedoccupanty specific pricing even in property category. We have been grouping them into risk category based on our-experience. And even earlier, we had not shied away from charging rates significantly higher than what IID rates were, the rest of the market was charging wherever we felt that it was warranted-due-to-the adverse claimc experiencein a particular segment or a cuih segment..So, this underwriting philosophy will continue and wherever the claims experience is favorable, we will be able to offer better terms and prices; where it is unfavorable, we will have to also harden our rate in line with the reinsurance market.

Moderator: The next question is from the line of Rishikesh from Robo Capital. Please go ahead.

Rishikesh: Sir, my question is regarding what is our targeted combined ratio for FY24as well as for FY25? Arjun:

Neerja Kapur:

Neerja Kapur: We are targeting a reduction in combined ratio by at least 5 percentage points every year. This year, 5% and the next year also further 5%, of course depending upon what I-say-here would depend on the market realities and situation. But that that is our target for this year and the next year.

And ma'am, regarding the ROE point, so when we say we are looking to increase the ROE, could you like quantify at what targeted ROEs do we have in like next 2-3 years or anything?

Neerja Kapur: Our CFO, Mr. Titus, will take that question.

Titus Francis: As of now, we understand that ROE is slightly on the lower side. So going forward, we aim to be in the double digits. So slowly, we aim to get there 1 step at a time. So, in fact, our first step is that we should bring it up to at least 10 and then bring it to 12 and so on. So initially, we will try to slowly get to 10.

Moderator: The next question is from the line of Vinod Aggarwal, an individual investor. Please go ahead.

Vinod Aggarwal:

Neerja Kapur: Our bancassurance business is only about 1% of our total distribution. How do you plan to grow this? And our margin guidance for the next fiscal year, where do you see the growth coming from, which segment, fire or OD, vehicle insurance, which segments would the margin guidance come from for the next fiscal year?

I'll answer your first question. Regarding bancassurance, yes, the business that we get from the bancassurance segment is very, very nominal. It's around 1% and we are making efforts to improve this particular segment. We have current bancassurance tie ups with a few large banks like Canada Bank, I DBI, Central Bank, Punjab & Sind Bank and Axis bank. Civil. Very recently, the tie up with Axis Bank. And we also have the large number of cooperative banks which are regional centers. Also in our recent restructuring, we have carved out a lot of positions for strengthening our marketing for the bancassurance sector and we expect that this particular segment will grow quite healthily in this particular year and going forward in the coming years also.

Your second question was, which line of business we expect growth from? We are seeing good growth coming from the health and the motor segments. These are the 2 dominant sectors currently in the insurance sector and we will also be focusing on these. Along with the other lines, we are also focusing on our property, casualty sector, liability sector. But these 2 are the ones which have the predominant growth potential.

Vinod Aggarwal: One more question, ma'am. What is the contribution from the corporate client and

the retail

client percentage wise of the total premium that we receive?

Neerja Kapur: Around 40% from our corporate sector and about 60% is from the retail segment.

Moderator: The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh:

Neerja Kapur: Firstly, in the motor segment, the expense of management has been implemented from 1st of April. So, have we started seeing any change in market conduct already in terms of market payout or we hope that we will see those in future?

Right now, no, we are not seeing any particular impact of EOM on this segment because IR DAI is in the process of consulting various insurers and bringing in certain guidelines in this particular segment. A lot of discussions have happened with the insurers, with the intermediaries and with the MISPs and with the dealers. So, the regulator has to take the final call. We are awaiting final guidelines on this.

Nidhesh: Secondly, our motor own damage loss ratio for the last year is 110% and combined ratio will be higher than that. So how are we looking at this segment? And if we are talking about increasing growth in this segment, will not that be profit deteriorating.

Neerja Kapur:

So, I did mention earlier that the motor OD segment, the own damage segment, yes, it is above

100% and we are taking steps to bring down the ICR there. But we do not look at this motor OD in isolation. We look at the entire motor book holistically, a combination of both the own damage as well as a third-party premium. For instance, a new vehicle, when it is a new private car, for instance, when it is purchased by anybody and they take the insurance, they pay, 1-year OD premium and 3 years TP premium at one go. So that third-party premium is the one which is actually the cushion for the OD segment because they're getting the 3 years third party premium at one go and that acts as a buffer for the Edwards claim ratio of OD. Of course, we're trying to improve the ICR and the ID segment and we are taking a lot of steps there.
And what will be the quantum of advanced premium as of March 23?
It is Rs. 907 crore.
And lastly, in the in the corporate lines of business, I think you have also briefly mentioned about the insurance rate hardening and market pricing changing. So how do you see the impact on the profitability in the corporate lines in Fy24 versus FY23?
Nidhesh:
Neerja Kapur:
Nidhesh:
Titus Francis: Can you repeat the question, please?
Nidhesh: How do you see the profitability of commercial lines moving in FY24 versus FY23 given that reinsurance rates are hardening and pricing methodology is also changing?
Neerja Kapur:
Nidhesh:
Titus Francis: So, what we do see is at least our corporate clients, not just the corporate clients, the entire sub-segments of retail clients as well as the difference occupancies. But predominantly, the corporate clients, the entire portfolio has looked at in a holistic manner and their claims experience are not just 1 year is taken into consideration because you could have 1 bad year and you could have 5 good years and 1 bad year or 10 good years and 1 bad year. So, we look at the claims experience of the customer for a certain period, 5 to 7 years or 7 to 10 years in case of larger clients. And based on that experience, the pricing is done. Of course, the reinsurance price will have an impact for a very large corporate client, but then we have to remember that the net retention of New India is also quite high. So, we take both into consideration, the net retention, our own capacity as well as the reinsurance pricing for what exceeds our capacity. And then the combined rate is worked out for the client.
And lastly, have you done any restructuring in terms of operating cost, employee cost, because I think in last couple of years, we have seen sharp increase in pension. Because of pension, we have seen sharp increase in employee costs in one

off the year. So are we planning any
restructuring there?
The restructuring is happening in the offices, in the sense that the 3 tier or the 4th tier structure has been made as a 3 tier structure. So in that sense, there is a restructuring happening, but in the sense of the employee cost, in fact, there is a lot of retirement every year. So you will find that going forward there this pension cost will come down to a great extent. So as of now, we feel that we may not be having such a great impact on the salary cost as compared to earlier years.
Moderator: The next question is from the line of Mahendra Chauhan from Capital Market. Please go ahead.
Mahendra Chauhan: First of all, my first question is historically, the crop division has been a volatile segment. What is the management strategy going forward?
Neerja Kapur: So, the crop sector, like you have said, it is a very volatile segment and this is one in our sector which we had stepped into sometime in 2015, '16 and '17, '18, and we actually burnt our fingers there. So, we took the decision since we are not a specialist in this particular sector, we do not have adequate experience in the sector, so we decided to leave it to the expert, which is Agricultural Corporation of India. And so, we are right now not on our own venturing into this sector. If there is any good coinsurance coming from AIC, we will probably consider it last year itself, our crop segment premium has been reduced by nearly Rs. 900 crore because of the decision we have taken to not participate in the segment for last year.
Mahendra Chauhan: The second question is, what is the quantum of gains that you have booked on your equity investments? Realized gains that you have booked in FY23?
Titus Francis: This is Titus here. So, we have booked Rs. 6,105 crore as profit on sale on equity current year.
Mahendra Chauhan: The third question being the incurred claim ratio for every segment except the motor has seen an improvement. Could you please throw some light on why there has been an increase in ICR?
Neerja Kapur: You're talking of increase in ICR in the motor segment, right?
Mahendra Chauhan: Yes.
Neerja Kapur: So yes, we have seen a healthy improvement in all the sectors. Motor own damage was one particular segment where like we mentioned till last year, we did not have the facility or the advantage of making any expenses of management payment and so like I mentioned, the level playing field has only happened from this financial year. Till last year, we were not in an advantageous position and we were not able to despite good pricing, despite reaching out to

the entirely different corners of the country and reaching out to different dealers across the country, we were not able to get the best class of business. And to that extent, we did get a little more of standalone OD premium, that is own damage premium and we did not get the right mix of third party as well as own damaged premium. So, we are seeing a correction this year and that was the main reason why our claim ratio was it was in the last year as regards motor on damage.

The next question is from the line of Arjun from Avendus Spark. Please go ahead.

Ma'am, can you give the split between domestic and overseas combined ratio?

Yes. Just give me a second. So globally, our combined ratio was 117.15, also with the Indian was 118.03 and from the foreign segment, our offices in the foreign segment it was 108.8. Moderator:

Arjun:

Neerja Kapur:

Arjun:

Titus Francis:

Moderator: With respect to wage revision, has it been completely observed or there will be subsequent any other recognition that we would be doing this year?

Now actually, we have already observed the entire wage revision impact in current year. So there won't be any additional impact in this year.

The next question is from the line of Kaushik Bajaj, an individual investor. Please go ahead.

Kaushik Bajaj:

Neerja Kapur: My first qu

estion is, what are the management's plan to further expand its global footprint? Are you planning to open any international branches going forward?

Thanks for the question. And we have a number of branches and offices in nearly 25 countries across the globe. And as of now, we are trying to strengthen each and every office of our New India, in whichever country it is. We have to remember that in each country, we have to not only comply with the regulations of IRDAI since it's New India Assurance Company. We also have to comply with the regulations of the foreign country, which can be quite a tough task. So, at present, we may not be thinking of opening any new branches maybe at least a year or 2, but we are strengthening all our branches across the globe.

Kaushik Bajaj: And my second question is, could you please provide the business contribution between corporate and retail clients?

Neerja Kapur:

Kaushik Bajaj:

Neerja Kapur: I think we already mentioned this earlier. Our corporate business segment is about 40% of our overall premium and 60% comes from the retail segment.

And my last question is, where do you anticipate future potential in your business segment and what plan do you have in place to capitalize on it?

We expect to grow heavily in each of our line of business, but we expect since the industrial growth is happening in the motor and health segments, we expect these to grow more. Also, we are expecting a growth in the property and casualty segment because of the infrastructure development which is happening in India and the push which the Government of India is giving in these segments, so we expect to see a growth in all these. We would expect a growth of about 10% to 12% in this financial year.

Moderator: Next question is from the line of Rahul, an individual investor. Please go ahead.

Rahul: My question is that we are saying that we are the market leaders in non-life segment, but it's been observed that from last 5 years the percentage has dipped. So, as compared to other PSUs, the dip percentage for New India assurance was very less. Still, our market share has not increased. And with more and more competition coming up, especially IRDAI is giving license to other insurance companies also. So, what steps we are taking to make sure that we remain on top and we do not lose our business, especially to the private players?

Neerja Kapur: Our focus has been and will be always not just to grow the top line, but also to grow the bottom line. So, we cannot grow on the top line at the cost of the bottom line, that has been our philosophy. And last year, I mentioned in my opening remarks, we took a conscious decision to let go off some certain segments and sub-segments where we were finding that the claim ratio was highly adverse. For instance, in group medical insurance, we found that some of the policies over a period of quite a few years, they were giving us extremely high claim ratio. So, we decided to let go off those. So that itself was a premium of about Rs. 800 crore, which we let go. That led us to actually show an improvement in the performance of the health segment. Also, we mentioned earlier that the crop segment was also not performing very well as far as New India's performance was going. So, that is another segment about Rs. 900 crore, which we had consciously taken a decision not to renew. There was another segment of Pradhan Mantri Yojana about nearly Rs. 800 crore premium, which had covered the COVID warriors, that was a special policy which we had issued through the Government of India to cover all the COVID warriors across the country. So, that was another policy post the pandemic, which did not get renewed. So, if you take these 3 last segments, you will see that that is one of the reasons why

our growth was not substantial last year because of these 3 segments, which we consciously took a decision not to continue.
Rahul:
Neerja Kapur:
Rahul: Note

d. Just want to add 1 observation here. So, what we are doing to increase our visibility and to penetrate more, especially the youth? Because the youth, they don't care more about New India Assurance, NIACL. Only limited, if I ask 10 people, 10 youth, only 2 or 3 people are aware of who is NIACL. What are we doing to increase our visibility so that everybody, even a child or even a teenager knows that yes, there is a company called NIACL and I need to buy insurance from this company?
So, actually regarding visibility, this is something which in the last few years due to COVID, I think that that was one of the reasons there was not much scope for doing any publicity. But post that we are we are coming out with quite a few advertisements, et cetera, and we're trying to focus on the segments, the publicity segments, which will give us wider publicity at less expense. So, we are focusing more on the social media segments and we are also tryingto focus on other for instance radios and other media, which would give us more visibility at more competitive pricing also. And in this regard actually, we are tying up with the GI Council as a General Insurance Council where all the insurers put together will be coming out with combined advertisements to inform about the sector, to give more details about the sector and to generally create insurance and awareness across the country.
Before I wrap up, one last question that on 1st of August, Bima Sugam is launching, correct? So how you see that that specific application would be a game changer in the insurance industry and how much impact or how much benefit NIACL will be?
Neerja Kapur: Definitely, it will be a game changer and that is something which the regulator is promoting in a big way. We have been one of the first insurers to give our assent to be part of the promoters in Bima Sugam, and we will be actively participating in that. It will be a platform where various participants will be on the same platform, the insured, the insurers, the TPAs, the surveyors. So, everyone will be on the same platform and the definitely it will afford a lot of visibility as well as penetration to all those who are participating on the platform.
Moderator: Next question is from the line of Rishikesh from Robo Capital. Please go ahead.
Rishikesh:
Titus Francis:
Neerja Kapur:
Rishikesh:
Neerja Kapur:
Rishikesh:
Neerja Kapur:
Moderator: My question is that since we have absorbed much of the wage provisions, so there will be no wage arrears in FY24. So, do we expect a significant jump in profitability in FY24 given a normal situation?
Though we had the wage arrears impact in FY23, but we could absorb the impact. So, we don't foresee any further high impact in FY24. So, although we may not have great profits, but we expect to have normal profits in '24, so which we aim to have little more than the current year.
I will just add to what Mr. Titus has mentioned that it was our endeavor that we do not start the next financial year with carry forward from the previous year, additional amount that we need to provide for in our books at the very beginning of the new financial year. So, that is the reason why we decided to take the entire cost, entire burden of the Rs. 3,000 crore on wage revisions and pensions last year itself.
Also ma'am, with the regarding the retail health, there's one thing mentioned in the PPT that the price increases are happening after a gap of 6 years. So, could you like, pinpoint the effective date for the price increase or like from which month the price increases have happened?
So, it's from 1st July, the price increase will happen for the renewals. and new ones already started, but for the renewals, we have to give notice to our clients, that is why for the renewals, it will be from 1st July, whereas for new policies, it has already started from 1st of April.
And can you like give any quantum for the price increase if possible?
It ra

nges from 20% to 35%, averaging around 25% to 30%.
As there are no further questions, I now hand the conference over to Ms. Neerja Kapur for closing comments. Thank you, and over to you, ma'am.
Neerja Kapur: Thank you, Faizan. And thank you, Gaurav, from Concept IR for organizing this conference call.
I would like to thank all the participants again for attending our call, taking time out from their very busy schedule and going through our presentation and asking questions. If you have any further queries, I would request all of you to please get in touch with us. We would be very happy to address them all. Thank you once again.

Titus Francis: Thank you.
Moderator: Thank you, Ms. Neerja Kapur, Chairman and Managing Director. On behalf of the The New India Assurance Company Limited, we appreciate your participation in today's earnings call. If you have any further questions, please send an e-mail to francis.titus@newindia.co.in . Thank you for joining us and have a great day. You may kindly disconnect your lines.

Call: Jun 2023

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To, 09th June, 2023
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G Block, Bandra-Kurla Complex
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Scrip Code: (BSE - 540769/NSE - NIACL)
Dear Sir/ Madam,
Sub: Transcript of the Conference Call held on 05th June 2023
With reference to our letter dated June 01, 2023, intimating you about the conference call with Analysts/Investors held on June 05, 2023, please find attached the transcript of the aforesaid conference call.
You are requested to kindly take the same on records.
Thanking You
Yours faithfully
For The New India Assurance Company Limited
Jayashree Nair
Company Secretary & Chief Compliance Officer
The New India Assurance Company Limited
Q4 & FY23 Earnings Conference Call
June 5, 2023
Management:
• Ms. Neerja Kapur, Chairman and Managing Director
• Mr. Titus Francis, Director and GM, CFO
The New India Assurance Company Limited
Q4 & FY23 Earnings Conference Call
June 5, 2023
Moderator:
Neerja Kapur: Ladies and gentlemen, thank you for joining us today for The New India Assurance Company Limited Earnings call for Q4 & FY23. I'm Faizan, your moderator for this call. With us today are Ms. Neerja Kapur, Chairman and Managing Director, Mr. Titus Francis, Director and GM, CFO; and other members of the executive team. Before we begin, I would like to remind everyone that today's discussion may contain forward-looking statements based on our current expectations. These statements are subject to risks and uncertainties that could cause actual results to differ materially. Please refer to our latest exchange filing for more information on these risks. At this moment, all participants are in the listen only mode. Later, we will conduct a question & answer session. At that time, if you have a question, please press "*" and "1" on your telephone keypad. Please note that this conference is being recorded. I would now like to hand over the floor to Ms. Neerja Kapur for opening remarks. Thank you, and over to you, madam.
A very good afternoon to all, and thank you for joining us today for the earnings call of the The New India Assurance Company Limited (New India) to discuss our financial results for the financial year. '22, '2322 23. I am Neerja Kapur, Chairperson and Managing Director of the company, would like to begin by first of all expressing my gratitude to all our valued shareholders, analysts and investors for your continued support and interest in our organization.
We have all been witness to the remarkable growth in the Indian insurance sector over the past few years, thanks to the country's growing affluent, strong economic growth and an expanding middle class leading to rising levels of disposable income, young population with high digital

penetration as well as dynamic regulatory developments and support of the government. The sector expanded at a compound annual growth rate of 17% over the previous two decades. And it is forecast that premium volumes will grow by an average annual rate of 12% to 14% per annum over the next decade. At this rate, India will be the 6th largest insurance market in the world by 2032, ahead of Germany, Canada, Italy and South Korea.
India has made improvements, but in terms of insurance penetration and density, it still has a long way to go. At 1% non-life insurance penetration in India last year was significantly below the global average of 3.9% and the protection ga

p as we all know ranges from 35% to 95%
across different lines of business. The Indian Government as well as the regulator are giving utmost priority to formulate appropriate strategies to address this and close the protection gap. IRDAI has implemented a number of regulatory reforms recently in the last 1 year with the goal of increasing penetration. These reforms aim to simplify insurance products, to facilitate product innovation, to lower the premiums and strengthen distribution channels. Focus is also on facilitating ease of business and moving from a-rule-basedi44€44450-yregulations to a principle-based-i4444444-yregulations. As per market analysts, it is expected that lead segments of growth would be health, property, casualty, motor and agriculture. These sectors are expected to benefit from the government focus on infrastructure development, increased awareness and the introduction of new products.
Market for health insurance in India is quickly expanding with the rising costs for high quality healthcare, rising income level, longer life expectancy. Post pandemic, people are now more conscious of life uncertainties and unpredictability. As a result, over the past 2 years, there has been a considerable change in the health insurance sector in India. Coming to the performance of New India in this financial year, New India continued to be the market leader with the highest market share of 13.42% in the non-life insurance industry in India. Gross written premium increased by 5.3% for New India as the company pursued its strategy of growth with profitability, which meant that the company had to let go some businesses where the price was inadequate or the terms were unfavorable. This conscious call and efforts taken by the company to weed off loss making accounts of approximately Rs. 800 crore in Group Mediclaim and approximately Rs. 900 crore of crop insurance has resulted in a lower market share in comparison to last year, but set off by a large improvement in the performance of that segment. Profit after tax has increased to Rs. 1,0655 crore in this financial year as compared to a profit after tax of Rs. 164 crore of the previous financial year, an increase of nearly 543%. aUnderwriting results were negatively impacted in the fourth quarter to an extent of Rs. 224 crore due to adverse development of claims pertaining to the previous years in the crop line of business. Some tax CAT losses in foreign operations in the fourth quarter also negatively impacted the results with the full year results getting adversely impacted by Rs. 107 crore due to these losses. An-d4The company's guarded approach to Group Mediclaim will continue. Strict implementations of the guidelines framed by the company has enabled the ICR of Group Mediclaim to reduce to 1205% in financial year '23 from a very high of 120% in financial year '22. The company has rolled out price increase in retail health also after many years, and the company's focus is on increasing its footprint in the retail health.
After the muted performance, we are also seeing good growth in the motor portfolio once again after many years and steps are being taken to reduce loss ratio in this segment also. Increase in repo rate augurs well for New India as incremental deployment of funds in fixed income is happening at around 7% plus. In financial year '23, the company absorbed the entire impact of the wage arrears and additional provisioning on account of employee benefits to the extent of Rs. 3,445 crore. Despite this, the fair value change continues to remain in excess of Rs. 198000 crore as of financial year '23.
In financial year 24, we aim to grow by 12% or in line with the industry growth with targeted reduction of 4% to 5% in the combined ratio. We have continued to enhance our product offerings and expand our distribution channels to better serve our customers. Some of the new product offerings which you have seen in the mar

ket in the last few months are my cyber
insurance, surety bonds, drone insurance, pay as you drive under the motor line of business, the credit card guardpolicy covering critical illness. Our strong relationships with agents, brokers and corporate clients have enabled us to deepen our market penetration and to capitalize on emerging opportunities.
Additionally, we have placed a strong emphasis on digital transformation and technological innovation, enabling us to streamline processes, improve customer experience and to drive operational efficiency. These initiatives have positioned us well for the future, ensuring that we
Titus Francis: remain agile and adaptive in an ever-evolving industry landscape. I would like to take this opportunity to express my appreciation for the unwavering dedication and hard work of our employees and our dedicated force of agents. Despite a restructuring of the corporate structure, their commitment and professionalism have been instrumental in accomplishments

and have played a very crucial role in delivering value to our stakeholders.
Looking ahead, we remain cautiously optimistic about the prospects of our industry dnd-our ability to navigate the challenges that lie ahead. We will continue to focus on strengthening our core business, exploring new growth avenues and further enhancing our customer centric approach. I am confident that there with our strong fundamental, dedicated team and strategic vision, New India is well positioned to achieve sustainable growth and generate longterm value for our shareholders.
Before I conclude, I would like to express our commitment to transparency and open communication. We are here to address any questions or concerns you may have during the question & answer session that follows our financial presentation. Once again, thank you for your participation in today-'s call. I will now hand over to our Chief Financial Officer, Mr. Titus, to present the financial highlights of this quarter and this year.
Good afternoon to all. Thank you for joining the call. 1 2_,rn Titus Francis here. I would like to briefly present the company's overview and the financial results of the company for the year ended March 1'23. So, we are th e largest general insurance company in India with an established brand and expansive multi-channel distribution network and a strong international presence.
We are #1 in India in terms of net-worth, domestic gross direct premium, highest number of offices and maximum number of claims settled. We are into the 104t h year of operations. We have
already issued 30 million policies in FY22, '23. We have 1800 offices plus offices in India and we have a presence in 26 countries through international branches, agency offices, subsidiaries including a box at Lloyd's London.
We are the market leaders. We continue to be market leaders with a 13.42% of the domestic share in the market. We are leaders in almost all the lines of business, fire, marine, engineering, motor health, including PA, as well as aviation. As already mentioned, we are the largest non-life general insurer in India with the highest market share of 13.42%. We are consistent in the market leaders in terms of network, domestic gross direct premium and we are multi-product, multi-channel and having a global presence as mentioned in 26 countries. We have a diverse product portfolio and a multi-channel distribution, dominant market position, consistent market leadership and growth, and we strive to be excellent in customer service and technology.
Coming to the key highlights, our gross return premium global, we have completed Rs. 38,791 crore against Rs. 36,835 crore with an accretion of 5.31%. Though we were lower than the market, but it was a conscious call to grow with which can be seen in the incurred claims where the last year's incurred claims was Rs. 28,750 crore, this year it is Rs. 28,909 crore with a very small increase of 0.55%. Co

mmission witnessed an increase of 5%. Expenses Rs. 4,300 crore
against last year's Rs. 4,114 crore, an increase of 7%.
Investment income has increased to Rs. 10,442 crore from Rs. 6,666 crore. This was to take care partly for the wage arrears. So, our profit before tax is Rs. 1,245 crore against Rs. 160 crore last year, 678% accretion and a profit after tax of Rs. 1,055 crore against Rs. 164 crore, 543.29% accretion. Our incurred claim ratio because of the conscious efforts to get the correct price, the claims ratio has come down to 95.59% against 99.46% last year. Commission ratio has more or less been the same at 7.7%. Expense ratio is 13.82% against 13.49% earlier, a-combined ratio or saw a 3% drop from 120.66% to 117.15%.
If you look at our business mix, most of our business is coming from the health and PA segment with a 45.38% ratio. Motor will be around 26%, fire 16.60%, and marine is 2.72% and others 8.66%. If you look at our channel mix, we have brokers contributing 33%, direct 30%, agency 28%, dealer 8% and bancassurance 1%. We have adequately provided and this can be seen in the movement in technical reserves and we have as on FY23, Rs. 47,547 crore. If you look at our gross return written premium impact against Rs. 36,835 crore, we have completed Rs. 38,791 crore, an impact of Rs. 164 crore last year and impact this year of Rs. 1,055 crore.
Coming to our key ratios, our incurred claimsratio have come down from 99.46% to 95.59%. Our commission is almost the same at 7.75% against 7.70%, and our expense ratio at 13.82% against 13.49%. As already mentioned, our combined ratio has come down by 3% to 117.15% from
120.66%. Our solvency has improved from 1.66 to 1.87 and ROE has also improved to 5.53% from 1.22%. We are striving to get to double digit figures.
And coming to the balance sheet highlights, the net worth is Rs. 19,919 crore against Rs. 18,232 crore. Net worth including fair value is Rs. 37,957 crore against Rs. 38,191 crore. General reserves at Rs. 15,791 crore against Rs. 14,785 crore, and an investment assets at market value Rs. 86,111 against Rs. 83,372crore. Solvency ef-is 1.87 against 1.66.
Coming to the segment information. We will see that we have grown in all the lines of business except in others, basically because of the crop line of business. Last year, we had aR underwritten almost Rs. 900 crore, this year it was very insignificant amount. The accretion is 5.31% so we have completed Rs. 38,791 against Rs. 36,835 last year. As already mentioned,

our ICR has improved from 99.46% to 95.49% and basically because of health and PA ICR coming down from 120.59% to 103.33%.
Our future strategy is increasing the return on equity and maintaining the increased market share and leverage benefits of economies of scale driven by growth, rationalization of operating offices, maintaining healthy solvency margin and increasing digital penetration. We also aim to leverage technology to drive customer satisfaction, profitability and growth.
Madam has already given her comments in the opening address. So, we are ready to take ea-Asouestions. Thank you very much.
Moderator: Thank you very much. We will now begin the question & answer session. The first question is from the line of Uday, an investor. Please go ahead.
Uday: I jtist have one question. How do you see the growth and competiiW intensity in the motor segment and what is your plan in that sense?
Neeria Karim This is Neerja here. I'll take this question. Like, I mentioned in my opening remarks that we are seeing a growth in the motor segment after quite a few years and we are seeing good growth in the region of nearly about 15% to 17% and we expect this growth to continue looking at the economy doing well and the motor segment as a whole doing very well.
And what about the competitive in terms of pricing? How do you feel the claims ratio and combined ratio will move in this segment? Uday:
Neerja Kap

ur: So, this segment, traditionally, the losses have been quite high in the motor OD, that is own damaged segment. Like you know, there are 2 segments in motor, there's an OD segment and the TP segment, and the OD segment has t+aditionally-19seen high claim segment usually-offset by the third-party segment, the premium coming from the third-party segment. So, a lot of competition happens here. Overall, our pricing is extremely competitive. As far as New India is concerned, our pricing is very, very competitive and we are in line with the market, but we have found that last year, the claims experience has been adverse due to some increase in the standalone OD segment. So, we are taking steps to take corrective action there, and in this particular year, we are having a segmented discount structure and segmented pricing structure based on the claims experience in individual regions and that will be dynamic process which will be carefully graded throughout the year, which will be watched, analyzed and graded throughout the year.
Moderator: The next question is from the line of Arjun from Avendus Spark. Please go ahead.
Arjun:
Madam, continuing with the previous question, post expense of management being implemented from this year onwards, especially in the motor OD segment, do you believe discounting, etcetera, has normalized? Has it helped in normalization of pricing in OD segment? That is no. 1? In line with this, does this expense of management give you an advantage to pay more to your retail arms like health, etcetera, where you also had mentioned would be driver for growth in the coming years. So probably till now, there was a 15% commission on retail health book. Going ahead would you be aggressive in retail health? Does it give you an advantage? These are my first 2 questions. I'll follow up.
Neerja Kapur: So, thank you again. I'll take this question. So, when it comes to EOM, we have actually publicly thanked the regulator for bringing a level playing field to the entire insurance industry by just one stroke of introducing the new expenses of management (regulations). So, as you are aware, last year, being a PSU, a public sector undertaking, we were not in a position to pay anything other than the regulatorsily allowed commission. And so, we did face a disadvantage in the sense that even though we were offering one of the best prices in the market, the attraction was for pushing the offers made by other insurers who were able to offer differential incentives to the intermediaries. But going forward from this April, since introduction of expenses of management, New India is finding that it brings us a level playing field in the markets. And since our total expense of management, if you see what Titus had presented in the financial year results are total combined expenses of management are in the range of 21.20%. So that gives us substantial ground for incentivizing our intermediaries to bring us the healthy proportion of the motor business as also the health business and which will we expect improve overall incurred claim ratio. Of course, the ICR is higher and when the combined ratio of the organization is high, it will put the brakes in making payments for additional expenses of management, but we do expect that giving the attractive expenses of management in the right segments will attract the right kind of business also, which will improve the ICR and overall improve the combined. I hope that answers your question.
Yes, madam, very much. With respect to fire, there has been a price correction in the primary market that is happening at the same time, at least domestic reinsurer indicates that they have ensured that the prices go up or the reinsurance cost has gone up in the fire segment. So, from the primary sales perspective, what would be the growth outlook? Do you see price correction happening? What would be the impact on growth? On loss ratio, what would be the impact

because the reinsurer also has indicated that the reinsurance price has gone up? Your comments on that please?
We have seen the reinsurance market globally hardening and maybe it's going up and I think all insurers have paid substantial increase in their reinsurance premium outgoes in the current year. And so, yes, this will have an impact on the kind of discounts that many of the insurers were giving to their clients. But New India has actually moved to a risk-basedoccupanty specific pricing even in property category. We have been grouping them into risk category based on our-experience. And even earlier, we had not shied away from charging rates significantly higher than what IID rates were, the rest of the market was charging wherever we felt that it was warranted-due-to-the adverse claimc experiencein a particular segment or a cuih segment..So, this underwriting philosophy will continue and wherever the claims experience is favorable, we will be able to offer better terms and prices; where it is unfavorable, we will have to also harden our rate in line with the reinsurance market.
Moderator: The next question is from the line of Rishikesh from Robo Capital. Please go ahead.
Rishikesh: Sir, my question is regarding what is our targeted combined ratio for FY24as well as for FY25? Arjun:
Neerja Kapur:
Neerja Kapur: We are targeting a reduction in combined ratio by at least 5 percentage points every year. This year, 5% and the next year also further 5%, of course depending upon what I-say-here would depend on the market realities and situation. But that that is our target for this year and the next year.
And ma'am, regarding the ROE point, so when we say we are looking to increase the ROE, could you like quantify at what targeted ROEs do we have in like next 2-3 years or anything?
Neerja Kapur: Our CFO, Mr. Titus, will take that question.
Titus Francis: As of now, we understand that ROE is slightly on the lower side. So going forward, we aim to be in the double digits. So slowly, we aim to get there 1 step at a time. So, in fact, our first step is that we should bring it up to at least 10 and then bring it to 12 and so on. So initially, we will try to slowly get to 10.
Moderator: The next question is from the line of Vinod Aggarwal, an individual investor. Please go ahead.
Vinod Aggarwal:
Neerja Kapur: Our bancassurance business is only about 1% of our total distribution. How do you plan to grow this? And our margin guidance for the next fiscal year, where do you see the growth coming from, which segment, fire or OD, vehicle insurance, which segments would the margin guidance come from for the next fiscal year?
I'll answer your first question. Regarding bancassurance, yes, the business that we get from the bancassurance segment is very, very nominal. It's around 1% and we are making efforts to improve this particular segment. We have current bancassurance tie ups with a few large banks like Canada Bank, I DBI, Central Bank, Punjab & Sind Bank and Axis bank. Civil. Very recently, the tie up with Axis Bank. And we also have the large number of cooperative banks which are regional centers. Also in our recent restructuring, we have carved out a lot of positions for strengthening our marketing for the bancassurance sector and we expect that this particular segment will grow quite healthily in this particular year and going forward in the coming years also.
Your second question was, which line of business we expect growth from? We are seeing good growth coming from the health and the motor segments. These are the 2 dominant sectors currently in the insurance sector and we will also be focusing on these. Along with the other lines, we are also focusing on our property, casualty sector, liability sector. But these 2 are the ones which have the predominant growth potential.
Vinod Aggarwal: One more question, ma'am. What is the contribution from the corporate client and

the retail
client percentage wise of the total premium that we receive?
Neerja Kapur: Around 40% from our corporate sector and about 60% is from the retail segment.
Moderator: The next question is from the line of Nidhesh from lnvestec. Please go ahead.
Nidhesh:
Neerja Kapur: Firstly, in the motor segment, the expense of management has been implemented from 1st of April. So, have we started seeing any change in market conduct already in terms of market payout or we hope that we will see those in future?
Right now, no, we are not seeing any particular impact of EOM on this segment because IR DAI is in the process of consulting various insurers and bringing in certain guidelines in this particular segment. A lot of discussions have happened with the insurers, with the intermediaries and with the MISPs and with the dealers. So, the regulator has to take the final call. We are awaiting final guidelines on this.
Nidhesh: Secondly, our motor own damage loss ratio for the last year is 110% and combined ratio will be higher than that. So how are we looking at this segment? And if we are talking about increasing growth in this segment, will not that be profit deteriorating.
Neerja Kapur:
So, I did mention earlier that the motor OD segment, the own damage segment, yes, it is above

100% and we are taking steps to bring down the ICR there. But we do not look at this motor OD in isolation. We look at the entire motor book holistically, a combination of both the own damage as well as a third-party premium. For instance, a new vehicle, when it is a new private car, for instance, when it is purchased by anybody and they take the insurance, they pay, 1-year OD premium and 3 years TP premium at one go. So that third-party premium is the one which is actually the cushion for the OD segment because they're getting the 3 years third party premium at one go and that acts as a buffer for the Edwards claim ratio of OD. Of course, we're trying to improve the ICR and the ID segment and we are taking a lot of steps there.
And what will be the quantum of advanced premium as of March 23?
It is Rs. 907 crore.
And lastly, in the in the corporate lines of business, I think you have also briefly mentioned about the insurance rate hardening and market pricing changing. So how do you see the impact on the profitability in the corporate lines in Fy24 versus FY23?
Nidhesh:
Neerja Kapur:
Nidhesh:
Titus Francis: Can you repeat the question, please?
Nidhesh: How do you see the profitability of commercial lines moving in FY24 versus FY23 given that reinsurance rates are hardening and pricing methodology is also changing?
Neerja Kapur:
Nidhesh:
Titus Francis: So, what we do see is at least our corporate clients, not just the corporate clients, the entire sub-segments of retail clients as well as the difference occupancies. But predominantly, the corporate clients, the entire portfolio has looked at in a holistic manner and their claims experience are not just 1 year is taken into consideration because you could have 1 bad year and you could have 5 good years and 1 bad year or 10 good years and 1 bad year. So, we look at the claims experience of the customer for a certain period, 5 to 7 years or 7 to 10 years in case of larger clients. And based on that experience, the pricing is done. Of course, the reinsurance price will have an impact for a very large corporate client, but then we have to remember that the net retention of New India is also quite high. So, we take both into consideration, the net retention, our own capacity as well as the reinsurance pricing for what exceeds our capacity. And then the combined rate is worked out for the client.
And lastly, have you done any restructuring in terms of operating cost, employee cost, because I think in last couple of years, we have seen sharp increase in pension. Because of pension, we have seen sharp increase in employee costs in one

off the year. So are we planning any
restructuring there?
The restructuring is happening in the offices, in the sense that the 3 tier or the 4th tier structure has been made as a 3 tier structure. So in that sense, there is a restructuring happening, but in the sense of the employee cost, in fact, there is a lot of retirement every year. So you will find that going forward there this pension cost will come down to a great extent. So as of now, we feel that we may not be having such a great impact on the salary cost as compared to earlier years.
Moderator: The next question is from the line of Mahendra Chauhan from Capital Market. Please go ahead.
Mahendra Chauhan: First of all, my first question is historically, the crop division has been a volatile segment. What is the management strategy going forward?
Neerja Kapur: So, the crop sector, like you have said, it is a very volatile segment and this is one in our sector which we had stepped into sometime in 2015, '16 and '17, '18, and we actually burnt our fingers there. So, we took the decision since we are not a specialist in this particular sector, we do not have adequate experience in the sector, so we decided to leave it to the expert, which is Agricultural Corporation of India. And so, we are right now not on our own venturing into this sector. If there is any good coinsurance coming from AIC, we will probably consider it last year itself, our crop segment premium has been reduced by nearly Rs. 900 crore because of the decision we have taken to not participate in the segment for last year.
Mahendra Chauhan: The second question is, what is the quantum of gains that you have booked on your equity investments? Realized gains that you have booked in FY23?
Titus Francis: This is Titus here. So, we have booked Rs. 6,105 crore as profit on sale on equity current year.
Mahendra Chauhan: The third question being the incurred claim ratio for every segment except the motor has seen an improvement. Could you please throw some light on why there has been an increase in ICR?
Neerja Kapur: You're talking of increase in ICR in the motor segment, right?
Mahendra Chauhan: Yes.
Neerja Kapur: So yes, we have seen a healthy improvement in all the sectors. Motor own damage was one particular segment where like we mentioned till last year, we did not have the facility or the advantage of making any expenses of management payment and so like I mentioned, the level playing field has only happened from this financial year. Till last year, we were not in an advantageous position and we were not able to despite good pricing, despite reaching out to

the entirely different corners of the country and reaching out to different dealers across the country, we were not able to get the best class of business. And to that extent, we did get a little more of standalone OD premium, that is own damage premium and we did not get the right mix of third party as well as own damaged premium. So, we are seeing a correction this year and that was the main reason why our claim ratio was it was in the last year as regards motor on damage.
The next question is from the line of Arjun from Avendus Spark. Please go ahead.
Ma'am, can you give the split between domestic and overseas combined ratio?
Yes. Just give me a second. So globally, our combined ratio was 117.15, also with the Indian was 118.03 and from the foreign segment, our offices in the foreign segment it was 108.8. Moderator:
Arjun:
Neerja Kapur:
Arjun:
Titus Francis:
Moderator: With respect to wage revision, has it been completely observed or there will be subsequent any other recognition that we would be doing this year?
Now actually, we have already observed the entire wage revision impact in current year. So there won't be any additional impact in this year.
The next question is from the line of Kaushik Bajaj, an individual investor. Please go ahead.
Kaushik Bajaj:
Neerja Kapur: My first qu

estion is, what are the management's plan to further expand its global footprint? Are you planning to open any international branches going forward?
Thanks for the question. And we have a number of branches and offices in nearly 25 countries across the globe. And as of now, we are trying to strengthen each and every office of our New India, in whichever country it is. We have to remember that in each country, we have to not only comply with the regulations of IRDAI since it's New India Assurance Company. We also have to comply with the regulations of the foreign country, which can be quite a tough task. So, at present, we may not be thinking of opening any new branches maybe at least a year or 2, but we are strengthening all our branches across the globe.
Kaushik Bajaj: And my second question is, could you please provide the business contribution between corporate and retail clients?
Neerja Kapur:
Kaushik Bajaj:
Neerja Kapur: I think we already mentioned this earlier. Our corporate business segment is about 40% of our overall premium and 60% comes from the retail segment.
And my last question is, where do you anticipate future potential in your business segment and what plan do you have in place to capitalize on it?
We expect to grow heavily in each of our line of business, but we expect since the industrial growth is happening in the motor and health segments, we expect these to grow more. Also, we are expecting a growth in the property and casualty segment because of the infrastructure development which is happening in India and the push which the Government of India is giving in these segments, so we expect to see a growth in all these. We would expect a growth of about 10% to 12% in this financial year.
Moderator: Next question is from the line of Rahul, an individual investor. Please go ahead.
Rahul: My question is that we are saying that we are the market leaders in non-life segment, but it's been observed that from last 5 years the percentage has dipped. So, as compared to other PSUs, the dip percentage for New India assurance was very less. Still, our market share has not increased. And with more and more competition coming up, especially IRDAI is giving license to other insurance companies also. So, what steps we are taking to make sure that we remain on top and we do not lose our business, especially to the private players?
Neerja Kapur: Our focus has been and will be always not just to grow the top line, but also to grow the bottom line. So, we cannot grow on the top line at the cost of the bottom line, that has been our philosophy. And last year, I mentioned in my opening remarks, we took a conscious decision to let go off some certain segments and sub-segments where we were finding that the claim ratio was highly adverse. For instance, in group medical insurance, we found that some of the policies over a period of quite a few years, they were giving us extremely high claim ratio. So, we decided to let go off those. So that itself was a premium of about Rs. 800 crore, which we let go. That led us to actually show an improvement in the performance of the health segment.
Also, we mentioned earlier that the crop segment was also not performing very well as far as New India's performance was going. So, that is another segment about Rs. 900 crore, which we had consciously taken a decision not to renew. There was another segment of Pradhan Mantri Yojana about nearly Rs. 800 crore premium, which had covered the COVID warriors, that was a special policy which we had issued through the Government of India to cover all the COVID warriors across the country. So, that was another policy post the pandemic, which did not get renewed. So, if you take these 3 last segments, you will see that that is one of the reasons why

our growth was not substantial last year because of these 3 segments, which we consciously
took a decision not to continue.
Rahul:
Neerja Kapur:
Rahul: Note

d. Just want to add 1 observation here. So, what we are doing to increase our visibility and to penetrate more, especially the youth? Because the youth, they don't care more about New India Assurance, NIACL. Only limited, if I ask 10 people, 10 youth, only 2 or 3 people are aware of who is NIACL. What are we doing to increase our visibility so that everybody, even a child or even a teenager knows that yes, there is a company called NIACL and I need to buy insurance from this company?
So, actually regarding visibility, this is something which in the last few years due to COVID, I think that that was one of the reasons there was not much scope for doing any publicity. But post that we are we are coming out with quite a few advertisements, et cetera, and we're trying to focus on the segments, the publicity segments, which will give us wider publicity at less expense. So, we are focusing more on the social media segments and we are also tryingto focus on other for instance radios and other media, which would give us more visibility at more competitive pricing also. And in this regard actually, we are tying up with the GI Council as a General Insurance Council where all the insurers put together will be coming out with combined advertisements to inform about the sector, to give more details about the sector and to generally create insurance and awareness across the country.
Before I wrap up, one last question that on 1st of August, Bima Sugam is launching, correct? So how you see that that specific application would be a game changer in the insurance industry and how much impact or how much benefit NIACL will be?
Neerja Kapur: Definitely, it will be a game changer and that is something which the regulator is promoting in a big way. We have been one of the first insurers to give our assent to be part of the promoters in Bima Sugam, and we will be actively participating in that. It will be a platform where various participants will be on the same platform, the insured, the insurers, the TPAs, the surveyors. So, everyone will be on the same platform and the definitely it will afford a lot of visibility as well as penetration to all those who are participating on the platform.
Moderator: Next question is from the line of Rishikesh from Robo Capital. Please go ahead.
Rishikesh:
Titus Francis:
Neerja Kapur:
Rishikesh:
Neerja Kapur:
Rishikesh:
Neerja Kapur:
Moderator: My question is that since we have absorbed much of the wage provisions, so there will be no wage arrears in FY24. So, do we expect a significant jump in profitability in FY24 given a normal situation?
Though we had the wage arrears impact in FY23, but we could absorb the impact. So, we don't foresee any further high impact in FY24. So, although we may not have great profits, but we expect to have normal profits in '24, so which we aim to have little more than the current year.
I will just add to what Mr. Titus has mentioned that it was our endeavor that we do not start the next financial year with carry forward from the previous year, additional amount that we need to provide for in our books at the very beginning of the new financial year. So, that is the reason why we decided to take the entire cost, entire burden of the Rs. 3,000 crore on wage revisions and pensions last year itself.
Also ma'am, with the regarding the retail health, there's one thing mentioned in the PPT that the price increases are happening after a gap of 6 years. So, could you like, pinpoint the effective date for the price increase or like from which month the price increases have happened?
So, it's from 1st July, the price increase will happen for the renewals. and new ones already started, but for the renewals, we have to give notice to our clients, that is why for the renewals, it will be from 1st July, whereas for new policies, it has already started from 1st of April.
And can you like give any quantum for the price increase if possible?
It ra

nges from 20% to 35%, averaging around 25% to 30%.
As there are no further questions, I now hand the conference over to Ms. Neerja Kapur for closing comments. Thank you, and over to you, ma'am.
Neerja Kapur: Thank you, Faizan. And thank you, Gaurav, from Concept IR for organizing this conference call. I would like to thank all the participants again for attending our call, taking time out from their very busy schedule and going through our presentation and asking questions. If you have any further queries, I would request all of you to please get in touch with us. We would be very happy to address them all. Thank you once again.

Titus Francis: Thank you.
Moderator: Thank you, Ms. Neerja Kapur, Chairman and Managing Director. On behalf of the The New India Assurance Company Limited, we appreciate your participation in today's earnings call. If you have any further questions, please send an e-mail to francis.titus@newindia.co.in . Thank you for joining us and have a great day. You may kindly disconnect your lines.

Call: Aug 2023

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Dear Sir/Madam,
Sub: Transcript of the Conference Call held on 21st August 2023
With reference to our letter dated August 18, 2023, intimating you about the conference call with Analysts/Investors held on August 21, 2023, please find attached the transcript of the aforesaid conference call.
You are requested to kindly take the same on records.
Thanking You
Yours faithfully
For The New India Assurance Company Limited
Jayashree Nair
Company Secretary & Chief Compliance Officer
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The New India Insurance Company Limited
21' Aug 2023
Q1FY24 Earnings Conference Call
Management:
• Ms. Neerja Kapur — Chairman & Managing Director
• Mr. Titus Francis, Director, GM and Chief Financial Officer
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The New India Insurance Company Limited
21' Aug 2023
Q1FY24 Earnings Conference Call
Moderator: Good evening, ladies and gentlemen. Thank you for joining us today for The New India Assurance Company Limited Earnings Call for 01 FY24. I'm Nirav, your moderator for this call. We have with us today Ms. Neerja Kapur, Chairman and Managing Director; Mr. Titus Francis, Director, GM and Chief Financial Officer; and other members of the executive team.
Before we begin, I would like to remind everyone that today's discussion may contain forward-looking statements based on our current expectations. These statements are subject to risks and uncertainties that could cause actual results to differ materially. Please refer to our latest exchange filing for more information on these risks. At this moment, all participants are in listen only mode. Later, we will conduct a question & answer session. At that time, if you have a question, please press "*" and "1" on your telephone keypad. Please note that this conference is being recorded. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. I would now like to hand the floor over to Ms. Neerja Kapur for some opening remarks. Thank you, and over to you, madam.
Neerja Kapur: Thank you! A very good evening to all. Thank you very much for joining us today for the earnings

call of the The New India Assurance Company Limited where we will discuss our Quarter 1 financial results for the financial year '23-'24. I am Neerja Kapur, Chairperson and Managirg Director, and along with me is Mr. Titus Francis, Director and GM & CFO.

Firstly, I would like to thank all the participants who have taken time out for attending this con call. I would also like to express my gratitude to our valued shareholders, analysts and investors for your continued support and interest in our organization. There has been remarkable growth in the Indian insurance sector over the past few years. However, India still remains under penetrated with general insurance penetration around 1%. IRDA, the regulator and Government of India, along with the various insurers, are taking many steps to help increase insurance cover, bring down the cost of premium and educate people about the impor

tance of

insurance. Furthermore, we are witnessing increasing disposable income, increasing cost of medical expenses, alongside awareness and willingness of the new generation to opt for a health cover. All this has helped increase the penetration level to some extent. We firmly believe that this will only increase substantially with time.

I'm happy to report that New India is again a market leader with the highest market share in general insurance industry with an industry market share of 16.16% with gross domestic direct premium underwritten at Rs. 10,378 crores for the first quarter.

Coming to the segment wise growth. Motor OD, that's own damage, registered highest growth of 38%, followed by Motor Third Party at about 9%. Health & Personal Accidents showed a growth of 8% and Others, including miscellaneous lines of policies, registered a growth of 7% and Fire at 4%.

New India continues to be conservative and guarded when it comes to Group Mediclaim. Some key ratios which I would like to highlight are as follows. Combined ratio for the quarter was 115.5%. Commission ratio stood at 7.49% as compared to 6.56% in the Quarter 1 of last financial year. Expense ratio reported for the first quarter stands at 11.77%. This was at 12.38% in the corresponding quarter of the last financial year. Solvency ratio improved to 1.85 in the first quarter as compared to 1.72 in the first quarter of last financial year. And ROE stood at 5.26% as compared to 2.58% in the same period last year.

Profit after tax more than doubled to Rs. 260 crores versus Rs. 119 crores for the same quarter last year, registering a growth of 118.5%. Net worth was Rs. 41,255 crores and the investment assets were Rs. 90,152 crores as of 30th of June 2023. The overall ICR for the first quarter stood at 96.19% as compared to 94% of the corresponding period in the last year.

Our focus for the rest of the year is on the following initiatives. Firstly, to focus on the growth of our agency and bancassurance lines. Speedy claim settlement, we will be focusing on improving our turnaround time and ICR, better customer satisfaction and improving the settlement ratio to 95%, which it has been in all the past year. App-based motor claim settlement for smaller value claims and also increasing our digital footprint.

Various new products have been launched recently in health, Aatmanirbhar policy for the physically challenged. We are also working on introducing various add-on covers in the health policy as well as revisions in our top up covers. Miscellaneous products as well as property specific products and add-ons to cater to market demand are in the pipeline. Going forward, our focus will remain on digital initiatives, streamlining processes for increased efficiency and strengthening our sales force.

I would also like to convey to our stakeholders that New India is fundamentally robust and strategically well poised to cater to the general insurance needs of the country, offering the best insurance solutions to its customers. With this, I would request our Director, GM and CFO, Mr. Titus, to present the financials of Q1FY24.

Titus Francis: Good evening to all. Thank you once again for joining the earnings call for the first quarter. We're just going through the investor PPT and the overview of New India. We are the largest general insurance company in India with an established brand and expansive multi-channel distribution network and a strong international presence. We are #1 in India in terms of net worth domestic gross direct premium, highest number of offices, as well as maximum number of claims settled. We have almost 1,900 plus offices in India. We are into the 105th year of operation. We have issued —30 million policies in FY 2023 across all product segments an

d we

have a presence in 25 countries including a box at Lloyds, London.

If we go through the segment wise performance, we are the market leaders in almost all the major segments. We have a market share of 16.16% as of June, which is highest among all the companies. We are leaders in fire, marine, engineering, motor, health, including personal accident and aviation and other miscellaneous.

Our future strategy continues to be increasing the return on equity by maintaining or increasing the market share and leveraging the benefits of economies of scale driven by growth by rationalizing of operating offices, maintaining healthy solvency margin and increasing our digital penetration, leveraging technology to drive customer satisfaction, profitability and growth.

Coming to the business mix of the company; We have fire at 18%, marine at 2%, motor at 22%, Health & PA at 49% and others at 9%. Our distribution mix is direct at 35%, agency 22%, broker 35%, dealer 7% and bancassurance 1%.

The movement in technical reserves: Technical reserves as of June is Rs. 49,508 crores, which shows that the company is adequately provided for. The financial snapshot shows that in Quarter 1 of June'23, we had a PAT of Rs. 260 crores against Rs. 118 crores in last June, it's almost more than double the profit on a Y-o-Y basis. Furthermore, in March '23, we reported a PAT of Rs. 1,055 crores against Rs.. 164 crores PAT as of March '22, signalling a turnaround reporting good profits.

Our key ratios. The incurred claim ratios in Quarter 1 FY24 have slightly increased to 96% from 94.05% last June. Our commission ratio is at 7.49% against 6.56% last June and our expense ratio is 11.77% against 12.32% last June.

Combined ratio is at 115.45. It has come down from 117.15 in March '23. Solvency ratio has also improved from 1.72 in June'22 to 1.85 in June '23 and our ROE has also improved to 5.26% from 2.52% last June. Coming to the segment wise information, we have shown accretion in all the segments and already informed by CMD madam, accretion is more in motor as well as health line of business and we are grown in almost all these lines of business except for motor, which

is flat. And ICR also, there has been a slight increase in the ICR in motor. TP as well as health, overall, almost 2% increase in ICR. And that's the brief of the New India's performance for June '23. Thank you very.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question & answer session. The first question is from the line of Sanket Godha from Avendus Spark. Please go ahead.

Sanket Godha: Sir, my question is largely with respect to the loss ratios. Just wanted to understand though, the motor 00 has grown year-on-year for us, but the loss ratio which is more than 100, is meaningfully very high. And so just wanted to understand chasing growth in such an environment where loss ratios are very high is logically right or do you think this thing will improve as the time will progress? That's on motor OD.

On TP, just wanted to understand suddenly you have sharply increased the loss ratio from 84 to 95. Is it largely because you don't have a price hike? The wage inflation or trade inflation is biting us and that's the reason you have provided more in the Quarter 1 leading to the higher motor TP loss ratio. And lastly, you can throw a little more light on the health also. What we have heard is that the Group health pricing has improved only. Despite price improvement for the industry as a whole, you are seeing a higher loss ratio compared to the last year. So, if you can explain about these 3 products, why the loss ratios are relatively higher, it will be useful and how you look it to happen going ahead?

Neerja Ka pur: Thank you for the question. Neerja here. I will answer all the 3. Regarding Motor OD, yes, the claim ratio, it's

above 100, but if you compare it to the Quarter 1 of last year vis-a-vis the Quarter 1 of this year, there is substantial reduction of 4 points from 116 to 112. We are taking a lot of steps in correcting the ICR going forward. But we have to understand that there has to be a balance between growth as well as the loss ratio.

For a long time, for nearly 3 to 4 years, our motor portfolio, we have not been able to grow substantially in that particular segment. But with the steps that we have taken with our constant endeavours to improve our footprint here, we have been able to show good increase in the motor segment and we believe that this would give better results going forward. A lot of steps are being taken to reduce the ICR and motor OD, particularly price corrections and we now have a very dynamic tool for price correction. Based on the cluster where the claim ratios are higher, we will be taking corrective action there and this is a dynamic process which will be addressed on a daily, weekly and a fortnightly basis.

We are also looking at balancing our portfolio mix so that we have more profitable segments which are underwritten. And yes, this takes a little time because the policies are issued for

Sanket Godha:
Neerja Kapur:
Sanket Godha: Annually - fora year. So, if any correction is done, it takes about 3 to 4 months for that correction to actually result in results which can be seen.
We are looking to underwrite more 2 wheelers which is relatively a profitable segment, and we've also introduced AI based claims assessment which will help to increase the turnaround time for the claim settlement and also will address ICR issues and help to reduce the ICR because the claims will be settled much faster and in a much better way.
Regarding the motor, the query on motor TP, yes, the price not having increased does impact this particular segment and we are seeing that after the COVID case. The pandemic period has been over. The courts are now fully functional and we are seeing slight uptick in the interest rates which are being given in the awards because of the inflationary trends which are there in the country.
So, yes, we are seeing an increase there, but we are again trying to increase our third-party premium and especially in the 4-wheeler, private car - the third-party premium is for 3 years and for 2-wheeler policies, it's for 5 years. So, we are increasing our footprint in the OEM segment in the dealer segment where you get new vehicle policies. Third question was?
So, ma'am, just before getting to that health part, means you're saying that you'll probably gain market share in 2 wheelers and private cars and get to the 5-year and 3-year policy, which means that with the change in expense of management rules, are we seeing a trend that that you are able to penetrate better into dealer channel or OEM channel compared to what it was in the past?
Yes, there has been an improvement in our dealer channel. We have seen an increase. Yes, the dealers' segment, we have seen an increase from 41%, it has gone up to about 47% and the retail channel also proportionately, there's a change.
And my first question was on health. Last year, it was almost 100% loss ratio. It is now 105 and what we believe is that group health has seen a better pricing trend for the industry as a whole compared to what it was last year. So, despite that, there is a deterioration. Just wanted to understand what it is. And lastly given you have delivered almost a combined of 115 in the current quarter, do we expect it to improve and by what percentage or what is your guidance for the full year to combine to be maintained?
Neerja Kapur: So, in the health line of business, we will definitely see an improvement in the days to come, months to come as well as the quarters to come because our retail pricing, which we had incre

ased after a period of nearly 6 years of static pricing that has kicked in from 1st of April for new policies and for renewals, it will be kicking in from the 1st of July. So, definitely that impact

of improvement in the retail pricing is going to have a very positive impact in the coming months and we overall expect the ICR ratio to improve.
Coming to the combined ratio, of course, this is a very forward making a statement and dynamic market becomes extremely difficult. But we are looking at improving our combined ratio, that's the target for this year. Overall, we would be looking at reducing the combined ratio.
Sanket Godha:
Neerja Kapur:
Sanket Godha:
Neerja Kapur:
Sanket Godha: Now what is our weighted average price hike in both renewal and new business what we are taking in retail health?
Its ranges from different age segments. Its average price increase would range between 25% to 30%.
Average both for new and renewal, madam, right?
Yes.
And finally, some data keeping questions, Sir, if you can break down your loss ratio or domestic and overseas and similarly combined ratio domestic and overseas. And finally, if you can give me the quantum of capital gains booked in the current quarter?
Neerja Kapur: What was the final question?
Sanket Godha: The capital gains booked in the current quarter, ma'am.
Titus Francis: Sanket, the capital gains booked till the current quarter is Rs. 753 crores.
Sanket Godha: And sir, can you give the breakup of loss ratio broken down into foreign and domestic and similarly combined ratio, sir?
Titus Francis: Just a minute.
Neerja Kapur: Shall I give?

Titus Francis: Yes.
Neerja Kapur: The Indian was 115 and the foreign was 116, combined ratio.
Sanket Godha: Loss ratio, ma'am?
Neerja Kapur: Loss ratio for the first quarter, right?
Sanket Godha: Yes, first quarter.

Neerja Kapur: The foreign is 85 and Indian was 97.
Moderator: Next question is from line of Amit from Robo Capital. Please go ahead.
Amit: I have 2 questions. My first question is on the ROE. In our stated strategy or goal is to improve ROE. And so, just wanted to understand what are the top 2-3 factors that we are banking on to improve ROE? And subset of that is like do we have internal targets to have a combined ratio below 110 in next say 2-3 years?
Titus Francis: The ROE will basically depend on the ICR as well as the combined ratio. So, we are targeting to bring down the combined ratio and as of now, it is 115. So, by the year end, we have to bring it down to at least to around 110 to increase the ROE. So, this is what we will be aiming at, of course, as Madam said, being a dynamic matter market, we'll have to see how it grow along the way. But our endeavour is to bring down the combined ratio.
Amit: And in terms of ICR, because we have already increased prices on some of the portfolios, so like considering our market share, what is the pricing power that we enjoy like typically a 20%-25% increase that we have done on some of the portfolio, will that lead to far better ICR?
Neerja Kapur: See, in some segments, yes, you're seeing an uptake of about 20% - 25%, but in other segments it is lesser. So, overall, we expect to see an increase in the range of 10% to 12% and yes, definitely there would be an improvement in the ICR because we are focusing on the segments which we are of the view will improve our bottom line and we are still in the process of letting go or shedding of such accounts or such renewals which are impacting the bottom line repeatedly over many, many years.
Amit: And if I can squeeze in one more. Just wanted to understand what is the unrealized capital gains as on today or as of the quarter end?
Titus Francis: It's around Rs. 20,000 crores.
Amit: So, for that, so typica

lly when we look at some of the private sector players, okay, they have far significantly lower unrealized capital gains. So, what is the internal thought process on this? Because significant amount of that essentially has not shown through P&L. Whereas we see private sector where unrealized is significantly lower. So, any thoughts on that current year and going forward.
Titus Francis: Unrealized gains have been built up over a number of years in our case. Private sector, they have a lower number of years, so we have huge legacy investments and this is built up over a large number of years. So, we cannot realize it in one particular year so much. So, as the market progresses, we have to keep on churning the portfolio. So, that's why because of the large

volumes and large number of years, we are in operation, our unrealized gains are higher than the private one.
Amit: But after Rs. 20,000 crores, most of it will be listed, right?
Titus Francis: Most of them are listed.
Moderator: Next question is from the line of Kiran Naik from Kiran Investments. Please go ahead.
Kiran Naik: Thank you for giving me an opportunity, sir. I would like to ask, ma'am, whether the premiums we charge on all the segments are same as the private ones or we charge more than the private payers?
Neerja Kapur:
Kiran Naik:
Neerja Kapur:
Moderator:
Shubham: Premium rates, sees we are in a competitive market. Obviously, the rates are going to be on similar lines and in some segments, we would be competitive than another insurer; in another segment, they could be more competitive. But by and large, the market it's a function of demand and supply. So, yes, the pricing would be quite similar.
How much is the market share in the general insurance sector?
Last year, it was 13.42%. As in the end of the first quarter, it is 16.16%.
Next question is from the line of Shubham from Nuvama Wealth. Please go ahead.
So, I have 2 questions. One, what is your corporate and retail sector break up in your policies?

And the second one is you mentioned that you're focusing more on your digital initiatives. So, just wanted to get a sense like how are we planning this and where do we see these digital initiatives helping us in the years to come? Like what would be the increase in the policy sales that we expect in the year.
Neerja Kapur: The first question was regarding how much is the share of the corporate business. Total share would be in the range of 38% to 40% of our total business. Retail would be in the range of 60%, 62%. It varies from time to time, but approximately in the same ratios. We are taking lot of digital initiatives and like I mentioned, we are deploying artificial intelligence for doing motor OD claim surveys up to Rs. 50,000. This is currently in the pilot phase. And it will be rolled out to all our offices within a month's time once the pilot phase is over. Then we are also having analytics enabled pricing. We have an Oracle analytics enabled tool which has been introduced or actually driving pricing for the motor OD pricing which I mentioned earlier in the dynamic stage and we will be utilizing this tool going forward for working out the pricing in different segments. We also have an analytics-enabled MIS tool, which for both agency verticals as well as Motor OD claims and which helps us to analyse on a real time basis all the data that we have

and we are integrating going forward. We are integrating with ONDC and we are planning to commence insurance products on ON DC also.
We are in a very active discussion with them to onboard our retail products. We have recently relaunched our website and it's a very revamped website and it's linked to chatbot. It is capable of doing natural language processing. Similarly, various initiatives

like network augmentation
and also aligning with government initiatives or Jal Suraksha portal integration that has been completed in UAC, and we're also aligning through IRDA and with all the other general insurers for the sandbox integration within its exchange. Many such other measures are in place where we expect the overall policy increase, our digital footprint to increase by at least 10% to 15% a nnually.
Moderator: Next question is from the line of Hiren Trivedi, individual investor. Please go ahead.
Hiren Trivedi:
Neerja Kapur:
Hiren Trivedi:
Neerja Kapur: So, my first question is regarding the wage revision that has taken place earlier and the new wage structure for the employees. So, how much of that has been already covered and how is it going impact overall going forward in the next 1 or 2 years?
Our wage revision which was implemented last year, total outgo including the increase in wages as well as the areas which we had to pay from August 17th onwards along with the pension liabilities that we have for our retired employees. That was a total outgo of about Rs. 3,445 crores. And that was fully absorbed in last year. So, we have not done any amortization. We took the entire hit of the rate revision in the last full year. Nothing has been carried forward for the subsequent years. And we have also made provision in our balance sheet last year itself for any increase in wages in the coming years.
My second question is regarding government is still holding around 85.4%. So, any developments with regards to a new offer for sale in the newer future to comply with the listing norms to bring it down to maybe 75%?
That is the question we'll have to ask Government of India and it's something for them to answer. But as of now, there is nothing in the immediate future; maybe going forward, there would be depending upon our further discussions with them. And regarding your first question also, I would like to add, I think I did not mention that we had earlier about I think five years back, we had the one-time pension option. So, that time, it was amortized over a period of 5 years, and we have an amount of Rs. 401 crores, which was amortized every year. So, this year that Rs. 401 crores will be the last year it will be impacting our books. Going forward, there will be no more amortization.
Moderator: Next question is from the line of Rishikesh Oza from Robo Capital. Please go ahead.

Rishikesh Oza:
Neerja Kapur: Just 1 question from my side. Could you please touch upon the recent surge in the North Indian region. Do we see any significant losses from that, if you can quantify this time?
Yes, there have been heavy rains and inundation in northern region. And in the first quarter, actually, we did have the impact of cyclone Biparjoy also in Gujarat. But we have found in the claims that were reported to us cyclone Biparjoy. Initially, the claim amounts are quite huge, but then subsequently when the claim settlements are done it is, substantially lesser. In

Northern India also, there are claims which have been reported and we will be getting a better picture in the days to come. But we have to understand that every year there is losses due to floods. We have been seeing catastrophic losses due to floods in the last many years, practically every year. And we have a reinsurance cover for catastrophic claims. So, we do not see it majorly impacting our books.

Moderator: Next question is from the line of Sriram R, individual investor. Please go ahead.

Sriram R: I just have 1 question. Can you break up your health segment into group and retail in terms of share of revenue?

Neerja Kapur: For the first quarter, we have a total premium of about Rs. 5,300 crores out of which retail is about Rs. 600 crores, the government business is about Rs. 700 crores and the group Mediclaim policies are

about Rs. 4,000 crores.

Sriram R: And for the full year FY23?

Neerja Kapur: Fully year FY23, it would be in a similar proportion. I can give you that breakup. Just a minute. Full year, we did about Rs. 16,682 crores, out of which I have exact figures, group was Rs. 11,688 crores, government premium was about Rs. 2,240 crores and the retail premium was Rs. 2,754 crores.

Moderator: Thank you. Thank you all for being a part of the conference call. If you need any further information or clarification, please e-mail francis.titus@newindia.co.in . Ladies and gentlemen, this concludes your conference today. You may now disconnect your lines. Thank you.

Call: Dec 2023

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(Govt. of India Undertaking)
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Dear Sir/Madam,
Sub: Transcript of the Conference Call held on 29th November 2023
With reference to our letter dated November 23, 2023, intimating you about the conference call with Analysts/Investors held on November 29, 2023, please find attached the transcript of the aforesaid conference call.
You are requested to kindly take the same on records.
Thanking You
Yours faithfully
For The New India Assurance Company Limited
Jyoti Rawat
Company Secretary & Chief Compliance Officer
The New India Assurance Company Limited
Q2 & H1FY24 Earnings Conference Call
November 29th, 2023
Management:
1. Ms. Neerja Kapur, Chairman and Managing Director
2. Mr. Titus Francis General, Manager & Director and Chief Financial Officer
3. Ms. Sushama Anupam, General Manager (Health and Miscellaneous)
4. Ms. Sreedevi, General Manager (Motor)
5. Mr. Sharad Ramnarayanan, Actuary
Page 1 of 22
The New India Assurance Company Limited
Q2 & H1FY24 Earnings Conference Call
November 29 th, 2023
Moderator: Good evening, ladies and gentlemen. Thank you for joining us today for The New India Assurance Company Limited Earnings Call for Q2 and H1 FY '24. I am your moderator for this call.
We have with us today Ms. Neerja Kapur, Chairman and Managing Director; Mr. Titus Francis, Director, General Manager and Chief Financial Officer; and other members of the executive team.
Before we begin, I would like to remind everyone that today's discussion may contain forward looking statements based on our current expectations. These statements are subject to risks and uncertainties that could cause actual results to differ materially. Please refer to our latest exchange filing for more information on these risks.
At this moment, all participant lines are in the listen-only mode. Later, we will conduct a question and answer session. At that time, if you have a question, please press "*" and "1" on your telephone keypad. Please note that this conference is being recorded.
I now hand the conference over to Ms. Neerja Kapur. Thank you, and over to you ma'am.
Neerja Kapur: Thank you, Sagar. Good evening to all. As Sagar mentioned, I am Neerja Kapur, Chairman and Managing Director, and along with me are Mr. Titus Francis. He is the General Manager and

Director and the Chief Financial Officer. I also have with me General manager Ms. Sushama Anupam. She is handling Health and Miscellaneous portfolio; and Ms. Sreedevi who is in charge of Motor; and also our Actuary Mr. Sharad Ramnarayanan.

I would like to thank all the participants who have taken time out for attending this Con Call. To begin with, I shall give a brief background and Mr. Titus shall highlight the financials of H1 of this financial year. Thereafter, we shall proceed to the question and answer session where in we shall endeavor to answer all your queries and clarify any doubts you might have.

Just to give you a brief background about the company, New India Assurance was founded by Sir Dorabji Tata in 1919, and today we are now in our 105th year of operations. Today, New India is the largest non-life insurer in India by gross premiums written having a market share

of 13.09% as of the end of September '23. The company holds market leading positions in major business lines including health, motor, fire, marine and aviation.

International geographical diversification is supported by the company's overseas operations through its foreign branches, agency offices and subsidiaries across 25 countries. The domestic market continues to present significant growth opportunities for New India despite high market competition, particularly in the health and motor businesses.

We are happy to inform you that for the current year, AM Best has affirmed the financial strength rating of B++ (Good) and the long-term issuer credit rating of Triple B+ (Good) to The New India Assurance Company Limited. The outlook of these credit ratings is stable. In addition, and this is a new feature, AM Best has assigned the India National Scale Rating of AAA.IN (Exceptional) to New India. In addition, in India, we are also rated AAA/Stable by CRISIL.

New India Assurance continues to be identified as domestic systemically important insurer that is DS2 by IRDAI in view of its size of operations, cross jurisdictional activities and financial connectedness. We are also certified as ISO 27001:2013 compliant on IT security, thus making us one among the few general insurers following highest standards on data security in India.

The future of insurance industry in India is promising owing to several changes in the regulatory framework, technological advancements, government support and increasing awareness. Continuously, new trends are being introduced, like product innovation, multi-distribution, better claims management and regulatory trends in the Indian market as income rise and purchasing power and household savings grow exponentially.

As the Indian economy continues to grow, disposable incomes are increasing leading to a growing demand for insurance products. Various initiatives, as you all know, have been taken by the government to increase the current levels of insurance in India by lowering cost and also increasing the health cover, and most importantly, educating people about its importance.

To add to this, the new generation is more aware about benefits of having insurance and are willing to spend on it. The company is working towards the regulator's mission of insurance for all by 2047.

Towards this, various new products as well as additional covers in the existing products have been introduced recently, and we are striving to constantly provide newer products relevant to the market demands. Our aim is to grow with profitability and towards this, we are consciously making efforts to reduce our ICR and combined ratio.

Corning to the company's financials of half yearly of this financial year, the gross written premium underwritten for H1FY24 was reported totaling Rs. 20,760 crores. The segment-wise breakup of the various lines of business that we do: health and personal accident is the highest at about 47%; fire, 16%; motor together makes up 25% of our business; Marine, 2%; and all other lines of business at approximately 10%.

The profit after tax reported was Rs. 60.24crores vis-a-vis a figure of Rs. 151.90 crores for the same period last year. Net worth stands at Rs. 19,830 crores and the investment assets are at Rs. 89,839 crores as of 30th September'23. The overall ICR for the first half year stood at 101.03 as compared to 96.94. So, this decline in profitability for this quarter and the increase in ICR was mainly because of the following reasons, which I would like to convey to all of you.

First of all, we are seeing that climate change biodiversity is having its impact and the company suffered catastrophic losses on account of floods amounting to a net of about Rs. 301 crores during this quarter.

We also had an adverse development in the aviation portfolio of about Rs. 50 crores pertaining to the prior period and the foreign operations were also un

der pressure as they

reported losses of about Rs. 71 crores during the quarter driven basically by risk losses in Dubai operations as well as catastrophic losses in the UK operations pertaining to the earthquake in Turkey.

There was also an additional provision, which we have started providing every quarter is for the increase in wages. This amounted to about Rs.140crores.
The company is focusing on growth in the agency channel of business and reducing our turnaround time for claims by focusing on claims automation, including a pilot of AI-based claim settlements for claims up to Rs. 50,000, and this is a pilot which we have rolled out in about 12 different regions across the country and we will be slowly ramping it up in all the other regions.
We are also focused on improving integration with broker portals, web aggregators and ensuring prudent underwriting with focus on profitable business even if this means shedding of some businesses which are not in line with the company's long-term strategy.
To give you some highlight on the automobile industry, the Indian Auto industry has registered robust sales growth in private cars, two-wheelers and three-wheelers in October '23 due to the festive season, and while the passenger vehicles registered the 34% year-on-year growth in October '23, two-wheelers and three-wheelers were at 20% and 42%

respectively. New India has capitalized on this growth and we have registered a year-on-year growth of about 32.54%.
The company has proactively taken steps to improve its performance in Motor OD segment. Some of the steps which I have mentioned earlier were regarding the claim processing, but we also have a new scientific and dynamic pricing tool for motor insurance, which has been introduced again on a pilot basis, which has been rolled out in the regions having high ICR. This takes into account various risk factors resulting in more prudent underwriting and we have ensured recalibration of OD discount - own damage discount in various channels, especially the auto tie-ups based on region, model, age etc.
We have taken steps for reduction of fraud in motor insurance by integrating with Vahan database among others. As a result of the above steps, own damage ICR has reduced, and the trend indicates an improvement in the days to come.
With regards to health insurance, one of our best selling products is Yuva Bharat, a product focused towards the young millennial generation. We also have a new health insurance top-up policy in the pipeline with an expected launch in this quarter. Modern treatment rider for availing modern treatments up to the sum insured has recently been launched.
In health, we are aligning with the National Health Exchange. This is a project of the regulator, and we are participating in this particular project. Also, we are working closely with the rest of the industry towards 100% cashless, which will go a long way in providing better and faster benefits to our policy holders.
Going forward, our focus remains on digital initiative, streamlining processes for increased efficiency and increasing our sales force with a focus on our agency channel. New products like Surety Bonds have been launched, and we are one of the very few insurers to align with NHAI to issue both big bonds and performance bonds for their contractors. This will also go a long way in freeing up capital reserves for the growth of infrastructure in India.
Also, I would like to share that we are in the process of recruitment of specialists like chartered accountants, risk engineers, automobile engineers, doctors, lawyers' etc., which will further channelize the growth in the right direction.
I would like to convey to our stakeholders that your company is fundamentally robust and strategically well poised to cater to the insurance needs of the country, offering the best insurance solutions to our customers, while ensuring right pricing of our products.

With this, I now hand over to our CFO Mr. Francis Titus who will give a presentation on the performance up to the end of second quarter of2023.
Titus Francis: Thank you, madam. Good evening once again to all of you all and welcome to the conference call. This presentation has already been uploaded in the Investor Presentation, which has been uploaded on the website. I will just go briefly through the highlights of the two businesses.
Just to give a brief overview, we are the largest general insurance company in India with an established brand, expansive multi-channel distribution network and a strong international presence. We are number one in India in terms of net worth, domestic gross direct premium, highest number of offices and number of claims settled. We have 1,840+ offices plus in India, and we are into the 105th year of operation. We have incorporated in 1919. As already mentioned by madam, we have sustained our AM Best rating, and we have also got an additional Indian rating of Excellent, which is the highest rating by AM Best for the country. We have issued 30 million policies in FY '22 -'23, and we have presence in 25 countries all around the world, and we are continuing to be the highest market share of 13.09% as of September with highest share in fire, marine, engineering, motor, health, aviation and certain miscellaneous lines of business.
Our future strategy would continue to be maintaining or increasing the market share and

leveraging the benefits of economies of scale driven by growth, rationalization of operating offices, maintaining healthy solvency margin and increasing digital penetration, leveraging technology to drive customer satisfaction for profitability and growth.
If you see the composition of business of Rs. 20,760 crore, fire contributes 16% share, marine 2%, Motor OD 12%, Motor TP 13%, health and PA 47%, and others10%.
Coming to the channel mix, we have direct at 31%, agency 25%, dealer 8%, bank assurance 1%, and broker at 35%. Our technical reserves are at Rs. 50,178 crores up from Rs. 47,547 crores indicating that we are adequately provided.
The financial snapshot against a gross written premium of Rs.20,760 crore, there is a profit after tax of Rs.60.24 crore. That is compared to Rs.19,198 crores in the last half year and Rs. 151crores of profit after tax in last year. The reasons for reduced profit after tax has also been mentioned by GM D in her address.
The key ratios which are highlighted are the incurred claim ratio, which has increased from 96.94% to 101% basically because of the CAT losses as well as the development in aviation as

well as certain foreign losses. Commission ratio because of the AUM has increased from 7.53% to 8.82%, and expense ratio has increased from 12.60 to 13.13 because of the increased provisioning in salary cost. Because of the high ICR, the combined ratio has come to 122.98 from 117.06. Solvency is also come down slightly from 1.77 to 1.70, still above the regulator's requirement, and the ROE is also at .30% from 1.65%, basically because of the reduction in the PAT.
Coming to the gross written premium, we are showing an accretion in almost all the lines of business except for marine. Motor we have increased by32.54% and all others are showing a healthy accretion, overall, 8.14% accretion. ICR because of the CAT losses has come up to 101.03% from 96.94%. Basically, the high ICR is in fire and slightly increase in health line of business.
Coming to the balance sheet, our net worth has increased from Rs. 18,574 crores to Rs. 19,830 crores. Net worth including fair value increased to Rs. 41,638 from Rs. 37,882 crores and investment assets at market value at Rs. 89,839 crores. As mentioned, solvency is at 1.70 compared to 1.77. So, these are the brief highlights of the financial performance of New India.
Neerja Kapur: We now take any questions that you may have.
Moderator: Thank you ve

ry much. Ladies and gentlemen, we will now begin the question-and-answer session. The first question is from the line of Darshit from Robo Capital Please, go ahead.
Darshit: So, I just needed two things. Firstly, what would be the combined ratio guidance for the next half and for FY '25 and'26?
Neerja Kapur: So, I think Sagar had given a disclaimer that it will be very difficult to make any forward looking statements, but our initial target for the year was to have a combined ratio, last year it was 117% and our business plan is for reducing this combined ratio taking into account the fact that there has been an increase in the expenses of management due to the strategy decisions which took place last year and also an increase in the EOM you know, as you know, from 1st of April, the expenses of management, the regulator has come up with that provision. So, there will be an increase in the commissions. There will be an increase in the expenses of management, but we expect the overall ICR to decline in the range of about to maybe 115%. That is the target at which we are focusing, but again I said it's a forward-looking statement, and of course, it depends on the market realities and the challenges of the market.

Darshit:
Titus Francis: But yeah, a ballpark figure would be fine. And similarly, for ROE, what would be the target, as in not a target per se, but some kind of either internal targets or ballpark view for the same FY '24, '25, and '26?
Well, we always aim to be above 10. So, with the reduction in the combined ratio, we always try to be there, but it all again depends on how the ICR will move in the remaining two quarters.
Darshit: So, any kind of outlook that you might have currently on ICR going forward?
Titus Francis: As madam already said that we are looking for a combined of 115.
Darshit: That would before this year.
Titus Francis: Yeah.
Darshit: And for the next the next year?
Titus Francis: Next year also we will be looking to reduce that further to may be around 110 to112.
Neerja Kapur: Our target basically is to reduce by 3 to 5 percentage points every year and this year, of course, because of the increase in OM, we may not be breaching the figure of 3 to 5, but our initial plan was 115, and that continues to be the target for the year, combined ratio.
Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go

ahead.
Prayesh Jain: Firstly, on the group on the health business, could you give me the loss ratios in group retail and government which was there in first half and also comparable numbers for last year?
Neerja Kapur: I can share that with you. In group, it's more or less similar. It's currently at about 106% and last year also, it was in the same range. Government, yes, we are seeing a spurt in the ICR. It is currently in the range of about 120% vis-à-vis 85% last year at the same time at the end of September. There was further movement at the end of the year, but as of September, these are the figures.
Prayesh Jain: And retail?
Neerja Kapur: Retail was in the range of about 90% last year. Currently, it is at about 99%.
Prayesh Jain: 99%. What is the reason for this spurt in the government ICR?

Neerja Kapur:
Prayesh Jain:
Neerja Kapur:
Prayesh lain: We have government business in Rajasthan and due to the impending elections; we are seeing there is a lot of usage of this particular scheme which has resulted in the higher ICR. So, we are taking a lot of corrective steps in this to ensure that by the end of the scheme, the targets would improve, and we are in discussion with the government officials in Rajasthan also to take corrective actions.
Continuing on the health business, the group business, we have seen that there is an increased competition from the player from SAHI particularly and even the other players now that the UM regulations have come in, t

here is increased competition coming in. So, do you see it getting more challenging to kind of meet the combined ratio guidance target that you have set for yourself, particularly on the health business? And how should we think about group health business growth and loss ratio per se?
So, if you see, you know, we are very focused on our pricing strategy. Now, the retail business, there was an increase in the pricing from 1st of July for our regular policies and for our floater policies from 1st of August. So, you will see that impact in the ICR to the retail hitting our second, our third and our fourth quarter.
But when it comes to group, we have been very focused on doing the pricing correctly, and even last year you would have noticed that we had let go of about nearly 1,000 policies where the total GMC, the group premium was amounting to about Rs.804crores. This year also we are ensuring that our pricing is as per our strategy only, and in this year also in the first 6 months, we have let go of nearly 500 policies, 511 policies to be exact, and where the premium is amounting to Rs. 462 crores because of this competitive pricing that you mentioned from other players in the market.
But we are quite confident that, you know, with the correct pricing and with other steps that we are taking in group Medi-claim, the overall result by the end of the year would be in a much better state.
Continuing on the health business, there is a lot of portability that's happening on the retail side from PSUs to SAHI. And now that you have taken a price hike, also, could you quantify the price hike? That would be helpful to us. How do you stop this portability or kind of, you know, ensure that you also see a strong growth in terms of number of policies and the retail health?
Neerja Kapur: See, when it comes to the price increase, we have had this price increase after six years. So, you know, because during the COVID period, we had not increased the pricing because of the impact it would have had on the general public. But after a period of nearly six years, the price has gone up. The price range is in the range of 25% to 30% depending upon different

Prayesh Jain:
Neerja Kapur: age groups and depending upon different age groups, it ranges between 20% to 30% the price increase.
And regarding portability, this has been there in the market for quite a few years. Some of our business goes to the SAHI companies and to the private companies. Some of their business comes to us. But of course, when it comes to portability, one has to see, you know, the kind of business that is being ported into your books, and we are quite focused on ensuring that we get new business of the right age group.
And lastly, on the solvency bit, you are at 170% now. Going down further could be a challenging scenario, you know, 150% is not very far off, especially if you look at your trend itself, you know, we were at a solvency of 1.87 at the end of FY '23. Today, we are at 1.7. So, you know, how should we think about this? Whether, you know, do you think a capital raise or a further infusion of capital by government would be needed here?
Yeah. I would just like to mention this that last year also, when we started the financial year, we started with the low of 1.66, but we ended at 1.87. This year, in this particular quarter, as

I mentioned, the decline was notably due to specific challenges faced in the quarter making it
one of the most demanding quarters for the company, and this was regarding the
catastrophic losses which I mentioned, then the adverse development, the aviation plus the
foreign operations.
One thing I would like you to note is that these challenges were one-off losses, and beyond
these extraordinary circumstances, we anticipate stabilization and profitability going forward.
And despite you would have seen that, you know, adverse events impacting the quarterly
results, the motor and the health p

ortfolios demonstrated growth hinting at improved
profitability in these segments also in the future.
Also, we are seeing the agency channel experiencing a very robust growth, and we are
foreseeing that it will help in enhancing the results in the quarters. So, these are some
aspects which, you know, I am sure our results will display. The solvency is bound to go
upwards in the quarter. Our Actuary would like to add something.
Sharad Ramnarayanan: We would also like to mention that as per the current IRDAI regulations, the fair value change
reserve is not counted for the purpose of solvency. So, that is close to Rs. 20,000 crores of fair
value change reserve, which is lying in the balance sheet but not counted for solvency. Hence,
I don't think we will need any kind of fundraise like you have mentioned.

Moderator: Thank you. The next question is from the line of Mr. Aadesh Gosalia from Ajcon Global. Please
go ahead.
Aadesh Gosalia: So, I had questions regarding the decline in ROI in H1 and what will be ROI for Q2 FY'24, if you
can just share some numbers for the same and reasons behind the fall or decline in ROI?
Neerja Kapur: I would request Titus to take this question.
Titus Francis: I think we have already mentioned that we are looking for an ROI of around 10 at the end of
the year and may be because with declining ICR which we hopeful in the third and fourth
quarters, we would aim to come to that level, but it all depends on how the claims would
move. But this is our target that we should be around 10.
Aadesh Gosalia: And what is our ICR for Q2 FY24?
Titus Francis: For Q2?
Aadesh Gosalia: Yeah, Q2 ICR.
Titus Francis: It's around 105.
Moderator: The next question is from the line of Hitesh Gulati from Haitong Securities. Please go ahead.
Hitesh Gulati: My question is on the Sikkim flashfloods. What was the impact on our like what is the
catastrophic impact out of that? And what is that for the entire industry?
Neerja Kapur: You are talking of Sikkim particularly or you are talking of the general catastrophic floods
which occurred in North India?
Hitesh Gulati: Sikkim flash floods, ma'am.
Neerja Kapur: Sikkim flash floods, our rough estimate on our net would be in the range of about Rs.50
crores. This is after taking into account the reinsurance aspect.
Hitesh Gulati: Ma'am, how much would the industry have faced out of this?
Neerja Kapur: That is little difficult to estimate as of now. Of course, the biggest one, biggest loss is the
Sikkim Teesta Urja and the Sikkim government project. So, that it depends on the application
of that Glacier clause and whether the Glacier clause is applicable that the loss would be
limited to Rs.500 crores. If it's a full loss, then it would be much higher. So, it would depend
on the applicability of the clause here.

Hitesh Gulati: And this Rs.50 crore includes the damage from the Hydro Dam which the NHPC hydro
damage was damage, everything included in this Rs. 50 crore, right?
Neerja Kapur: Yes. And I am talking of our net exposure here.
Moderator: Thank you. The next question is from the line of Aman Reddy from Unifi Capital. Please go
ahead.
Aman Reddy:
Neerja Kapur:
Aman Reddy: I would like to come back to what we were discussing earlier about group and retail Health
premiums. Firstly, just a broader question; If you could hear management's interpretation of
the market in terms of the divergent performance in group and retail would be helpful and
sort of for me to model the growth going forward?
Secondly, on the group side, you mentioned you have taken a quite meaningful price like this
year and are letting go of policies that are unprofitable from an underwriting perspective. I
just like to understand how do you see market share in the group business going forward?
And you know, when you talk about the group and retail, I understand that from what I hear
on channel checks

that people might be gaining more and more confidence in New India
policies as a result of improvement in claims' turnaround times and so on, and some part of

that might be attributable to improving partnerships with TPAs and so on. How do you see these TPA relationships? You see scope to improve further from here in terms of that?
Yeah, you asked quite a few questions. So, you know, I will just answer the min the sequence that I remember. One was regarding the retail segment and the group segment. If your question was, what is the differentiation between the two, is that what you asked?
I noticed that the performance, you know, from market share perspective is very different, very divergent for New India. And so, you know, from my research, I have done the best I could try to understand from the channel check perspective, from the customers' perspective. But I want to understand from your perspective what the strategy is going forward? Of course, the performance in the group has been quite strong. In retail not so much. So, I wanted to hear from you what would you have analyst take away?
Neerja Kapur: So, if you see the overall performance of the head portfolio up to September'23, so the market size was Rs. 40,500 crores as against Rs. 32,700 crores of the previous year, and our share has been predominant in this market. We currently have a share of about 25% of the overall health market, but you are right. Our group business constitutes a major portion of this.

If you look at the breakup of our health mix, our group is about75%, retail is 15%, and government is about 10%. So, yes, there is a lot much higher segment of group. And like I mentioned, despite this increase, this segment of the group is despite our having shed quite a number of policies and let go of, you know, a substantial amount of premium in group health policies.
But we are doing a lot of things to improve our retail health policies. And first is, of course, you know, the pricing is something which we have made corrections in the pricing after six years which I mentioned. And we have also launched various efforts along with our agents to enhance our retail product visibility and to encourage retail growth.
We have launched also various new products like the New India City Protect Policy, which is a benefit policy for the critical illnesses. Then Atmanirbhar Policy, which is meant for persons with disability. We have also recently launched the modern treatment rider for availing modern treatments up to the sum assured. This was one ask of many of our retail segments and our agents. They wanted this modern treatment cover up to the full sum insured, which we have recently, very recently come out with.
And we also have a very popular policy, Yuva Bharat for young customers up to 45 years of age, which we are promoting in a big way. Also, we have revamped our Overseas Travel Ease Policy, which is very competitively priced and with very new covers now.
We have given quite a few aggressive incentives, which we are now giving for promoting our health products to our agents for promoting growth in this segment and various other measures we have taken, like having a dedicated senior citizens' helpline and a call center for senior citizens, which will exclusively attend to their grievances. So, these are some steps which we have taken to promote retail health.
You also mentioned regarding our TPAs. So, I would just like to, you know, share with you the number of claims that we are handling. If you see we have handled nearly 50 lakh claims in these first six months, 51 lakh claims to be precise, as against a total of 38 lakh claims in the previous six months up to of last year.
So, with this huge increase in the quantum of claims, it becomes absolutely necessary to have TPAs to handle this volume of business so that we can extend cashless facilities faster and in a better way to our customers. And the associ

ation that we have with TPAs is we ensure that
we do a lot of check of the claims settled by the TPAs, and also, we have ramped up the audit of the TPAs, the claims settled by TPAs. We also have our own TPA, which is sponsored by the four PSU companies called HITPA, which is also being aligned in a big way to take up retail claims. So, these are some of the steps which we are taking to promote health policies in

retail, and I am sure that this will, with the increase in pricing, it will help to improve the ICR also in the segment. I hope it answers all your queries. I am not sure if I have answered all of them.
Aman Reddy:
Neerja Raper: No, that was very helpful. Can I just have one follow-up on the now that the group premiums are risen, could you give me some color on the policies? I know these are group policies. They likely be very well diversified in terms of age and all that, but on the retail side as well, could you please tell me about, you know, some color on the quality of the policies that we have written on the age, whether you think that some of these have been carried for a long period of time? And also you mentioned portability earlier. Whether people porting to New India of the quality that we want, age that we want?
Yes, actually when you mentioned that, you know, clientele who have been with us for a long time, yes, we do have clients who have been with us for a very long time, and we do have a

very large segment of senior citizens covered in our policies. Like I mentioned earlier, we are a company which is in a 105th year of operations, and we were one of, you know, when health policies were launched sometimes in the 80s, from 80's onwards, we have been doing the health business. So, we have, and initially, if you recall, it used to be only through the agents.

So, you know, we have a healthy segment of agents and a healthy segment of senior citizens also. And in this particular segment, we don't find much portability happening. You know, the SAFI! companies are obviously targeting the local team which is a target group for all insurance companies. So, we are trying to enable our agents to get more and more of the business from the younger age group, and in this context, like I mentioned, we have devised policies and add-on covers, which will make it more attractive to the younger generation. We are coming out with promotions and publicity also, you know, especially in social media and other, you know, and FM and other aspects which are more popular among the younger generation and trying to attract that group.

Yes, also, if you see the price differentiation, you know, the price increase obviously in the younger segment would be lesser as compared to the mid-age segment, and with all these steps and also the incentives that we are offering to our agents post introduction of EOM, obviously targets the younger segment. So, we do expect to see a healthy growth in this segment.

Moderator:
Hiren Trivedi:
Neerja Kapur:
Titus Francis:
Moderator:
Aditi Joshi:
Neerja Kapur: Thank you so much. The next question is from the line of Hiren Trivedi, who is an individual investor. Please go ahead.

Small data points are required. What is the combined ratio for the quarter? And secondly, what is the breakup of your, you know, retail customers versus your corporate clients? These two data points if you can help me with?

So, the retail versus corporate is about 60-40. Corporate forms about 40%and retail is about 60%. I am talking of the overall business that we do. And combined ratio, Titus will share with you for the second quarter.

Around 130%.

Thank you. The next question is from the line of Aditi Joshi from JP Morgan. Please go ahead.

So, just a couple of question I have. The first one is actually related to the insurance premium hikes, especially in the health insurance segment. So, we have had seen a hike in the retail segment recently. So

, I just wanted to understand that do you think that going forward, let's say, in the rest of this year, we will see further hikes in the segment? And just related one to this is that, is there a regulatory cap up to which you can hike premium in the health insurance segment both in retailer group in one particular year, please?

So, I would like to mention, like I stated earlier also, this hike in premium, when it comes to retail health, we have done it after 6 years. Actually, as per earlier regulatory guidelines, it was not even a provision, but it was a guideline that it should be done once every 3 years. But, you know, since COVID happened when we were supposed to do the increase in 2020 we were supposed to do that increase. That was the end of the three-year period. Unfortunately, since COVID was there, we did not increase it at that time, and we continued with the same rate for another three years.

So, it's only after six years that we have hiked up the premium, and this increase what I mentioned is taking into account the inflationary trends and the health inflations, you know, additionally, which is higher than the regular inflation. It's actually very reasonable considering the increase, considering the inflationary trends. And no, there is no regulatory limit as such, but our increase was we had run it through the regulator and they had, after discussions with them, it was rolled out.

Secondly, regarding the group policies, I would like to mention there is, I think the earlier question also, there was a mention about the price increase in group. Now price increase in group is normally based on the experience of that particular group because as you know,

Aditi Joshi: every group comprises of various different number of lives and different number of sometimes different covers also, some add-ons are separate from the others.

So, based on the experience of that group and the burning cost, the renewal pricing is worked out, and we do factor in further cost of the various other additional costs of operating that policy, for instance, the TPA expenses and if there are any other intermediary costs involved. We also take into account the inflationary trend, likely inflationary trend expected for the

year in which that policy will operate.
So, the group pricing is different from the retail pricing, but what we are seeing now is based on our claims experience, the actual increase in group pricing is at times higher than what we have seen in the retail segment, again based on the experience of that particular group.
And also I would like to mention that going forward, the retail pricing, you know, since there is actually no regulatory instructions regarding the price increase, what we have decided rather than have an increase of 25% to 30%, which does impact our policyholders and, you know, we really feel for our policy holders when they come back and say, you know, we have been paying this much for so many years and now we have to pay an increase of 25% to 30%.
So, now what we are thinking is staggering this price increase and doing it on a gradual basis every year. You know, rather than having a huge increase, we will be doing it on a smaller staggered amount every year going forward.
I just have a couple of questions more if that is okay. The next one is actually on the mix of your policies based on the one-year duration, three-year duration, and five-year duration. So, if you are just able to provide any split that you are able to provide on this, please?
Neerja Kapur: Is that motor you are talking about?
Aditi Joshi: Like the duration of policies, is it like single premium or the regular, the split of those policies?
Neerja Kapur: So, all our policies are annual policies, and they run for 12 months, and the premiums are collected on an annual basis except sometimes we have engineering policies, for instance, that may be based on the project that would be for,

you know, the project period is two years
or three years. That would be for that period, but predominantly, I think 90%, and in motor, we have policies whereas as per again regulatory guidelines, brand new vehicles two-wheelers, they come for the first year is own damage is for one year and the third party is for five years, and for private cars, it is one year for own damage and three years for third party.
So, is it three years and five years? Is this what you are mentioning?

Aditi Joshi:
Sharad Ramnarayanan: Yes, this is clear. Just one last question - I was actually going through your results of the segment and just comparing the Health & PA. So, just comparing that when we look at the premiums of the health and personal accident segment and whereas to compare the investment income from this segment, there is some sort of mis-match. So, can you just help explain why even despite having a higher share of premiums, the investment income of this segment is lower than the other ones?
Sharad here. When it comes to investment income, we actually look at how much technical reserves that particular line of business is contributing. So, when you look at technical reserves against which we have the assets, the technical reserve includes your outstanding claims and the unearned premiums. So, when it comes to technical reserves, the maximum technical reserves are contributed by the motor line of business and also to an extent the fire line of business are much higher because health is a much shorter line, shorter tail, has got a shorter tail. So, the claims get paid off very quickly. The outstanding is much lesser. So, since your technical reserves are lower, when you look at the investment income, it will be in line with the technical reserves. So, that's why you will find a much lower investment income attributed to the health line of segment. The entire investment income is just apportioned across the various lines according to the technical provisions.
Moderator: Thank you. The next question is from the line of Avinash Singh from Emkay Global. Please go ahead.
Avinash Singh: Couple of questions. First one is on your health. If you can help us understand in the retail side, I mean, this kind of 96 odd percent of the claims ratio that you mentioned, that's reasonably higher. Now, of course, you have taken a price hike, but this increase in claims ratio, I mean, how much of it, if you can try to provide some color, qualitative commentary, that will also help. How much of that is driven by the increase in claim frequency? And then how much of this is driven by severity?
And also on the claims frequency side, if you help it, it is because of the kind of some morbidity profile changing or is it some behavioral change where sort of customers are now more proactive in opting for hospitalization in case of the vector borne diseases like malaria, dengue where earlier, they might be just doing wait and watch, now more proactively sort of hospitalizing?
So, if you can help me understand this entire retail health behavior in terms of how much of it is claim frequency, how much of it is change in severity and frequency change also, how much of that is kind of a morbidity profile changing and how much of that is more to do with the behavioral change in the policy holder?

Neerja Kapur:
Avinash Singh: Its very interesting actually that you have mentioned, you know, we also do a lot of study on

this and why the retail segment we are seeing a huge increase in the retail segment. Couple of things - Like you mentioned, yes, the claims frequency has increased. It would have gone up by 1% to 2% as compared to the earlier years. We did find that after COVID where it is resulting in COVID complications resulting in higher frequency, which we would attribute the increase infrequency about 10% to 12% of this would be due to the COVID related complications. That is one.
Then

secondly, we do find that the hospitals, they had increased their rates post-COVID because a lot of post-COVID surgeries were carried out, you know, which were not done during the COVID period, but non-COVID related surgeries were done after the COVID period was over, and that at that time many of the hospitals had increased their prices. And once the prices went up, they never came down. So, that's what I was mentioning, you know, the medical inflation being much higher than the regular inflation. So, these two things have resulted in an increase in the retail claim cost, which is impacting. Like I mentioned, the price correction has taken place, you know, a resultant of over a six years period, and we will be seeing a positive impact of that in the coming quarters. So, I hope this answers your question.
So, largely you are saying that okay, post-COVID whatever term you use, long COVID, post-COVID complication, that had sort of a changed a bit of frequency. And overall, of course, on the severity side, it is more to do with the medical inflation that has sort of a taken-up procedure cost meaningfully.
So, on that front, I guess, of course, because I mean, the health care providers' rate or rather sector is not as regulated. I believe there was some sort of voluntary action or initiative on the part of GI Council. I think they are trying, or they are exploring to come up with some kind of wider sort of package rate or something. So, I mean, are you the government or GI Council or the regulator IRDAI doing to sort of check this medical inflation?
Because the medical inflation as you mention, I mean, of course, one can understand for the intermittent period of COVID and all, it is going up. But sustainably, I mean, depending upon which insurer we talk, typically a general consensus suggests that okay, nearly 12%, 13% kind of annual medical inflation that is far higher than overall inflation. So, is something that a regulator, government or council is looking to address? I mean, how are you looking to address?
Because, you can increase price only up to certain point. Beyond the point, the price increase will mean that insurance becomes kind of prohibitively expensive for policy holders. So, that will affect the growth and sales as well. So, I mean, what are the ways you are exploring to sort of check this medical inflation?

Neerja Kapur: So, I would like to mention that pricing is, of course, just one corrective action. There are various other corrective actions that we are taking simultaneously, and it's just not now. We have been doing that earlier also. We are doing it more proactively now. One is, we have the concept of preferred provider network, which is jointly with the other three PSU companies. We have PPN hospitals in our network where we have a total of nearly 4,000 hospitals where we have a special package rates devised with these hospitals for any hospitalization which takes place in these hospitals for our policy holders. So, these are very special package rates, and these package rates are reviewed and revised every few years. But yes, we have tried to increase the empanelment in these PPN hospitals.
In addition, we also the TPAs themselves with whom we have arrangements for handling the cashless facilities; they themselves have arrangements with another probably 10,000 hospitals. So, all the TPAs who are in our network, we take their network also into consideration where they have special package rates, and we use those package rates for the benefit of our policy holders.
In addition, like, as you know, there are nearly 30,000hospitals across the country, and obviously our 4,000 odd PPN hospitals and the network of the TPAs do not cover this fully. So, now GI Council in guidance with the regulator, we are now getting into an agreement where we tie up with for 100% cashless across maximum number of hospitals. And so this is something which is an initiati

ve taken by the entire industry, insurance industry, and with this
we hope to cover as many hospitals as possible.
Obviously, those hospitals which do not come into this network will be looked at a little negatively, but you are right. There is no regulation for hospitals, and this is something which we have along with the other insurers have taken up this matter quite strongly, but till such time as there is any regulation for the hospitals, this is one aspect which we hope to, you know, all of us work jointly together and address the issue of medical inflation being much higher than the regular inflation.
Also, there are a couple of other initiatives which we have taken. One is, we are now integrating with the National Health Exchange, and this will give us, we are currently in the

stage of integrating and then sharing data with them. Once this project goes through fully, this is again an initiative of the regulator and maximum number of companies are participating. Right now a few insurers including ourselves are participating in the initial phase, but subsequently, it is the expectation that all insurers would join hands and participate in this.

So, there would be a lot of benefits of this initiative of getting into the national health claim exchange. One is, it would provide a digital platform for efficient claims processing. It would

also be a gate way for seamless information exchange between the policy holders, the patients, and the insurance companies. It would reduce the reduction in processing time and the costs.

So, obviously, it will result in a benefit to the policy holders and the increase every year could be reduced, and it will help in fraud prevention. It will be a single gateway for claims processing, and it will also facilitate OPD coverage in the times to come. So, we are hopeful that with all these initiatives, a lot of work is going in to ensuring that the retail segment, performance of the retail segment improves.

Avinash Singh: Just one quick question, if I can follow-up. You have a large equity investment book. Now with Ind-AS implementation pending, will that sort of cause, I mean, of course at this point in time that IFRS implementation is still emerging event, but, I mean, just what is your assessment? Is it going to sort of under IFRS, your large equity book is going to cause a volatility, more volatility into P&L or I mean, no, it will be manageable?

Neerja Kapur: I will request my CFO Mr. Titus to answer that.

Titus Francis: We have that issue to be discussed or we have to take a call on that because it's too early. We are still doing a back end calculation as to how to treat the opening balances of the large fair value reserve what we have. So, as of now, we are in touch with our consultants as to how to get it done so that there is no volatility in the profit and loss going forward. So, we still wait. We have also taken up with the regulator as to give us some sort of relaxation and even the tax rules are not yet changed so far to deal with this, how to deal with the profit on sales. So, we are waiting and watching as to how we can minimize this little.

Moderator:

Prayesh Jain:

Neerja Kapur: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Now coming on the motor business, could you provide us a split between two-wheelers, passenger cars and commercial vehicles for us this year first half versus last year first half?

So, in this year, we have seen a good increase. Actually, there was a reversal in trend in our motor premium though we did see a good with the new EoM regulations in place. We were able to arrest the trend of decline in the motor premium, and we have comeback quite strongly on the path of growth by re-establishing our tie-ups with dealers and with our agents getting benefits being incentivized.

So, we have seen, you know, the commercial vehicle seg

ment has grown quite strongly by

about 11% and the private car segment by 10%. Then we have seen the two-wheeler segment

going up by, there has been more or less the same the two-wheeler segment. Overall growth that we have seen is about 12.5%. This is comprising both OD and TP, but like I mentioned, in private car, you have the TP premium comes with about for three years and the two-wheelers comes with a five year.

So, what we are seeing? We are seeing a good increase in the OD segment of about 28%, and in the third party segment of about 5%. Overall increase is 12.5 and the breakup of commercial private and two-wheeler, I have already shared with you.

Prayesh Jain:

Neerja Kapur:

Prayesh Jain:

Neerja Kapur:

Prayesh Jain:

Neerja Kapur: What is the share of CVs in our total premium and same for passenger car and two wheelers?

The share of commercial vehicles would be about 40%-41% in the total premium.

And passenger car?

Private cars is 50% and two wheelers is 8%.

And also could you split this business into new versus old?

New versus old would be, old, would you mean renewals or would you mean old as a not new?

Prayesh Jain:

Neerja Kapur:

Prayesh Jain:
Neerja Kapur:
Prayesh Jain: Basically the first year, the first vehicle that is first at the beginning of the purchase of the new vehicle purchase versus the rest.
So, when we look at this, old versus new would be in the range of maybe about 70 to 30.
Yeah.
And you mentioned on the motor business that agency channel has picked up again. So, do you mean that the payouts have gone up from what they were getting earlier?
Yes, to some extent.
In the sense what we had understood of the regulations was that the commission line item and the marketing expense line item which used to sit on expense of management have got merged now. So, the overall payout may not have gone up, but it was just re alignment of expenses, but you are saying the absolute payouts of commissions have now gone up for the

distributors, which is enabling you to gain market share on the motor side. Is that the fair understanding?
Neerja Kapur: Yes. Like I mentioned earlier, there has been an increase in the commission from, if you see the half yearly, last year it was 7.53% This year it is about 8.82%.So, that is an increase in our overall incentives and payouts to the intermediaries, but then there is a resultant growth also in the premium which overall has gone up from about Rs. 19,000 crores to about Rs. 20,700 odd crores.
Moderator: Thank you. As there are no questions, I would now like to hand the conference over to Ms. Neerja Kapur for closing comments.
Neerja Kapur: Thank you, Sagar, and thank you also Gaurav from Concept IR for organizing this conference call. I would like to thank all the participants again for attending our call and taking time out from the very busy schedules. I hope we have been able to answer many of your queries. But if you have any further queries, I would request you all to please get in touch with us through our Company Secretary, and we would be happy to address all your queries. Thank you once again.
Moderator: Thank you for being a part of the conference call. If you need any further information or clarification, please email francis.titus@newindia.gov.in . Ladies and gentlemen, this concludes your conference for today. You may now disconnect your lines. Thank you and have a pleasant day.

Call: Feb 2024

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(Govt. of India Undertaking)
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Ref. No.: NIACL/CMD_BoardSectt/2023-24 23rd February, 2024
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Listing Department
BSE Limited
PhirozeJeejeebhoy Tower
Dalai Street
Mumbai 400 001 The Manager
Listing Department
The National Stock Exchange of India Ltd.
Exchange Plaza, 5th floor, Plot C/1,
G Block, Bandra-Kurla Complex
Mumbai 400 051
Scrip Code: (BSE - 540769/NSE - NIACL)
Dear Sir/ Madam,
Sub: Transcript of the Conference Call held on 21st February, 2024
With reference to our letter dated February 16, 2024, intimating you about the conference call with Analysts/Investors held on February 21, 2024, please find attached the transcript of the aforesaid conference call.
You are requested to kindly take the same on records.
Thanking You
Yours faithfully
For The New India Assurance Company Limited
Jyoti Rawat
Company Secretary & Chief Compliance Officer
THE NEW INDIA ASSURANCE CO. LTD.
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"The New India Assurance Company Limited
Q3 FY '24 Earnings Conference Call"
February 21, 2024
MANAGEMENT: MS. NEERJA KAPUR - CHAIRMAN AND MANAGING DIRECTOR - THE NEW INDIA ASSURANCE COMPANY LIMITED
MR. TITUS FRANCIS - GENERAL MANAGER, DIRECTOR AND CHIEF FINANCIAL OFFICER - THE NEW INDIA ASSURANCE COMPANY LIMITED
MR. SHARAD RAMNARAYANAN - APPOINTED ACTUARY - THE NEW INDIA ASSURANCE COMPANY LIMITED
MRS. SREEDEVI - GENERAL MANAGER, MOTOR - THE NEW INDIA ASSURANCE COMPANY LIMITED
MODERATOR: MR. ARYAN RANA - VERITAS REPUTATION PR
The New India Assurance Company Limited
February 21, 2024 THE NEW IUDIA ASSURANCE CO. LTD.
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Moderator:
Aryan Rana:
Neerja Kapur: Good afternoon, ladies and gentlemen. I am Sagar, the moderator for this conference call. Welcome to the Earnings Conference Call of the New India Assurance Company Limited, arranged by Veritas Reputation, to discuss the financial results for Q3 FY24, ended 31st December, 2024.
At this moment, all participant lines are in the listen-only mode. Later, we will conduct question and answer session. At that time, if you have a question, please press star and one on your touch-tone keypad.

Please note that this conference is recorded. I now hand the conference over to Mr. Aryan Rana from Veritas Reputation PR. Thank you, and over to you, sir.
Thanks, Sagar. Good evening, ladies and gentlemen. We warmly welcome and express our gratitude to each one of you for being a part of today's AnalystConference Call for the New India Assurance Company Limited.
I am Aryan Rana, your host for the session, and it brings me great joy to guide you through the proceedings as we analyse the financial results for the third quarter, concluding on December 31st, 2023. While the detailed presentation and results are available on our company website and the stock exchanges, it is essential to note that our discussion may include forward-looking statements, contingent upon known and unforeseen risks, uncertainties, and various factors. To offer a comprehensive overview of our Q3 FY24 financial performance and address any queries you may have, we are honoured to have esteemed members of our management team present today.
Ms. Neerja Kapur, Chairman and Managing Director, Mr. Titus Francis, General Manager, Director, and Chief Financial Officer, Mr. Sharad Ramnarayanan. Without further delay, now I hand over the call to Ms. Neerja Kapur, our Chairman and Managing Director of NIACL, to address the analysts present here on the call. Over to you, ma'am.Thank you.
Thank you, Aryan, and very good evening to all. I am Neerja Kapur, Chairman

and
Managing Director of New India Assurance, and along with me, as mentioned by Aryan, are Mr. Titus Francis, GM and Director, and also the CFO. Along with me are also General Manager, Mrs. Sreedevi, who is in charge of Motor, and Mr. Sharad Ramnarayanan, our Appointed Actuary.
I would like to firstly thank all the participants who have taken time out for attending this call. To begin with, I shall give a brief background, and Mr. Titus shall highlight the financials of 9 months, ending 31st December, 2023. Thereafter, we shall proceed to the question and answer session, wherein we shall endeavour to answer all your queries and clarify any doubts you might have.
As you all know, New India Assurance was founded by Sir Dorab Tata in 1919. The company's operations span across 25 countries, and we have been a market leader since the time of nationalization, way back in 1973. New India continues to be rated

AAA by CRISIL, and India National Scale Rating of AAA.IN, exceptional, by AMBEST. The company continues to be identified as Domestic Systemically Important Insurer, that's DSII, by IRDA. We are certified as ISO 27001.2013 compliant on IT security, thus making us one among the few general insurers following highest standards on data security in India. As you know, the Indian general insurance industry has been growing impressively, and for the period ending 31st December, 2023, the industry has grown by 14.02%, and has completed a gross direct premium of INR2,13,486 crores. And as per current trends, it is expected to cross INR2,90,000 crores by the end of this financial year.
For New India, the Indian gross direct premium grew by 9.04%, and as I have mentioned in the past, our motto remains, Growth with Profitability. And in this process, we have let go of a few loss-making businesses which were unwilling to renew at the right price or terms. While the direct premium growth has been lower, the gross written premium witnessed a growth of 15.38% in the third quarter, and 10.5% for the nine-month period as the company wrote crop business of INR258 crores as inward reinsurance from our sister company AIC during the quarter. Our market share is 13.33%, and we remain the market leader. The industry continues to be highly competitive.
The combined ratio of the industry, which we usually get with a one-quarter lag, for the period up to September 23 was 112%. For New India, we reported a combined ratio of 120.64% for the nine months ending December 23, and 116.56% for the quarter ending December 23. In the third quarter, the country has witnessed catastrophic events like cyclone Mikjong and floods in South India, Sikkim and West Bengal.
The net impact of these events on the company's third quarter results was about INR358 crores, which is in addition to the INR301 crores of catastrophic claims that adversely impacted the results in the first half.
The impact of cap losses on the ICR was about 2.9% for the nine-month period and 4.4% for the quarter. Despite this, the profit after tax for the nine-month period was

INR775 crores, as against INR900 crores for the corresponding period last year. The balance sheet remains strong with the net worth at INR20,754 crores and the investment assets stand at INR94,512 crores. The investment environment has been joined and the company's net worth, including the fair value change account, increased from INR37,957 crores in March 23 to INR44,690 crores in December 23. The solvency ratio remains comfortably above the threshold of 1.5 times and we are currently at 1.72 times. The company has a well-diversified portfolio of products, including the recent launches of surety bondsin fact, New India is one of the few insurers issuing both bid bonds as well as performance bonds and these policies will go a long way in supporting t

he infrastructure growth in the country.

Francis Titus: We have also come out with modern treatment rider under the health insurance policies, the battery protect add-on for electric vehicles under our motor line of business, along with the pay-as-you-drive policies which we had launched earlier, MyCyber policy to address the cyber threat for our retail customers, CritiProtect policy to provide protection in the event of critical illnesses and earlier, of course, the drone insurance policy has been launched.

We are continuously endeavouring to provide the best of customer initiatives and service. Going forward, our focus remains on digital initiatives, streamlining processes for increased efficiency and increasing our sales force with a focus on our agency channels.

I would like to convey to our stakeholders that your company, which is categorised as a domestic systemically important insurer, is fundamentally robust and strategically well-poised to cater to the insurance needs of the country, offering the best insurance solutions to our customers while ensuring right pricing of our products. With this, I now hand over to our CFO, Mr. Francis Titus, who will give a presentation on the performance up to quarter 3 of 2023.

Thank you, Madam. Good evening to all of you and welcome once again to the earning conference call. I will just brief you on the financial results of the company up to quarter 3, FY24. So we are the largest general insurance company in India with an established brand and expansive multi-channel distribution network and a strong international presence. We are number one in India in terms of net worth, domestic gross direct premium, highest number of offices and maximum number of claims settled.

We are into the 104 years of operations and as already mentioned by CMD ma'am, the financial strength rating is B++ by AMBEST as well as a long-term issuer credit rating of BBB++ by AM BEST, a AAA stable by CRISIL and this year we have got an additional rating from AM BEST, which is an India national scale rating of AAA, which is exceptional and which is the highest in the country.

So going forward, we also have issued 30 million policies in FY 22-'23 and we have a presence in 26 countries through various international offices, agencies and subsidiaries, including a box at Lloyds London. We are leaders in segment wise performance in terms of gross direct premium in fire, marine, engineering, motor health as well as aviation. We have a market share of 13.33% which is the highest in the industry.

Coming to the future strategy, we continue to focus on the increasing return on equity by maintaining or increasing the market share and leveraging the benefits of economies of scale driven by growth, rationalization of operating offices maintaining healthy solvency margin and increasing digital penetration.

We also would leverage technology to drive customer satisfaction, profitability and growth. If you look at our business mix, motor OD and TP comprises of around 27%, health and PA 45%, fire 17%, marine 2% while others are at 10%.

If you look at our channel mix, direct 32%, broker 33%, agency 26%, dealer 9% and banca assurance at 1%. Our technical reserves are at INR50,551 crores which shows that we adequately provided for. Coming to the finances snapshot against GWP of 31,425, we have a profit after tax of 776 and against GWP of 28,440 and profit after tax of 900.

Of course, this quarter and as well as the previous quarter, we were impacted by CAT claims. As already mentioned, around INR650 crores of CAT claims came in the year. This is why our incurred claim ratio is at 98.07 against 94.7 in the nine months period last year. Our expenses ratio are almo

st same as 13.84 compared to 13.91 last year.
And our commission ratio is at 8.74 against 7.76 last year.
Because of the ICR, the combined ratio is at 120.64 against 116.37 last year.
Solvency at 1.72 and ROE at 5.08%. Segment-wise, we have grown in all the lines of business. As already mentioned, we have grown at 10.5 and which is more in motor OD at 24.75 and health at 9.94%. And because of the crop line of business which you have underwritten in the current quarter, there is an increase in the other line of business by 18.83%.
ICR, as already mentioned, has gone up from 94.70 for the last nine months to 98.07, mainly because of the CAT losses and some higher TP ratio and slightly higher health ratio. As already mentioned, our balance sheet is very strong with a net worth of 20,754, a net worth including fair value at 44,690, investment assets at market value of INR94,512 crores and a solvency at 1.72.
Aryan Rana:
Moderator:
Ketan Athavale:
Neerja Kapur: These were the brief highlights of the financial results of the company for nine months, December '23.
Yes, Sagar, we can go for Q&A session now.
Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Ketan Athavale from Robocapital. Please go ahead.
Hello, thank you for the opportunity, sir. I wanted to know what is the combined ratio outlook for FY '25 and FY '26?
I think that's a little forward-looking statement. That would be a forward-looking statement and possibly we may not be able to give a forward-looking statement at this point of time. But as I have mentioned in our previous investor meets also, our constant endeavour has been to reduce the combined ratio.
The combined ratio, as you know, comprises of the ICR, the commission ratio and the management expense ratio. So while the commission ratio and expense ratio are at
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Ketan Athavale:
Moderator:
Bunty Chawla:
Neerja Kapur:
Bunty Chawla: very reasonable figures and we don't see much scope for reduction there. But the ICR, yes, we would be looking at reducing and our focus is to get the combined ratio less than 110%.
Less than 110% is possible by FY '25?
Again, it's a forward-looking statement. I said we are always endeavouring towards working towards this target. That is our target in the long run, yes.
And can you mention about ROE also? What do you expect in FY '25-'26?
These are all forward-looking statements. I think it would be difficult for us to mention them. But I would ask our CFO to answer, to take that question.
Yes, just a ballpark.
Actually, we always target to have a ROE above 10. So that is what we are aiming at. It's a target.
Above 10. Okay. Got it. Thank you.
The next question is from the line of Bunty Chawla from IDBI. Please go ahead.
Thank you, ma'am. Just as you have said that the outlook is to bring below 110%, though in the long term, not in near future. But what are the triggers that should support bringing down this kind of a combined ratio?
Yes, as I mentioned, the commission ratios and expense ratios are at very reasonable figures and probably some of the best figures in the industry. If you see for the nine months ended, our commission ratio, despite giving added incentives to our sales force, under the EOM guidelines issued by IRDA, our commission ratio for nine months was 8.74% and expense ratio was 13.84%. So combined with about 22%.
The ICR is of course one factor which we are working extensively on.
The nine month period ICR was 98.07%. Again, this was impacted predominantly due to the catastrophic claims and we are constantly endeavouring to settle these claims as early as possible and to update the provisions in line with the updated survey report. We are endeavouring to focus on improving the ICR of our motor portfolio as well as our

health portfolio. These are two main components and a focus on these two
prominent portfolios will help the overall ICR to improve as well as the combined ratio
to come within the targeted endeavour.
Ma'am, continuing with this, as you said catastrophic losses of around INR650 crores
has impacted this. So if I need to understand what was the same number last year,
nine months, so that if I equalise this number then I will get the ICR on an equivalent
basis. Ketan Athavale:
Neerja Kapur:
Ketan Athavale:
Neerja Kapur:
Ketan Athavale:
Francis Titus:

Neerja Kapur:
Bunty Chawla:
Neerja Kapur: So currently the provisions that we have made for these catastrophic perils is about
INR659 crores and last year at the same time it was about INR202 crores. So there is
a good increase of nearly INR479 crores on account of this. But like I said it is a
constant endeavour to ensure that the claims are settled fast as and when we settle
the claims the provisions get released. So hopefully by the end of the fourth quarter
our performance for catastrophic perils will improve.
So ma'am, if I reduce this INR650 crores minus INR200 crores, so approximately
INR400 crores, if I adjust this, so your combined ratio should come last year around
116, right. So my query is how, what are the triggers or the steps or any outlook you
can give from 116% to 110%, what are the things we are doing so that it should come
down.
See, like I mentioned the two main portfolios are health and motor and we are
constantly endeavouring to improve the performance here. For instance, if you see in
the motor performance, our OD ratio at the end of last year December was about, own
damage was about 130%. So this is, you know, with a lot of focus on improvement
here, this is now improved to about 118%.
And our health portfolio also has improved, you know, from about, especially the
group Mediclaim insurance, it has improved from about 108% to 103%. So these are
constant endeavours which we are making, but at the same time for the motor third
party claim ratio, that has gone up slightly, because we have seen that there has not
been much increase in the motor TP premium over the last few years, it has been
stagnant. And whereas, you know, after the COVID period, the quotes are now back
in full flow and awards have increased and due to inflation, the average, you know,
award amounts have also increased.
So the TP ratio has, you know, gone up a little bit. We are, again, you know, it's a
constant endeavour to ensure that we do a lot of settlement of these third party claims
also and trying to improve the ratio there also. So these are, you know, a little bit of
improvements in the motor OD ratio, in the health group ratio, but countered by the
third party claims which have slightly gone up. So that's the overall impact on our ICR.
Bunty Chawla: Okay. Lastly, in any segment, do we have taken any price hike or premium hike
during this quarter or any of the segments, fire, marine, motor, any?
Neerja Kapur: So yes, in health, we had increased our premium rates after nearly six years. I
remember mentioning this in the last investor meet also that our health retail rates had
gone up after a break of nearly six years, we had increased our rates. So the new
policy rates had gone up from 1st of April and the renewal rates had gone up from 1st
of July.
Then there was a policy Asha Kiran where the rates had gone up from August
onwards. So these are the rates which have gone up as and when the renewal takes

place. So obviously that increase would have happened in the last quarter also for
these retail policies.
Plus, in addition, we have seen an increase in, due to the various impacts of t

he
catastrophic perils over the last few years, the rate for STFI, that's the storm, flood,
etcetera, in property, that has gone up by in the range of, you know, 15% to 25%
depending upon the region. So that has overall impacted the property rates by in the
range of 3% to 5%. So yes, we have seen an increase of rates in these two segments.
Bunty Chawla: So just one clarification, you said increase of premium rates, it was around 3% to 5%
you said. Is it right?

Neerja Kapur: In property, yes. Overall impact of the increase in STFI, that has resulted in the net property rates going up by 3% to 5%.
Bunty Chawla: No, no. On the health side, there has been an increase after six years of premium rates. So just the rate at which...
Neerja Kapur: The increase has happened depending upon the different ages, the different age bands, and that has ranged from 20% to 30%.
Bunty Chawla: 20% to 30%. Okay. Thank you. Thank you very much.
Neerja Kapur: Welcome.
Moderator: The next question is from the line of Shreya Shivani from CLSA. Please go ahead.
Shreya Shivani: Yes, thank you for the opportunity. I have two questions. First is on the loss ratio for the health segment. Can you help us break up the loss ratio in the health segment between retail policies and group policies, specifically the employer-employee segment?
And my second question is on the solvency ratio. So the solvency ratio for the nine months came in at 1.72. What is our internal target of where we want to keep it or where we are comfortable? I know the regulatory requirement is 1.5 times. And is my understanding correct that the higher claims that must have come through is what has dragged the solvency because the growth has roughly been only 10%-11%, right? So is that understanding correct?
Neerja Kapur: Yes, I'll answer your second question first. Yes, you're right. The impact on the solvency has been predominantly due to these increased catastrophic claims. And our internal guidelines and we want to take the solvency at anything above 2. That is our endeavour and our target. So that was the second question.
Regarding the first question, your question on the health insurance, you wanted to know the ICR of the employer-employee relationship. That's what we call the group Mediclaim. That was last year at 108% at this point of time, 31st December 2022. It is now, at the end of 31st December 2023, it has improved to 103%.
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February 21, 2024
Shreya Shivani:
Neerja Kapur:
Shreya Shivani: And retail? Retail segment, which is your indemnity, retail policies?
Yes, we are seeing the ICR at about 98%.
Okay, that is 98%. And just one follow-up on the solvency ratio. So you will be raising capital or any plans because you're clearly under 2, like significantly under 2, which is your internal target?
Neerja Kapur: No, we will not be raising capital. If you see our net worth is at, one second, our net worth is at 19,000. It's at 20,754, but on fair value, it is 44,690. So it's nearly two and a half times. So the fair value change is not counted for solvency, but our actual net worth including the fair value change is 44,690.
Shreya Shivani: We got it. We got it now. This answers all my questions. Thank you so much.
Neerja Kapur: You're welcome.
Moderator: Thank you. The next question is from the line of Dev from Haitong. Please go ahead.
Dev: Okay. My question was on the lines of — in the commercial line of business, mainly fire and marine, the growth has not been coming on a nine-month or over nine-month period. You've also mentioned that that was — I guess that was probably because of the prudence that you have got into the system of underwriting and bringing in profitability. So, is that the only reason why the growth has been weak -- somewhat weak in the commercial line of business? And is there anything that we intend

to
undertake to improve this kind of growth in these lines at least?
Neerja Kapur: See, the growth in the fire segment has been about 6.26%. And the growth in the engineering segment, it is in the range of about 15%. There has been a lot of investment in the infrastructure. So, we are seeing a lot of increase in the projects, policies coming which fall under our engineering policies. So, we are seeing many large projects -- many new projects for which we are issuing engineering policies. As regards fire, yes, we have been quite prudent in underwriting these — the policies. And, like, we are focusing on growing in the right segments. So, yes, we have taken a conscious decision in some areas which have been continuously loss-making for many, many years. So, we have taken that conscious decision possibly not to renew or to renew at harder terms which the client may not have accepted. But, yes, there is a lot of competition also in these segments. So, yes, in fire, we have seen a growth of 6.26%. It has grown from INR4,900 crores to about INR5,264 crores.
Engineering growth has also been there of one second. In engineering, we have seen a growth of from about INR700 crores to INR772 crores.

Dev: Okay. Okay. Got it. Got it. That's helpful. Thank you.
Moderator: Thank you. The next question is from the line of RK Khandelwal, who is an Individual Investor. Please go ahead.

RK Khandelwal: Sir, you have substantial investment in your portfolio where market value has increased substantially. Do you have any plan to dispose of some of the shares to earn long-term capital gain and distribute among the shareholders?
Neerja Kapur: I will request my CFO, Mr. Francis Titus, to answer this question.
Yes. As you said, we have a lot of fair value reserve account, but we will use it judiciously. It will be, as and when the requirement is there, only that time only we will be monetizing those shares. So, we cannot be selling it off all at one and giving it to the shareholders at one instance.
No, no. At present, market value is high and since your portfolio has increased substantially two, three times and you have a substantial gain, therefore I say part of the gain can be used.
Yes, Yes. That we are already doing it. We are already doing that to that extent required. So, that is already being done. That is why also we have the profits during the period. Also, there are underwriting losses.
You have some plan in future also in the coming year, coming fourth quarter?
Yes, yes. We have the targets, internal targets. So, that has been taken care.
Okay, okay.
Mr. Khandelwal, do you have any other questions?
No, no. It's all right.
Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Ms. Neerja Kapur, Chairman and Managing Director of the New India Assurance for closing remarks.
Thank you, Sager. And thank you, Arvind and your team from Veritas Reputation for organizing this conference call. I would like to thank all the participants again for attending our call, taking time out from their busy schedules. If you have any further queries, I will request all of you to please get in touch with us. We would be happy to address them all. Thank you once again. Francis Titus:
RK Khandelwal:
Francis Titus:
RK Khandelwal:
Francis Titus:
RK Khandelwal:
Moderator:
RK Khandelwal:
Moderator:
Neerja Kapur:
Moderator: Thank you. On behalf of the New India Assurance Company Limited, we conclude this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

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THE NEW INDIA ASSURANCE COMPANY LTD.
(Govt. of India Undertaking)
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Ref. No.: NIACL/CMD_BoardSectt/2024-25 29th May, 2024
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Dear Sir/Madam,
Sub: Transcript of the Conference Call held on 24th May, 2024
With reference to our letter dated May 17, 2024, intimating you about the conference callwith Analysts/Investors held on May 24, 2024, please find attached the transcript of theaforesaid conference call.
You are requested to kindly take the same on records.
Thanking You
Yours faithfully
For The New India Assurance Company Limited
Jyoti Rawat
Company Secretary & Chief Compliance Officer
THE NEW INDIA ASSURANCE CO. LTD.
• CHOR L "The New India Assurance Company Limited
Q4 FY '24 Earnings Conference Call"
May 24, 2024
THE NEW INDIA ASSURANCE CO. LTD.
9,1%-trr 770-41- *qt. Perfect Relations The Science of Image Management
MANAGEMENT: MR. TITUS FRANCIS — EXECUTIVE DIRECTOR, — NEW INDIA ASSURANCE COMPANY LIMITED
MRS. SMITA SRIVASTAVA — EXECUTIVE DIRECTOR - NEW INDIA ASSURANCE COMPANY LIMITED
MRS. SUSHMA ANUPAM — GENERAL MANAGER, HEALTH - NEW INDIA ASSURANCE COMPANY LIMITED
MR. SREEDEVI NAIR — GENERAL MANAGER, MOTOR — NEW INDIA ASSURANCE COMPANY LIMITED
MR. SHARAD RAMNARAYAN — APPOINTED ACTUARY — NEW INDIA ASSURANCE COMPANY LIMITED
MODERATOR: MS. MAMTA SAMAT — PERFECT RELATIONS PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the New India Assurance Limited Q4 FY '24 Earnings Conference Call hosted by Perfect Relations Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.
Please note that this conference is being recorded. I now hand the conference over to Ms. Mamta Samat from Perfect Relations Private Limited. Thank you and over to you ma'am.
Mamta Samat: Thank you Muskaan. Good evening ladies and gentlemen. I am Mamta Samat, the host for this conference call. I thank each one of you for joining us today for the New India Assurance

Company Limited Q4 FY '24 Earnings Conference Call. Today we have with us the Senior Management represented by Mr. Titus Francis, Executive Director, Mrs. Smita Srivastava, Executive Director along with other senior management dignitaries. Before we begin, I would like to say that some of the statements that will be made in today's discussion may be forward-looking in nature.

It is subject to unforeseen risks and uncertainties and the actual results could materially differ. We will begin the call with the opening remarks from the management after which we will have the forum open for the interactive Q&A session. I would now like to hand the conference over to Mrs. Smita Srivastava for the opening remarks. Thank you and over to you ma'am.

Smita Srivastava: Thank you Mamata. Good evening everyone. I am Smita Srivastava, Executive Director, the New India Assurance Company Limited.

On behalf of my team, I extend a warm welcome to you and thank you for your presence today at the New India Assurance Company Limited earning ca

ll for the fiscal year 2023-24. I would also like to express a heartfelt gratitude to each one of you for your continued patronage and confidence in us over all these years. We hope you all have had the opportunity to review our results including the press release and investor presentation available on the stock exchanges. Today, I am joined by Mr. Titus Francis, Executive Director, Finance, Mrs. Sushma Anupam, General Manager, Health, Mr. Sreedevi Nair, General Manager, Motor and Mr. Sharad Ramnarayan, Appointed Actuary. To begin with, I will give you a brief background of our company.

Thereafter, Mr. Titus Francis, Executive Director, will present the financials for the fiscal year ending 31st March 2024 and then we shall proceed to the question and answer session wherein we shall answer all your queries and clarify any doubts you might have. The New India Assurance Company was founded by Sir Dorabji Tata in 1919. The company's operations span across 25 countries and we have been a market leader since nationalization in 1973. Our company is a state insurer for Gujarat and Lakshadweep.

AM BEST has assigned the India National Scale Rating of aaa.IN exceptional, affirmed the financial strength rating of B++ which is good and the long-term issuer credit rating of bbb+ good to the New India Assurance Company Limited. The outlook of these credit ratings is stable. In India, we are rated AAA stable by CRISIL.

The New India Assurance continues to be identified as a domestic systemically important insurer by IRDAI. We are certified as ISO 27001. 2013 compliant on IT security, thus making us one among the few general insurers following higher standards on data security in India. With over 105 years of experience in the general insurance industry, we have built a legacy of trust and reliability.

Our long standing history and deep rooted expertise enable us to navigate the complexities of the market and deliver superior insurance solutions. As you are aware, the Indian general insurance industry has been growing impressively and for the year ended 31st March 2024, the industry has grown by 12.78% and has completed a gross direct premium of INR 2.89 lakh crores.

I am proud to announce that New India holds the highest market share in the industry, amounting to INR 37,085 crores which represents 12.78% of the market. This is a testament to our robust market presence and our ability to meet the diverse needs of our customers. We are proud of our extensive global reach with a presence in 25 countries and our expansive network of over 1840 offices in India. This widespread footprint reinforces our dominant position in the domestic market and enhances our ability to serve a broad customer base.

Coming to the financials, our gross written premium grew by 8.3% during the year to INR 41,996 crores as compared to INR 38,791 crores in the financial year 2022-'23. The profit after tax increased by 7% during the year to INR 1,129 crores against INR 1,055 crores last year. The profit after tax for the fourth quarter more than doubled as it increased by 128.4% to INR 354 crores. The segment-wise breakup of our company's business portfolio is as follows. Health and personal accidents 45%, fire 16%, motor third party 14%, motor own damage 12%, other lines of business including liability and aviation at 10% and marine 3%.

Our company commands 12.78% market share in terms of GDP among the Indian general insurance and consistently been a market leader in fire, marine, aviation, engineering and health insurance in India. The solvency ratio remained healthy at 1.8. The net worth stands at INR 21,135 crores as against INR 19,920 crores in the last financial year. The investment assets stand at INR 95,910 crores as against INR 86,111 crores last year.

The investment environment has been buoyant

and the company's net worth including fair value
change account increased to INR 44,704 crores as on 31st March 2024 as compared to INR 38,675 crores in the previous financial year recording a growth of 17.78%. The impact of catastrophic claims on the net incurred claims during the year was INR794 crores. During the fourth quarter there was an impairment charge of INR 110 crores on the Nigerian operations due to devaluation of their currency, the Naira.

Some tectonic changes have been taking place at the regulatory level with introduction of several light touch principle-based regulations. These regulations are a part of a larger exercise undertaken by the regulator to make the insurance ecosystem more robust and consumer friendly. Some of them are the IRDAI Insurance Products Regulation 2024, IRDAI Expenses of Management including Commission of Insurance Regulation 2024, IRDAI Protection of Policyholders' Interest Operations and Allied Matters Insurance Regulation 2024. IRDAI Rural

Social Sector and Motor Third Party Obligations Regulation 2024, the Bima Sugam Insurance Electronic Marketplace Regulation 2024. the Corporate Governance Regulation for Insurance 2024, the Finance Actuarial and Investment Regulation 2024, the Registration and Operation of Foreign Reinsurance Branches Regulation 2024 and the Registration, Capital Structure and Transfer of Shares and Amalgamation of Insurers Regulation 2024 and I would like to assure you that our company is making a very smooth transition to the new regulations which have been introduced.

We remain committed to pursuing growth and profitability ensuring that we continue to meet the needs of our customers by delivering value to our stakeholders. Thank you for your continued support and trust in the company. Together we look forward to a future of sustained growth and success.

With this I now hand over to Mr. Titus Francis, Executive Director Finance to present the company's financials for the fiscal year 2023-'24.

Titus Francis: Thank you, Madam. Good evening to one and all once again. I am just presenting a brief overview of the financials of the company for the fiscal year '23, '24 and as Ma'am has already put it that we have the highest market share of 12.78% out of the total gross direct premium of INR 2,89,738 crores written by all the companies. We are leaders in fire, marine, engineering, motor, health including, not motor, motor we are a close second, health including PA and aviation. We are a 105 year old company. We have a presence in 25 countries with 1840 plus offices in India and a dominant domestic market position.

Our solvency is very strong at 1.81 which has grown from the earlier quarters. We are also rated by AM Best and CRISIL Rating as already emphasized by Smita Madam. We are also having the ISO 27001:2013 certification and we are having a diverse product mix with technical competence and a multi-channel distribution. We strive to excel in customer service and technology with a consistent market leadership and growth.

Along with the various initiatives we are also aware of the ESG initiatives which are required to be done and we are trying to reduce our carbon footprints by sustainable practice and green energy solutions and digital processes. We are also implementing the various governance practices and aim to be transparent and accountability in all operations. We also have used the entire CSR budget in social welfare and are involved in various social initiatives like education and health.

Our future strategy continues to be increasing the return on equity by increasing in market share, improving our profit margin by leveraging economies of scale driven by growth, rationalization of operating offices, increasing the digital penetration and maintaining a healthy solvency margin and w

e are always aiming to leverage technology to drive customer satisfaction, profitability and growth.

If you see our distribution mix we have brokers at 33%, we have direct at 29%, agency at 28%, dealer at 9% and bancassurance at 1%. Our financial performance in short, we have completed a gross direct premium income of INR 40,363 against INR 37,482 last year with a growth rate

of 7.68. This is the global premium. A GWP of INR 41,996 against INR 38,791 crores which is giving a growth of 8.26%.

The profit after tax is INR 1,129 against INR 1,055 with a growth of 7%. A net worth of INR 21,135 against INR 1,992 crores last year with a growth of 6.09%. Net worth including fair value at INR 44,704 crores against INR 37.957 last year. Our ICR at 97.36 against 95.59 last year. We were hit by catastrophic events which cumulative loss on a net basis was INR 794 crores. Similarly, there were certain hits to the P&L as to the Nigerian operations because of the devaluation of Naira and hence our combined ratio is at INR 120.99 against INR 117 last year.

Solvency is 1.81 and our return on equity is 5.50. We come to the product mix. Fire is at 16%, marine is at 2%, motor is at 26% and health and PA at 45%, others at 11%. The movement in technical reserves show that we are adequately provided for and as of 31st March INR 50,114 crores is the technical reserves.
And the key ratios we have incurred claim ratio at 97.36 commission at 8.74 and expense ratio at 14.89. We are well within the UM limits as per the IRDA UM regulations. Our solvency is at 1.81 and ROE as already mentioned is at 5.50. Net worth including fair value, general reserves, investment at market value and solvency has already been mentioned by our ED Smita madam.
If we come to the segmental performance we have grown in almost all the lines of business. Fire at 4.73%, motor OD at 14%, motor TP at 2.95%, health including PA at 8.07%, another miscellaneous at 20.60 which includes the crop business of around INR 370 crores. As already mentioned the ICR is at 97.36 and if we look at the LOB wise ICR fire at 80%, marine 48%, motor OD at 105%, motor TP at 96%, health at 105% and other miscellaneous at 56%. So, these are the brief highlights of the financial performance of the company.
Moderator: Thank very much. We will now begin the question and answer session. First question is from the line of Vikram Kotak from Ace Lansdowne Investments Services. Please go ahead.
Vikram Kotak:
Titus Francis: Yes. Thank you taking my questions. I have couple of questions ma'am for you. One is you mentioned that we have 1800 plus operating offices all over the world and you are also planning at the same time trying to rationalize some of the offices. So, can you throw some light what kind of numbers over the next couple of years and what kind of rationalization you are going to drive?
Yeah, if you are aware that we had four tier structure last year and we moved to three tier structure. So, we had almost 2100 plus offices earlier and which has now been rationalized and come down to INR1840 crores. This is only Indian operations. The global operations are there as it is and it is as per the territory wise it goes.
So, wherever we find that the offices are not viable or they are close proximity is there between two offices and within the same maybe one kilometer radius. So, we try to see that whether these can be merged without impacting the service parameters. So, this is a constant analysis of the offices what we have as of now and we try to rationalize these offices so that we give better services. The service parameters is paramount so that we take into consideration before we also merge the offices to the nearest office.

Vikram Kotak: Yes because I was looking at the slide which was somewhere increasing ROE beca

use my
second question was what are the parameters you are looking to increase the return on equity because that has been in single digit for a long time. So, one of course you mentioned about the rationalization of offices which will reduce the cost. What are the other parameters like you are also increasing digital penetration.
So, any numbers on that? What are the current digital numbers for our business? What will be within direct how much will be digital? And what are the numbers you are looking at over the next three years?
Titus Francis: Yeah, actually the first question the return on equity. Yeah, what we are trying to as of now there are certain claims which have hit us in this year like the CAT claims. So, that is why our ICR.
So, since our ICR is slightly on the higher side, how the return on equity gets impacted and also you must remember that our net worth is quite high.
So, my denominator is already on the higher side, but what we are trying to achieve is that at least we come to that 110% ICR combined ratio, but we have that ROE target of being coming to the double digits. So, on a medium term plan we plan to come to combined ratio of 110% percent and as well as the ROE being around slightly about 10.
Vikram Kotak: Understood. So, that could be medium term is over 2 years, 3 years time?
Titus Francis: Yes.
Vikram Kotak: And on the digital side what is the strategy and what is the current number on digital where are you seeing yourself at digital because digital has become very popular medium for insurance buyers particularly on the health side and the...
Titus Francis:
Vikram Kotak:
Titus Francis:
Vikram Kotak:
Moderator: We are aware of that digital penetration. We are constantly striving to increase the digital penetration. As of now we are around 12% and we lot of agents portal, customer portals, broker portals and all these are we try to increase it over a period so that our digital footprint gets increased. So, we are constantly striving to improve our digital footprint and bring more and more of our operations into digital including even settling of claims not only the premiums even

the settlements of claims and the surveys report all these are we are trying to digitalize slowly
and steadily.
Great. So, 12% is on the overall business not part of the directs. So, overall you are 12% digital?
Yes.
That's good. Okay superb. Thank you so much.
Thank you. The next question is from the line of Jerick Sachdev from Emkay Global. Please go
ahead.
Jerick Sachdev: Hi. sir. Thank you for taking my question. My question is any plans to launch new products and
going aggressive in promotion of products considering intense competition from peers?

Titus Francis: I didn't get the question. Can you repeat please?
Jerick Sachdev: My question is any plans to launch new products and going aggressive in promotion of products
considering intense competition from peers?
Smith Srivastava: Yes, sir. In the insurance industry anybody I mean for upping the game we do have to come up
with new products and in the last financial year New India has come up with I think 27 new
products in the products and we are constantly looking at our customer needs and some which
we are working on and which even IRDA is pushing.
One is the surety bond which helps in the infrastructure development for the country, then title
bonds which helps the real estate industry and we are also looking at cyber security and health
is one area which requires regular churning in terms of new products and pricing.
Similarly, even for motor, even though we have a large number of products, but looking at the
loss ratios, the pricing has to be made dynamic. So we are constantly doing market analysis
research and we have a very well-provided and intelligent and good actuarial team which works
on the pricing and the new initiatives taken by the regu

lator which is Bima Sugam, Bima Vistaar
and Bima Vahak.
So Bima Vistaar is a new product which the regulator is bringing forward. It's a combined
product, a bundled product which covers life, personal accidents, property. and health. And these
are very nominally priced across the country and will be sold at the gram panchayat level. So
we are looking at these also and the total products which our country has, our company has as
of date are 306, out of which 64 are health and personal accidents and the other non-life products
are 244. Anything further, sir?
Jerick Sachdev:
Moderator:
Ashna M:
Titus Francis: No ma'am, that's it. Thank you so much for answering the queries.
Thank you. The next question is from the line of Ashna M from Motilal Oswal. Please go ahead.
Yeah, hi, hi. Thank you for taking my question. So firstly I would like to know, do you have any
capital allocation strategy in place and how and where will we deploy the cash flow generator?
30% of PAT is what we strive to distribute as dividend. So we, the insurance company being a
capital intensive industry, capital is the raw material for future growth. But still we will try to
maintain 30% of PAT to be distributed as dividends.
Ashna M: Okay, okay. So and also if you can just give guidance whether the company will be able to
maintain the gross margin of mid-team growth for FY'25 and FY'26?
Titus Francis: Actually, our vision is growth with profitability. So even then, but we need to be with the market.
So we also strive that we grow at a double-digit growth, at least by around 10% is our, is our
goal ahead.
Ashna M: Okay. right. Okay. thank you.

Moderator:
Mahek Shah: Thank you. The next question is from the line of Mahek Shah from Emkay Global. Please go
ahead.
Thank you for taking my question. So I have three questions. So first is, given that no price hike
is expected in the motor TP segment, so how do you see the planes ratio panning out in FY'25?
That will be the first question. Second is, with no motor TP price hike expected. do you see any
competitive intensity increasing in the motor OD segment in the coming year?
And third one is, can you help us with some of your thoughts on the claimed frequency and
severity in the health segment? And would the company be looking to take a price hike in the
health segment? These are my three questions.
Smita Srivastava: So I'll request our General Manager of Motor, Sreedevi Nair ma'am, to answer your question on
motor TP. And thereafter, Sushma ma'am will take up the question on health claims.
Sreedevi Nair: So your first question was on like TP, right from 2018 onwards, we have had not a hike in the
premium, like whatever hike has happened has been very minimal. So that has impacted our

claims ratio. Along with that, the awards that are coming in and the notional income that the course are taking, that has also increased over the years.
So this has affected our motor TP ratio. And last year, we have seen a hike of around 10% in our motor incurred claim ratio. So this is a challenge that we are facing. In OD, your question was on OD? What was your question on motor OD?
Mahek Shah: On the competitive intensity, in the coming year. How do you see that?
Sreedevi Nair: Yes, actually, there is competition in this field. But at the same time, we are tying up with the major manufacturers across the country. We have tied up with almost 13 as of now. And in the coming year, also, we will be focusing on growth in OD. We have the premium coming in through various intermediaries. So we definitely want to increase our presence in OD.
So by increasing OEM tie-ups and other retail business, we'll definitely be meeting those challenges.
Mahek Shah: Okay, and on the third question in the health segment.
Sushma Anupam: Yeah. So I'm Sushma Anupam. I take care of the health portfolio in New India Assurance Company. And your quer

y related to the frequency and periodicity for the health claims, I would put it in a way that the entire industry is reeling under the pressure of the long COVID complications that are still surfacing. And all of us are really having a spike in our claims overall, which are prompted maybe also because people are more cautious and they want to rule out any complications further.
So we do see a spike that. that is a reason why we see almost 12% to 13% increase in our normal, whatever claims we usually see around this time of the year. And the second thing is also we have a steady book of senior citizens. like we were the pioneers in retail health when the segment

was opened. And since then, we have people who are with us for all these years. So it's a large contingent of senior citizens and with the increased expectancy in life.
We do have a very big number where as the age advances, there would be some issues related to health and thereby the number of events we see it is a bit of concern which we are addressing through other various initiatives, like the health check-up and other measures. Thank you.
Mahek Shah:
Sushma Anupam: So just to follow-up on this one, I wanted to understand that you mentioned that the senior citizen pool is getting bigger and bigger day-by-day. So what is the company's strategy to bring in the young pool which is there?
Yeah, so thank you for this very good question. Actually, we have come up with a new product, which is Yuva Bharat and even the Digital India product which we have. It is targeted at the youth and also we are coming up with more such products where we are attracting the younger lot. We are also coming out with some top-up policies with the long-term policies where we are sure that we will attract the younger lot also to our books. Thank you.
Mahek Shah: Okay, and one last question. Do you expect any price hike in your products in the health segment?
Sushma Anupam: So actually, you know, we have already come out with a price increase and the second thing which we had last, we had a promise that we were coming out with age-wise pricing instead of block-wise pricing for age blocks, I mean to say. So we have already worked on that and very soon we are coming out with the zone-wise and age-wise pricing. So that is in the offing.
Mahek Shah: Okay, thank you so much for answering the question.
Sushma Anupam: Thank you.
Moderator: Thank you. The next question is from the line of Jerick Sachdev from Emkay Global. Please go ahead.
Jerick Sachdev: Hi ma'am, I would like to ask you one more question that how much was the return on the investment income you made in the quarter compared to the last quarter?
Titus Francis: The return on investment is at 14.97% which includes profit on sale of equity.
Jerick Sachdev: Are there any numbers that we would like to see in future by any chance?
Titus Francis: Well, we would like to be with whatever the trends in the market. So for the fixed income securities, we would like to be around whatever the 7.5% to 8%, whatever is the long term investments are giving. Profit on sale on equity, it will vary depending on the market condition.
So we can't put a number there. But we normally try to churn the portfolio and take advantages when the market is high so that we can churn some of the portfolio.
Jerick Sachdev: Okay. So also adding to that, I wanted to ask you one more question. What is the New India Assurance's strategy to increase business, customer base and the market share going forward?

Smita Srivastava: Sir this is a regular thing which any insurer looks at. And we are looking at increasing our retail base so that the penetration

in the country increases. And we are attempting this one through the
Digital mode of procuring insurance because it's easier and very convenient for a high number,
a high percentage of millennia's in the country which is I think about 35% to 40%.
And this particular bracket is very comfortable buying insurance online. So we are going very
heavily into digital marketing and digital sales through our portals. And as was earlier answered
through a lot of integration with our many clients. customers using agent portals_ broker portals.
aggregators.
So that is one area. Also the regulator has been pushing penetration in the country by going to
not only tier two, tier three cities but going down to the gram panchayat through the BIMA
Vistar and the BIMA Vahak scheme. And our company is also the state insurer for the huge state
of Gujarat and also Lakshadweep.
So we are looking at meeting with these government officials, transporters, farmers, different
agencies where we can sell products on the retail basis. And IRDA has identified a vendor, an
IT vendor called Zoppo who are preparing a digital gateway through which we would be able to
employ and take on BIMA Vahak which is a women-centric distribution channel. And we are
looking very closely at this.
And once the BIMA Vahak both individual and corporate are taken online, we will be selling
this bundled up product called BIMA Vistar at the gram panchayat level. That is going to help
us in increasing our reach as well as number of people we cover and growth in premium. Also
we are looking at new products which will attract people in the market.
We have thousand add-ons under our motor and fire product and other tailor-made solutions to
different kinds of policy holders who have different needs. So we are hoping that by taking these
steps, we should not only increase our premium but also increase the insurance penetration and
density in the country.
Jerick Sachdev:
Moderator:
Saloni:
Titus Francis: Okay. Thank you so much, ma'am.
Thank you. The next question is from the line of Saloni from Angel One. Please go ahead.
Sure. Hello. Hi, ma'am. On the management expense, what was the impact on the total expense
of management that the company has incurred?
The expenses of management has been steady for this year. There has not been any major
expenses of management this year like the previous years. So our percentage of expenses of
management compared to last year, it is 14.77% compared to last year 13.50%. So this is a
normal increase with the premium increase and few exceptional items like as I mentioned that
few increase in the liabilities around INR 200 crores and some additional provisions which we
have made this year. That has slightly increased the management expenses but overall it is on
the normal range.

Saloni:
Titus Francis: Okay. So I have one more question. Do you have any plan for sustainability or low carbon footprint going forward?
Yes, I think the ESG is already we have floating an RFQ for a consultant to look into our ESG
requirement and we are also taking steps wherever we can to reduce the carbon footprint like
one of our offices in Rajasthan is a paperless office. Similarly, wherever we try to minimize the
electricity consumption, we have this facility where the lights go off automatically when the
person is not there in the office and we use VCs more instead of physical mode also to reduce
the carbon footprint and to have the environment to take care of the environment.
Saloni: Okay. So the sustainable revenue from this, the EBITDA margin for the company, what is the EBITDA margin for the company?
Titus Francis:
Saloni:
Moderator:
Dipanjan Ghosh: Actually, we don't have the EBITDA margin. Actually, what we look at is the combined ratio and the maintaining the growth. So we hope to have a double digit growth though our main aim
is growth with prof

itability and combined ratio we already mentioned that we wanted to bring it
to 110% over the medium term.
Okay. Understood. Thank you so much.
Thank you. The next question is from the line Dipanjan Ghosh from Citi Group. Please go ahead.
Hi, good evening. A few questions from my side. First, on the group health side, if you can give

your strategy incrementally in terms of customer segment that you would be targeting large versus mid and small and what sort of pricing aggressiveness or pricing normalization you're seeing in that segment.

Second would be on the B2B businesses. I just want to understand what sort of competency does a non-life insurance player really require to succeed in this segment. I mean, is this segment more price sensitive or is it based on more of value-added services that you provide to the customers or is it based on more of long-term relationships?

I just wanted to get some colour on the key competencies you require to really succeed in this segment. And in line with that, if you can also kind of break up your FIRE business in a bit more granular fashion between retail or corporate or the type of business underwritten within the FIRE segment for both you and maybe for the industry just to understand it more from a relative basis.

And lastly, on your retail health insurance business, if you can give me the number of or the mix for new business this year and what would be the growth or degrowth in new business on the retail health side? Those are my three questions.

Smita Srivastava: Sir. Your first question on group health, segment pricing, and the last one on retail. It will be addressed by Mrs. Sushma Anupam, General Manager Health.

Sushma Anupam: Yeah. So coming to the group health, it is largely it is a corporate business where it is the employer-employee kind of equation which we are covering in the policies. So usually, you will

find it is a market practice that here all the, you wanted the overall portfolio or you wanted the segmentation. how we are looking at it?

Dipanjan Ghosh: Basically, we wanted to understand the strategies on group health in terms of let's say large corporate versus small corporate.

Sushma Anupam: Yes. So actually, in that. I can place it that way that large corporates. any which ways have to be considered separately because you can't find a parallel. But as far as the small or midsize corporate is concerned, we do have a similar book where we can have a better pricing strategy. But at the same time, we always strike a balance going by the experience of that particular group. So, you know, we it's a blend of both. We take the pricing for the particular corporate as well as the entire book for that particular segment.

So if we are looking at a midsize corporate level, then you know, what is our experience in that level of that segment plus the experience of a particular corporate. That is how the pricing strategy works. And as far as the large corporates are concerned, the sheer volume and the size does not allow us to make a generalized kind of pricing there. So it goes with their own experience as such. So that is the part related to the group health.

Dipanjan Ghosh:

Sushma Anupam: Just one small follow up. I mean, do you see pricing aggressiveness in the market in terms of bidding for this customer that you have or has the pricing kind of rationalized a bit? How do you read into the current market situation?

Okay, so actually, I see that the market has hardened post the COVID. It is across all the insurers because of having sustained huge losses in COVID time. Thereafter, the pricing has been there has been a good amount of price correction. As far as New India is also concerned, we have gone for a massive price correction exercise.

And we have said a lot of our corporates where they were not, you

know, in our line of thought

process of accepting the price correction. So in that process, almost INR 800 crores we had lost in the previous year. And even in this expiring year, for '23-24, we have given up almost around INR 500 crores of business where the price correction was not acceptable to the customer. So definitely, I see that there is an improvement as far as the market is concerned. But at the same time, it's a dynamic market.

So with so many players in the market, you would always find that there is some aggressive pricing thrown in by a few entrants or, you know, even for the ones who are already established ones, but for various reasons. So it will continue. And eventually, it will stabilize. But speaking for our company, I can tell you that we have certainly been on a price correction path. And we are even going forward, there won't be any change in it. We are going for a price correction as far as the group health is concerned. And even as far as the retail health for that matter is concerned.

Dipanjan Ghosh: Okay, ma'am, on the weekend, my question on new business mix and growth, some colour on that.

Sushma Anupam:

Dipanjan Ghosh:

Sushma Anupam: Okay, so as far as our retail health business is concerned, as I already mentioned, it is a bigger segment of senior citizen population. So there is natural degrowth also happens to some extent. But largely, I would put it that our renewal ratio as far as the health policies are concerned, it is almost about 75% to 80%. We see that the policies are renewed. Other than some small dips here and there thrown by the natural attrition.

You know, you mentioned this point second time in the call on, you know, population of senior citizens in your retail health business. So you know, you have been in this business for the longest period of time, or at least among the larger ones. Yes, get some colour. I mean, you know, when let's say when you look at a cohort of customers, does claims ratio increase only based on age or is it based on the gestation of the customer in terms of let's say a customer stays with you for 20 years and gradually ages, let's say from 45 to 65?

Or is it, you know, based on some of the characteristics, I mean, is it a fundamental phenomenon in the industry that you know, whenever customers age, the claims ratio increases, I would assume that pricing should adjust accordingly. And, you know, just aging should not be a factor leading to higher claims.

So what really drives it? Is it because you know, the backpocket increases? If you can get some colour on the cohort, you know, how you see the cohort behaving in terms of age versus demographics, or whatever you think is important?

Yeah, actually, very interesting question. Actually, it is never done per se the age. Actually, what happens is, you know, with the aging, there are other health complications, which make the cost of treatment higher.

That is actually the problem. Otherwise, if you see, it's not just because a person is aging, the cost is going to go up. It may not be so but it is because of the advancing age, a person contracts some other lifestyle diseases by the time a person becomes senior citizen, or crosses, say, 65 years or 70 years of age.

And that really brings in a lot of other expenses which are there and to balance all those expenses, a price revision is necessitated every time. So it's not just the age, it is the other things which are there and plus with the newer treatments that are coming because there's so much experimentation going on in the medical field, which has come up with the established and accepted treatments which get covered in the policy. And all those treatment costs also keeps going up. That is how the price revision is necessitated. Thank you.

Sushma Anupam:

Smita Srivastava:

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panjan Ghosh: Thank you. Got it. And that's my last question, which was more on the B2B business.
Can we get a clarity on the question? You wanted to know how we go about our B2B services.
B2B business is basically your PNC businesses, which is the fire engineering liability. So just wanted to get some colour on the granularity of the business, both in terms of ticket size or maybe lumpiness, concentration risk, and in terms of the insurance supply available on them and the pricing from the private or public competitors. How is that? I would assume that over a period of time. this segment should be quite price sensitive_ similar to group health')

Smita Srivastava:

Dipanjan Ghosh:

Smita Srivastava:

Dipanjan Ghosh:

Smita Srivastava: So on a company level, if you take the breakup between corporate and retail, its 40% corporate and 60% retail policy. But in fire. I would say it would be 50-50 because we have a large number of corporate set of books and a large number of large risk, what we call large risk, mega risk, that is risk at one location more than INR 2,500 crores, more than INR 3,500 crores.

So if you go by granularity. we have both retail fire policies. like the Bharat Griha Bima, which is the householder's policy. And then we have the huge large risk policies for builders and other industries. So basically. that would be the breakup. And you wanted to know about reinsurance. So we have a very well-defined reinsurance policy. which is filed with IRDA.

And we look at maximizing retention within the country. We see that we get the best protection for the rates that we are paying. We also see that the rates that we get, we get the best protection. And at the same time, we get optimum deductibles in the treaty. So I would say we have a very prudent reinsurance policy for the company.

But as you would know that the reinsurance market is a global market, and we are governed by what goes on in the global reinsurance market, ruled by the global players. So because of the climate-related risks, its a hardening market now, and we are finding it difficult to get good rates for our fire portfolio.

And then lastly, on the pricing in this segment, I mean, when its underlying, let's say corporate customers, those mega-risk, large-risk customers, what do they really look for? Is it pricing or

is it value-added services? What are they really looking at for selecting the underlying insurance companies?
You're talking only about fire LOB?
Fire line of business? Mostly fire and maybe fire and liability side of things.
See, we look at how long the customer has been with us, and what has been the loss ratio for the customer over a period of time. So its a huge industry giving us a lot of premium, and the loss ratios have been good. So in the coming years, the premium may go down. But suppose we find that the loss ratios are high, then the premium are loaded.
And regarding value-added services, we do have, risk management and risk evaluation services, which we give to our customers through our risk insurance department. And also, we have, if the business is coming through brokers, then many times the brokers have technical expertise and know-how, which sometimes goes beyond our knowledge.
And they also give a lot of risk-betterment advices to our valuable customers. In the health segment, we look at wellness products. We give them, if they have good wellness parameters and other things, then they get vouchers for gyms and maybe a discount on the premium if the loss ratios have been good. In motor, we provide roadside assistance and free roadside assistance to our customers. So these are generally the common value-added products that we provide.
Dipanjan Ghosh: Thank you, ma'am. for all the detailed answers and all the best.

NIoderator:
Abhishek:
Titus Francis:
Abhishek:
Titus Francis:
Abhishek:
Titus Francis: Thank you. The next question is from the line of Abhishek from Centrum Broking. Please go ahead.
Yes. Hi. Thank you for the opportunity. My question is, for the last five years to six years, the net profit has been inconsistent. So could you elaborate the reasons for it?
Yes. Actually, every year, there has been certain events which have come in, coming like one year there was the COVID-related event that has happened. One year there was the wage areas where, the wage areas impact had to be taken. Sometimes there are catastrophic events which happen. So all these things do happen year after year. So, and that is why we can see that there is ups and downs in the profitability. But however, I think as we go forward, we feel that there should come certain stability in the profits.
So, because before pandemic, the profits are much higher to what we are having right now. So, in that sense, you expecting that in the next two years, three years, we will be as far as what we were before pandemic?
Yes, we strive to be there. So, as we already mentioned, we strive to be 110% combined ratio in the medium term. So, this will then bring us to where we were at some point of time. And that will help us also to up the ROE to what we are looking at.
So, last question, if you can elaborate on the segment wise growth, we have seen in this financial year, and also how has been the revenue growth each segment? What are the targets for the next fiscal year, both in segment wise growth in business and in revenue?
So, actually, that is there in the investor presentation, the segment wise performance. So, just to, broadly mention that, fire we had grown by almost 5%, motor ODE by 14, motor TP by 3, health by 8% and other miscellaneous by almost 21%. So, our target is to, be around 10% growth overall.
Abhishek: Thank you, sir. Thanks. That's about it.
Moderator: Thank you. As that was the last question for the day, I now hand the conference over to the management for closing comments. Over to you.
Smita Srivastava: Thank you, Ms. Mamta for moderating the call. And thanks to Perfect Relations for organizing this call. I would also like to thank our shareholders, business partners, analysts and investor friends who have shown continued faith in us and supported us throughout our journey. We would be happy to connect with you on a one-on-one basis if required for any further queries that you would have and take it forward. Thank you once again.
Moderator: Thank you. On behalf of Perfect Relations Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

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Dear Sir/Madam,
Sub: Transcript of the Conference Call held on 14th August, 2024
With reference to our letter dated August 08, 2024, intimating you about the
conference call with Analysts/Investors held on August 14, 2024, please find attached
the transcript of the aforesaid conference call.
You are requested to kindly take the same on records.
Thanking You
Yours faithfully
For The New India Assurance Company Limited
Jyoti Rawat
Company Secretary & Chief Compliance Officer
The New India Assurance Company Ltd
Q1FY25 Earnings Call
14th Aug, 2024
Management:
1. Ms. Girija Subramanian - Chairman and Managing Director
2. Mr. Titus Francis - ED
3. Ms. Smita Srivastava — ED
4. Ms. Sushma Anupam, General Manager & CMO
5. Ms. Lavanya Mundayur, General Manager & CUO
6. Ms. Mukta Sharma, General Manager
7. Ms. Chandra lyer, General Manager
8. Mr. C. S. Ayyappan, General Manager & CRO
9. Mr. Sharad Ramnarayan, Appointed Actuary
10. Mr. Ruchir Pant, DGM

Moderator: Welcome to the conference call of The New Assurance Company Limited arranged by Concept investor relation to discuss its 01 FY25 results. We have with us today, Mrs. Girija Subramanian - CMD, Mr. Titus Francis - Executive Director, Mrs. Smita Srivastava - Executive Director, General Managers (Technical), Mr. Sharad Ramnarayanan - Appointed Actuary, and Mr. Vimal Jain - CFO.
At this moment, all participant lines are in listen only mode. Later we will conduct a question-and-answer session. At that time, if you have a question, please press * and '1' on your telephone keypad. Please note that this conference is being recorded. I would now like to hand over the floor to Mrs. Girija Subramanian. Thank you and over to you, ma'am.
Girija Subramanian: Thank you and good evening to everyone. I'm Girija Subramanian - Chairman and Managing Director of New India Assurance. Joining me on this call are Mr. Titus, Francis - ED, Mrs. Smita Srivastava —

ED, General Manager (Technical) - Sushma Anupam, Mrs. Lavanya Mundayur, Mrs. Mukta Sharma and Mrs. Chandra Iyer. We have our CRO - Mr. Ayyappan, with us. Our Appointed Actuary - Mr. Sharad Ramnarayan and also our DGM - Mr. Ruchir Pant.

First of all, I would like to thank all the participants who have taken out time for attending this concall. I would also like to express my gratitude to our valued shareholders, analysts and investors for your continued support and interest in our organization. There has been remarkable growth in the Indian insurance sector over the past few years. However, India still remains under penetrated with general insurance penetration around 1.10%. IRDAI, the regulator and Government of India, along with various insurers are taking many steps to help increase the insurance cover, bring down the cost of premium and educate people about the importance of insurance. Furthermore, we are witnessing increasing disposable income, increasing cost of medical expenses alongside awareness and willingness of the new generation to opt for a health cover. All this has helped increase penetration level to some extent. We firmly believe that this will only increase substantially with time.

As many of you know, New India Assurance

was founded by Sir Dorab Tata in 1919. Our operations now span 25 countries and we have maintained our position as a market leader since nationalization in 1973. We are proud to be rated AAA by Crisil and hold an exceptional AAA.in rating by AM best on the India national scale. Additionally, we are recognized as a domestic systematically important insurer by the IRDAI and our ISO 27,000:2013 certified for IT security placing us amongst the few general insurers in India with such high standards of data security. Also, we are the state insurer for the state of Gujarat and Union Territory of Lakshadweep. This widespread footprint reinforces our dominant position in the domestic market and enhances our ability to serve a broad customer base.

The Indian general insurance industry has shown impressive growth. During the quarter ended June 30, 2024, the industry grew 13.33% with the GDP of Rs. 72,758 crores as against Rs. 64,198 crores for the corresponding quarter of the previous year's. Current trend suggested figure could surpass rupees Rs. 3,00,000 crores by the end of this financial year.

For new India, staying true to our moto growth with profitability, we have strategically avoided loss-making businesses that could not meet our pricing or terms resulting in a slightly lower direct premium growth. The company's GWP for the quarter ended 30th June 24 was Rs. 11,788 crores. Our net earned premium for the quarter ended 30th June 2024 was rupees Rs. 8503 crores, registering a growth of 7.37% year on year.

Our market share stands at 14.67% as on 30th June 2024 and we continue to be market leader despite the highly competitive environment. The first quarter of the year was marked by significant catastrophic events including Cyclone Remal, which is severely affected the West Bengal area and severe flooding in Assam and Northeast area due to heavy monsoon rains exacerbated by the cyclone Remal.

As on 30th June 2024, the company has a net worth of rupees Rs. 21,343 crores and investment assets standing at rupees Rs. 98,770 crores. The company's net worth including the fair value change account increased from rupees Rs. 44,704 crores in March 24 to rupees Rs.47,703 crores in June 24. The Profit After Tax stood at rupees Rs.217 crores as against rupees Rs. 260 crores in the previous financial year, primarily due to motor third party portfolio where there has been no price division in the last three years.

The incurred claim ratio has improved to 95.98% for the period ended 30th June 24 as against 96.19% for the corresponding quarter last year and 97.36% for the year ended 31st March 24. The combined ratio stands at 116.05% as against 115.16% for the corresponding quarter last year and 120.87 for the year ended 31st

March 2024.
The solvency ratio remains comfortably above the threshold of 1.50 times and we are currently at 1.83 times. The company has a well-diversified portfolio of products, including the recent launches of surety bonds. In fact, New India is one of the few insurers issuing both bid bonds as well as performance bonds, which will support infrastructure growth in the country. We are continuously striving to provide the best customer initiatives and services.
Moving forward, our focus remains on digital initiatives, streamlining processes for increased efficiency and expanding our sales force particularly through our agency channel. In this direction, we have tied up with Super App players like Phonepay and having pays, WhatsApp enabled sales facilities.
Looking at the Q1 performance, we have revised our premium targets to better align with our strategic goal of growth with profitability. We aim to achieve an increase in retail insurance premiums and profitable segments, while improving our presence in under penetrated areas and lines of businesses. We plan to undertake targeted marketing campaigns, customer and intermediary engagement initiatives and the market

ing of our
products as per individual requirements. As per our benchmarks by under penetrated areas, we consider potential in the rural sector, livestock insurance tier two and three cities, microinsurance products for low-income groups, MSME sector, women centric products, targeting millennials and the Gen Z.
With our superior digital capability, we plan to utilize our digital platform mobile technology and apps to reach remote areas. Our concerted efforts for the bancassurance channel is being made with the intention to collaborate with commercial banks, cooperative banks, regional rural banks, non-banking financial institutions. Additionally, we are looking to tap cooperative societies, local organizations, NGO's and self-help groups to enhance, reach and trust with our customers.
Apart from the agency and bank assurance lines, our key focus areas shall be speedy claim settlement, improving our turnaround time and ICR, designing new products to meet the requirements of different segments and digitizing the claims settlement process including the AI based claims settlement in select lines of business. We have tied up with super app players like Phonepay, WhatsApp enabled sales facility and which is made available across many products.
Work is in progress for adding more plugins facilities to improve customer journey. I want to assure our stakeholders that your company recognized as a domestic systematically important insurer is fundamentally strong and strategically well positioned to cater to the insurance needs of the country offering best solutions to our customers while ensuring proper pricing for our product.
With that, I now hand over to our CFO - Mr. Vimal Kumar Jain, who will present the performance up to the first quarter of 2024.
Vimal Kumar Jain: Thank you, ma'am, and good evening to everyone. I will give you a brief overview of the financial performance of the recently concluded first quarter of Financial Year 24-25. The results have been uploaded on our Stock Exchange and on our website as well. You can also access it as I am presenting a brief overview of the financials of the company for the quarter one of Financial Year 24-25.
We have the highest market share of 14.67% out of the total gross direct premium of rupees Rs. 72758 crores written by all the companies. We are leaders in fire, marine, engineering, motor, health, including PA and aviation. We are 105 years old company. We have a presence in 25 countries with 1755 offices in India and having dominant domestic market positions.
Our solvency is strong at 1.83 times, which has grown from the earlier quarters. We are also rated by AM Best and Crisil ratings and are also having an ISO 27001:2013 certification and we are having a

diverse product mix with technical competence and a multi-channel distribution. We strive to excel in customer service and technology with a consistent market leadership and growth.
Along with the various initiatives, we are also aware of the ESG initiatives, which are required to be done, and we are trying to reduce our carbon footprint by sustainable practice, green energy solutions and digital processes. We are also implementing the various governance practices and aim to be transparent and accountable in all operations. We are involved in various social initiatives like education and health and have using the CSR budget.
Our future strategy continues to be increasing the return on equity by increasing in market share, improving our profit margin by leveraging economies of scale driven by growth, rationalization of operating offices, increasing the digital penetration and maintaining a healthy solvency margin and we are always aiming to leverage technology to drive customer satisfaction, profitability and growth.
Our distribution mix, we have brokers30%, direct business 36%, agency 25%, dealers 8% and bancassurance 1%. Our financial performance ensured we have comple

ted a gross premium income
of Rs.10,536 crore in first quarter of 24-25 as against Rs.10,212 crore in last year of first quarter. There is growth of 3.17%.
Our growth return premium is of rupees Rs.11788 crore as against in rupees Rs.11362 crores which is giving a growth of 3.74%. The profit after tax is Rs.217 crores against Rs.260 crores. Net worth in Indian Rupees 21,343 crore as against INR 22,025 crore in quarter one financial year 23-24. There is growth of 5.39% in net worth.
Net worth including fair value is Rs. 47,703 crore against Rs.38,487 crore last year. Our ICR is 95.98% against 96.19% last year. Our combined ratio is at 116.05% against 115.16% last year. Solvency is 1.83 times. And our return on equity is 4.09%.
Our product mix for Fire is at 16%, Marine is 2%, Motor 22%, Health & PA 50% and others at 10%. The movement in technical reserves are adequately provided and as on 30th June 24, it is Rs.51,638 crores in technical reserves.
The key ratios we have incurred claim ratio of 95.98% Commission 8.49% and expenses ratio of 11.58%. We are well within the EOM limits as per the IRDAI EOM regulation. Our solvency is 1.83 times and the return on equity is already mentioned is 4.09%.
Net worth is Rs.21,343 crore. Net worth including fair valuation change 47,703 crore, investment and market value is 98,770 crore and solvency is 1.83 times.
We come to the segmental performance. We have negative growth in fire by 7.15% and motor OD at -2.29% whereas positive growth is in motor TP at 9.39%, Health including PA at 5.58% and other business miscellaneous at 16.69%. As already mentioned, the ICR is 95.98% and if you look at the Lop wise ICR, Fire is at 7.85%, Marine at 56.19%, Motor OD at 114.82%, Motor TP at 111.69%, Health at 105.95% and other miscellaneous at 54.95%. These are the brief highlights of the financial performance of your Company for the first quarter.
Moderator: Thank you very much. The first question is from the line of Uday Agarwal, SBI Capital Securities. Please go ahead.
Uday Agarwal: Yeah. Good afternoon, Sir. Thank you for your opportunity, Sir. I had a couple of questions. So first one is that earlier, you know, we had mentioned in our con-calls that we are trying to improve our banking partnerships to increase our sales. So, Sir has there been any progress on that front?
Girija Subramanian: Yes, there has been considerable progress on that front. In fact, in this current year also the strategy remains with the increased focus on increasing our Banca partnerships and also trying to make products and you know, make them available across Banca channels in the way our customers would like to receive them. We are in discussion with several banks, rural the RRB's, the cooperative banks as well as the commercial banks and they're forging new ties with couple of PSU banks. It will soon come into play in this current year.

With this we are expecting that this year the banking, the bancassurance premium will go up considerably and all our products which are catering to the Banca channel are also being, you know promoted and training is being given to require people at the bank to enable them sell this product. So, with all these efforts, we hope to see a lot of traction, the bancassurance channel.

Uday Agarwal:

Girija Subramanian:

Uday Agarwal:

Girija Subramanian:

Uday Agarwal:

Girija Subramanian: OK. Thank you for the detailed answer. Ma'am, my next question is that could you just give us an indication you know about our profitability and the margins going forward, like how it will pan outgoing ahead? Will we see any improvement on that front?

Yeah. So, which as regards profitability, we are profitable at the moment and we will continue to be profitable going forward also because our strategies are we have had a very close granular look into our operations across offices we have realigned our targets. This year we have got increased thru

st on our retail segment where we feel there is a more subject to pricing that is possible for us to have and also where we're able to hold on to customers in a big way. So, we will be going very aggressively on the retail channel and therefore the profitability seems to be more on a positive note more achievable. Going forward, we plan to bring down the combined ratio significantly in the medium term so that they're able to be competitive in this current environment as well as have a very win-win situation for the company.

And if I could just, you know, squeeze in one more question. So, it was like I wanted to know like what is the internal international insurance market panning out as we have presence in 25 countries. And the last question is, could you just give us the breakup of the domestic and international gross return premium?

Yeah. So, our overall premium consists of 10% foreign and 90% domestic.

OK. And how is the international insurance market panning out as we are present in 25 countries?

Yeah. The insurance market internationally is also very competitive Most of our branches and other offices are located in much developed nations which have and they have seen a lot of experience across many years and they are very steadily their operations and they are able to stand alone on their own without any capital support from us at the moment. And if we want to grow aggressively in those markets, we'll have to infuse a lot more capital. Therefore, the strategy has generally been to mean remain profitable and relevant and you know, not with a very aggressive growth margin. In any case, those markets are developed markets where it is very strictly regulated, so being compliant with the regulations and having a very relevant existence there itself is a challenge which New India has very successfully managed for many years across 25 countries.

Uday Agarwal:

Moderator:

Aditi Joshi:

Girija Subramanian: OK. Thank you. That's it from my side. Best wishes.

The next question is from the line of Aditi Joshi from JP Morgan. Please go ahead ma'am.

Yeah. Thank you for taking my questions. I have a couple of questions. The first is just I want to follow up on the ma'am's comment that they are trying to that you are trying to avoid this loss making business lines. So, can you please get some more details as in which specific business lines or product segment that is? Second is can you please share your ROE target if you have for this year and the next year? And the third question is on the health insurance underwriting. In the presentation comments you have mentioned

that some higher loss ratios were seen in the government health scheme, so I'm just trying to understand is it just one off or how do we see the loss ratios panning out in the government scheme segment and how should we overall think about the health insurance loss ratios because you've said that the retail and the group side is sort of improving in the underwriting. So yeah, those are from me.
Yeah, to answer your question, #1 which was on which lines of business we are avoiding which are loss making. So, the comment that we made was we're not avoiding any line of business. We are present across all lines of business, will continue to be present. The only thing is our strategies have changed within the line of business so that we focus within the segment on better business on wherever we've had bleeding accounts like in group medi-claim business where we had a lot of heavy ICR because of group certain groups not performing well, we have hiked up the price and we have lost businesses because of that. So, there is I mean wherever we have lost business on account of increase in price so that it becomes viable for us, we have lost the business and therefore de-growth in those lines. Otherwise, we are very aggressive on the retail side across all lines of business where we intend to grow with much more aggression

in the coming quarters. Now the second question
was are we target, which our Executive Director, Mr. Titus will answer.
Titus Francis: Good evening once again and thank you for joining us. So is regarding the question regarding ROE. So, I would like to just inform you that we are committed to have double digit ROE in the short term. So, anything about 10 is what we are targeting to be above 10 in the short term or the medium-term range. So, this is our target because we have a good amount of net worth, so we require a good amount of profit to have that ROE. So, this is what we target in the short term so probably in a year of one to three years. So, we have targeted that we will be going about.
Girija Subramanian: So on the third question regarding health loss issues, we have our GM — Mrs. Sushma Anupam who will answer that question.
Sushma Anupam:
Moderator:
Aditi Joshi: Good evening and thank you for the question. Actually, related to the government loss issue, I will first answer that usually in any policy, the claims would be panning out in different times of the year and they are more or less cyclical and seasonal so what happens is that the entire picture, the loss ratios will stabilize by end of the year. So, if we look at it at any one point of time, it could vary from time to time. But over a period of time, it stabilizes so we see stability that will come by end of the year in the government's loss ratios. And as regards the other balance, health portfolio, as CMD Ma'am has already mentioned that we are forging ahead into the retail segments which are profitable and we are strategizing to have more and more business in that, at the same time we are concentrating on the group businesses which have been profitable and some of them which have not been profitable, we have tried attempting the price correction wherever the customers have supported us in this initiative. We have gone ahead with them wherever it has not been mutually acceptable, there we have let go of some accounts and definitely the effort as we have also recruited a large number of doctors. So, we are making all efforts to make the portfolio sustainable, at the same time, we are actually having some constraints in the form of the medical inflation that is coming year on year. So as much as the efforts are being made, we are even having to face the medical inflation and the newer additions and the treatments and the modern treatment cost, which is going up, that actually is on the other hand making all the calculations and estimations a bit stormy, so nevertheless it is a journey which we have begun and I think that with the strategy we are very hopeful of bringing down our loss ratios in the health segment as well in the

group segment, I meant to say, thank you.
The next question is from the line of Aditi Joshi, JP Morgan. Please go ahead.
Yeah. Sorry. Thank you for taking the question again, I could not catch your comments on the last question. Actually there was some issue with the line. So, just briefly on the health insurance segment, again, if you can.
Sushma Anupam:
Aditi Joshi:
Moderator:
Aditi Joshi: OK, sure. So actually, as I was mentioning that as far as the government loss ratio, I would address that query first. Actually, the policy which is there is for a year and in usually in all such policies as the awareness increases and as we encounter different seasons, the claims do change in the numbers and the exposure that is there changes in the time of the year that we talk about; so, usually all such policies they stabilize by end of the year. So, even in this policy currently though, we see a spike in the loss ratio, we are very hopeful that by end of the policy year we will be able to have a repeat performance of the previous years and the loss ratio would stabilize there also because the seasonal impact will be neutralized by then. And coming to the other part I mentioned

that in the retail
segment as our CMD Ma'am has already mentioned that we are really going strong and we are making all efforts to increase our portfolio there and we are coming out with the new products and simplifying the processes and making it more customer friendly and easier for the customers to onboard various products that are being offered and we see a good traction and we are hopeful that there the portfolio is going strong and as far as the corporate group policies are concerned, we have attempted lot of price correction and we have a very huge book. It is well known by all of very large portfolio client. So, there we have all along attempted at a price correction and wherever we had challenges and there it was not mutually acceptable, we have let go such accounts and we have also recruited a large number of doctors. So, we are working very closely on monitoring of the claims and other processes that are there, but at the same time, another challenge or a problem that we encounter all along is the high medical inflation. So, initially it was felt that after COVID the medical inflation would come down, but it has sadly not come down and then to add to it, we also have lot of modern treatments coming up, which are actually quite costly and the estimations what are done usually on account of these sometimes do go a bit stormy because of various things in the short duration. But we are hopeful that even in the corporate health segment as the year progresses; we will make better improvement in the loss ratio. Thank you.
Sure, got it. Thank you so much.
The next question is from the line of Aditi Joshi, JP Morgan again, please go ahead ma'am.
Yeah. Thank you so much for taking questions again. Just a couple of follow-ups actually. So, when we say that in the retail segment you have mentioned that you're going aggressive and you're trying to grow aggressively, aggressively aggressive on pricing means that cutting the prices or aggressive on gaining the market share and combining with hike in the pricing?
Girija Subramanian:
Aditi Joshi:
Girija Subramanian: Thank you. Aditi. Actually, it's a very good question. I really like to getting this opportunity to clarify that actually when we talk of aggressiveness, it is not the price alone. Price definitely has to be one of the important features because we are working in a competitive market where we can't price the product in isolation. But when we talk of aggression here, we were trying to make out a significant strategy where we are identifying the different sections of the population and coming out with different products that

would attract different sections of the population. We are coming out with the features that would be more appreciated by the customers where the customers can easily onboard. And by the policies, so all these features, the ease of buying insurance and increasing the market penetration, that is what we were trying to mean when we say the aggressive. Thank you.
OK. And I think in the past couple of quarters, we have seen some pricing hike in both retail and the corporate segment. So, is this trend continuing in both the segments, is it what's going on?
Yeah. So actually, you know if you see in our flagship products, particularly, we had come out with the price revision after six years. So, because we could not come out with the price revision due to the pandemic being in force and after the pandemic, we came up with the price revision thereafter, we also made some changes in the pricing strategy because there was a lot of feedback around it that when the pricing is as per the age banks, then people who are having you know double impact as much as the price has gone up even the age has gone up. So, both the case, they have to pay a higher premium, so to take care of that as we had the in the previous meeting, we had informed and which we have implemented also that we came out with age wise p

ricing and also
to take care of the normal differences, certain sections, certain areas of the country with higher medical inflation and the traction is more towards the usage in terms of the footfalls in the hospitals and all. So, taking care of that, the pricing was modified. So that was the price rise which we had in those products. And then now after the master circular, which has come in, there are some 5-6 changes which are introduced and mandated by the regulator for which we have to be compliant by 30th of September'24 to take care of that in some of our products which we had not touched the pricing for maybe over five years or so and which products are actually not very, I would put it this way that they form part of almost some 15% of our premium coverage kind of. In those policies we have come out with the increase recently, which has been received well, I think
Aditi Joshi:
Girija Subramanian:
Aditi Joshi:
Management:
Aditi Joshi:
Moderator:
Jayesh:
Girija Subramanian: and which will be effective only in the later part of the year. Thank you.
OK, sure. So when we talk about flagship products, it's, is it on the retail side?
Yeah. So actually, you know in retail, we have to come out with a price revision because it is on a book basis. It has to be applicable to all simultaneously. And there are certain norms to be followed that we have to give the notice to the customers before we make any price revisions. Whereas on the other hand, you know, for group policies, it is always on each renewal we keep doing the price correction and for whatever features are getting added, they are factored and then accordingly the pricing is done so there we don't come out with a pricing strategy or like a particular percentage or some price because each policy has its own experience and it is an experience based pricing.
OK, sure. Got it. And just one last question. Can you share the reason for a weaker investment income on a year-on-year basis in this quarter, in last quarter?
Actually, in the first quarter or that profit on sale, we have not sold much equity. Due to that dividend, we received in the first quarter. In the after first quarter also. So we sold less equity after the first quarter and our due to that we realized less profit on sales of equity,
OK, got it. Thank you so much. Thank you.
Thank you very much. The next question is from the line of Jayesh

from Harshad Gandhi. Please go ahead Sir.
Actually have joined little later. Whether I don't know whether you have answered this question or not, what are we doing to bring down our combined ratio? It is for my first question and the second question in in the last three years on an overall basis how much your increase in prices have we have we done across all our products whether it be health or whether it be fire. What are we anticipate in the price increase?
So as far as the combined ratio goes, it's a multi-pronged approach that we are you know trying out unless that we are changing our strategy towards our business, we are going more retail now because across the industry even I mean if you examine the performance of products across various insurers, retail business has done better across all lines of business most of the time so therefore, we are also going retail and we are, you know, putting our distribution strategy in place to match with our aspirations on
Jayesh: this front and we are activating most of our Bancassurance channels getting into more tie up, having more engagement with our intermediaries agencies agency, with our agents in order to ensure that the products that we have customized for our retail segment are sold and they reach the masses. Moreover, we have put internal targets of you know getting some chunk of premium, either to uninsured areas, so getting some new business which has never been insured before, which is one of the targets of our company this year and this will go a long

way in ensuring that the combined ratio
comes down significantly. We are you know reviewing our pricing on corporate businesses wherever they have bled or in in tune with the current market trends in that line of business, we are improving that price in those accounts and all of this collectively will surely bring down the combined ratio we believe. We are improvising heavily on our systems and processes. We are investing a lot into skill set development of our employees in order to be able to address issues, you know quickly bring around faster turnaround times in terms of claim service, see that less number of claims you know are delayed and we give better value for the customer and all of this because the risk selection itself, I think there has been a huge difference in the way the risk selection strategy has been because we have inducted a lot of risk engineers, automobile engineers, we have inducted doctors into our workforce and they are working tirelessly and gaining experience each day as we go and we are also, you know, training them into the peculiarities of this, you know, each of these lines of business, they're able to give better service and do a better job of the risk assessment at the time of selection itself. This also we believe will bring a big traction to the results at the end of the year. And in the medium term, we expect to bring down the combined ratio significantly.
That's great to hear. And, Madam, what about the price rises that we have taken in, say, last three years on an overall, I mean all the businesses?
Girija Subramanian: Yeah. On this, I would like our Appointed Actuary, Mr. Sharad to explain.
Sharad Ramnarayan: So, price rises, we cannot give a figure to across the board how much price increase was taken because it depends on a lot of factors including what segment of the market we are talking about. So, coming to specifics in retail health, there has been a price increase of close to 25 odd percent, which we rolled out last year and this year also because of some zoning related changes, there has been price increase in some zones which has been rolled out. Again, for the regulatory purpose, there is a 10% hike which is rolled out across various different retail health products. On group health, pricing is done on a case-to-case basis depending on how the behavior of the group works and as Mrs. Sushma mentioned earlier, the pricing has been made much more prudent and wherever the price we want is not available, we are happy to walk away. Coming to motor because there has been no price increase on the motor

third party front, we have rolled out some price increases on the motor own damage front in order to cushion the impact so that has been done and that has been done across segments, particularly on the commercial vehicle side. The price increase has been on the higher side on the own damage. Coming to property because of data repeat, there has been some pricing pressure, but here the focus is more on risk selection. So, that for the price which is available in the market, we are choosing the right. So, like that for every product line, the strategy has been different depending on the market conditions. So, across the board, whether price has increased decrease that is I don't think we can really be able to pinpoint the figure to you.

Jayesh: I get it, Sir. Thank you and good luck for future.

Moderator:

Girija Subramanian:

Moderator Thank you very much. Ladies and gentlemen, that was the last question. I now hand the conference over to Mrs. Girija Subramanian — CMD, New India Assurance Company Limited for closing comments.

Yeah, I would like to, you know, take this opportunity to thank all our investors, our business partners, our employees and everybody connected to New India one way or the other, mainly our customers who are constantly deposing trust, trust in this institution, which proves the existence for 106 years

and we will be there strong
leading from the front across many more years to come and we would put every effort that is there. The entire management team and the workforce to ensure that we deliver on the promises that we have given to our customers at all times. Thank you so much for this opportunity.

Thank you very much. On behalf of Concept Investor Relations, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

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Sub: Transcript of the Conference Call held on 12th November, 2024
With reference to our letter dated November 05, 2024, intimating you about the conference call with Analysts/Investors held on November 12, 2024.
Please fmd attached the transcript of the aforesaid conference call.
You are requested to kindly take the same on records.
Thanking You
Yours faithfully
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Jyoti Rawat
Company Secretary & Chief Compliance Officer
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Q2 FY2024-25 Earnings Conference Call"
November 12, 2024
Perfect Relations The Science of Image Management
Management: Ms. Girija Subramanian - Chairman cum Managing Director
Ms. Smita Srivastava - Executive Director
Ms. Chandra Iyer - General Manager (Finance)
Mr. Vimal Kumar Jain - Chief Financial Officer
Ms. Sreedevi Nair - General Manager (Motor)
Ms. Sushma Anupam - General Manager (Health)
Moderator: Ms. Mamta Samat — Perfect Relations Private Limited

Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY25 Analyst Conference Call of The New India Assurance Company Limited.
As a reminder. all participant lines will be in the listen-only mode. and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call. please signal an operator by pressing "*- then "0" on your touchtone phone. Please note that this conference has been recorded. I now hand the conference over to Ms. Mamta Samat from Dentsu Creative PR. Thank you and over to you, ma'am.
Mamta Samat: Thank you, Jacob. Good evening and thank you all for joining us on the New India Assurance Company Limited Q2 FY25 Analyst Conference Call.
Today, we have with us the senior management represented by Ms. Girija Subramanian — Chairman cum Managing Director; Ms. Smita Srivastava — Executive Director; Ms. Chandra Iyer — General Manager; Mr. Vimal Kumar Jain — Chief Financial Officer; among other esteemed management members.
Before we begin, I would like to say that some of the statements that will be made in today's discussion may be forward looking in nature, it is subject to unforeseen risk and uncertainties and the actual results could materially differ.
We will begin the call with the "Opening Remarks" from the Management after which we will have the forum open for the interactive Q&A session.
I will now request Ms. Girija Subramanian, Chairman cum Managing Director for the "Opening Remarks." Thank you and over to you ma'am.

Girija Subramanian: Good evening to everyone. I am Ms. Girija Subramaniam — Chairman cum Managing Director of New India Assurance.
Joining me on this call are Ms. Smita Srivastava — Executive Director along with General Manager (Technical); General Manger (Finance) and Mr. Vimal Jain — CFO.
Firstly, I would like to thank all the participants who have taken time out for attending this concall. I would also like to express my gratitude to our valued shareholders, investors and analysts for your continued support and interest in our organization.
There has been remarkable growth

in the Indian insurance sector over the past few years.
However. India remains under penetrated with general insurance penetration at around 1.10%.
IRDAI, the regulator and government of India, along with various insurers are taking many steps to help increase insurance cover, bring down the cost of premium and educate people about the importance of insurance. Furthermore, we are witnessing increasing disposable income, increasing cost of medical expenses alongside awareness and willingness of the new generation to opt for a health cover. All this has helped increase penetration levels to some extent.

We firmly believe that this will only increase substantially with time. As many of you know, New India Assurance was founded by Sir Dorabji Tata in 1919. Our operations now span 25 countries and we have maintained our position as market leader since nationalization in 1973.
We have been rated AAA stable by CRISIL and the AM Best Rating of Financial Strength Rating of B++ (Good). long-term issuer credit rating of bbb + (good) and India National Scale rating (NSR) of aaa.IN (Exceptional) indicating that the company has the highest degree of financial strength to honor its policyholder's obligations. Additionally, we are recognized as a domestic, systematically important insurer by the IRDAI and our ISO 27001:2013 certified for IT security, placing us among the few general insurers in India with such high standards in data security.
Also, we are the state insurer of the state of Gujarat and the union territory of Lakshadweep.
This widespread footprint reinforces our dominant position in the domestic market and enhances our ability to serve a broad base, a broad customer base.
The Indian general insurance industry has shown growth during the period ended September 30, 2024. The industry grew by 7.03% with a GDP of Rs. 1,53,911 crores as against Rs. 1,43,798 crores for the corresponding period for the previous year. Current trends suggest this figure would comfortably surpass Rs. 3 lakh crores by the end of this financial year. For New India, staying true to our motto, growth with profitability, we have strategically avoided loss making businesses that could not meet our pricing or terms, resulting in a slightly lower direct premium growth. The company's gross return premium for the quarter ended 30th September was Rs. 21,408 crores. Our net earned premium for the quarter ended 30th September 24 was Rs. 17,028 crores, registering a growth of 5.6% year-on-year.
Our market share stands at 12.60% as on 30th September 2024 and we continue to be market leader despite highly competitive environment. As on 30th September 2024, the company has a net worth of Rs. 21,212 crores, investment assets standing at Rs.1,00,278 crores. The company's net worth including the fair value change account increased from Rs. 44,704 crores in March 24 to Rs. 50,232 crores in September 24. The profit after tax stood at Rs. 288 crores as against Rs. 60 crores and our underwriting loss has reduced from Rs. 3,632 crores from Rs. 3,862 crores for the corresponding period of the previous financial year. The incurred claims ratio has improved to 98.92% for the half year ended 30t h September 2024 as against 101.03% for the corresponding period last financial year. The combined ratio stands at 120.55% as against 122.68% for the corresponding period last year and 120.87% for the year ended 31st March '24. Solvency ratio at 1.81x remains comfortably above the threshold of 1.5x. The company has a well-diversified portfolio of products including the recent launches of surety bonds. We are continuously striving to provide the best customer initiatives and services.
Moving forward, our focus remains on digital initiatives, streamlining processes for increased efficiency and expanding our sales force particularly through our agency channels. In this direction, we

have tied up with app players like PhonePe and WhatsApp-enabled sales facilities.
I would like to assure our stakeholders that your company, recognized as a Domestic Systemically Important Insurer (DSII), is fundamentally strong and strategically well positioned

to cater to the insurance needs of the country, offering the best solutions to our customers whilst ensuring proper pricing of our products.
With that. I now hand over to our General Manager. Finance. Ms. Chandra Iyer who will present the financial figures.

Chandra Iyer: Thank you ma'am. I'll first give an overview of our company:
We are the number one company in Indian insurance market with a market share of 12.60%. which is about Rs. 19,390 crores of premium in the general insurance industry. We are leaders in the major segments like fire, marine engineering, motor and health and aviation and we are holding our position over the past few years. Our company has a strong solvency of 1.81 times and we are having presence in 25 countries and network of 1,840 offices within the country. We have a diversified product mix with technical, competent manpower to manage the business and also a multi-channel source of distribution. We have shown our presence in the market to excellence in customer service and adopting technology for our growth and maintaining the market leadership.
Our strategy for the company is to increase the profitability and increase the return on equity for our investors by increasing our market share, improving our profit margins and also we have restructured our offices to become more efficient and adopting digital transformation for our company. We are also intent on maintaining a healthy solvency margin and improving the margin in due course. The business mix is distribution through channel is mainly 33% is sourced through brokers and 29% is through agency source of distribution. We also have 29% of our business coming through direct channels and bank assurance and dealers are bringing 9% of the business to the company.
The highlights of the financial performance for the year, we have a 12.89% growth in our GDPI and our return premiums and net premiums has increased by 5.60% to Rs. 17,028 crores. A profit of a tax after the quarter is Rs. 288 crores but if you would observe that in the previous year for the second quarter we had a loss of Rs. 200 crores which is now turned around and we are showing a profit of Rs. 71 crores for the second quarter. So overall we are having a profit after tax of Rs. 288 crores for the quarter ending September 24. Our networth has also increased including fair value, market value for investments, fair value change by 20.6% to Rs. 50,232 crores which is a major achievement for our company as we have crossed the Rs. 50,000 crore limit. Likewise, the asset value investment assets has also increased to Rs. 1,00,278 crores which is another achievement feather in our cap. Our general reserves have increased, improved by 6.5% and our results, in the incurred ratio and the combined ratio have improved over the previous quarter's position. Previous year, previous second quarter we had incurred ratio of 101% which is now down to 98.9%. and our combined ratio has come down from 122.98 in the previous half year to current position of Rs. 120.76 crores

Moderator:
Prachi:
Chandra Iyer:
Prachi: Our product mix, major portion of our business is 47% which is contributed by Health and PA reserves, followed by motor business which is 26%. Marine business Fire contributes 15% of the business mix. Our technical reserves have improved from Rs. 50.165 crores in previous half year to current half year of Rs. 52.150 crores. There is an improvement in the key ratios which measure the company's performance. Our ICR has improved from 101 to 98.9. Commission r

atio
is slightly higher at 9.41 from 8.82 but overall the expense ratio has reduced from 13.13% last half year to current half year of 12.43%. Combined ratio has also seen an improvement from 122.98 to 120.76% and as I mentioned before solvency ratio is now at 1.81 and our return on equity is 5.44.
Segment wise performance of the company, the fire business has seen a drop in the ICR from 98% to 77%. And other classes like motor, health, and other miscellaneous business have all seen a reduction in the incurred ratio with a small increase only in the motor TP business. So overall the incurred ratio has come down. To recap, the fire business premium has shown a small drop from Rs. 3,329 crores in the previous half year to Rs. 3,119 in the current half year. Marine business is up from Rs. 501 crores to Rs. 552 crores. Motor OD has dropped slightly from Rs. 2,558 crores in previous half year to Rs. 2,528 crores in the current half year. Motor TP has increased from Rs. 2,678 crores to Rs. 2,917 crores which is an increase of 8.9% in this current half year. Health has likewise increased from Rs. 9,698 crores in previous half year to Rs. 10,116 which is a 4.31% growth. Other miscellaneous classes have also seen a robust increase from 1996 to 2176 which is a 9% increase over the previous half year. So overall from previous half year premium of Rs. 20,760 crores we are now at Rs. 21,408 crores which is a 3% increase for the company.
So that is all from my side. Thank you. You may proceed with the question, if any.
Thank you. We will now begin the question-and-answer session. The first question is from the line of Prachi, an individual investor. Please go ahead.
My question is, the profit after tax has shown a 5x increase. What key factors contributed most significantly to this improvement?

So if I may, I am Chandra here. Overall, you see that our underwriting result has improved by Rs. 230 crores. This is the main contributor. So basically, the key metrics of our claims ratio and our expense ratio have been brought under control or they are reduced over the previous comparable period. So, this has contributed to the increase in the PAT. So it is five times as the proportion, but the overall improvement is Rs. 230 crores.

I also have one more question. Could you elaborate on the decision to focus on more profitable lines and let go of large renewals? How do you see this impacting premium growth in the near and medium term?

Girija Subramanian: Actually, it was a conscious call from the last almost more than a year now that we come out of bleeding businesses which are standalone and which do not impact other businesses of our

company. So whenever we find these businesses which are standalone and bleeding and bleeding across the protected period of time. I think we should move on if the price correction is not accepted by the customer. In case we have those businesses which have impact on other lines of business for us. wherever it's a bouquet of the entire business being placed with New India. then we normally try to talk to the client for the price increase and we see to it that somehow we bring about the price increase as far as possible in order to retain the client. But in many cases where the price increase was not agreed to, we have stepped away even from such businesses in the last year. It has had an impact on the topline for us, but it has definitely improved the bottomline, the way we are seeing in the results. And going forward, I mean, this ability to hold on to price, which is becoming more norm for us now, is paying off for us, especially in the health sector. And going forward also, that will be the way we will operate.

Moderator: Thank you. The next question is from the line of Aditi Joshi from J.P. Morgan. Please go ahead.

Aditi Joshi:

Sushma Anupam:

Sreedevi Nair: Just a couple of questions. Firstly, o

n the health side. In the last conference call, you have mentioned that you would like to go more aggressive in the retail health insurance segment, so. are you able to provide some update on that as in how are you doing in terms of price aggression as well as market share gains in that particular segment? Secondly, we saw some increase in the loss ratio of the motor third party line as well. So I just wanted to understand as in going forward, because of the limited price hike that we said is from our end, do you want to continue growing or would like to pull back to improve on the profitability side? Those are my questions.

I am Sushma Anupam and I would like to share with you some important points about our journey towards focusing on the retail segment. Our initiatives have started paying off and we find that our growth in the retail products has been closer to 13%. So we have a very big book of senior citizens as well. So we do have products even for the senior citizens and despite that, if we are able to have a growth of 13%, I feel that all the initiatives and efforts that have been made in the past two years, particularly in the last year have really paid off very well. And as regards to the price increase or the other initiatives that are there, I would like to just mention that in the first two quarters, we did have many regulatory advisories coming our way. And we are happy to share that we have been compliant to all of the advisories placed by the IRDAI. And even on the major changes that came in the retail product range, we have managed to do it without increasing the cost largely. So that has been another favorable feature in this quarter for us. And I think that going forward also we would expect a good traction and the sustained level of growth to continue.

Hi, Sreedevi here. So your question was on the profitability part of the motor segment even when the motor TP ratios are showing increase. So basically we should understand that the pricing reason motor TP has not happened for the last 2-3 years. So that is the major reason why our top TP ratios are going up, that also and combined with the higher awards that the courts are awarding and interest work part also. So these all are adding to the motor TP ratio. We are aware of it and we are looking at areas where we can improve the growth in profitable segments like private cars and two-wheelers. Commercial vehicles also we take care that we don't get the loss

making segments, so we have brought in a dynamic pricing also in most of the centers whereby we factor the correct price for commercial vehicles. And definitely during the remaining months. we will be focusing on loss control measures. both in on damage cover as well as TP claims. For TP claims. we have increased the number of compromise settlements that we do and we participate very actively in the National Lok Adalat's across the country. And in motor. Own Damage section. we have brought in digital loss assessment and again, garage and visits and surveyor appraisal system. So on the whole, we feel that we are on the right path towards controlling the losses in motor. Did I answer your question?

Aditi Joshi:
Girija Subramanian: Yes, thank you for that. Actually, I had just a couple of questions more if I can. Firstly, if you're able to share what will be, what does your combine ratio look like if we carve out the impact of natural catastrophic losses? This is one. And the second question was actually related to the expense ratio. Can you please highlight the reasons why the commission ratio went up? Yes, that's all. Thank you.
You wanted to know whether what would be the impact if we exclude NATCAT losses on our combined ratio, right?
If we adjust for those losses, how will the combined ratio look like? And then how much was the percentage point impact on the combined ratio from the natural ca

tastrophic losses?
So the combined NATCAT losses amount to somewhere around Rs. 600 crores to Rs. 700 crores.
I don't have the calculation right now, but that would be the direct impact on the combined ratio.
So Rs. 600 crores-Rs. 700 crores for the second quarter, right?
Yes. Around 3% to 4%
And just on the, if you are able to comment on the commission ratio as well, the reason behind the increase?
Yes, because actually the commission ratios have gone up now because we have to be in competition with the market where everybody is paying more commission on certain product lines. We also have to increase commissions to agents, to our brokers so that we are able to retain our business. It is totally a market rated effect. Chandra Iyer:
Aditi Joshi:
Chandra Iyer:
Aditi Joshi:
Chandra Iyer:
Aditi Joshi:
Aditi Joshi: Are you able to also share as in which particular line of business saw the most increase?
Girija Subramanian: Its mostly across all lines.
Moderator: Thank you. The next question is from the line of Kishore Agarwal from Bajaj AMC. Please go ahead.

Kishore Agarwal:
Girija Subramanian: Just a couple of questions. So first is on the growth side. I understand in the last 12 months you have calibrated growth to focus on profitability. But if you look at the last 3-4-5 years, we have been losing market share to the private insurers as well overall lost market share. So what's your sense on when do you see that the loss in market share to start coming down? What's the medium-term growth guidance for the company? That's my first question. So second question is. how long will it take for the growth calibration to sustain or to reduce the combined ratio? Because I think 120 combined ratio is still quite high. So in order to achieve a decent 14%-15% kind of ROE, you'll need to bring down the combined to let's say 100 and 810 sort of a level. So any guidance on that as well?
Growth part, yes, we have been focusing on growth with profitability and therefore, since we actually de-grew out of some lines, you can see that loss of market share. And there has been a little bit of impact because of organizational re-engineering or re-transformation because of government directors, we had to have corporate business houses, retail business houses and those kinds of different offices, which are handling specialist businesses and also claims hub, so there was a little bit of HR reallocation that had an impact on last year's business. We see that we will be able to make up for that in the next 1 or 2 years. So this growth which we have lost due to organizational restructuring will possibly bounce back in a year or two. But where we need to grow back and bring in new businesses into our fold, that is something which we have strategized and put in as growth targets for our various offices. And if those growth targets are met, then I think we would get back our market share in a medium term of around 2 to 3 years.
Kishore Agarwal: So in the next 2 to 3 years, let us say once this entire period of profitability gets over, you will be able to grow at let's say 10°/0-12%-15%?
Girija Subramanian: Yes, we expect to be in that range of 12% to 15% growth in the next 2 to 3 years. And also the same thing would result in a combined ratio coming down to the range of 105 to 107 in the same period because higher topline with the watch on the bottomline it surely will have a great impact on the combined ratio is what we believe.
Kishore Agarwal: So, how long did you say, 2 to 3 years, is it?
Girija Subramanian: 2-3 years period.
Kishore Aganval: What is the current yield on the debt book that we are earning?
Chandra lyer: Our debt book is showing a yield of somewhere between 7% and 7.5%.
Kishore Agarwal: And average maturity?
Chandra lyer: Average maturity is 3 years.

Moderator: Thank you. The next question is from t

he line of Sahej Mittal from 3P Investment Managers.
Please go ahead.

Sahej ittal:
Chandra Iyer:
Sahej Mittal:
Chandra Iyer:
Sahej Mittal:
Chandra Iyer:
Sahej Mittal:
Chandra Iyer: I had a couple of questions. So first is. what would be the share of senior citizen book in the retail health insurance in the overall retail health insurance book?
So it is almost about 30% of our book consists of senior citizens.
30% of retail health or the overall health insurance?
Of the retail health and this I am talking about the products which are dedicated exclusively to the senior citizens. So there are other policies also where we do have some continuing part of the senior citizens but it is a mix. So only our senior citizens is about 30%.
And what would this number be one year or two years back?
Well, I would put it this way that we are fortunate to have this book with us over a sustained period because these customers have been with us for quite some time and they continue renewing with us. That way we are blessed, I would say.
The reason I am asking this is that the senior citizen book from profitability point of view is very high on claims ratio, right? Because once these customers mature and are aged, the claims ratio goes up. So, are you trying to understand from the profitability point of view?
Certainly, it impacts the profitability. That is the entire reason why we have made more efforts in coming out with products targeting the other profitable segments and to balance out the experience that we have in the senior citizen book. So that is the way we are trying to manage the loss ratio.
Sahej Mittal: And what would be the claims ratio in this senior citizen, I mean policies or the book which is senior citizen dedicated?
Chandra Iyer: Actually, you know the senior citizen book if you see always has a higher loss ratio. It would be anywhere between 117 to 122. It keeps within that range.
Sahej Mittal: And what would be the loss ratio if you can spell out the loss ratio for your retail health and group health separately?
Chandra Iyer: Of late what I have observed is that there is not much difference between the retail and the group health segment. Mainly it is because of the medical inflation which is there. It impacts all equally. whether it is the retail segment or it is the corporate segment or it is the younger lot or you find senior citizens. Because particularly post COVID we have seen the complications that are coming up which are really giving us very huge losses even in the younger lot. So, if you have to make a comparison, I feel that it is evenly spread out as far as both the senior citizen and the non senior citizen part is concerned.
Sahej Mittal: But ma'am in the retail health book the loss ratio would be upwards of 100%.

Chandra lyer
Sahej NI ittal:
Sreedevi Nair:
Sahej Mittal:
Girija Subramanian: Retail it is less than 100%.
And one thing is on the motor TP side. So we have seen that most of the other general multi-line general insurance players they have released their reserves in the motor TP book So have we done any reserve releases?
In water TP actually we have proceeding with the correct provisioning as far as the provision is concerned because there is also another reason because we are booking it and as and when each year we are booking the third-party premium and here we are providing the correct figures including the interest also we provide each year. So provision is not released but rather it stays. We see that the correct provision is made in Motor TP.
Just hopping back on the profitability bit. So over the next 1 or 2 years, when you're given that you have already gone through the organization restructuring, how do you see your loss ratios and combined ratios moving over the next 12 months to 24 mont

hs?
In the next 12 to 24 months, we are making a lot of efforts in terms of having more standardized processes, having more supervision and monitoring across our offices, ensuring that offices that have been as per the reorganized framework expected to put the customer at the center of our existence, delivering on claims fast and being compliant with the new regulatory norms on TAT with regards to claims, etc. So with all of these improvements coming in and with the regular monitoring of our business procuring offices, whether it's a regional office or the corporate business houses, chasing the targets that are set for them, with all this monitoring, we expect to see a cleaner book with a better loss ratio, with a better combined ratio in the next two years and it's our goal to achieve a combined ratio of within 105 in the next two years.
Sahej Mittal: 105% is the combined ratio internal target which you're having. Did I hear that right?
Girija Subramanian: Yes.
Sahej Mittal: And any price hikes you're planning on the retail health policies?
Chandra Iyer: Actually, if I can just share with you that in the last two years, we have had lots of changes in the retail products that we are having as regards to the pricing. We had to wait for the revision because of the pandemic which was there. So after six years; we had gone for the price rise and then following that, we also made some changes to make it, we gave up the band-wise pricing to come up with the edge-wise pricing and we came up with a three-year product also. So all these changes were already happening. So in the current, lot of changes that came through the regulation. We have not really increased the price in those products where already we had gone with the price raise in the recent one year. But then we had some products of ours where we had not gone for a price revision for almost five years or so. And in those products, we had to make some changes because the waiting period for PED has come down, the moratorium has been revised. So with all these changes, there is certainly going to be some impact over the outgoes

again. With these policies and these products alone, we made some very nominal price increase, but largely we have absorbed changes in the existing price range.
Sahej \littal: So no major price revisions which are planned in retail health policies or senior citizen policies despite them throwing higher claims ratios?
Sushma rknupam: Actually as I mentioned to you, part of the price revision has happened in our flagship product. If you see the New India Mediclaim and the family floater price revision happened in the last year. So with that, we really do not wish to burden the policyholders with another very quick price increase. So right now, we have gone ahead with it. And we are also examining the impact of the price revision that has happened in the last year, because we are thinking even the loss ratios which I was mentioning to you, we feel that with this price revision we should be able to have some correction over it. So we would rather examine that and then decide if it is further what needs to be done because at the same time we are focusing more on the claims control part because any profitability cannot be just price driven. It also needs to have a second facet to it in terms of controlling the claims. So we are focusing on extending our PPN network in tier 2 and tier 3 cities because that is where we find a sizable population is there. And if we are able to achieve better network rates with those hospitals then we will have a better control over the claims. We have increased the audits and investigations. We have also recruited medical officers who are actively involved in the claims processing. So all these features and even better negotiations with the hospitals for the renewal packages, all these things alongside the

price rise
I think should be giving us better results.
Moderator: Thank you. The next question is from the line of Devesh Advani from Reliance General Insurance. Please go ahead.
Devesh Advani:
Girija Subramanian: Actually, my question is, the gross premium return, there has been a muted growth in this quarter of around 2.2%. So what is the guidance as far as H2 FY25 is concerned, how the company plans to improve on the front of gross premium return?
Yes, so since we are from Reliance General Insurance, you must be aware that there is a bloodbath in the market at the moment on major lines like fire and engineering. And even in other lines also, the price war is on. So obviously we are working in this market scenario. We are trying to get a little bit, write more of new business or areas that have never been penetrated before. So that is one of the agendas of the company. So we have given targets to our offices to write business that was not insured hitherto. So I think that part of the business will come in in the second quarter. It's a new business from there. But otherwise, the growth will be in tandem with market. I think a lot of growth is happening for new age insurers who have gone digital in a big way. So that's where we see the growth happening and we are trying to improve our internal IT systems and processes, bringing in more automation across our simple products which we can introduce into the market and also through the bank assurance medium. So this is the way we decide next 4-5 months we will try to bring in more new business through these lines.

Devesh Advani: Any figure as to what we are expecting for the gross premium return in the coming H2 or in the coming year?
Girija Subramanian: Expected growth. right now it's at sub 3%, we expect it to grow around 10% by the end of the year.
Moderator: Thank you. We take the next question from the line of Rishikesh from RoboCapital. Thank you. You may proceed now.
Rishikesh: Ma'am, you just shared a 105 combined ratio target for which if we see the claim ratio needs to go down as well, maybe below 90 or some odd levels. So, I would like to know what exactly is going to happen such that our ICR goes below 90 and our claim ratio goes towards 105-107 levels? And do we have any internal targets for combined ratio for FY25 and 26?
Girija Subramanian:
Rishikesh: So basically our internal target is in the range of 105% to 107% in the next 2-3 year horizon. Now as you said rightly that we have to have an internal claims ratio of around 90% in order to have a combined ratio at that level. So for that we are working heavily on all our lines of businesses to see that we improve on the ICR for each of these lines. Now health and motor together comprise around 70% to 75% of our book. And on the health side, we are trying to bring in more introspection into our claim services by way of audits and by way of having more tie-ups with other hospitals which are in the hinterland which will bring down our claims experience to a large extent. We're hiring doctors and we have used their services for auditing these claims and as well as having a tight supervision on TPAs in order to ensure that there are no fraudulent claims. We are also looking at buying some off the shelf anti-fraudulent software which will help us to detect fraud and see that if there are any such fraudulent claims we are able to take care of that. So that is as far as health goes. As far as motor is concerned, we have directly recruited automobile engineers in the last year. We are having a current recruitment exercise on in which we also will be recruiting automobile engineers. We have been having this started this practice of having automobile engineers posted at all our auto hubs. They do visit all these garages and company surveyors to detect this motor claims and whether there are any fraudulen

t
claims or what kind of practices prevail in the market. We have been taking proactive steps in order to ensure that the system at least that we operate in is cleaner as we go and I think all of these efforts will bring down the ICR apart from a very stringent risk selection exercise that we have started. We've sending our staff regularly on trainings. We been started this practice of training our staff more on these lines so that they're able to exercise more caution at the time of selection of risks in these two lines of business, apart from other lines like fire engineering. cyber, liability, all these other areas where we also want to grow. So basically all of this I think will bring an overall ICR around 100 in the next 2 to 3 years horizon.
Also one more question, in our motor TP segment you said you can't do any price hike. Could you share what's the reason for this and if you see any price hike in your motor segment going ahead?

Girija Subramanian:
Moderator:
Saket Kapoor:
Girija Subramanian:
Saket Kapoor:
Girija Subramanian: No, motor TP is mandated and it is fixed by Ministry of Road Transport. So we have absolutely no control over that and they have to only hike increase the price and there is an industry-wide representation done by the General Insurance Council as well as through the IRDA forum also to them the fact that we are experiencing lot of issues which are unsustainable and I think it has to totally appeal to the government and they have to take care of it. Till the time we have no choice because TP is a mandated segment. We cannot refuse to do TP business.
Thank you. The next question is from the line of Saket Kapoor from Kapoor and Co. Please go ahead.
Firstly, we find the government is working at 85%. And I think the LODR norm request needs us to be fee of 25%. So what is the update on the same?
We are a government-owned company and right now we are at 85% and we will have to do any loosening only after we get instructions from the Finance Ministry and from the DSS Government of India. As and when we get any news from them, we will have to start working on it. As of now, there are no plans for the current financial year.
And when we look at the concept for insurance, these are products for contingency. And always your customers are the ones who are paying in order to get the support in terms of contingency. So in that ethical angle, what should be our target in achieving growth? Because if at times the

customers do play, it is the purpose for which they have done the insurance. So when we speak in the light that there is a lot of claims being there from the clientele, it is for the purpose only that they have been in that situation that claims are arising. So how correct are we in trying to eliminate this fact because this is the nature of the business aspect itself, it is for the protection of your customers that they are giving a premium and they are looking forward to get the safeguards at time of contingency.

You said it, because that is the nature of our business that we are in this business to pay claims. So this is the very nature of our existence and claims is the reason why we are there. So, having claims is good for insurance companies and insurance business. So we will welcome the fact that claims continue to happen and continue to grow and we find ways and means to expand our business. It's all about the law of large numbers that you write many risks so that you are able to service a few claims. This is the fundamentals of insurance and that's how it will be for as long as it exists. So the only way we can handle our claims better. So as I was saying, it's the law of large numbers that work for insurance and I feel that in order to comfortably service our claims that come into our account, we need to write larger number of risks which are selected well at the time of under

writing. This is the only way that we can do this business well and that's how we'll continue to do it.

Saket Kapoor: And ma'am, for the Mediclaim part of the life insurance, for Mediclaim's part as such, we are seeing a lot of competition from the private players. So what have been the incremental additional policy holders which you have added and also the repeat customers if you could just

give some understanding and the uniqueness of our company's insurance products especially for the medical part that irrigates from the private sector because in private sector there is lot of crowding and outgoing from their side. So what are our preparations because whether it's media. whether it's other form of advertisement. we find their presence to be in a bigger way. So how are we creating our space in a profitable way in that segment?

IGirija Subramanian: The first question of how much we have increased in health, then we have increased 13%. And this is despite the fact that as you said it right that there are many health insurance companies that are doing extremely well in the market. The growth rate is at 25% for standalone health companies or the SARI companies which are growing by the day. There are many of them now and I think six of them now in the market and they are growing at a rate of 25%. We have business across all lines and with the degrowth that we targeted last year for loss making accounts. Even with that we have still grown at 13% because health is a sector where there is a lot of awareness in the population, especially after COVID and therefore it's not a push product. By far it is more or less purchased as a necessity by most individuals and therefore the growth happens even without much of push. So having said that, the difference between a company general insurer like us which does all lines and standalone insurer is that the standalone insurer has to create profitability only out of that one line and therefore it is a very price sensitive thing and the minute there are the insurer has too many claims some more than what he can bear then either he will not pay the claims, he will find ways and means of cutting down on claims or he may sort of try to cut the coverages, sell at lower coverages. All these things are possible and because he has to create that viability out of that one line of business. Whereas as a general insurer, we have got this buffer across all lines, wherein one or two lines don't do well. We have the spread and diversity across all lines, and more importantly, New India which is totally different from any other insurance company in this country, has got operations across the world. And therefore we have an opportunity where we can diversify our books, not only across line of business, but also across geographies, which are also overseas. And therefore there is a marked difference when you buy a policy from a general insurer, because we are able to take a much more shocks than a normal health insurer. That's the difference.

Saket Kapoor:

Girija Subramanian: And last point ma'am, for your investors, when investors looked at our performance and the market cap sliding and their investment not getting the right returns. What is the message to your investors, especially the minority because we as minority shareholders look for returns in a growing company, in a growing segment. So we are in a growing segment and there needs to be a lot of market penetration that you people, your team are pursuing. But when will this organization starts addressing your investors need also in terms of creating the profitability pool that takes care of your shareholders. So we are doing a good job in creating a net for the people who are paying premiums and getting their claim settled. But what is there left for your investors who are invested or are looking to invest in big companies like New India Insu

rance?

We have to thank our stakeholders and our shareholders so that we are able to exist because of the support that you have given us. We've been able to do exceedingly well in our businesses, even during these kinds of turbulent times with every competition, with the prize wars, the way

Saket Kapoor:
Sushma Anupam: they are. We are able to sustain and keep the ship afloat. That itself is a very big thing with the challenges that we have. So basically. what we have for investors in mind is that we know that you expect to get returns on your investment in a much bigger way than what you have to do. But Insurance is an area where the penetration currently is at 1.10. We have an entire canvas of 98.90% of this country that needs to be penetrated for general insurance. And we are well on our way to see that we are insuring more uninsured segments so that normally the claim ratios come down and profitability increases. With increase in profitability, that will have a direct impact on your returns also. The way forward for this is to go digital in a big way, to use the government missionary to see that we are able to reach the rural hinterland to distribute our products and so that we have innumerable number of policies that we write. And so once we write so many policies, then the number of claims that will come surely will ensure that we sort of get a better premium claims versus premium ratio and that will directly have an impact on your profitability. So this is something we are strongly working on. We are working on our digital interfaces, automation across various product lines. We're trying to see that our claims servicing comes and becomes more digital. We have recently introduced motor servicing for claims digitally up to one lakh, wherever claims are there up to one lakh, they can be straight away cleared digitally. So these are the various things where we are trying to give a better customer delight to see that the TAT for customer increases and obviously this will have an impact on more policies that will come to us or renew with us in the years to come. So these are the many things we are doing but in a country like India where insurance awareness has been growing very recently only after C OVID and only because of health where even today, the homes and many of the other assets are not insured. As I said, 98.9% remain uninsured, where the government also needs to put in their faith in insurers and ensure that all CAT services are insured with the insurers. We are working on state governments for this. And once we get this buy-in, the spread and awareness of insurance actually converts into premium and protection for the public. And with that, I am sure that once we have that, the ICR comes down, the COR comes down, and that automatically translates into return on investment for our valued investors. This is a long journey. There is no shortcut here. This sector itself is for people who believe in long-term investment and growth. And I'm sure the people who invested here believed in that and they did it and I'm sure that with all their faith and trust and with New India putting its best foot forward, the day is not far when we will see better returns and better returns on the lines of what our investors expect for them. Thank you.
And lastly, the Pradhan Mantri, the Senior Citizen Yojana, that covering people above the 70 year bracket with Rs. 5 lakh medical insurance, how has that created a market for us and how are we going to benefit it and how are we underwriting? What steps are we taking to garner those types of people who are covered by this scheme?
So, Sushma Anupam here. So, right now it has come as an announcement and yet it has to come into effect. But certainly it is a welcome move. Actually what we see in the long run is that definitely it offers protection to people who are 70 plus. At the sa

me time, it will not, I think,
affect the book that is there. As far as the business course, it will give more traction because it will increase the awareness and it will definitely bring home the point which we have also been

trying to make across that insurances really must for every person to survive in this atmosphere, particularly as far as the health segment. So we feel that it will give more opportunities. better product variations may come out of this. Even we are working closely on it and we are watching the space and we would certainly like to partner more in that space as well. Thank you.
Saket Kapoor:
Sushma Anupam:
Girija Subramanian: But that will be a good business case for us because there on the other side is the government who are ensuring that they are going to get the things settled. How does the math work for an insurance company?
Actually, every time it is not the math which is driving the entire thing. See, the main advantage there would be also in terms of the hospital network which is there for the particular segment. Because as you are aware that in the government schemes, the hospitals that are participating, they come at the table with the package rate that is negotiated by the NHA. So, there are many things to it, a lot of work goes into it. So we don't strictly look at it from that angle because with the senior citizens, we are also full of other family members also coming into the net of insurance. So every move is an opportunity and we look at it with a very open mind.

We also look at it as an experience because when you buy a policy for an elderly person at your home and when you get the benefit of a claim which obviously most certainly there will be a claim in a few years and so the rest of the family also understands the release of stress or financial burden that the whole family experiences because of that particular insurance cover being there and we expect them to copy that habit or copy that purchase of health insurance for the rest of the family. And this is how I think life insurance grew in this country and this is how health will also grow.

Moderator: Thank you. The next question is from the line of Nikhil Barshikar, an individual investor. Please go ahead.

Nikhil Barshikar:

Girija Subramanian: My question is, new entrants like Digit, ACKO etc. are tech only companies and have disrupted the general insurance space and increasing their market share. How do you see yourself competing with these companies and what is the company's strategy to increase the market share and compete with these new entrants? What is the strategy for top of mind recall strategy to remain competitive in product offerings?

Digit and ACKO are digital and in the retail space, they are very competitive. They're able to get things because of the turnaround times being what they are with the digital medium. So as I already told you, we are working on the digital part. We have been able to automate a few of our products and claim services on the digital space. We are working on the rest of the products also so that we are able to be more competitive on the retail space. But where the other mid-size or large-size clients are concerned, Go Digit and ACKO are not really a competition for New India because we have got clients across several years. We have catered and when you are talking about big clients, big risks, you cannot do much of it digitally. It has to be done by sales people, by marketing people, by our entire technical team being present, taking care of this, having a

Nikhil Barshikar: good pool of engineers, surveyors at your beck and call. And I think in those lines of businesses, we don't look at Go Digital, ACKO as a competition.

Ma'am. I have one more question for you. In the distribu

tion channel mix, we can see that bank assurance is one person, which is a smaller portion. So I just wanted to know any initiatives you are planning to take to improve this going forward?

Girija Subramanian: We have taken a lot of initiatives in the recent last three months to increase our penetration in bank assurance. We are in talks with a few banks and we are going to get into MOUs with them to distribute our products. We are also talking to some other rural banks and corporate credit societies and other affinity groups to see whether we can get onto their platforms to onboard our products. So otherwise on the digital front, we are ready with onboarding our products on any of these networks. We are working with at least 3 to 4 banks at the moment and very soon we see some traction in this area.

Moderator: Thank you. That was the last question. On behalf of the New India Assurance Company Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2025

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Dear Sir/Madam,
Sub: Transcript of the Conference Call held on 28th January, 2025
With reference to our letter dated January 22, 2025, intimating you about the
conference call with Analysts/Investors held on January 28, 2025.
Please find attached the transcript of the aforesaid conference call.
You are requested to kindly take the same on records.
Thanking You
Yours faithfully
For The New India Assurance Company Limited
Jyoti Rawat
Company Secretary & Chief Compliance Officer
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MANAGING DIRECTOR — THE NEW INDIA ASSURANCE
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MS. MUKTA SHARMA — GENERAL MANAGER — THE
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ACTUARY — THE NEW INDIA ASSURANCE COMPANY
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Moderator:
Girija Subramanian: Ladies and gentlemen, good day, and welcome to The New India Assurance Company Limited Q3 FY '25 Analyst Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
Today, we have with us the senior management represented by Ms. Girija Subramanian, Chairman cum Managing Director; Ms. Smita Srivastava, Executive Director; Ms. Chandra Iyer, General Manager; Mr. Vimal Kumar Jain, Chief Financial Officer, among other esteemed management members.
Before we begin, I would like to say that some of the statements that will be made in today's discussion may be forward-looking in nature. It is subject to unforeseen risks and uncertainties, and the actual results could materially differ. We will begin the call with the opening remarks from the management, after which we will have the forum open for the interactive Q&A session.
I would now request Ms. Girija Subramanian, Chairman-cum-Managing Director, for the opening remarks. Thank you, and over to you, ma'am.
Good evening, everyone. I'm Girija Subramanian, Chairman and Managing Director of The New India Assurance Company Limited. It's my privilege to welcome you to this investor call following the announcement of our quarter 3 results for FY '25.
Joining me today are Ms. Smita Srivastava, Executive Director; Mrs. Mukta Sharma, General Manager; Ms. Chandra Iyer, Gene

ral Manager; Mr. C. S. Ayyappan, our CR0 and General Manager. We have our -- some of our DGMs also here and our Chief Financial Officer, Mr. Vimal Jain.
At the outset, I would like to extend my heartfelt gratitude to all participants for taking the time to join us this evening. I also wish to thank our shareholders, investors and analysts for your continued trust in our organization. Your unwavering support is a key driver for our success and motivates us to deliver consistent and sustainable growth.
The Indian general insurance industry is witnessing a transformation underpinned by promising macroeconomic and social trends. Factors such as rising disposable income, increasing health care costs and heightened awareness of the importance of insurance among younger generations are contributing to gradual yet steady improvement in the insurance penetration. These trends, along with collaborate efforts by our regulator, the IRDAI, insurers and the Government of India provide a solid foundation for the industry's growth in the years to come.
New India Assurance, founded by Sir Dorabji Tata in 1919, has been at the forefront of India's insurance journey for over a century. As a market leader, since nationalization in 1973, we have consistently upheld the principles of trust, excellence and innovation. Our operations span 25 countries, reflecting our global presence and adaptability in diverse markets.

Our financial strength and stability are validated by AAA rating from CRISIL and the aaa.IN AM Best National Scale Rating. In addition, we are proud to be recognized as a Domestic Systemically Important Insurer by the Insurance Regulatory and Development Authority of India. This designation underscores our crucial role in India's insurance ecosystem. Furthermore, our achievement of ISO 27001:2022 certification for IT security demonstrates our commitment to leveraging technology, whilst ensuring the highest standards of data security.
As the state insurer for Gujarat and the Union Territory for Lakshadweep, our extensive domestic footprint highlights our ability to serve diverse geographies and customer needs. I'm delighted to share that we recently renewed the prestigious Rajasthan Government Health Scheme, which will provide coverage to 1.3 crores families starting February 2025. This renewal also reflects our disciplined pricing strategy with a 20% increase in per family premium.
On the industry front, the Indian general insurance sector recorded 7.83% growth during the 9 months ended December 31, 2024, with a gross direct premium of INR2,30,201 crores compared to INR2,13,477 crores in the same period last year. This figure is poised to surpass INR3 lakh crores by the end of the financial year.
Despite these positive indicators, general insurance penetration remains at around 1%, presenting a vast untapped market. Expanding coverage, reducing premium costs and raising awareness will be critical in addressing this gap.
At New India, our guiding principle of growth with profitability is not just a statement, it is a philosophy that drives every decision we make. In an industry as dynamic and competitive as general insurance, this approach requires a fine balance between expanding our business and

ensuring sustainable financial health.
We have consistently prioritized disciplined underwriting over aggressive growth, choosing to step away from loss-making businesses where pricing did not align with risk. For instance, we've made the strategic decision to forego some large corporate accounts where premium rates were insufficient to cover anticipated claims.
While this resulted in a temporary moderation in our direct premium growth, it has enabled us to focus on quality over quantity, ensuring that ev

ery policy we underwrite contributes to the
long-term stability and profitability of our portfolio.
This disciplined approach has also allowed us to better manage our loss ratio and safeguard shareholder value. By maintaining a sharp focus on underwriting excellence and profitability, we are building a resilient foundation that positions us to capitalize on future opportunities in a sustainable manner.
As of December 31, 2024, our gross written premium reached INR32,186 crores with a net earned premium of INR26,061 crores. We anticipate a robust recovery in growth momentum during Q4 for the financial year '25, supported by encouraging signs of premium strengthening in the property insurance segment and a strategic focus on profitable underwriting practices.

Our focus on underwriting discipline has significantly improved our operational performance.
In Q3 FY '25, we achieved a combined ratio of 116.33, reflecting a steady progress in managing claims and controlling expenses.
Our market share stands strong at 12.80%, reaffirming our leadership in a competitive environment. Our net worth, including the fair value change account, increased from INR44,704 crores in March '24 to INR46,506 crores in December '24. Our investment assets remained robust at INR97,690 crores.
Profit after tax for the 9 months ended December 31, 2024, stood at INR641 crores compared to INR775 crores in the same period last year. This decline was primarily due to weaker equity market conditions, which impacted investment income. However, our focus on operational efficiency enabled us to reduce underwriting losses to INR5,083 crores from INR5,225 crores in the corresponding period.
Our key operational metrics also show a positive trajectory. The incurred claim ratio improved to 97.37% from 98.07% and the combined ratio reduced to 119.08% from 120.34%. Our solvency ratio remains strong at 1.90x, well above the regulatory requirement of 1.50x. We are confident of achieving a solvency ratio of 2x in the near future.
Innovation and customer centricity remains central to our strategy. We continue to expand our product portfolio with the recent introduction of products like My Identity Theft, New India Mahila Udyam Bima designed for women MSME entrepreneurs, pollution legal liability and surety bonds being notable additions. Our focus on digital transformation has enabled us to enhance accessibility and convenience for our customers.
For instance, our partnership with super-app platforms like PhonePe and the launch of WhatsApp-enabled sales facilities demonstrate our commitment to leveraging technology to meet the evolving expectations from our customers. These initiatives also align with our broader goal of strengthening distribution channels and deepening market penetration.
As a domestic systematically important insurer, New India Assurance is uniquely positioned to address the evolving insurance needs of our customers. Our disciplined underwriting approach, strong foundation and commitment to innovation enables us to navigate challenges and capitalize on opportunities.
Looking ahead, we remain focused on optimizing our business mix, particularly in the motor and corporate health segments, while continuing to improve operational efficiency. With a strong leadership team, robust financials and a customer-centric vision, we are well equipped to deliver sustainable value to all our stakeholders. I wish all our stakeholders a very happy and prosperous 2025.
With this, I now invite our Chief Financial Officer, Mr. Vimal Jain, to provide a detailed overview of our financial performance.
Vimal Jain: Thank you, madam. Good evening to you. Good evening, all. I am presenting the financial performance up to Q3 of financial year '24-'25. This -- up to this period, our gross direct

premium

income is INR31,095 crores. Gross written premium we have done is INR32,186 crores. Net earned premium is INR26,061 crores.
Profit after tax is INR641 crores. Net worth increased to INR21,515 crores and net worth including fair value change is INR46,506 crores. Investment assets at market value is 1NR97,690 crores. General reserve is INR16,974 crores. Incurred claim ratio has come down to 97.38%. Combined ratio, 119.08% as against 120.34% of previous year.
Solvency ratio has increased to 1.9x as against 1.72x of previous year and return on equity has come down to 4.01% from 5.08%. In all parameters, we have shown the growth, except the profit after tax and the return on equity due to the lower booking of profit on investment in this -- up to this quarter.
Our product mix is from brokers, we have generated a business of 33%. Direct side, we -- direct platform agent, which is 26%, directly is 31%, bancassurance is I% and dealer is 9%. Our business is, Fire segment it is 15%; Marine, it is 2%; Motor OD, it is 12%; Motor TP, 15%; Health & PA is the maximum, which is 46%; and Others 10%. The technical reserves have increased from INR50,551 crores as of last year of December to INR52,536 crores of this year. Our market share is 12.80% as per GI Council data. Out of INR230 crores INR2,30,201 crores, our market share is INR29,466 crores, that is showing 12.8%. We are present in 25 countries in the world. We are having 1,680 offices in India, and we are the dominant domestic company. We are market leader in general insurance sector and ISO 27001:2022 certification we are having. And we have the AM Best and CRISIL ratings we are having. And diversified product mix with technical competence, we are having multichannel distribution. We are excellent in customer service and technology and consistent market leader since last many years and since nationalization, you can say.
And we are also increasing the return on equity through the increase in market share, through improving profit margin by leveraging economies of scale driven by growth. We are rationalizing the offices, operating offices. We are increasing the digital penetration. We are maintaining healthy solvency margins. We are leveraging on technology to drive our customer satisfaction, profitability and growth.
We are also actively involved in social initiatives such as educational and health programs to support local communities. We are making progress in reducing carbon footprint by adopting sustainable practices and initiatives such as green energy solutions to mitigate the climate risk. We have developed a comprehensive plan to integrate ESG considerations into business and operations. That plan includes using advanced technologies to automate process, to provide training to employees, to develop ESG metrics to track performance. We also implemented rigorous governance practice to ensure transparency and accountability in all our operations. This is from my side. Now you can -- further the incurred claim ratio is 97.38%. Our commission ratio is 9.50%. Expenses ratio is 12.19%. Combined ratio total is 119.08%. Solvency becomes 1.90; and return on equity is 4.01%.

The premium -- gross premium written is -- through Fire is INR4,786 crores, Marine INR793 crores, Motor OD, it is INR4,002 crores, Motor TP is INR4,685 crores, Health, including personal accident, is INR14,745 crores; again, it is the highest; Other miscellaneous is INR3,174 crores. So in all segments, we are showing positive growth except Fire, where we are negative by 9.08%. That's all from our side. Now you can take the questions.
Moderator: The first question comes from the line of Jerick

Sachdev, who is an Investor.
Jerick Sachdev: Sir, my first question is, can you share an update on how your partnership with PhonePe and WhatsApp have done in Q3 FY '25, especially in terms of sales?
Girija Subramanian: Yes. So our CRO will handle this.
C S Ayyappan:
Jerick Sachdev:
C S Ayyappan: Thank you for the question. And as a strategy, The New India has partnered with the super-app players like PhonePe and Q3 growth in the sale is 50% with PhonePe. And as far as the WhatsApp is concerned, we have started with the initial sale of the existing products, and we would like to expand further with -- on sale of the product, but however, as on date, it is more concentrated on the service for the quarter.
Okay. Sir, just one more following question on to that, actually. Could you give us some updates on the performance of the renewed Government Health Scheme in Rajasthan? And how it fits with your profitability goals actually? My second question is, could you give us some updates on the performance of the renewed Government Health Scheme in Rajasthan? And how it fits with your profitability goals?
Thank you. It's a wonderful thing that -- Mr. Jerick, for raising this question. As a socially committed organization, New India always try to support all the government schemes especially,

however, with a line of thinking about the bottom line also to take care of the interest of the stakeholders.
In the present scheme also, what we have done is we have taken into consideration the expiring experience. Basing on that, we have raised the premium in such a way that there is a premium growth, as our Chairman Madam has pointed out, of 20% on the existing premium base and which will be taking care of the bottom line requirements also, however, addressing the needs of the common man at all times.
Girija Subramanian: Does it answer your query?
Jerick Sachdev: Yes, sir.
Moderator: The next question comes from the line of Aditi Joshi who is from JP Morgan.
Aditi Joshi: My first question -- actually, a couple of questions. First question related to the investment yield side. So possible to explain as in what were the reasons why we had a lower investment yield? And even if I look at the yield without annualized gains and losses, it actually came off a little bit. So it is because mainly -- it is mainly because of fall in the interest rates? Or was it because of the lower equity markets?

And if you can also provide your comment on what's the outlook as in it's going to remain weaker in the next coming quarter as well? Because even if we improve the underwriting profit, but if we have, let's say, a weaker investment income, then it actually weighs on the profit after tax. So that's actually first question.
And second question is actually related to the growth in the Motor segment. We saw growth in both Motor OD as well third party, but specifically speaking about third party, it was quite high, and it has been quite high within the industry as well. So if you are able to explain as in what's causing that growth, especially in the third-party segment?
And also if you are able to provide some comment on the portfolio mix change as well? Like you have mentioned in the comment as in the mix of -- how the mix between the private cars or 2-wheelers in the commercial vehicles have changed and what's causing that growth? Yes, that's it from me.
Chandra lyer:
Aditi Joshi:
Chandra Iyer:
Aditi Joshi:
Chandra Iyer:
Girija Subramanian: Aditi, I'm Chandra here. So regarding this yield on investment, what you are asking about, the lower yield, like you pointed out, it is because of the churning in the market that is happening in the equity market, so we were able to realize -- or we were able to realize lesser in that particular segment of our i

nvestment. So that has hit our investment yield.
And about the outlook, it is still quite a volatile market that we are having, and we are waiting for tomorrow's RBI guidance. So we will be seeing some change in the interest yield in the market. And we will be taking action accordingly to lock in whatever we can at the higher-yielding securities. Does that answer you?
Yes. So was the slowdown also caused because of the interest rates or it was mainly only from the equity market -- poor equity market?
It's primarily due to the equity market. We didn't get enough an opportunity to cash in on the equity sales.
Okay. But it was down even without the unrealized gains and also that's again because of the weaker equity market?
In previous quarters also, we were a little slow in our realization because we were expecting dividend yields from our portfolio. So we had slowed down a bit. But unfortunately, in the later part of the year, the market has not given us an opportunity to catch up.
On the second question, which is on motor TP, I think TP business, basically, it is mandatory. So it goes -- I mean, even without putting in any efforts, whatever business comes, we are not able to decline that. Having said that, about the portfolio mix, we have a mix of a bigger portfolio on the commercial vehicles, some midsized portfolio on private car and a very small 2-wheeler book. So basically, this is the mix that we have and the high growth in TP is across all these. Yes, our Motor DGM will clarify further on this.
Management: Good evening, everyone. Regarding this motor-specific query, I would like to answer in this manner, this motor TP growth, what you are looking at now, basically, it is -- first is our

Aditi Joshi:
Dharmesh Saxena: government's awareness bringing into the general public at large and motor vehicles, especially these commercial vehicles, some of them were at some certain zones where going without this TP and this government has raised the awareness about the third-party insurance.
That is one of the reasons why we are finding this TP premium growth. However, the TP rates per vehicle are still less, but it is -- the major awareness that is standing out because of which we are getting a good TP coverage on commercial vehicles.
Regarding -- so coming to the motor, the other part, which is the motor own damage cover part, here, actually, the earlier two quarters, the trends in the market were also not very encouraging. The sales were also not good. It is just this Diwali vacation, some good numbers are coming out from the motor manufacturers, and that is helping our costs, and we are getting a good number of this. Especially in this quarter, we have shown a good accretion on the motor part. Anything else to be -- where you are having any query or...
No, I think this has been good. Just can I ask one more question? And that's broadly in the Health segment. So if possible to share the split or the growth between the retail and group health for the third quarter?
Yes. Good evening. This is Dharmesh Saxena, I am the DGM Health at New India. So to answer your question, madam, the retail growth is -- comes to 11%. GMC, that is the group health growth is 7%. And government, we were at minus 6%. That is because the Rajasthan scheme was -- is effective from February '25. So that should come in this quarter. I hope that answers?
Aditi Joshi: Yes, yes, that's clear.
Moderator: The next question is from the line of Mahek from Emkay.
Mahek: Yes. So I had a couple of questions. So first one was on the Health segment particularly. So I just wanted to know the trends in the claims ratio. And how are you seeing the growth in the retail and the group segments going ahead? Secondly, on the Motor TP segment, the quarter has seen a little bit of upt

ick in the claims ratio. So I wanted to understand the reason for the same.
And secondly, I wanted to understand your views on any price hike whether you're expecting in FY '26? And lastly, on the Fire segment, have you seen any kind of pricing discipline in the month of January? So these were my three questions.
Dharmesh Saxena: Good afternoon. This is Dharmesh Saxena again, DGM Health. So I will start by answering the health question first. So if I talk about growth, the retail segment is growing at 11%. GMC, that is the group health, is growing at 7%. And the government business till the quarter 3 was minus 6%. That, again, because of the Rajasthan scheme, which kicks in, in February '25. So that is regarding the growth, sir.
And if we talk about ICR, we have substantially improved our ICR over last year. We are at 103.25% in toto. And in retail, the ICR is 88%, group health is 103% and government was 114%, sir.

lahek:
Dharmesh Saxena:
Girija Subramanian: Sir, my question on growth was particularly from the competitive intensity perspective. I mean whether you're seeing any competitive intensity, particularly in the group segment, sir?
In the group segment, yes, we have completion, but I mean, we are very aware of our bottom line, and we are looking to the fact that we should be getting profitable business so that at the end of the day, we are making some profit. And...
Actually we have been adopting a very stringent pricing discipline where group health goes because that is where there were issues earlier on. And from the last more than a year, there has been a pricing discipline that has been practiced very, very strictly at New India wherein when we accept GMC business, we correct the price so that both experientially as well as on an exposure basis, we are on a better footing than what we were in the previous year.
So -- and we have not -- we have refused also a lot of group business when the pricing did not meet the minimum levels that we felt was required. So from this perspective, I think there has been changes in our portfolio in the group health basis these factors. And in the retail, there has been an increasing thrust on growth in retail sector in health. And this is very much evident from the growth that is seen of 11% in retail, whereas the growth in GMC has been arrested at 7%.
Mahek: That's helpful, ma'am. Can you just help me with the answers on the other two questions?
Girija Subramanian: Motor.
Smita Srivastava: Sir, this is Smita Srivastava, ED. Regarding the increasing ICRs in TP, if you see from the year '21-'22, the ICR on earned premium was 67.55%; '22-'23, it rose to 75.07%; '23-24, 83.05% and up to quarter 3 in financial year '25, which is 88.94% on earned premium. So the main reason is non-revision of the motor premium by the Ministry of Road Transport.

The last revision in premium happened in the year 2022, which was also very nominal increase and some decrease in certain segments. Also, we have seen in the past few years the nature of awards given by the MACT and other courts, the minimum wages, even for unemployed people is now being taken at INR15,000. That increases the awards to a very great extent.
Also other judgment which came in Mukund Dewangan case and which was reinforced in the Ramadevi case, where commercial vehicle can also be driven by a person holding a private car license. So all such cases which we were denying now will go back and will have to be paid. So these are some of the reasons why the ICR is going up in TP. And we are waiting very expectantly for increase in premium, which will help us in bringing down the ICR in this segment. Does this answer the motor one?
Mahek:
Sharad Ramnarayanan: Ma'am, just a small follow-up. So can you just a little bit give your commentary on the reserving in the Moto

r TP segment, particularly? Like how is it -- because other players are seeing a lot of reserve releases during the quarter and...
This is Sharad here. As far as reserves are concerned, what we usually do is actually we adopt a stable approach during the quarter. And if at all any corrections have to be done, either upwards or downwards, as far as prior years are concerned, it will be done in the fourth quarter. This is

why you always need to look at the third-party your performance over a full year basis because quarterly, there can be quite a bit of variations.
And since the prices have not really increased, I think whenever you are making an estimate, you have to consider the expected claim inflation. So as long as the prices remain constant to you, it's very natural to expect the loss ratios to go up steadily, which is what you have witnessed in our results.
Regarding past year reserve releases, so each company's book is very different, depends on the business mix, depends on the location where they write, depends on the extend of CV, PC, TW kind of thing in the books. And each one behaves differently. So different companies, you cannot really expect the numbers to be similar. So I think, at the end of the year, we will again reevaluate what is the situation. And after that, we can talk about it in detail.
Mahek: That was helpful. And lastly, on the Fire segment, like are you seeing any pricing discipline in the month of January?
Cirija Suhramanian: Yes. So the market -- there is -- I mean there is an expectations from the market that the pricing is going up for Fire and the few renewals that have happened from Jan, yes, the price is holding to a large extent.
So we believe that the market behavior to increase pricing following a huge dip in the Fire pricing, which has gone to unsustainable levels, and that has motivated the market to sort of increase the pricing. And I think across all the renewals that we have seen, it is holding. And we expect that for this quarter, Fire business will be at more sustainable levels and you can see better performance of Fire as a class this quarter.
Moderator: The next question is from the line of Kishore Agarwal from Bajaj AMC.
Kishore Agarwal: I have a couple of questions. So first is on the Motor TP side. So have you taken any third-party reserve releases this quarter? And you also briefly talked about that there can be a price hike this year. So what can be the quantum that we expect on the TP price hike?
Second question is on the combined ratio journey. So I think you had briefly highlighted in the last call that you want to bring down the combined ratio. So this quarter, we have seen some improvement in the claim ratio, but that is very minimal. So where are we in the overall journey, and how long do you expect it to take for you?
And on the fire side, what has been the premium increase that you have seen in Jan? So those are my questions.
Sharad Ramnarayanan: On the TP reserves, I'll like to answer that we have not had any prior year releases, at least for the first 9 months. In the March quarter, we will again retook for the full year's exact development patterns and decide whether there is need for any strengthening or needs for any releases. At that time, we will be taking a call. During the quarter, like I said earlier, we will be just making reserves based on a simple estimate basis by adjusting the assumed loss ratios for the expected claim inflation.

Girija Subramanian:
Kishore Agarwal:
Girija Subramanian: On the combined ratio journey, yes, we had throughout the year targeted for reduction in, combined ratio as we go wi

th every quarter. And this quarter, we have achieved a reduction in the combined ratio. And this has come through a lot of effort and the basic -- and the most important effort that has come in is through the selection of risk wherein across lines of businesses, we have taken a concerted effort to improve risk selection and also improve pricing where health is concerned on GMC business.

And we are also trying a line of business diversification, a different portfolio mix, wherein we have more thrust on retail across health, across home, across liability and other miscellaneous segments. So with this diversification, we have seen this impact coming. And we are sure that this will continue in the next quarter.

And in the immediate long term or immediate term, 2 or 3 years, well continue this journey of very, very strict supervision on risk selection, so that qualitatively, we have a better book of this, which will hold us in good stead for a long time to come. So that is the journey for combined ratio, and we expect that the ratio will come down every quarter.

For the fire premium increase, we cannot give a quantum because these risks are across various occupancies and each occupancy has a different claim ratio, has a different experience and exposure. And the increase would determine on basis on each -- subjective on each risk previous experience and what the exposure holds in store for the next year. So we can't comment on exact percentage of price increase, but it's definitely good enough to see the portfolio turning around to a very positive side.

Okay. Just two follow-ups. So one, have you seen any impact of the one by end accounting change on the long-term premium? And secondly, on third party, we just have 2 more months before the financial year-end. So have you seen any discussion with the regulator on the price hikes on the TP side? So that will be it.

Yes. So on the one by end accounting, we are strictly implementing that part of regulation. And we are -- I mean that is being implemented. But we don't see a very big impact for New India because we don't have a very big book of long-term business.

We have business in motor, but that's already been accounted in the one by end way, the way it is mandated. And for the other segments, wherein the long-term policies are almost -- they're not at all significant, they won't have any impact on the overall results for New India.

As regards the TP -- motor TP premium, there has been a constant dialogue that has been taken up by the General Insurance Council on behalf of the industry with the MoRTH and the effort continues to be on. We are also trying to have this dialogue with MoRTH regularly on increasing TP premium and we're very sure that there would be some increase in the near future.

Moderator: The next question is from Aditi Joshi from JP Morgan.

Aditi Joshi: Just a couple of questions. Within the health, you have said that retail health was -- GWP was up by 11%. So are you able to share as in how much of this increase was because of price increase, if at all it was there?

Dharmesh Saxena: , And the second question is, I just wanted to understand with respect to the future regulation environment, if we have, let's say, a composite licensing coming in, then what is the management's strategy on that will be as in would you like to expand to, let's say, life insurance as well. Or how will you like to -- what will be your strategy under that scenario?

Yes. So good evening, again. So as I said that the retail growth is around 11%, and mainly, it is due to the price hike, which we have done in October this year. It has been done mostly after about 5.5 years this increase in pricing, and also to take into effect the various indications which IRDAI had given. So after a long time, there has been an incre

ase in the pricing parameters. And most of the growth, I would say, is due to that price increase.

Aditi Joshi: Okay. And then just a follow-up. Going forward, do you think pricing increase can happen further? Or does the level of hike that you have taken is suffusion for, let's say, the next year?

Dharmesh Saxena: We are actively marketing our various products also. So I think with the growth in business, with the more policies which are marketed, probably the premium would also increase. So the premium base is surely going to go up.

Aditi Joshi: Okay. Got it. And on the composite, if you can...

Girija Subramanian: On the composite license, as of right now, we do not have any plans to foray into life insurance. Life insurance is a very different business. It requires a lot of planning and it requires a lot of capital also. And I think the -- it takes -- it's a very long journey before you break even in life insurance business.

It takes a lot of planning to get into that sector. And as of today, there is no such planning. We are already quite well diversified into the non-life segment. We do practically everything in the non-life space. So right now, we don't have any plans to get into life business.
Moderator: The next question comes from the line of Saket Kapoor with Kapoor & Company.
Saket Kapoor:
Girija Subramanian: Ma'am, when we look at our financial numbers and the line item 13 speak about the underwriting losses that we incur on a quarterly basis. So our company is serving the nation in various sectors. But for investors, how should they look at this company offered as an investable proposition. If you could just dwell on the same?
Yes. Actually, underwriting losses are there across the various lines of business. But we are able to generate profits because of the investment income and proper handling of the investment funds that are with us. We are also putting our entire resources to examine all these lines of business as to how we can turn them around and reduce the losses, bring the combined ratio down so that it becomes very attractive for the investor.
But then, I mean. I think it is -- this is a problem which exists with most of the entities that operate in this market. The price sensitivity is very high and increasing price for any product becomes very, very difficult in this market. And because of the intense competition and even the companies willing to almost give the customer the product almost free of charge, that is the reason why we are finding it very tough to increase prices very heavily.

We have to draw a very fine balance between maintaining,the volume and the quality. And that is a very, very thin line and the tight walk that we do every day and trying to see that at the end of the day, our books show some profit for the investor.
And I believe that part of this whole thing also comes from the fact that we are an under-penetrated, very much under-penetrated market, where insurance awareness is on the rise, but it's definitely not at the optimal level where insurance is a buy product, it's not a sell product. So right now, it's really a sell product. We need to, first of all, convince the customer to buy and when he buys then he want it almost at a very, very competitive price where it becomes very unaffordable for the insurer.
So -- and there are many things as a government entity that -- because of all the transparency levels being where we are and we being -- having to put everything in a very transparent and ethical way, that also -- because of that, there is a price that is associated with that, and we are very proud to be working in that way so that we are able to open our books of accounts to all entities so that we are seen to the transplant, seen to be fair, seen to be an entity that is in the n

ational service of being -- of making our citizens financially included in every possible way.
And we have to do this entire thing with a sense of responsibility wherein it comes to we sell a product at a price, which is -- by which we are able to manage the losses in conjunction with the investment income. So in this whole gamut, I think right now, I can tell you that we are doing our best. Our senior management has put its best foot forward to see that we are able to give the best value under the current circumstances to the investor.
And we will never let our investors down. We are always committed to see that every rupee that we can give back to our stakeholders by way of return, we will surely do that. Entire management is completely committed on that. And it's a 106-year-old company that has stood the test of time, that has weathered all the storms.
We are always the first port of call for any national requirement when it comes to insurance, and we'll continue to be so for many years to come. And other than this, I would say that it's an intangible element that you surely should look at when you invest in this company and a long-term perspective.
Saket Kapoor: Ma'am, you mentioned about our investment is supporting our cash flow. So what is the current size of our investment book? And if you could give the split between investment in the equity market and the debt products?
Girija Subramanian: Yes. Our current investment book is of INR97,000 crores, which we have put it in our presentation, of which our equity is about -- near about 17% of the total.
Saket Kapoor: 1-7? 17%. Ma'am, you were mentioning about 1-7, 17% being in equity and others are in the debt?
Girija Subramanian: 17% of our book value is equity.
Saket Kapoor: Okay. And on the debt part, what is our current yield to maturity?

Girija Subramanian: Current yield is somewhere between 7% and 7.5% on the debt book.

Saket Ka poor: Okay. And the further breakup of debt into the government and the state government, what percentage is towards the government securities and...
Girija Subramanian: State government and central government securities totally about 53% of our book value is invested in the government securities and other fixed interest bonds is 23%.
Saket Kapoor: Okay. Madam, as you were alluding to the earlier idea of creating value for your shares, when we look at our market capitalization, when the stock got listed sometimes I think in 2017, correct the there, the prices have remained or have halved over a period of time for the last 8 years? So when you are conveying the message that you will be creating value for your shareholders, that has not been the case for the last -whatever trading history we have -- maybe the organization is older than the century, but still then also last 7 years performance, the perception of the market that you want to convey, there is a gap between what you are perceiving and how investors are perceiving the company?
Girija Subramanian: So you want us to answer to this?
Saket Kapoor:
Girija Subramanian: Yes, ma'am, you alluded to the fact that you are working for creating shareholder value. And my observation was when we got listed in 2017, from then to today, whoever have remained invested or one can look at the enterprise value, that has declined only. So what are the key factors that neither the market can perceive the valuation which you are alluding to, and thereby, the decline in the enterprise value?
I think from the time we got listed till now, we've had COVID era and we've had this era where the markets have completely fallen down. And I think all the insurance companies suffered from this. So it's not only New India alone. If you look at any other listed company also, it has been the same story for insurers in general.
A

nd we are -- since we are in the business of insurance, we are not able to -- we are regulated in terms of where we invest our funds, and we have to stick to those norms. So obviously, there are certain restrictions as to where -- whether we can -- we are not an investment company that we use the entire funds and use all the ups and downs of the market to churn out maximum profitability for the shareholders.
We have a limitation that we have to use the premium -- the funds that come through premium and invest them by way of regulation and also then -- and within that -- those -- within that -- those parameters, we have to generate the best results. So -- and handle the market volatility across these years. And I think within all these restrictions and challenges, we have done a wonderful job.
Saket Kapoor: Okay, ma'am. So a small point, ma'am. If you could give us the peer comparison in the space where we operate so that we can find out the difference. And secondly, ma'am, since the product

is -- the penetration is low, I think so, more steps should be taken not only by -- not by the organization, but also by the Government of India to promote and make it a buy-side product, which you very well alluded to, that it is a sell side. And as and when the requirement arrives, we are going to sell it.
What steps should -- there should be suggestions to the Government of India, to the nodal agencies that this become a buy product. And lot of other initiatives like the government takes about Swachh Bharat and other verticals should be taken in terms of the insurance part of the story also going ahead? That was my understanding and humble suggestion.
Girija Subramanian: Yes, yes. So thank you so much for this. Now this peer group comparison that you're asking, actually, I should tell you that we are unique in the way we are, and we don't have any peers. We have only ICICI Lombard and that is nowhere near us. I mean it's a private sector entity and many other things which are different from New India, and therefore, not comparable. So we'll not be able to give you a peer group comparison.
But -- and as regards your suggestion that we should be giving to the government regarding making insurance a buy product, that is happening, it has been happening across the years and now with the current government being very active on financial inclusion, it has found ears also. And we can see so many schemes being rolled out by the government.
Most of these schemes are after intense dialogue with the insurance industry and most importantly, the public sector companies, which have given a lot of inputs. We are, you can say, governed by the Department of Financial Services. And we have regular interaction. Every quarter, there's a review. And during these reviews, everything is discussed threadbare, including challenges, including the penetration.
We are constantly being pushed by our government also on -- to bring our products and roll -- reach out to the last mile customer. We are -- in fact, New India has put an increased and undoubtedly focused focus on trying to see that we reach our products, our simple products to

the last mile customer in the hinterland. And we have activated several of our offices. We have been talking to governments, state government trying to see how we can combine with them and bring this product -- bring our products to the customers.
Yes. So as I said that we do give our inputs to the government very regularly. And as a PSU company, we are regularly being reviewed by the Department of Financial Services to whom we report. It is a very threadbare review that is done to the smaller level across each line of business. We are also encouraged to bring out lot of products to align with the distribution channel that will allow us to take o

ur products to the last mile customer in the hinterlands of India and the whole purpose is to bring in financial inclusion. So there's a huge activity that is happening across the last few years.
And it's just that even despite lot of efforts, it's very, very difficult to break ice, but the efforts are still on. And the numbers will speak for themselves in terms of number of insureds across various retail lines. And I'm sure that this kind of effort that we are putting in, it will see a lot of traction in the coming few years.

And all that -- all the efforts that the government and the insurance companies, the regulator, the General Insurance Council, all of us are putting in humongous efforts to see that insurance becomes a buy product. The day is not far when this will be. We're very sure and very positive about it.
Saket Kapoor: Business is derived from...
Moderator: Thank you. Due to paucity of time, we are taking questions from one more person only. We have Rachna on the line, who is an Investor.
Rachna:
C S Ayyippan:
Rachna:
C S Ayyappan: I have one question. Like earlier, D2C had advantage tech but traditional payers are slowly catching up. Now once tech has been enabled into traditional players as well or how can traditional players have a competitive edge over D2C? As you being an industry player, how different is our tech compared to other D2C players? And how are we well placed in terms of tech?
Yes. Ma'am, to answer your question, I would like to divide the answer into two parts. One is about the traditional players and second on D2C players. Whereas basically, the traditional players, we are having -- unlike the D2C players, we are having the direct business also. Sizable share of our business is coming directly also for us. So actually, we are having a direct reach to the customers traditionally also.
Second one is, as far as the D2C players are concerned, they concentrate only on the D2C using a particular platform only and not using the digital mode, which is an adapted practice throughout the world when it comes to the general insurance. Because being a push product, naturally, the digital is the preferred mode and whereas the digital is coming as a secondary model. So this is the difference when it comes to the marketing.
So as the market leader, New India adapts a hybrid approach. One, using their traditional method of approaching the customers directly physically; second, using the digital modes and also using the digital partners to reach out to the customers on D2C modes. These are the two approach papers that we are having. As a market leader, we are exhibiting and also doing the sales successfully, ma'am.
Just a follow-up on that. Even the D2C players are having an omnichannel presence, as you rightly said. And they are scaling at a faster rate, so the competitive intensity is high. So to overcome that, what are the measures we are taking as an industry leader?
Ma'am, the competitive intensity, as you rightly pointed out, especially it happens in the retail market. Always anywhere in the world, the retail is highly competed and also highly intensified through the intermediary commissions and various expenditures and also the maximization of the cost to acquire a customer. This is what happens throughout the world.
There is also -- India is also not an exception. For that matter, New India also follows the same method. However, we have to comply with the regulatory guidelines on the expenditure, which is 30%, whereas we have noticed some of the D2C players in the recent days have exceeded this

30%. So this means they are violating and it may be leading them to unnecess

ary things, which
I'm not able to comment about other players.
But as a prudent player and who is leading this market, I can very well say that New India is doing the D2C thing within the limits of the IRDAI guidelines and which will stabilize the market growth in the days to come.

Moderator: Ladies and gentlemen, that brings us to the end of the question-and-answer session. I would now like to hand it over to the management for closing comments.

Girija Subramanian: I thank all our stakeholders, our investors for the trust and the trust reposed in New India and our management to carry forward the story and see that we bring about our strategies to the flow with the proper intention that we have always framed them and see that we are in the best service to our customers and stakeholders at all times. And we've continued to give good results and good return on investment to all our investors going forward. Thank you so much. Have a wonderful 2025.

Moderator: Thank you. On behalf of The New India Assurance Company Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

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THE NEW INDIA ASSURANCE COMPANY LTD.
(Govt. of India Undertaking)
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022 2270 8400
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Ref. No.: NIACL/ CMD_BoardSectt/ 2025-26 26th May, 2025
To,
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Listing Department
The National Stock Exchange of India Ltd.
Exchange Plaza, 5th floor, Plot C/1,
G Block, Bandra-Kurla Complex
Mumbai 400 051
Scrip Code: (BSE - 540769/NSE - NIACL)
Dear Sir/Madam,
Sub: Transcript of the Conference Call held on 21st May, 2025
With reference to our letter dated May 15, 2025, intimating you about the conference call with Analysts/Investors held on May 21, 2025.
Please find attached the transcript of the aforesaid conference call.
You are requested to kindly take the same on records.
Thanking You
Yours faithfully
For The New India Assurance Company Limited
Abhishek Pagaria
Company Secretary 86 Compliance Officer

The New India Assurance Company Limited
Q4 & FY25 Results Conference Call
May 21st, 2025

Management:
1. Mrs. Girija Subramanian – Chairman cum Managing Director
2. Mrs. Kasturi Sengupta – Executive Director
3. Mrs. Sushma Anupam - General Manager
4. Ms. Chandra Iyer General Manager
5. Mr. K. V. Raman - General Manager
6. Ms. Rema Devi - General Manager
7. Mr. S Dinakaran - General Manager
8. Mr.Prashant Biswas - General Manager
9. Ms.Jayashree Nair -General Manager
10. Ms Mary Abraham -General Manager
11. Ms. Jayasree S. -General Manager
12. Mr. K Ramesh -General Manager
13. Mr. Vimal Jain DGM & CFO
14. Mr. Sharad S. Ramnarayanan - Appointed Actuary

Abbreviations:
GWP: Gross Written Premium
ICR: Incurred Claim Ratio
ROE: Return of Equity
GDWP: Gross Direct Written Premium

GDPI: Gross Direct Premium Income

Moderator: Welcome to the conference call of The New India Assurance Company Limited arranged by Concept Investor Relation to discuss its Q4 FY'25 Results.

We have with us today Mrs. Girija Subramanian – Chairman cum Managing Director; Mrs. Kasturi Sengupta – Executive Director; Shri. Vimal Kumar Jain – Chief Financial Officer among other esteemed management members.

At this moment, all participant lines are in listen -only mode. Later, we will conduct a question - and-answer session. At that time, if you have a question, please press '*' and '1' on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mrs. Girija Subramanian – Chairman cum Managing Director. Thank you, and over to you, ma'am.

Girija Subramanian: Good evening, everyone. I am Girija Subramanian – Chairman cum Managing Director of The New India Assurance Company Limited. It's my privilege to welcome you to this investor call following the announcement of our performance review for the fourth quarter of FY'25.

Joining me today are Mrs. Kasturi Sengupta – Executive Director, Shri. Vimal Kumar Jain – Chief Financial Officer; Mr. K. V. Raman – General Manager of Finance, Mr. Sharad – our Appointed Actuary and other General Managers.

At this outset, I would like to extend my heartfelt gratitude to all the participants for taking the time to join us this evening. I also wish to thank our shareholders, investors and analysts for your continued trust in our organization. Your unwavering support continues to be a key driver to our success, motivating us to deliver consistent and sustainable growth. I would quickly give a brief background of our Company and then proceed to the financial and operational aspects for the Fiscal Year 2025 post which we shall proceed to the question -and-answer session. Myself and my team shall do our best to answer all your queries and clarify all your doubts. As you know, we are a 106-year -old insurance compa ny conceptualized by Sir Dorabji Tata in 1919 and nationalized in the year 1973. We are a PSU under the Ministry of Finance, Government of India. We have a pan -India presence with 1,660 plus offices in 25 countries.

With so many geopolitical risks and rising uncertainties hovering around, insurance, both life and non-life, have become the need of the hour. And we firmly believe your company, The New India Assurance Company Limited, is best place d to cater the growing needs of the non -life insurance. Also the young generation has the awareness, willingness and discretionary income to opt for non -life insurance to safeguard themselves against any adversities. This has been largely possible with the awareness initiatives of the IRDAI and the Government of India.

Let me assure you that we have a robust cyber security infrastructure in place which is evident in the fact that we have been certified ISO 27001:2022 for I TeS security which ensures our emphasis on customer data protection and technological capability. The general insurance industry stands at Rs. 33,649.27 crores as of April '25 which grew at a rate of 13.38% year -on-year as per General Insurance Council's data of which your company has underwritten Rs. 6,026.63 crores which is an 18% of the gross direct premium underwritten which grew by 14% year -on-year.

Business highlights:

The distribution mix stands at a direct 28.55% from the direct sources. Agency 28.56%, Bancassurance 0.64%, dealer 8.73% and brokers 33.52%. Product mix stands as follows. Health and PA 46%, Motor TP 15%, Motor OD 13%, Marine 2%, Fire 14%, Crop 1%, Others 9%. In Quarter 1 FY'26, ratings agency, CRISIL has reaffirmed its CRISIL AAA stable rating which is considered to have the highest degree of safety for your company. Furthermore, AM Best has assigned the India National Scale Rating of AAA.IN (Exceptional) , and has confirmed the financial strength rating of B++ (Good) and long term issue a credit rating of BBB+ (Good) , to New India Assurance Company Limited. The outlook of these credit ratings is stable.

Your company has invested in equity shares of the Bima Sugam India Federation, a Section 8 company through private placement for a cash consideration amounting to Rs. 5 crores. BIMA -Sugam will act as a one -stop solution e -platform for people to access all products of all insurance companies. It will be a digital platform to be regulated by the IRDAI where the customers can buy insurance policies and get their claims settled. And then also be useful for all the stakeholders like insurers, agents, depositories etc. At New India Assurance Company Limited, we have always endeavored to preserve an equilibrium between growth and profitability without which an organization cannot survive. We constantly strive to make sure that every underwritten policy is risk -weighted and contributes to enhancing shareholder value. In line with this, we have consciously foregone corporate accounts which were not revenue accretive. However, this has been compensated with quality underwritten policies which have minimal risk.

All of the above conscious efforts are evident in our financials for FY'24 -'25 which are as follows.

Financial performance summary for FY'25,

The gross direct premium income, Indian business, stood at Rs. 38,660 crores in FY'25 as compared to 36,997 crores in FY'24. The gross written premium global stands at Rs. 43,618 crores in FY'25 as compared to Rs. 41,996 crores in FY'24. Net premiums earne d (global) reported at Rs. 35,368 crores in FY'25 as compared to Rs. 34,028 crores in FY'24. Net worth stands at Rs. 21,538 crores in FY'25 as compared to Rs. 20, 827 crores in FY'24. Net profit after tax stands at Rs. 988 crores in FY'25 as compared to Rs. 1,129 crores in FY'24.

Now, coming to the important ratios for FY'25 which are as follows:

- The net incurred claim ratio is at 96.61%, commission ratio 9.95% of net written premium compared to 8.74% in FY'24.
- Expense ratio 10.21% of net written premium compared to 13.78 in FY'24.
- Combined ratio 116.78 compared to 119.88 in FY'24.
- Solvency ratio 1.91 compared to 1.81 in FY'24.
- The return on equity ratio is at 4.66%.

Digital and IT Transformation

Our digital initiatives have started yielding sig nificant results. A growing number of customers are now opting for digital channels to purchase policies and settle claims. Substantial volumes of claims have been processed digitally and this segment is expected to continue its upward momentum. Several tr ansformative IT initiatives have been executed. These include a complete revamp of our website with an enhanced UI/UX and introduction of an NLP enabled chatbox in 8 languages.

We have also launched WhatsApp services offering features such as policy download, claim status tracking, product information and live chat, again available in 8 languages.

Our 24/7 multilingual call center now supports end to end services related to prod uct queries, policy issuance and claims. Our customer portal enables a seamless digital journey for buying standard insurance products and managing policies and claims online.

We have implemented AI based claim automation for motor own damage claims up to Rs. 1 lakh and introduced HSN code based digital survey mechanism to facilitate real time claim processing. Advanced analytics tools like Oracle analytics are being used for actuarial pricing. Additionally , an AI powered fraud waste and abuse tool is depl oyed for fraud detection in specialized health operations. We have aligned ourselves with several national initiatives. Our integration with the account aggregator’s ecosystem is live. We have also integrated with the Jan Suraksha portal.

We have realigned ourselves with several national initiatives. Our integration with account aggregator ecosystem is live. We are also integrated with the Jan Suraksha portal for PMSBY, now connected with seven partner banks. Furthermore, claims are being processed through the NHCX platform across multiple hospitals.

On the developmental front, we are progressing towards onboarding with the open network for digital commerce, ONDC, in the health line of business and implementation of IFRS 17 and IND AS 117 is already underway. We are also collaborating with fintechs and startups for process enhancement, implementing IT service management and AI based knowledge systems and expanding our digital marketing efforts through SEO and social media.

With this, I come to the conclusion of my opening remarks and invite our General Manager (Finance), Mr. K. V. Raman to provide a detailed overview of our financial performance.

K. V. Raman: Good evening, everybody. I am pleased to present the financial performance of this Company.

For the year ending 31-03-25, the gross written premium of the company is Rs. 43,618 crores as against Rs. 41,996 crores of the previous year. And this gives a year -on-year change of 4%, (3.86%) for the current year, which is in alignment with the reduced market growth of the industry. And the net written premium after the reinsurance arrangement, after the premium is seeded out, the net writte n premium is Rs. 36,315 crores as against Rs. 34,407 c rores which works out to roughly 83% of the gross written premium. And the net earned premium as calculated as per the prevailing regulations, it is Rs. 35,368 crores as against Rs. 34,028 crores of the previous year which works out to around 82% of the gross written premium. And the net incurred claims stands at Rs. 34,168 crores as against Rs. 33,128. But in terms of percentage of ICR on the net earned premium, it works out to 96.61% which is less compared to 97.36% of the previous year. And the commission out go works out to Rs. 3,615 crores as against Rs. 3,008 crores and the increase is due to the reward and remuneration given to intermediaries where the incurred claim ratio is better this year.

The operating expenses, it is Rs. 3,709 crore as again st Rs. 4,742 crore making a significant reduction and in terms of percentage it is 10.21% for the fiscal year '24-'25 compared to 13.78% of the previous year making significant improvement. So the combined ratio works out to 116.78 for the recent year as against 119.88% of the previous year making an improvement of 3.1%. The underwriting results are the loss, Rs. 6 ,124 crore which gives an improvement of 11% as against the previous year loss of Rs. 6,850 crore and the investment income works out to Rs. 8,034 crore for the year ending 31.03.2025 compared to Rs. 9,241 crore which is basically due to the investment market behavior . The interest and dividend income is Rs. 5,214 crore as against Rs. 4,872 crore of previous year where the company has done well in the interest and dividend income and the capital gains are Rs. 2,820 crore as against Rs. 4,369 crore which is due to difference in fair value change. So it is evident that the investment income is less due to the market behavior.

And the other income and expenses are Rs. 875 crore as against Rs. 946 crore of previous year, which mainly includes the provisions made during the current year towards non -moving balances. And the profit before tax is Rs. 1,034 crore as against Rs. 1,445 crore. And the tax component as per the rules is Rs. 46 crore as against Rs. 316 crore of previous year. This is less

because of the provision and advance tax already paid. And the profit after taxes is Rs. 988 crore as against Rs. 1,129 crore of previous year. We have also uploaded the comparative figures of the latest quarter and the previous year 's last quarter. The other income / expenses includes the, as I already mentioned , includes the legacy non -moving balance provision which has been made as per the board approved policy.

There is also a comparative chart of combined ratio, gross written premium and investment income and profit after tax of the latest quarter compared to previous year quarter and the '24-'25 year compared to previous year which has been uploaded also in our website.

And the solvency ratio of the company as on 31 -03-25 stands at a robust 1.91% compared to 1.81% of previous year. And the net worth stands at Rs. 21,538 crores compared to Rs. 20,827 crores which shows an improvement. And the fair value change account stands at Rs. 21,406 compared to Rs. 23,569 crores which is due to the loss in capital gains only and the technical reserve of the company stand s at Rs. 53,177 crores compared to Rs. 50,114 crores of the previous year and the return on equity stands at 4.66% as against 5.58%, but ignoring the provisions made it would be much better than 5.58%.

Segment wise performance, in fire department , the premium is Rs. 6,225 crore compared to Rs. 6,744 crore and the ICR is 71.2% compared to 80.1% of the previous year which shows that the LOB is going in the right direction and the marine premium Rs. 1,010 crore as against Rs. 1,032 crore. Here the ICR is very decent, 53.7% compared to 48.1% of the previous year. And in Motor OD, it is Rs. 5,406 crore as against Rs. 5,152 crore with a growth of 5% (4.9%)exactly and ICR stands at 104.2 compared to 105.8 of previous year and in Motor TP it is 6,652 crore compa red to Rs. 5,993 crore of previous year and the year -on-year growth is 11% here and the ICR is 108.2% as against 96.4% which is actually indicating that the department, this particular portfolio is due for revision in premium and we are awaiting instructio ns from the government and regulator. And health and PA, it is Rs. 19,928 crores compared to Rs. 19,025 crores of previous year with a growth percentage of 4.7% which is in tune with the company's growth rate because our health portfolio is around 46% of the company and the ICR has improved to 100.9% compared to 105.9% of the previous year having a significant improvement of 5%. Crop segment is Rs. 483 crore as against Rs. 313 crore of previous year and the ICR is 81% as against 37.6% and for all other business put together it is Rs. 3,914 crore compared to Rs. 3,737 crore of previous year with a growth rate of 4.7% which is also in line with the company's growth rate and the I CR of all “other business ” put together it is 58.8 compared to 59.7% of previous year.

Overall business already as mentioned it is Rs. 43,618 crore with a growth of 4%, with an I CR of 96.6% as against the previous year performance of 97.36% ICR. If we do an analys is excluding motor TP, in which the premium rating and the claim settlements are not in our hands, if we remove exclude TP and see the same figures, it works out to 94.2% of ICR compared to

97.6% of previous year, which shows that the company is going in the right direction of improvement of more than 3.1% growth, an d improvement in ICR.

We shall now touch upon some industry figures which are as follows: I am pleased to confirm that the company continues to be the number one company in General Insurance market with a market share of 12.6% this year. And the industry is also growing at around 6.1%, whereas our company's growth is 4.5%. Here if you compare the first half year of the company and second half year of the company, it is evident that the company's performance during the first half year was much lower than that of the industry growth whereas in the second half year after the senior management is changed , it is faster ie. it is more than t he industry growth which is 6.21% leading to overall annual growth of 4.5%.

Segment wise market share is given. Here also New India is continuing to be number one in many portfolios. In fire, it is 16.3% market share, in marine 17.3%, in motor it is 10.6% and Health and PA it is 15.5%. All other line of business put together it is 16.3%. Overall, our volume is 12.6% of the industry. And if we exclude crop which is an inward business, it is 13.9% of the industry.

So these are the credentials about the company already mentioned by our CMD madam. We are in the 106th year of operations and we are the market leader with a strong brand image. The national credit rating by CRISIL is AAA and International Credit Agency, AM Best has given B++. We are not only an Indian insurer, we are also operating in 25 other countries since 1920. Our oldest foreign operation is from 1920 in London and we continue to operate in 25 countries in different business models like branches, agenci es, subsidiary, associate companies, etc. We are having multi -channel distribution network like broker, agency, online, web aggregator direct, etc. And the number of offices as on 31-03-25 is 1,6 68 offices operating in three -tier structure of Head office, Regional office and Business offices .

The segment mix, as already mentioned by Madam, Health comprises of 46% and the motor OD and TP put together is comprising 28% and fire property business works out to 14% and marine 2% and crop 1% and all other line of business put together it is 9% totaling 100% and so it is a very balanced portf olio which is helping the company to perform consistently better with sustainability. And the distribution mix is as follows: Direct businesses around 28.55% and the broker continues to be the number one channel of 33.52% and the agency channel which is also historically one of the very strong distribution channel of the company amounting to 28.56% of our business and the Dealer business is around 8.73% and the bancassurance is about 1% where we have scope to improve in the coming year.

And these are some of the key initiatives, some are already mentioned by CMD madam. And we are launching a new product among several new products -“Parametric insurance ”. This year has been declared by our company as MSME year to focus on retail business which is more profitable in terms of ICR in many line s of business. So we have chosen this year to be MSME year. And the emphasis on growth on profitable businesses already there and sufficient targets have been given to the Regional offices and there are also efforts to increase our penetration in states assigned to us by the regulator and government by way of S tate Insurance plan. Further , the company is also working on the Risk Management strategy by imple menting ERM with the professional assistance of EY company towards moving to higher credit rating to establish our credit rating in the international market.

These are certain IT initiatives already mentioned by CMD madam. The call center is offering services in multiple languages, majorly spoken languages apart from Hindi and English. The website is now revamped so that our customers and public are able to see the information about products, offices, etc. in a very clear way. And our WhatsApp services have also started in multiple regional languages (eight language s) for policy assurance and claim related basic services. And we have AI, artificial intelligence and machine language enabled chatbot also for customer service, which is available. And the claim automation efforts are continuously on and we have already automated Motor OD claims up to one lakh and marine cargo claims up to 50,000. Customer portal is also offering seamless user experience of certain routine products which can be acce pted by the company without any manual intervention.

Thank you all.

Moderator: Thank you. We will now begin with the question -and-answer session. The first question is from the line of Mehak from Emkay Global. Please go ahead.

Mehak: Yes, hi. Thank you for the opportunity. A couple of questions. So first is on the motor business. So I just wanted to understand how are you looking at the motor business for the coming year, FY26? And what would be your strategy in terms of the Motor TP business if the price hike doesn't come in FY'26? So that would be my first question.

Girija Subramanian: So can I answer now or will you put up the second question also?

Mehak: Yes ma'am, the two questions I will ask later on.

Girija Subramanian: Okay, so for motor business in the coming year, we will continue our strategy for the last year which has produced results for us. We are targeting the OEM segment where OD is concerned . We are trying to see that we write more private car business and change our mix in favor of private car vis -à-vis commercial vehicles. And this will be the strategy going forward also. Because we find that ICRs are better in this segment. And as far as TP is concerned, I mean, it is a mandated business, so we have no control over TP business. We'll have to continue to do TP business. Even, I mean, we simply cannot have a strategy around it. The only thing we can do, to reduce overall impact is to keep aligning our OD strategy in a way that the entire OD plus TP becomes sustainable. But as I have said before also that the TP premium hike is surely the

need of the hour and if that is there , then it will become a survival issue for most companies if it is not relooked into.

Mehak: Ma'am, my question for the Motor TP strategy was more of from the perspective of the mix between the PVs and the CV business.

Girija Subramanian: So in Motor TP, we have better loss ratios even for the CV business. So we will have a different strategy for Motor TP when it comes to it, because we simply, I mean we can target certain segments . Wherever the ratios are better for our book, we will continue to target those segments. But we will see that whenever there is a business that approaches us for TP, I mean we simply can't refuse to do that. This is something that is mandated and therefore while we do write whatever comes to us, we will surely look out for certain portfolios where the TP loss ratios have been favorable to us in the past.

Mehak: Got it, ma'am. And secondly, just wanted to understand what led to the decline in the operating expenses to Rs. 571 crore during Q4. That would be the first one. And secondly, if I was going through the notes to accounts, so can you just explain to what would be the change in the expense allocation policy, which resulted in the impact of around Rs. 650 crores for the quarter?

K. V. Raman: Actually, the Regulator has given an EOM policy which gives us a cap on expenses of management where the company is always having expenses of management well within the limits given by the Regulator. But mainly, the two reasons for the decre ase in expenses is one -the company's phasing retirement of many people where we are trying to induct new officers, Recruitment process are already on. So, this will give an impact in the reduction in wages also. And the number of offices compared to previ ous years is now very less. So it will reduce the administrative expenses also in terms of running expenses and rent of building etc. So these factors put together has given a reduction in expenses of management.

Mehak: Got it, sir. And what would be the explanation for the change in the policy?

K. V. Raman: No, it is not the policy by the company. It is the regulator has given a year ago from 2024. There is no change in company's EOM policy.

Mehak: Got it, sir. Thank you so much for the detailed explanation.

Girija Subramanian: We are supposed to cap it at 30. It doesn't affect New India. In any way, we are very well within that already.

Mehak: Got it, ma'am. Thank you so much.

Moderator: Thank you. The next question is from the line of Akshay Kothari from Envision Capital. Please go ahead.

Akshay Kothari: Ma'am , can you just outline what is the debt versus equity mix of the investment book?

Girija Subramanian: Our GM, Mrs. Chandra here will reply.

Chandra S. Iyer: Our debt portfolio is around 70% to 72% of our portfolio and equity is somewhere between 15% and 16% of equity portfolio. And the rest is money market .

Akshay Kothari: Ma'am , I wanted to understand - will this combined ratio actually come down and how do we plan to take it down because actually it's 16% cost of capital to raise Rs. 43,000 crores we are paying 16% more. So what is the strategy for that?

Girija Subramanian: Yes, combined ratio for the industry average is at around 113. In non -life segement , this is the way this industry works and the investment income and the underwriting results together create the value for the entire operation. Now, combined ratio has definitely come down from 120 to 117 which is a huge reduction for any insurance company of this size to achieve. So, I mean we are putting in all strategies in place to ensure that combined ratio keeps coming down year -on-year and I am sure that with all the efforts that they're putting in terms of claims management, in terms of selection of the written risk, in terms of speed in settlement of claims, all of this will surely result in better combined ratios as we go.

Akshay Kothari: This 113% , you mentioned was of the Indian market, right?

Girija Subramanian: Yes.

Akshay Kothari: And what is the mix for the foreign operations currently?

Girija Subramanian: Foreign operation is around 9% of our entire book.

Akshay Kothari: Okay. Because internationally I think combined ratios are much lower?

Girija Subramanian: Internationally , combined ratios are within 100, they will not be very low, but yes they are. The investment income doesn't exist over there. There is no investment income. So it is, I mean, so therefore the growth also will be very small. They don't become large very fast. There are a lot of restrictions because of the investment climate in those countries.

Akshay Kothari: Yes. That's it from my side. Thanks a lot.

Girija Subramanian: Thank you.

Moderator: Thank you. The next question is from the line of Karan Negi, an Individual Investor. Please go ahead.

Karan Negi: My first question is, you mentioned the combined ratio has improved to 116.78% in FY'25, and the underwriting loss is reducing by 11%. So what are the specific measures that are driving for this improvement? What is the timeline and roadmap for bringing the combined ratio below 100%?

Girija Subramanian: Yes, so Karan, thanks for this question. So the combined ratio, there are a lot of initiatives that we take because we are in the insurance business and we would definitely like to see the combined ratio reaching below 100%. And in this entire initiative, we also need to remember that our company is around 106 years old and we carry a legacy of so many years that comes down the line. Apart from that, there are a lot of initiatives that we have taken in the last 2 -3 years which is basically on risk selection, whether it is group or indiv idual risk, whether it is retail business . We have seen to it that & we try and see that there is some value for this company at the end of the day when we write the business at a particular price. Now, in line with this philosophy that we need to have pro fitable growth, we have even shed so many group accounts on Mediclaim where the pricing did not suit us and definitely we would have made more losses , had we continued to write. So, more than nine hundred such accounts we have left in the last year simply to see that we are more profitable on the business that we do. And therefore I think a lot of this risk selection whether it is Mediclaim business, whether it is other than health, I mean home, motor , in all classes , we have tried to see that there is pr ofitability at the end of the day right from our underwriting itself and not waiting for investment to step in. But having said that , we are in the business of uncertainties and therefore since we insure uncertainties there are many events that sometimes surprises which cause losses and therefore the results are not always bang on as expected but definitely with so many initiatives happ ening, whether it is intervention of automation, introduction of fraud and audit mechanisms, whether it is putting SOPs in place, making our employees more accountable, seeing to it that we audit our TPAs and all external agencies, put in a timeline for every activity. All of these activities across all lines of businesses, they still result in this kind of an impact that we are seeing this year. It's a huge impact 3.1% on combined ratio is huge and we are very happy to have been able to do that. 11% reduction in underwriting losses is significant from this angle and we hope to bring down the combined ratio significantly year -on-year. For a near future, we would target 110 as our combined ratio which is where we would feel it is possible and achievable . Below 100 is definitely a dream for all of us and I hope and pray that your company is able to achieve that in the shortest possible time.

Karan Negi: Okay ma'am, thank you. And my another question is, despite slower premium growth , profitability improved, so do you expect any positive underwriting profits on like the coming quarters.

Chandra S. Iyer: We are making underwriting profit on certain segments, but overall when you see that is when it goes above 100. So, yes we are putting strategies in place across all lines of business and each line of business is being focused as a separate profit center, profit vertical. We are trying to see

that we generate profit out of each of them and then let us see, hope that next year brings in that number.

Karan Negi: Okay ma'am. And the last question is, what is the effective ROE for like FY'25 after reinsurance and any target for FY'26?

K. V. Raman: The ROE based on reported number is around 4.46% but if you remove the impact of the provisions that we have made towards the legacy balances it is in excess of 8%.

Karan Negi: Okay, sir. Thank you.

Moderator: Thank you. The next question is from line of Shobhit Sharma from HDFC Securities Limited. Please go ahead.

Shobhit Sharma: Thanks for the opportunity. So my first question is on your expenses, employee expenses for the quarter is almost one third of what it has been. So can you help us understand , what has been the trajecto ry? I understand that you mentioned there has been retirement of employees. So, can you help us understand the headcount reduction which has happened and how should we think about the trajectory going forward? Secondly, coming to the provision which we hav e created on the reinsurance side. So, can you help us understand what kind of receivables it was on the reinsurance side? Was it something related to claims or it was a commission? Probably, then I will ask my other questions.

Sharad: First of all, I wou ld request you to look at the expense number on a full year basis and not just a quarter -to-quarter basis; as we mentioned earlier there has been benefits of a lot of retirements which have happened, net additions have been negative and the new employees have come at a much lower cost than the senior people who have retired. So, all those things have contributed to the lesser amount of expenses on the employee front. Apart from that, we also do the annual valuation of the pension liabilities. We do it once in September, once in March. So, whatever is the impact of that which comes, we take that in the fourth quarter. So, this time around, the impact on the fourth quarter was lesser than what it was in the same quarter last year. So, this was the major two factors. So, I would request you to look at it on an year -to-year basis. But whatever reduction which you see over there, that is kind of a tangible number you can work with.

Girija Subramanian: As rega rds to second question, what was the other provisions made for legacy issues? Then yes, there were a lot of reinsurance transactions. This is a 106 -year -old company with transactions spanning across several years. And there were these many reinsurance prov isioning which were done at certain points of time. Two time s, system changes that have happened during this period because of which there were lot of these unreconciled balances. So we have used the guidelines for provisioning (board approved guidelines) and

these provisions have been made and we will be giving them a thorough review and taking a call on these provisions in near future.

Shobhit Sharma: Just on the employee expenses, a small follow up on that. How should we see employee costs going forward? Should we see a rational 10% to 12% increase in that or should we see a similar run rate as this quarter?

Girija Subramanian: Employee costs will be depending, it will be a function of the number of retirements and the number of inductions and also the wage revision that is on the anvil which will play a part in this. So, it's a function of many parameters and we are also going to recruit people because we are having around 4,000 people retiring in the next 3 to 4 years and we need to plan and start inducting people and therefore , that's already on. So, it depends on the net differential between their salaries after taking into account the effect of the wage revision. So, definitely there will be, it will be a different trajectory and we move every quarter we will keep reporting back to you.

Shobhit Sharma: My next question is on your health line of business. So you have improved your loss ratio considerably on those lines. So can you help us understand; what is the mix of that, the loss ratio in retail and group business? And can you help us understand the insurance rate, what you are observing on the retail lines of business and how much is the inflation on those lines?

Girija Subramanian: Yes, our GM, Mrs. Sushma Anupam is present here and she will explain the health side of it.

Sushma Anupam: So Shobit, actually in the health line of business , our portfolios as you would have already seen that the group segment is larger as compared to the retail part of the business. Definitely, there has been overall improvement but we find a good improvement in the retail segment , as always. Definitely, the medical inflation which has been there, it has come down slightly , maybe from 14% to 12%. But nevertheless, the inciden ce rate as in the past meetings also, I had mentioned that the incidence rate , we find is going up and that has not sett led as far as the pre -COVID days. So, that continues to be as it has been in the past also. Actually, to share the exact numbers would be a bit difficult to say in terms of exact percentages, but I can tell you that the improvement in the retail segment has been almost 10 points compared to the previous year's position. As far as the group segment is concerned, I would say that it has improved by about 3 to 4 points compared to the previous year's performance. Government business, definitely , has seen imp rovement . So, overall if you see combined effect, we have seen good improvement and we feel that this will continue because it is a result of multiple factors. We have been increasing our audits. So, last year , as we mentioned that we had hired medical officers. So with the total strength of the medical officers, we could increase our audits that we conduct. Almost 34% audits were conducted last year. This year also , we have a vision to increase it beyond 50%. So, all other measures like we are participating with the GI council initiatives for cashless everywhere and common empanelment. So, that all will also help in bringing down our ICR further. And we are trying th at the cashless percentage goes up for us as it is going up for the industry. And of course, last but the most important factor is about as our CMD madam has mentioned about the quality of the risk and the pricing aspect. So, all these factors together have contributed to this improvement and the changes that are coming out. So, I feel that the tempo will continue in the coming times also. Thank you.

Shobhit Sharma: Thanks for that. Just a small fol low up on the elaborate response. On the retail side, the loss ratio has improved significantly by 10 percentage points. So was it because of the price hike which we have undertaken or it was primarily attributable to the audits which we have done during t his year?

Sushma Anupam: So actually, very rightly you are asking this question. It's a combination of both because we had come up with the price increase after almost six years and then ad follow up, small change in the pricing strategy for the zone wise pricing and all. So, that is one part of it and the other part is the claims control. So, it's a combination of both the things.

Shobhit Sharma: And are we planning any price hike going forward?

Sushma Anupam: So, actually last time , we had shared with all of you all that what we have tried is to have age wise pricing as against the previous pattern - which we used to have of slabs (age slabs). So now with that already in place, immediately we, after seeing more some performance levels, then we may look at revising the prices. But for now, immediately it is not on the anvil.

Shobhit Sharma: Thanks. Ma'am, my next question is on your property lines of business. Last year, June onwards, we have seen FLEXA rates declining significantly. So can you help us understand how has been the experience up till now or the rates have been holding up? What kind of growth should we expect in the industry from June onwards?

Girija Subramanian: Yes, so from last year, from May, almost May till end of December, there was a watershed in the property market. It was just tanked and I think we then had the industry sort of understood that this is not going to pull on because this property is mainly driven by reinsurance and the reinsurers are never comfortable with this kind of reduction in rates almost next to nothing (it was the rate). So therefore, I think the rates have corrected after that and they held on very well for the last four months, the fifth month rates are holding on and we believe that this will continue into the future also. And once this continues, I think property as a class of business would be a little bit more comfortable.

Shobhit Sharma: Another, there was some circular from IRDAI on the cross -border re -insurance arrangement. So, can you help us understand how have we collaborated with the CBRs in terms the arrangement, whether we are with handling the premiums or they have set up their office in the GIFT City?

Girija Subramanian: Yes, so CB Rs do form a big part of our programs also. So, most of the CBRs whom we interact with, they have agreed for a premium withheld option and that has been going very smooth. In fact, we did not experience any resistance or any great challenges during this re newal.

Shobhit Sharma: And ma'am, last question is on a broader line. How do you see industry growth going forward as we want to control our loss ratio also? So, what do you think would be the major revenues from where we can improve our loss ratios?

Sushma Anupam: Yes, so industry growth is like, it's being heavily driven nowadays by both the Prime Minister, by all the statutory authorities, you can say even the Regulator. Everyone is driving the growth of the industry in terms of penetration. So, obviously if you penetrate well, growth will also be there and that is what we are working on. We have, in line with the Regulator's vision, have also announced this as the year of the SME for New India and we are working hard on ensuring that we enter either to in the remote corners of the country to ensure that we bring them also into financial inclusion. We have designed several products on the retail space to cover up for this segment of population that is uninsured and we believe that this diversification that we have planned in terms of simple products being sold into the hinterlands, customized to the needs of the population, this is what is going to help us diversify into the retail lines in a big way and this will help us surely bring do wn the loss ratio of the entire book as a whole.

Shobhit Sharma: Okay, ma'am. Thanks for the elaborative response. All the best.

Sushma Anupam: Thank you.

Moderator: Thank you. We will take the next question from the line of Aditya Chopra, an Individual Investor. Please go ahead.

Aditya Chopra: My questions are somewhat long, so keep patience in hearing it.

Girija Subramanian: Thank you so much.

Aditya Chopra: Okay. Could you please elaborate on how Q4 has shaped up in terms of overall growth especially in the property insurance segment and what growth rate you have seen in this quarter?

Girija Subramanian: For fire, we have had a reduction of 23% in fire for Q4. I mean , that is because of a reduction in premium from Rs. 6,744 crore for '23-'24, it has come down to Rs. 6,225 in '24 -'25. Entirely for the last quarter, the reduction is around 7.7% and for the year as a whole it is around 23% reduction.

Aditya Chopra: Okay. The second question being the Rs. 802 crore provision towards legacy reinsurance balances impacted the PAT and ROE. Can you clarify if this is a one -off or is there potential for reversal or recoveries in future periods?

Girija Subramanian: No, this is a one-time provisioning because it is actually we have been working hard to get back our global credit rating and some of the aspects that have come in the way of getting back our A minus (excellent) rating from AM Best . One of the major issues has been this unreconciled reinsurance balances which are legacy issues and other audit qualifications. So, this has been a major part of it. So, in an attempt to see that we cover up a lot of this ground and we are able to present a cleaner book of accounts and also then aspire for a well -deserved A - excellent rating from AM Best, we have seen to it that we provision for them and we will, in the next couple of months , see how to treat these provisions and with that I think , we will be done with it. I don't think this is going to be ever repeated , furthermore. There are a lot of systemic improvements that we have put around this. We have set up a certain task force, have set up certain cells to monitor those areas because of process defaults, because of which these unreconciled balances were there. So now, as having plugged the gaps . I think this kind of scenario may not happen in the future. And we would be able to convincin gly put this across even to our credit rating agencies.

Aditya Chopra: Okay. Ma'am, my last question is, what is the contribution of investment income versus underwriting income to total profitability in Q4, especially considering some recoveries in the equity market? What is contribution of investment income versus underwriting income?

K. V. Raman: For the last quarter, FY'24 -'25 in Q4, the underwriting results is loss of Rs. 1,143 crores and the interest and dividend income is Rs. 1,415 crores. I am sa ying this is the breakup of Rs. 2339 crore breakup. Profit before tax is 526 crore in Q4 2025.

Girija Subramanian: For the last quarter of FY 24 -25, the underwriting results is Loss of Rs.1143 crore. The interest and dividend income is Rs.1415 crore and c apital gains is Rs.924 crore. This is the break -up of Rs.2339 crore. The investment income which is Rs.2339 crore, underwriting loss is Rs.1143 crore and deducting other expenses and tax resulted in PAT of Rs.347 crore in 4th quarter.

Moderator: Thank you so much. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Thank you and over to you.

Girija Subramanian: I would like to take this opportunity to thank all ou r investors, our business partners, our employees, and everyone connected to New India Assurance Company , one way or the other, mainly our customers who are constantly reposing trust in this institution which has stood strong for over 106 years and we will be there strong leading from the front across many more years to come and we would put every effort that is there to see that we keep this trailblazer on. The entire management team and the workforce is working to ensure that we deliver on the promises th at we have given to our customers at all times. Should you have any queries please feel free to email us and we shall be swift in responding back to you. Thank you so much for the time and attention that you have given to New India Assurance Company and thank you for being with us on this journey.

Moderator: Thank you Members of the Management, ladies and gentlemen on behalf of The New India Assurance Company Limited that concludes this conferenc e. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2025

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Dear Sir/Madam,
Sub: Transcript of the Conference Call held on 30th July, 2025
With reference to our letter dated July 24, 2025, intimating you about the conference call with Analysts/Investors held on July 30, 2025.
Please find attached the transcript of the aforesaid conference call.
You are requested to kindly take the same on records.
Thanking You
Yours faithfully
For The New India Assurance Company Limited
Abhishek Pagaria
Company Secretary

NEW INDIA ASSURANCE
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The New India Assurance Co. Ltd
The New India Assurance Company Ltd
Q1FY26 Earnings Con-call
30th July, 2025
Management:
1. Mrs. Girija Subramanian — Chairman cum Managing Director
2. Mrs. Smita Srivastava — Executive Director
3. Mrs. Kasturi Sengupta — Executive Director,
4. General Managers and Chief Financial Officer
5. other esteemed management members

Abbreviations:
GWP: Gross Written Premium
ICR: Incurred Claim Ratio
ROE: Return of Equity
GDWP: Gross Direct Written Premium
GDPI: Gross Direct Premium Income
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NEW INDIA ASSURANCE
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The New India Assurance Co. Ltd
The New India Assurance Company Limited
Q1 FY'26 Earnings Conference Call
July 30th, 2025
Moderator: Welcome to the conference of the New India Assurance Company Limited arranged by Concept Investor Relation to discuss its Q1 FY26 Results.
Girija Subramanian: We have with us today Mrs. Girija Subramanian —Chairman cum Managing Director, Mrs. Smita Srivastava — Executive Director, Mrs. Kasturi Sengupta — Executive Director, General Manager and Chief Financial Officer, among other esteemed management members.
At this point, all participants' lines will be in the listen-only mode. Later we will conduct a question-and-answer session. At that time, if you have a question, please press "*" and then "1" on your touch-tone telephone. Please note this conference is being recorded.
I would now like to hand the floor over to Mrs. Girija Subramanian, Chairman cum Managing

Director. Thank you and over to you ma'am.
Good afternoon, everyone. I am Girija Subramanian, Chairman cum Managing Director of the New India Assurance Company Limited. I welcome you all to discuss 01 FY'26 Financial and Operational Performance of the New India Assurance Company Limited.
I am joined today by Mrs. Smita Srivastava — Executive Director, Mrs. Kasturi Sengupta — Executive Director, General Managers, Chief Financial Officer and other Management members.
At the outset, I would like to extend a warm welcome and express my sincere appreciation to all of you for joining us this afternoon. I would also like to thank our shareholders, investors and analyst community for your continued trust and confidence in New India Assurance. Your steadfast support is instrumental in driving our progress and strengthening our commitment to sustainable growth.
Before delving into our financial and operational performance for the 1st Quarter FY'26, I will begin with a brief overview about our company, following that, we will open the floor for the question-and-answer session where my team and I will be happy to address your questions and provide any necessary clarifications.
As we gather here today, New India Assurance sta

nds at a pivotal juncture reflecting on a legacy
of over a century of serving the nation while simultaneously charting an ambitious course for

the future. Our journey has been defined by resilience, adaptability and an unwavering commitment to our policyholders, stakeholders and the broader Indian economy. We are a 106-year-old insurance company conceptualized by Sir Dorabji Tata in 1919 and nationalized in the year 1973. We have a PAN-India presence with 1,668 offices across the country and presence in 25 countries. As the largest non-life insurer in India in terms of gross direct premium, we remain committed to delivering excellence through prudent underwriting, superior claims service and customer-centric innovations. In the past quarter, despite a dynamic and often challenging global and domestic landscape, New India Assurance has demonstrated robust performance reinforcing our position as a leader in the Indian general insurance sector.
Our strategic initiatives, prudent underwriting practices and customer-centric approach have yielded commendable results, which we are eager to share with you in detail today. The general insurance industry stands atRs. 79,301.21 crores as of June'25, reflecting a year-on-year growth of 8.84% as per the General Insurance Council's data. Of this, New India Assurance has underwritten Rs.12,299.49 crores accounting for approximately 15.51% of the total gross direct premium underwritten, which represents a robust 15.27% year-on-year growth.
Business Highlights:
The Distribution Mix stands at direct 33.28%, agency 21.73%, BANCA 0.54%, dealer 5.65% and broker 38.80%. Product mix stands as follows, health and PA 50.19%, motor TP 10.61%, motor OD 10.65%, marine 2.51%, fire 17.04%, crop 0.94% and others at 8.06%. In Q1 FY'26, ratings agency - CRISIL has reaffirmed its Crystal AAA STABLE rating, which is considered to have the highest degree of safety for your company.
Furthermore, AM Best has assigned the India national scale rating NSR of AAA.IN, EXCEPTIONAL and has affirmed a financial strength rating of B++ GOOD and a long-term issuer credit rating of BBB+ GOOD to New India Assurance Company Limited. The outlook of these credit ratings is STABLE. New India Assurance Company Limited has consistently upheld the vital balance between sustainable growth and robust profitability, recognizing it as fundamental to organizational resilience.
Our operational ethos ensures that each underwritten policy is thoroughly risk-assessed, directly enhancing shareholder value. Consequently, we have made the deliberate choice to opt out of corporate accounts lacking revenue accretion, instant compensating with the strategic acquisition of premium low-risk policies. The positive outcomes of these concerted efforts are demonstrably evident in our 1st Quarter FY'26 performance as we feel below.

Financial performance:
The gross direct premium income Indian business stood at Rs.12, 299.49 crores in 01 FY'26 as compared to Rs. 10,670.47 crores in 01 FY'25. The gross direct premium global stands at Rs. 13,333.58 crores in 01 FY'26 as compared to Rs. 11,787.92 crores in 01 FY'25. Net premiums earned reported at Rs. 9,369.42 crores in 01 FY'26 as compared to Rs. 8,503 crores in 01 FY'25. Net worth stands at Rs. 22,279 crores in 01 FY'26 as compared to Rs. 21,343 crores in 01 FY'25. Net profit after tax stands at Rs.391 crores in 01 FY'26 as compared to Rs. 217 crores in 01

FY'25.
Now coming to the important ratios for Q1 FY'26:
Net incurred claims ratio is at 99.76%. Commission ratio is at 8.54% of net earned premium as compared to 8.49% in 01 FY'25. Expense ratio is at 7.86% of net earned premium as compared to 11.65% in 01 FY'25. Combined ratio is 116.16% compared to 116.13% in 01 FY'25. Solvency r

atio is 1.87% as compared to 1.83% in 01 FY'25. Return on equity ratio is at 7.17%.
With this I come to the conclusion of my opening remarks and invite our General Manager of finance, Ms. Mary Abraham to provide a detailed overview of our financial performance.
Mary Abraham: Thank you, ma'am. Good afternoon and I will just quickly take you through the financial performance of the company for 01 FY'25-26.
We had a gross written premium of Rs.13,333.58 crores as compared to Q1 FY'25 of Rs.11, 787.92 which is a growth rate of 13.11% year-on-year. Our net incurred claim, ICR%, has increased from 95.98% to 99.76% in this quarter and mainly because of the aviation claim, the Air India claim that we had and also due to an increase in the health and liability claim. The operating expenses you will see as a percentage of the net written premium has come down from 11.65% to 7.86%, a significant reduction mainly driven by the negative net addition of employees and the combined ratio despite the increase in the ICR percentage has remained stable at 116.16% as compared to the previous year of 116.13%. The other income, you will see we have the other expenses of Rs.145.35 crores mainly due to the provision that we made towards the non-moving reinsurance balances and also providing for the other doubtful debts. This was an attempt to clean the books and as per our board approved policy. The financial results are that we have a profit after tax of Rs.391 crores which is an 80% increase over the PAT of C11 FY'24-25.
The combined ratio where we have remained almost stable and as compared to 2024-2025 we have remained stable but compared to 2023-2024 we have significantly come down. The gross written premium The combined ratio for C11 FY'25-26 is 116.16% as compared to the combined ratio for the previous year which stood at 116.13%. So, we have remained stable as far as the combined ratio is concerned. As far as the gross written premium is concerned, as already

mentioned we have a total premium of Rs.13, 334 crores in Q1 FY'25-26 as compared to Rs.11, 787 crores in 01 FY'24-25 and this was at a growth rate of 13.11%. The investment income has increased in 01 FY'25-26. It is Rs.2, 290 crores as compared to the investment income for the previous year which was Rs.1, 852 crores. The profit after tax is Rs.391 crores for 01 FY'25-26 which is an 80% growth over the profit after tax of the previous year, which was Rs.217 crores.
To continue with the other ratios, our solvency ratio is 1.87x for 01 FY'25-26 as compared to the previous year which was 1.83x which is a significant increase. Our asset under management stood at Rs.1,00, 802 crores for 01 FY'25-26 as compared to Rs.98, 769 crores for 01 FY'24-25. The technical reserve has increased to Rs.55, 789 crores in 01 FY'25-26 as compared to Rs.51, 638 crores in 01 FY'24-25. Our net worth has increased from Rs.21, 343 crores to Rs.22, 279 crores in 01 FY'25-26. Fair value of change account has come down from Rs.26, 360 crores to Rs.23, 416 crores mainly due to the volatility in the equity market. Our return on equity is 7.17% for 01 FY'25-26 as compared to 4.15% for 01 FY'24-25.
Next, we come to the segment-wise performance:
For the fire department, the 01 figures are Rs.2, 272 crores registering a growth of 19.95% as compared to the previous year's quarter. Marine premium stood at Rs.300 crores as compared to Rs.274 crores in the last year's 1st Quarter registering a growth of 9.48%. Motor OD premium stood at Rs.1, 270 crores in the current quarter registering a growth of 6.45% over 01 FY'25-26. Motor TP premium stood at Rs.1, 415 crores registering a growth of 3.18% as compared to 01 FY'25. Health and PA put together is a premium of Rs.6, 692 crores registering a growth of 14.15% over Ct1 FY'25. Crop premium is Rs.126 crores with a growth rate of 0.8% as compared

to 01 FY'25.
Others, which comprises the other departments like engineering, aviation, miscellaneous, liability put together had a premium of Rs.1, 258 crores registering a growth of 16.8% as compared to that of 01 FY'24-25.
I will take you through the incurred claims ratio segment wise:
For fire, the incurred claims ratio stood at 11.44% as compared to 7.75% of 01 FY'25. Marine, the ICR is 59.88% as compared to 55.86% in 01 FY'25. Motor OD, the ICR is 116.35% as compared to 01 FY'25-26 of 114.86%. Motor TP, the ICR is 105.09% as compared to 01 FY'25-26 of 111.71%, it has come down. Health and PA has an ICR of 108.98% as compared to the previous year's figure of 105.96%. CROF registered an ICR of 94.23% as compared to 72.26% in Q1 FY'24-25. And the others, the other departments, as mentioned earlier, had an ICR of

89.20% as compared to 50.79% pertaining to 01 FY'24-25. The increase to the overall ICR is mainly due to aviation loss and some large losses in liability and miscellaneous portfolio. Motor TP loss ratio continues to remain high though it has shown a small reduction, and we have still

not received any notification on the TP premium increase from MoRTH. Health segment also witnessed an increase in the incurred claim ratio.
We now take you through the performance of New India vis-a-vis the performance of the industry:
The general insurance industry grew by 8.84% in C11 FY'26 with a premium of Rs. 79,301.21 crores and this was at a growth of 8.84% whereas New India grew at 15.27% with a premium of Rs. 12,299.49 crores. The market share of New India increased to 15.51% from 14.65% of the same period last year.
We take you through the segment-wise market share of New India:
For Fire, our market share was 16.5% where we had a premium of Rs. 1,857.16 crores as compared to the total market premium of Rs. 11,241.76 crores. For Marine, the market share was 16.2% with a premium of Rs. 280.68 crores as compared to the total market premium of Rs. 1,737.15 crores. For Motor, our market share was 9.92% with a premium of Rs. 2,302.1 crores as compared to the market premium of Rs. 23,200.28 crores. For Health and PA, our market share was 18.9% with a premium of Rs. 6,713.35 crores as compared to the total market premium of Rs. 35,543.33 crores and all the other miscellaneous departments like Crop, Credit and other miscellaneous liabilities, our market share stood at 15.3% with a premium of Rs. 559.97 crores as compared to the market premium of Rs. 3,658.06 crores. And all other departments put together, our market share was 15% with a premium of Rs. 586.23 crores as compared to the market premium of Rs. 3,920.63 crores. The company had in the past taken a conscious decision not to write Crop line of business directly.
A few other facts about our company:
We are in the 107th year of our operation, having celebrated our foundation day on the 23rd of July this year. We are a market leader with a strong brand image. We have been rated AAA by Crystal and B++ good by AM Best. We have a multi-channel distribution network and we are an Indian multinational with presence in 25 countries including India. We have 1,665 offices in India underlining strong domestic presence.
Our segment mix:
Fire accounts for 17.04%, health and PA accounts for 50.19%, motor TP is 10.61%, motor OD is 10.65%, marine is 2.51%, crop is 0.94% and others at 8.06%.

The distribution mix stands as follows:
The agents account for 21.73% of our business, brokers account for 38.8% of our business, direct premium is 33.28%, from dealers, the percentage is 5.65% and bank assurance accounts for 0.54%.
Our key initiatives for the year 2025-2026 are as below:
Launching innovative new products with focus on retail and MSMEs, growing new lines like parametric insu

rance, emphasis on growth in segments other than motor and health where competitive intensity is high, special efforts to drive insurance penetration in the state of Gujarat and Lakshadweep underthe state insurance plan, further impetus on risk management initiatives and enterprise risk management and taking steps to improve our global credit rating.
Key initiatives are call centers offering services in seven regional languages: We have a revamped website. Our WhatsApp services are available in eight regional languages which offer policy and claim related services. Al and ML enabled chat bot for customer service. Claim automation efforts continue for faster claim settlement. Customer portal offering a seamless user experience for standard products.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rehan Saiyyed from Trinetra Asset Managers. Please go ahead.
Rehan Saiyyed: Good afternoon. Thank you for giving us the opportunity. I assume the management has cleared points in detail with us. I would like to ask a couple of questions. First question is on the global side. Can you share more on your credit rating improvement strategy and how global rating agencies are responding towards that for going forward and what is the recent trend to the industry?
Girija Subramanian: Excuse me, we are not clear what you asked. Can you repeat please?
Rehan Saiyyed: Sure. I am asking can you share more on your credit rating improvement strategy.

Moderator: Sorry to interrupt. Mr. Rehan, May I request you to use your headphone? Can you try to use the speakerphone?
Rehan Saiyyed: Now, am I audible? Hello.
Moderator: Yes, please go ahead.
Rehan Saiyyed: So, my first question is around can you share more on your credit rating improvement strategy and how global rating agencies are responding towards that? Just put more light on that.

Girija Subramanian:
Rehan Saiyyed:
Girija Subramanian: Yes, so actually on this credit rating, we have been credit rated by AM Best for quite some time now and unfortunately in the year 2018, we were downgraded to B++ from A-Excellent and since then, we have been working consistently to see that we go up back to our A rated status and in that endeavor, we have been consistently trying to improve our ERM methods, the technology usage, the kind of resilience across all parameters, risk management initiatives, we have employment of technology to ensure that there are no gaps, all of this we have been trying to do across the last few years and most particularly in the last year, we have made some significant strides in this area. We have put certain, or wherever we have had audit observations and audit paras from our statutory auditors, we have actually put our teams, a task force to address each of these unreconciled amounts and as a result of that, you can see that the last quarter and this quarter, we have taken a few of the unreconciled amounts which are pretty old, very old balances to our P&L, we have written them off and so that we clean up the books permanently for the future.
At the same time, to be future ready and to ensure that such things do not repeat, we have created certain verticals within the company to address these procedural lapses so that, because of the transactional inconsistencies and delay, these things were happening and therefore, we have put address all those gaps. We expect that this will be a total cleanup for the future and we will not see these kinds of instances in the future. Apart from that, we have strengthened our ERM team. We have completely drawn up a risk map, heat map which was there. We have improved on it. We have taken the help of one of the big three in ensuring that we get the, the absolute state of art, knowledge transfer, the best practices in the indus

try for
addressing this, to make ERM best in class for this industry and I think there has been a significant improvement from there. We have adopted technology in a big way to ensure that these gaps which were there in the procedures and processes, they addressed to a large extent and we have seen significant improvement in the way our teams have reacted to this, the way these processes have cleaned up and brought more accountability to the table of each and every employee. The way we are able to measure TAT, when it comes to claim settlement or, in fact, even for underwriting, we are able to find out where and on which table the delay is happening and these things, I think, are something which are permanent in qualitative terms and this would bring continual rewards for this company every quarter that we go.
Okay. I understand and thank you for such a detailed answer and my second and last question is around what's the output for combined ratio in second half? Any internal targets or levers to improve it? Is there any target in the management team you have forecasting for FY'26 — FY'27?
Yes. So, last year, we had a phenomenal year when we brought down the combined ratio from 119 to 116, which is not a mean feat to achieve for such a big entity, a global entity. So, it was definitely something we really worked on in the last year and we brought in significant change. The same things hold good this year. Additionally, this 1st Quarter has not moved in terms of

combined ratio because there were a few large losses that affected this particular quarter and the one from Air India was a once in a while kind of a loss and otherwise, possibly, we could have seen a traction there also. But going forward and I think the kind of initiatives we are taking, we are very sure that internally, we have set ourselves improvement in combined ratio by another 3% this year, which I think should be achievable at the current point of time.
Rehan Saiyyed: Okay ma'am, thank you for your answer and good luck for the coming quarter.
Girija Subramanian: Thank you.
Moderator: Thank you. The next question is from the line of Aditi Joshi from J.P. Morgan. Please go ahead.
Aditi Joshi: Yes, thanks for taking my question. Just on the loss ratio side, just now you said that the 1st Quarter could have been better if it was not the case with the Air India losses. But if I look at the incurred loss ratio across the business line, it has broadly shot up in almost every category. So just firstly, with respect to the health insurance, actually, I wanted to understand what is your outlook for the rest of the year, especially given that we have taken some pricing hike and

also cautious underwriting approach in that segment and also in the motor insurance side, now that the third-party premium hike has not come, so what is your outlook for the motor TP loss ratio as well? And if you are able to guide your total group level loss ratio for the rest of the year that will be helpful.

Girija Subramanian: Yes, this quarter, as you rightly said, the fire loss ratio, I mean, 11.44 is pretty low. And I think this is a natural case when we write new risks and you have different exposures here and you can say that this quarter it has gone up, but then that is still not very alarming. When it comes to marine, it is just a 4% increase. The major ones are, I think, in health, as you rightly said, from 105 to 108 and mainly this has happened because of medical inflation, which is currently at 14%- 15% and we have been telling to all agencies across the year, that a large part of the medical insurance service that we give our policyholders is unregulated, which is the hospitals and as long as each and every hospital in each and every tier of cities does not get on to a cashless system where we are able to pre-fix or pre-determine the rates, this kind of inconsistenc

ies is going to keep happening, even though our underwriting processes have changed over the years. We have brought in a lot of stringency. There is a committee-based approval for every group mediclaim business that is written in New India. And we peg the prices much higher based on the loss ratios that have happened and despite the competition, we either let go the businesses we are not able to demand or get the price for and when we write, we write at a sufficient increase so that we are able to absorb that level of loss ratio. But then always the hospitals, they beat us at this game and therefore, you can see that increase and I am sure that once, with a lot of concerted effort from GI councils, from all of us, from, there's a concern shown by the DFS, especially on health, because it's a service that we give to the citizens of this country and therefore, I think it's not going to be too far when the health ministry also does something about it, when we have all the hospitals regulated in the country

Aditi Joshi:

Girija Subramanian: and that is the day, the golden letter day for health insurance in India and we will be surely on top of the charts to give that kind of service for our policyholders. And we have this additional regulation where we can't increase more than 10% in a year. So, our hands are tied at beyond 10%, when we cannot increase, the inflation is at 14%. We have a straight 4% differential there itself and then , this quarter, the hike is also because of an increase in infectious diseases, as you would have read in the press. Additionally, there has been a lot of regulatory change in health, which is very evolving and there are lots of circulars that keep coming throughout the year, when some of the latest ones include the inclusion of pre-existing diseases and that is also one of the reasons, and there is a new concept called robotic surgery, which is being increasingly used by our customers and this is something that has possibly not been priced for or taken into account during the pricing and because of these various reasons, our claim has shot up by 3%, which is pretty decent.

Okay. So just to summarize that the pricing hike that we actually took in the last year, the impact of those hikes has largely translated into the loss ratio and now that going forward, it will largely be the function of claim frequency as well as the amount. Is my understanding correct?

Yes, see this price cap of 10% came somewhere in the middle of last year, when there was a lot of hue & cry about retail premiums not being affordable by the larger public. So actually, the health, we have been, I mean, even earlier to that, we have been extremely, our increase in rates has not been on every year basis. So, we did change the rate applicable age wise, instead of band wise and that has somehow spread that kind of increase in premium across each year. But then, the retail, the premium growth has largely come from all segments, whether it's retail, GMC, government, we have increased the premiums even in government business by 20% basis, the ICR. On GMC, our prices have gone up by 14% in retail by 9%. But despite that, the claim ratio has gone up. So, which again reaffirms the fact that it is a service provider that now needs to be reamed in.

Aditi Joshi: Okay, got it. And, moving to the motor insurance, given the video that did not have a motor third party hike? So how to think about the incurred claim loss ratio in that segment?

Girija Subramanian: Yes, see, in motor TP, basically, it is a mandated class, we cannot refuse. So, whoever comes, we have to give them the cover. Here you can see a slight decrease because we have changed our priority in terms of the segmentation under motor wherein, we have overall, we have a private car distribution 47%, the commercial vehicles at 45% and the two w

heelers at 8%. In

the TP, we have a private car only of 34%, commercial vehicle exposure of around 56% and the two-wheeler at 10%. So, this is where the issue happens for the TP wherein the price has not gone up and it's not in our control either. So, there we have reengineered our workforce to try and change our portfolio mix more in the favor of private car, in the 1st Quarter, I think the response can be seen here in terms of the ICR decrease from 111% to 105%. As far as the motor OD is concerned, yes, this is mainly because of the strengthening on reserves because earlier

year also we had this. In TP, we have strengthened the reserves last year, that's why the ICR was at 111. This year it is normal business as usual and therefore that is also one of the reasons why it is at 105%. Now the OD thing has gone up because this is mainly because of the OEMs and the dealers who demand a huge outgo because of which we are not able to. It's a very competitive segment, a lot of, it's huge competition in this area and when we do not get the businesses that are given away at a very high commission and then this kind of impact is bound to be seen. We have done some kind of dynamic strategy for each of the geographies that we operate on which is right now a work in progress and maybe in the next quarter or quarter after that you may be able to see an improved performance on OD which needs to be monitored on a daily basis. This is something we are doing right now and I think the results will be seen a quarter later.

Aditi Joshi:

Moderator:

Shobhit Sharma: Okay, got it. That is helpful. Thank you.

Thank you. The next question is from the line of Shobhit Sharma from HDFC Securities Limited. Please go ahead.

Yes, hi. Thanks for the opportunity. So, I have a few questions around the OPEX. So, if you look at the policyholder account, there is a steep decline in the OPEX. On the other side, if you look at the shareholders account, there is a steep increase, so is there some re-categorization which has happened over there?

Girija Subramanian: I will request the management officials present in the meeting to answer the questions.

Management: The reason why the operating expenses have gone down is strictly because the employee costs have gone down. The number of employees has actually reduced and correspondingly, we also had lesser impact on account of the pension liabilities last year and the same trend continues this year. So, that has actually resulted in the operating expenses gone down.

Shobhit Sharma: Sorry to interrupt, sir. My question was on other OPEX. Employee remuneration, I got that. Can you help us understand around the other OPEX, please?

Management: Yes, on the other OPEX, re-categorization-wise, we had moved some of the earlier provisions that we were making are actually getting into the revenue account. But there was a change of policy and they are now moving into the P&L account.

Shobhit Sharma: Okay, sir. And there is a steep increase in terms of the other income which we have recognized during the period. Is this sustainable and what does it relate to?

Mary Abraham:

Shobhit Sharma:

Management: This is the provision that we have created. If you are talking about the minus Rs.145 crores, the provision that we have created for the non-moving reinsurance balances and towards the doubtful debt. So, this was done with the main intention of cleaning our books.

Ma'am, I am referring to the other income.

It is a combination. We had another income, what you are talking about the Rs.202 crores of other income which is there. So, there is a combination of two, three things. Actually, as per our accounting policy, some of the old balances, we have taken a call of making provisions as well as so the

re will be non-moving balances which are appearing on both sides. Some need to be provided and some needs to be written back. So, whatever is written back has been put in the form of other income and whatever is written off is put in the form of the provisions. So, if you see the net impact is around Rs.145 crores negative.

Shobhit Sharma: Okay, sir. Got it. Now coming on to the business side, ma'am. Can you help us understand our approach on the long-term motor policies and how much business does this segment contribute to our top line right now?

Management:

Shobhit Sharma:

Management: Long-term motor policy, we have launched recently but as of now, the proportion is on the lower side. But going forward, if we get a right price, we will be open to doing long-term policies even on the OEM side.

Okay. Ma'am, now coming on to the health side. So last time you had highlighted that on the retail health side, we have seen a 10% improvement in terms of the loss ratio and you had attributed that to the increase in the claim investigation which was around 34 odd percent for

FY'25. So, can you help us with the same number for this current quarter, how are we progressing on the claim investigation, the efficiencies on the claim side and if you can split your health loss ratios in terms of retail, group health, employer-employee and the government, that would be helpful.

Sir, good afternoon. As far as retail is concerned, last year we have done 30% in-house audit by our in-house doctors. The current year, the target has been fixed at 50% of audit of all the claim files of retail and also group health. So surely, we are also planning to introduce the FWA tool also, the in-house tool, even though all the TPAs got in-house tool, we are also trying to introduce. So, this year, last year ICR was 87% and slightly there is a 3% increase, mostly with respect to the infectious disease during this period. Always the 1st Quarter, there will be some increase in ICR as far as the health department is concerned. Then one more aspect is some of the big accounts where we used to pay the single premium of lump sum, so that also.

Shobhit Sharma: Sir, if I heard you correctly, you mentioned that, sorry ma'am.

Girija Subramanian:
Moderator:
Girija Subramanian:
Shobhit Sharma:
Girija Subramanian:
Shobhit Sharma:

Girija Subramanian: The ICR has gone up slightly this quarter as compared to last year because of increased incidence of infectious diseases because of which there is lot more hospitalization than earlier. This is something that is beyond our control and as he explained, number of audits has gone up from 30% to 50% because we are recruiting fifty more direct recruit doctors into our force. We already have seventy-five last year. We are adding another fifty, so this also proves the amount of, we are going to drill down into this entire claim process for health. We have also, we are building right now a customized fraud, waste and abuse tool that will help us to detect which hospital charges how much for which treatment and where is the leakage.

Hello, ladies and gentlemen, we have the management line disconnected. Please stay connected until I reconnect the management. We have the management line reconnected. Please go ahead.

Yes, can you hear me?

Yes, ma'am.

Yes, as I just said, you know that now the audits have gone up, the number of the tools, the technology is being utilized. Even otherwise earlier the TPAs used to use their own tools. We also had an in-house tool that we used to use, but we are re-customizing the entire thing because I think there are so many other parameters that we feel we could monitor even more strongly and we want to see that every case as far as possible we get for 100% audit. So we are trying to move towards that and in that endeavor we are now building our own tool and we

are going to see that this is wanted even more closely and I am sure that with all these efforts, because the 1st Quarter is always, the health ICR is always high, with these efforts I am sure that by the end of the year we will bring down the overall ICR for the year to a much better number than what it was last year.

Okay, ma'am, is there any thought around bringing in the health claim settlement on the health side in-house?

No, it is not possible with the level of the volumes that we have at the moment. So this year we will be still not having any complete in-house settlement, but we,do have TPAs, we have a government TPA that does an audit of the other TPAs. So, all these systems are there and I do not see that we are going to have any in-house TPA. It is a very big thing, it takes at least two, three years to adopt one and then especially in a PSU outfit and then make them ready to take on this kind of an initiative. It is a kind of a parallel vertical which will require investment of four, five hundred personnel present all across the country, all of that. So, it is a totally different initiative that needs to be thought about and till then we will have to see how much we can bring in efficiencies by way of technology. I think we are trying to adopt technology as a way we could even supervise the external TPAs and see that there is no leakage from their side. And there is also this parallel initiative of hospitals coming on board on the NHCA system and

Shobhit Sharma:

Girija Subramanian: cashless being the way forward. Once that happens, this ecosystem will really improve in a much better way. Once it is cashless, everything is recorded, there is a database created wherein claims are there, fraud detection is much easier than before. So, I think the whole industry is working towards it, it is just a matter of time.

Ma'am just one thing which I wanted to understand, generally we believe that the GIPSA pricing arrangement which you have with the PSU Insurance Health, it gives them a levy of around 20-25% lower claim size. Is that true or is this something else? Can you help us understand about the GIPSA arrangement?

No, it is totally untrue. GIPSA is just an association that does a common communication between the DFS, owners and the other companies that are the members of GIPSA. Beyond that, there is no other great efficiency we get by being a GIPSA company. We are competitors in our own market. We, of course, are governed by the DFS who are our owners. Even here, the thing is we are deeply regulated where health is concerned. We have regular reviews on health, especially on group health wherein the loss ratios had gone bad a couple of years ago. Since then, we have been deeply regulated. Our owners are fully aware of the health insurance ecosystem, how it works. So, we are reviewed on every aspect of health insurance very strictly and therefore, we are answerable and accountable for everything we do here. So, therefore, I think we cannot take an independent call vis-a-vis the private sector that does have a lot of liberty to take many calls on many things.

Shobhit Sharma: Okay, ma'am. Got it. Thank you and all the best.

Girija Subramanian: Thanks.

Moderator: Thank you. The next question is from the line of Nitesh from Investec. Please go ahead.

Nitesh: Thanks for the opportunity. First question is, can you share the incurred loss ratio for the retail health segment for quarter 1?

Management:

Girija Subramanian:

Nitesh:

Girija Subramanian:

Nitesh: 90%.

It is 90%.

90%?

Yes.

Okay. So, second is, in your opinion, what is the possibility of motor TP price hike this financial year? Or we should completely rule it out?

Girija Subramanian:

Nitesh: No, I mean, that is what. So, we have no clue

whether it will get increased this year. Our hope and prayers are for that because in this endeavor, I think GI Council has worked a lot throughout the last year and several representations have gone. I myself have been a part of one of the meetings when we met MoRTH and we had these discussions with them. And at that point of time, we did feel that something surely would come out. If not in the same format, the pricing would definitely undergo some more segmentation and it would come. But I think right now, that is still not happening. And right now, we have no clue whether it will come out in a month's time, three months' time. No clue.

Sure. And last question is that we are witnessing the now competitive intensity from other PSU entities in the motor on-damage segment and we are seeing a bit of irrational pricing. So, what is driving that? The balance sheet position of other PSUs is not that strong. So, what is actually driving this? And this will all end a bit negatively for them over medium term. But what is making them so competitive in the near term?

Girija Subramanian: I will not be in a position to comment on any other organization.

Nitesh: Okay. Thank you. That's it for my side.

Girija Subramanian: Thank you so much.

Moderator: Thank you. The next question is from the line of Aditi Joshi from JPMorgan.

Aditi Joshi: Thanks. I appreciate you again. Just a couple of follow-up questions. The first is on the fire insurance, the growth was pretty decent in terms of the premiums. So, just want to understand like how is the competitive intensity and the pricing environment looking? And what is the outlook going forward under the fire segment for the rest of the year? And the second, if you are able to provide your guidance on the combined ratio for FY'2026 that will be actually helpful. Thank you.

Girija Subramanian: Yes. So, fire insurance has been New India's forte. We have been the leaders all along. We continue to be and we will surely be in the future also. We are the largest insurer for the large risk segment; we have been the leaders and it is always an insurer of choice for most of the large risk owners to go with New India. And so, it is no surprise that we have done so well. But apart that, the main reason for the increase is because the last year has witnessed a deep decrease in pricing in fire from the months of May to December when the pricing discounts were in the range of 90 plus. And that is the discounting when we talk about it is from the IIB pricing that was prevalent in the market before that. Now, since there is no tariff in the market, IIB pricing was something that was adopted by the market and then they decided not to go with it and therefore, it dived down. And then after that, because this is a heavily reinsurance-driven line of business and therefore the insurers had to step in and warn each one of the insurers that they would take off the reinsurance protection from 1st April. So, once they did

that, the market quickly got back into discipline from 1st Jan and started quoting better rates at least in line with the loss ratios in the segment and therefore, there was definitely when you see 80-90% discount, then obviously when you re-correct and then you see something closer to reality, you are bound to see a decent 20% growth and that is one of the reasons that the growth is at 19.95%. But apart from that, New India has acquired a couple of new clients. We are very proud about them, to have them with us. And I am sure that this growth will be there going into the future also because this is a reinsurance-driven line, as long as the insurers maintain a leash on capacity, this will continue to grow.

Aditi Joshi: And on the combined ratio guidance for the year?

Girija Subramanian: Yes. Combined ratio guidance, I already said that we are aspiring to have a co

mbined ratio 3%
lower than 116, which would be around 113 maybe for this year.

Aditi Joshi: Okay, got it. Thank you so much.

Moderator: Thank you very much. Ladies and gentlemen that was the last question. I now hand the conference over to Mrs. Girija Subramanian, CMD of New India Insurance Limited.

Girija Subramanian: We extend our sincere gratitude to everyone who contributes to the New India Assurance, our valued investors, business partners, dedicated employees, and all who are connected to our institution, our agents, our brokers, the web aggregators, and shareholders in particular. We truly appreciate your engagement and the opportunity to share our strategies, financial performance, and future outlook. Your perspectives play a crucial role in our continuous growth and transparency. Above all, we deeply appreciate the steadfast trust our customers have placed in us for over 106 years. We are committed to building on this legacy, leading from the front, keeping our customers at the center of our existence for many more years to come. The entire management team and our dedicated workforce are united in our promise to consistently deliver on the commitments we have made to you, our valued customers. Should you have any questions or require any assistance, please do not hesitate to email us. We assure you of a swift and helpful response. I am happy to share with you that New India Assurance has been awarded the best PSU insurer in terms of grievance redressal for this year and this was a big achievement. We ended with a 99.96% grievance redressal, a show which is the best in the industry. Thank you all for being with us in this journey.

Moderator: Thank you, ma'am. I thank everyone on behalf of the New India Assurance Company Limited and Concept Investor Relations. You may now disconnect your lines.

Call: Feb 2026

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THE NEW INDIA ASSURANCE COMPANY LTD.
(Govt. of India Undertaking)
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022 2270 8400
Website : www.newindia.co.in
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Dear Sir/Madam,
Sub: Transcript of the Conference Call held on 02nd February, 2026
With reference to our letter dated 28th January, 2026, intimating you about the conference call with
Analysts/Investors held on 02nd February, 2026
Please find attached the transcript of the aforesaid conference call.
You are requested to kindly take the same on records.
Thanking You
Yours faithfully
For The New India Assurance Company Limited
Abhishek Pagaria
Company Secretary

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Co. Ltd The New India Assurance
The New India Assurance Company Ltd
Q3 & 9MFY26 Earnings Con-call
February 02-d, 2026
Management:
1. Mrs. Girija Subramanian - Chairman cum Managing Director,
2. Mrs. Kasturi Sengupta - Executive Director,
3. General Managers and Chief Financial Officer among other esteemed management
members
Abbreviations:
GWP: Gross Written Premium
ICR: Incurred Claim Ratio
ROE: Return of Equity
GDWP: Gross Direct Written Premium
GDPI: Gross Direct Premium Income

NEW INDIA ASSURANCE E #
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The New India Assurance Co. Ltd
The New India Assurance Company Limited
Conference Call Q3 & 9MFY26
February 02nd, 2026
Moderator: Ladies and gentlemen, welcome to the conference ca££ of The New India Assurance Company
Limited arranged by Concept Investor Relations to discuss its Q3 & 9MFY26 Results.
We have with us today Mrs. Girija Subramanian - Chairman cum Managing Director, Mrs.
Kasturi Sengupta - Executive Director, General Managers and Chief Financial Officer, among
other esteemed management members.
At this moment, all participant lines are in listen-only mode. Later we will conduct a question-

and-answer session. At that time, if you have a question, please press '*' and' 'l' on your telephone keypad. Please note that this conference is being recorded.
would now like to hand over the floor to Mrs. Girija Subramanian - Chairman cum Managing Director. Thank you, over to you, Madam
Ms. Girija Subramanian: Good afternoon, everyone. I am Girija Subramanian, Chairman cum Managing Director of The New India Assurance Company Limited. I warmly welcome all of you to this Earnings Conference Call to discuss our Financial and Operational performance for the 3'd Quarter and Nine Months ended December 31", 2025.
Joining me on this call are Mrs. Kasturi Sengupta - Executive Director, our General Managers, Chief Financial Officer, and other senior officials of the company.
At the outset, I would like to express our sincere gratitude to our shareholders, investors, analysts, policyholders, and all stakeholders for their continued trust and support. Your confidence and engagement remain a key source of strength for the company.
Before diving into the numbers, I am proud to share significant third-party validation of our financial stability. In December 2025, AM Best, a global credit rating agency, revised our outlook to positive from stable while reaffirming our financial strength rating of B++ (Good) and long-term issuer credit rating of BBB+. This revision specifically recognizes our improving trend in enterprise risk management and the strengthening of our internal systems and audit controls.
New India Assurance stands at an important phase of this journey, carrying forward a legacy of over 106 years while steadily adapting to the evolving dynamics of the insurance industry.

Established in 1919 and nationalized in 1973, the company has played a foundational role in the development of India's General Insurance sector. Today, with a Pan India Network of over 1,660 offices and an overseas presence across 24 countries, we continue to maintain leadership in the Indian Non-life Insurance market in terms of gross direct premium.
Our strategic focus remains clearly defined and consistent. We continue to prioritize risk-weighted and sustainable growth, strengthen underwriting disciplines, enhance claims efficiency and service quality, leverage technology to improve operational effectiveness, and preserve capital strength and solvency. These principles guide our decision making across business cycles.
During the Quarter, The General Insurance industry operated in a competitive environment with selective pricing pressures and elevated claims experience in certain segments. As per General Insurance Council data for December 2025, the Indian General Insurance Industry reported a gross direct premium of Rs 2,50,000 crore, registering a year-on-year growth of 8.69%. Against this backdrop, New India Assurance underwrote gross direct premium of Rs 32,229 crore, translating into a market share of approximately 13.40%, reinforcing our continued leadership position in the sector.
Our diversified distribution architecture and balanced product portfolio continue to support stable performance while managing acquisition costs and risk concentration. For the nine months ended FY2026, our distribution mix comprised Direct at 31.15%, Brokers at 37%, Agency at 24.39%, Dealers at 6.9% and Bank Assurance at 0.56%. Our product mix remained well diversified with Health and Personal Accidents at 48.16%, FIRE at 15.52%, Motor Own Damage at 11.10%, Motor Third Party at 13.04%, Marine at 2.43%, Crop at 0.37% and other segments accounting for 9.35%.
Over the past few Quarters, we have taken deliberate steps to recalibrate our portfolio by exiting or restructuring select large corporate accounts where pricing did not adequately compensate for risk or capital consumption. This has been offset by an increased focus on Retail, SME and better quality risk. Our operating philosophy continues to emphasize prudent risk assessment at the policy level, ensuring that growth is aligned with profitability and capital efficiency.
The benefits of this approach are reflected in improved portfolio stability and controlled volatility. Turning to our Financial performance for the Quarter ended Q3 FY2026, gross written premium global was Rs 11,680 crore while net premiums earned, stood at Rs 9,725 crore. The company reported a net Profit after Tax of Rs 372 crore for the Quarter compared to Rs 353 crore in the corresponding period last year.
From an operating metrics perspective for Q3 FY2026, the Net Incurred Claim ratio stood at 90.77%. The Commission ratio and Expense ratio were at 10.78% and 16.44% of the net

premium respectively. The Combined ratio for the Quarter was reported at 117.98%. Solvency ratio stood at 1.81x, remaining comfortably above the regulatory requirement. And the return on equity for the quarter was 6.63%.
For the nine months ended FY2026, the gross written premium income global stood at Rs 35,555 crore. Net Profit after Tax for the period stood at Rs 826 crore. For nine months FY2026, the Net Incurred Claim ratio was reported at 99.63% with the Commission ratio and Expense

ratio at 9.80% and 14.56% of the net premium respectively. The Combined ratio stood at 124%, Solvency ratio remained strong at 1.81x. And the return on equity for the period was 4.95%.
While near-term challenges such as claims inflation and competitive intensity persist, we remain confident that our continued focus on disciplined underwriting operational efficiency and customer-centric initiatives will support stable and sustainable performance. Our emphasis remains on long-term value creation while upholding the highest standards of governance and service excellence.
With this, I conclude my opening remarks and now invite our General Manager of Finance, Mrs. Mary Abraham, to take you through the financial performance in greater detail.
Ms. Mary Abraham: Thank you, Madam, and good afternoon, all. So, I would like to take you through the financial performance of New India for the Quarter and up to the Quarter ended 31st December 2025 as well as the performance of New India as compared to the vis-a-vis the industry and the company's strategy.
Beginning with the Financial performance:
For the Quarter ended 31“ December 2025, our gross written premium was Rs. 11,680 as compared to that of the previous year of Rs. 10,778 with a growth of 8.37%. And up to the Quarter, our growth in gross written premium was 10.47% as compared to the previous year.
Coming to the Incurred Claims ratio, it was 90.77% for the quarter ended December 2025 as compared to that of the previous year which was 94.49%. So, there was a reduction of 4% and this is as against the figures up to the Quarter which stood at 97.38% for last year as compared to 99.62% for the current year and this was mainly because of the increase in the ICR up to the half year that is September 30th 2025.
The Commission ratio on net written premium was 10.78% for the Quarter as compared to 9.70% for the Quarter of the previous year. Operating Expenses for the Quarter of the current year was 16.44% as compared to 12.09% of the previous year and this was mainly due to the provision that was made for the wage revision as per the approval given by the Central Government and we are awaiting the notification. The combined ratio was 117.98% for the Quarter of the current year as compared to 116.28% for the Quarter of the previous year. This once again, the increase is because of the wage revision provision that has been made.

Coming to the underwriting results, it is a loss of Rs. 1,736 crore and up to the Quarter the loss was Rs. 7,046 crore. However, with the investment income that we were able to earn in the Quarter of Rs. 2,280 crore (the interest dividend and rent of Rs. 1,200 crore and the capital gains of Rs. 1,080 crore), net of the other expenses of Rs. 174 crore, we were able to make a Profit before Tax of Rs. 367 crore for the Quarter as compared to Rs. 116 crore for the Quarter of the previous year.
The underwriting results were mainly impacted by the provision towards wage arrears and the retirement benefits of active employees where we had provided Rs. 759 crore for Quarter 3 of the Financial Year 2025-2026 and Rs. 1,877 crore for the 9 months ended 31't December 2025.
After making provision for tax, our Profit after Tax stood at Rs. 372 crore for the Quarter of this year as compared to Rs. 353 crore for the Quarter of the previous year. So, it is notable here that the Profit before Tax recorded an increase of 215% as compared to that of last year.
Income from the Fixed income Securities and Dividend Income from equity showed a steady increase during the period while buoyant equity markets helped in realizing higher capital gains. And besides, we also had monetized our investments to help in the provision that we made for the wage revision.
Going on to some of the important ratios:
The Solvency ratio up to Quarter 3 of 2025-2026 is 1.81 times as compared to 1.9 times of last year. However, it is notable that our Solvency ratio increased from 1.79 times in Quarter 2 of the current year to 1.81 times in Quarter 3 of the current year. Asset under management up to the quarter increased from Rs. 97,690 crore last year to Rs. 1,00,890 crore in the current year. Technical reserve up to the Quarter increased from Rs. 52,536 crore last year to Rs. 56,745 crore in the current year.
Net worth up to the Quarter increased from Rs. 21,516 crore to Rs. 22,630 crore in the current year. Fair value of change account which was Rs.24,991 crore last year up to the Quarter reduced to Rs. 19,993 crore up to the Quarter of the current year mainly because of the volatile market condition and also because of the monetization of investment that we had done to finance our wage revision provision. And the return on equity which stood at 4.01% up to the Quarter last year increased to 4.95% up to the Quarter of the current year.
Coming to the segment wise performance:
For the Quarter, Fire, line of business registered an increase of 4.06% and up to the Quarter the increase was 15.31%. Marine had a very significant increase of 19.46% for the Quarter with an increase of 9.01% up to the Quarter. Motor including OD and TP premium had a minus

growth of 0.89% for the Quarter and up to the Quarter also it was a minus figure of 1.18% and this was because of the conscious decision that we were making to realign some of our product

wise premiums where we did not want to continue in lines which were incurring huge losses
Health including PA registered a good growth of 18.42% in the current Quarter and up to the Quarter 2, the growth was good at 16.15%. Liability for the Quarter increased by 21.42% while the liability premium up to the Quarter registered an increase of 8,5%. Engineering showed an increase of 16.46% for the Quarter and it was an increase of 15.51% up to the Quarter. Aviation there was a minus of 5.14% in the current Quarter due to some premium which did not come in whereas up to the Quarter there is a growth of 1.13%. All the other Line of Business (LOBs) put together, for the Quarter there was a reduction of 25.14% mainly because the Crop premium did not come to us and up to the Quarter however there is a growth of 7.08%
Going over to the Incurred Claims ratio segment wise:
The ICR for Fire worsened from 54% to 65% for the Quarter and up to the Quarter it was 81%. Marine again the ICR for the Quarter was at 119% which is mainly due to some very large claims that came in especially due to two of the ships that sank and the resultant GA claims, the Fire claim that was there on one of the ships and the ship that sank resulting in a large Marine cargo claim. Motor, the ICR both OD and TP put together the ICR for the Quarter was 108% as compared to 102% last year and this was as mentioned earlier was because of the decision being taken to weed out some of the non-viable product lines.
Health including PA registered a remarkable decline for the Quarter from 103% to 91% and up to the Quarter 2 there was a decrease from 103% to 101%. Liability too showed a reduction in the ICR for the Quarter from 57% to 21% and up to the Quarter it was a reduction of, from 59% to 51%. Engineering, the ICR for the Quarter stood at 3% as against 37% of the previous year and up to the Quarter, the ICR was 52% as compared to 54% of the last year. Aviation, the ICR for the Quarter stood at 149% as compared to 106% this was mainly due to the Air India’s claim that we had and the ICR up to the Quarter was 323% as compared to 78% of the last year. And all the other lines of business the ICR for the Quarter stood at 52% it was a reduction from last year's figure of 76% and up to the Quarter the figure was 79% as compared to 69% of the prevIOUS year.
Coming to the performance of N IA vis-a-vis that of the industry: The General Insurance industry grew by 8.69% in Q3 FY2025 - 2026 whereas New India's Domestic Gross Direct Premium Income grew by 13.71%, outpacing the industry growth. And the year-on-year market share increased from 12.80% to 13.40%. The growth momentum continued in December 2025 with company outpacing the industry growth. The market share segment-wise; the Fire LOB while New India had a total premium of Rs. 4,028 crore out of the total market share of Rs. 22,769 crore which was a market share of 17.69%. For Marine our market share is 18.19%. In Motor, we have a market share of 9.63%.

In Health and PA, we have a market share of 16,44%, for Crop it is 0.03%; And all the other lines of business it is 17.12%. The company's strategy, our segment mix, Health accounts for 48.16%. Motor TP accounts for 13.04% of our total premium. Motor OD is 11.10%. Marine stands at 2.43%. Fire is at 15.52%. The Crop is 0.37% and all the other lines of business is 9.35%.
And as for our distribution mix, Brokers account for 37% of our total premium, Agency accounts for 24.39%, Direct business accounts for 31.15%, Bank Assurance accounts for 0.56% and Dealer business accounts for 6.90%,
Key initiatives for the Financial Year 2025-2026:
We are launching innovative new products with focus on Retail and MSME. We have entered new lines like Parametric Insurance. There is emphasis on growth in segments other than Motor and Health where the competition intensity is high and this further impetus on risk management initiatives. And we have taken steps to improve the global credit rating. The key initiatives, IT initiatives that have been taken. We have a call centre offering services in seven regional languages. We have revamped our website. WhatsApp service in eight languages which offer policy and claim related services. We have Al and ML enabled Chatbot for customer service. Claim automation efforts continue for faster claim settlement. And customer portal offering a seamless user experience for standard products. Thank you.
Moderator: We will now begin the question-and-answer session. The first question is from the line of Rachna K from Simple.
Rachna K: Hello, thank you for the opportunity. A few data and business-related questions. First, has the

reserve release in place?
Rachna K: Yes, my question was, has the IBNR reserve release, which has seen a decline from, you know, Rs. 547 crore to around Rs. 85 crore, has that also resulted into a decline in claims ratio? Or how should I read this? This is my first question.
Management: Yes, I can answer that question. There is no particular decline per se as far as the core lines like Motor Third Party are concerned. However, what happens is there are lines like CROP, where initially you set aside reserve in the form of IBNR and later when the claims are actually either paid out, the correspondingly IBNR comes down. So, in this quarter, we did see quite a lot of payments on our CROP business which led to a reduction of IBNR. So, if you exclude CROP, there has been, the IBNR estimates has been pretty consistent with what it was during the first half. And there is no specific release per se as far as the results are concerned.
Rachna K: Okay/ understood. My second question is on the investment book. We see the investment book has not grown so much. It has grown only by 3%. But if we see our investment income and yield

of investment, they have improved quite a lot year on year. So, if you could provide some colour on that piece as well?
Ms. Chandra lyer: So, the yield has increased because of what Mary Madam has mentioned during the presentation. We have sold some bit of equity to realize profit and that is why the overall income on investment has increased. This is a one-time thing which is done for accommodating the wage revision expense.
Rachna K: Okay, and on investment book, if you could provide some colour?
Ms. Chandra lyer: About ? Sorry!
Rachna K: The growth on Investment Book?
Ms. Chandra lyer: Yes, because we have sold like I just mentioned, so accordingly to some extent it has come down. The value, investment book value has not grown to the extent that would have been there in previous quarters.
Moderator: Thank you. The next question is from the line ofShobhit Sharma from HDFC Securities Limited. Please go ahead.
Shobhit Sharma: So, Madam, my first question is on the growth side. So, if I look at on the Motor side, though you have mentioned that we are recalibrating our portfolio and because of which we have slowed down. So, can you help us understand how long it will take to stabilize and how should we see the growth trajectory from next year onwards?
And if you can give us some colour on the composition of our Motor portfolio between the private car, two-wheeler and commercial vehicle, how it has moved and what changes we have incorporated. If you can give some numbers around it, that would be helpful?
And lastly, on the Motor side of the business, if you can give us some composition in terms of the business which we have sourced in the form of new vehicles and old vehicles that would be helpful? Why I wanted to know this is because on the health side, though we have taken a number of measures, the result on the loss ratio is quite visible. But on the Motor side/ though I understand TP is a long tail, but on the OD side, ideally it should be visible if you have taken that kind of stance.
Ms. Girija Subramanian: Thank you, Shobhit, for your question. So, the growth on Motor is a little dented because of very strategic and very well-thought-out solutions for these loss-making accounts that we have been suffering from in Motor. So, definitely because of us exiting from many of these segments in Motor, wherever we found the losses exceptionally harsh, growth has come down and this will continue for some time. Maybe we are trying to work with new dealers and new

partnerships. I think with that coming, we should be able to make up for this growth in the next couple of quarters and at least it will show an upward trend is what we feel.
And the composition as of now is 46% in private cars, 47% in commercial vehicles, and the rest in two-wheelers. So basically, this particular restructuring also, I think we will try to work towards a better composition on private car and more than the other two. So, we are working towards a better composition on private car and going forward, I think in a couple of quarters, we should be showing some positive growth and profitability and reduction in ICR at least,
Shobhit Sharma: Just a follow-up on this. Can you tell us how this mix on the private car and two-wheeler and CV, how this mix has evolved over the last couple of Quarters or maybe last year, how we ended and where we are right now?
Ms. Girija Subramanian: So, on the commercial vehicles, I think we had more on commercial vehicles earlier and private car was definitely less than 47%. Now, I think we have increased the share on private cars and commercial vehicles has come down slightly. The two-wheelers have by and large remained where it was. So, in commercial vehicles also, we have restricted underwriting on those greater than 40,000 GVW vehicles. And there I feel, because we have stayed away from those riskier segments, there also there will be a turnaround that we will see in the next few quarters.

Shobhit Sharma: Any kind of benefit which you have seen on your portfolio because of the GST rationalization over the last Quarter, on the motor side specifically?
Ms. Girija Subramanian: Motor side, actually the private car growth is there in the private car segment because of the GST rationalization. And I think that will continue and because quarter on quarter as we grow1
we will see the growth in premium also because of that.
Shobhit Sharma: Okay, thank you. Madam, another question is on the wage cost. In the notes to accountf the wage cost arrears which is mentioned is around Rs. 1,500 crore impact for the nine-month
period. But the press release mentioned it is somewhere around Rs. 2/500 odd crore. so/ can
you help us clarify that? And lastly, on the wage cost you have mentioned that there is a family
pension revision which has happened up to 30% of the cost. So can you give us some number/
how this cost would be and what kind of impact this number can have? Will it be this large like
we have seen the arrears?
Ms. Girija Subramanian: So actually, the wage revision calculation is around Rs, 2,500 crore on the whole, For the revenue account, it is around Rs. 1,677 crore which comes to the in-service employees. And for
the arrears that have to be paid to them from August 2022. But the rest of it, that is around Rs
642 crore on account of arrears that are payable to our retired employees. And that has been
taken to the profit and loss account. So, this is the breakup. And as far as the FPS is concerned/
30% that is not yet been, that is from the date the notification comes through. Therefore, it

has not been incEuded here. And that would be roughly around Rs. 700 crore - Rs. 800 crore
So that should complete the whole thing for us as far as wage revision is concerned.
Shobhit Sharma: Madam, anything on the arrear side is yet to be provided in our books or we have taken entire impact in the 9 months period?
Ms. Girija Subramanian: No. We will have to provide for this Rs. 700 crore – Rs. 800 crore, around that amount for the FPS in the last Quarter. Because it cannot be done before the notification comes out.
Notification is yet to come out
Shobhit Sharma: So only the FPS portion is pending, for provision because of the gadget notification?
Ms. Girija Subramanian: Yeah, that is prospective. That is why it has not been taken into account.
Shobhit Sharma: Okay. Now coming to your investment book, we have seen a significantly higher realization.
You mentioned it was to offset the impact of the wage cost revision. So, can you help us
understand how much gains we have realized during the 9 months and the current Quarter
and how should we think about it going forward as well?
Management : So, the profit on sale that we have realized is around Rs. 4,236 crore. And of this, Rs. 2,000
crore is pertaining specifically to the wage revision provision. So, the balance is our regular
trading activity, buy and sell activities according to the turning of the portfolio
Shobhit Sharma: Madam, how much of this was accounted for, in the third Quarter?
Management: It is entirely accounted in the third Quarter
Shobhit Sharma: And what is this number for 9 months period?
Management : For the Quarter, Sir, it is around Rs. 2,000 crore from special activities.
Ms. Girija Subramanian: No, 1 think he is asking what is the amount which is in this quarter, Q3?
Management: it is around Rs. 1,080 crore in all, total from equity.
Ms. Girija Subramanian: Yeah, Rs. 1,080 crores from profit on sale of equity in the 3'd Quarter and overall, it is for up to the third Quarter, it is Rs. 4,200 crore.
Shobhit Sharma: How should we think about it? Yeah, this is what I was asking. How should we think about it,
let us say for FY2027? Because if we are able to provide that FPS again in the fourth Quarter,
let us say. So how should we think about it, our investment book? We will maintain that Rs,
2,000 odd crore kind of run rate on the gain side?

Management: Yes, sir. Our normal sale activity would be around Rs. 700 crore – Rs. 800 crore in the Quarter
plus the additional that is required to set off the wage revision provision which will be known
once the notification comes and when will be the provision is required to be made, we will be
planning accordingly. Depending on what is our income that we have already generated from
all our entire portfolio up to that point of time
Shobhit Sharma: Madam, one of your portfolio companies wherein you have a significant holding has just gotten SEBI approval for IPO. Do we have a plan to participate in the IPO for that?
Management : That is in the future, so we will look into it when it comes up.
Shobhit Sharma: Okay Madam, lastly on the taxation side, we have not seen anything provided for, in terms of
the income tax on to your P&l for the 9 months. So can you help us understand why is it so and
how should we think about it going forward?

Management : No, this is because the advance tax is being paid, so because of that we do not need to. I mean we are paying adequately; advance tax is being paid and that is why we are not providing for it. Plus, the write-offs that we have been doing on the bad debts as per our board approved policy, that has also given us some relief and some cushioning because of which our tax has come down.

Shobhit Sharma: So, Madam for this Financial Year, should we assume a negligible tax rate for you?

Management: Yes.

Shobhit Sharma: And what should be your long-term tax rate going forward from FY27 onwards?

Management : It should be 17.42%, this is the MAT tax rate

Shobhit Sharma: Okay, Madam. And lastly, coming on to the health side...

Moderator: Sorry to interrupt Mr. Sharma. Please rejoin the queue for more questions.

Shobhit Sharma: Sure, Thank you and all the best.

Moderator: Yes, thank you. Ladies and gentlemen, a reminder to all, if you wish to ask a question, please press '*' and '1'. The next question is from the line of Pawan Sachdev, an individual investor. Please go ahead

Pawan Sachdev: Hello. I hope I am audible. Thank you for this opportunity. My question is, which segment contributed most to the improvement in the Incurred Claim Ratio in this Quarter? And it would be helpful if you quantify your evaluation.

Ms. Girija Subramanian: What did you ask? Which is the segment that

Pawan Sachdev: Which segment contributed most to the improvement in the Incurred Claim Ratio?

Ms. Girija Subramanian: It is the health segment. The health segment contributed immensely to the improvement because it forms around 48% of our book and the Incurred Claim Ratio has come down by 2 percentage points up to 9 months. And for the Quarter, it has come down quite drastically from 103% to 91%

Pawan Sachdev: Okay, and this 91% of our Net Incurred Claim Ratio, is it sustainable on a run rate basis from now on?

Ms. Girija Subramanian: It is. We are working towards a strategy where the group GMC accounts are concerned. We are either pricing them and negotiating to get closer to the core right price or we are exiting from GMCs that do not give us adequate pricing and going for accounts where pricing is more fair and more adequate. Apart from that, we have increased our anti-fraud activities. Like, we have increased inspections from 30% to 50% compulsorily and we will be increasing it even more in the Quarters to come. We have got our own doctors. We are on the way of hiring new doctors. So, this activity will go on intensifying. We are on the threshold of buying a new software for fraud analysis and already the vendor selection process is on and I think in 3-4 months' time we would be able to bring in that fraud monitoring software which would make this entire activity even more automated. And I think therefore the sustenance of this model is going to definitely be there, going forward.

Pawan Sachdev: Okay, understood. And can you comment on run rate loss ratio and motor and health excluding one-off and CAT losses?

Ms. Girija Subramanian: On Health, we are aiming towards the loss ratio of around 98% - 100% overall. And for Motor also, we are trying to bring the loss ratio to around 103% - 104%.

Pawan Sachdev: Just one last question from my side. How has market share trended across Motor, Health and Non-Motor segment in Q3? And where do you see the strongest competitive positioned?

Ms. Girija Subramanian: We have done well on the market share side wherein I think we have like FIRE, MARINE, everywhere we are 17% - 18% market share including Health and PA which is a very big portfolio. And with the SAHI companies being there, even that we have managed around 16.44%, which is quite creditable. Going forward, we see a similar kind of market share across these segments. Maybe in the others, like in the miscellaneous side we expect to see more market share in the miscellaneous side, SME and Parametric and such others.

Pawan Sachdev: Okay, thank you. That is, it from my side.

Moderator: Thank you. The next question is from the line of Tanya Kothari from AUM Capital Private Limited. Please go ahead.

Tanya Kothari: Yeah. Good afternoon to the management team and thank you for the detailed presentation. I just have a couple of questions. The company has provided around Rs. 2026 crore towards wage revision this Quarter including Rs. 824 crore for retired employees. Is this provision now fully reflective of the expected liability or investors should wait for further adjustments?

Ms. Girija Subramanian: it is already provided for completely, except for FPS. The FPS is one thing which as we clarified that is going to be taken care of in the last Quarter but all other things are already provided for till this, Q3 is already completely provided for; there is going to be no enhancement here.

Tanya Kothari: And my second question is, management indicated focus in segment beyond Motor and Health due to competitive intensity. So which segments in Fire, Marine and Engineering can deliver profitable growth and what is your medium-term next target?

Ms. Girija Subramanian: Fire has always been our mainstay and we have been leading this market in FIRE and continue to do that and Fire is an area where we are definitely ahead of the market and we will continue to be there. Marine is an area where New India has traditionally been leading especially in Marine. We will continue to do that and only for this quarter I think because of a couple of unusual losses we have had this loss numbers. Otherwise, Marine has also been performing quite well for us. As far as the Health and PA, the risk selection, the fraud monitoring exercise that we have, strategy that we have employed has paid off for us as we can see and we will continue on the same lines. And for the others where we have a miscellaneous and other lines like parametric, surety, we already are leading the market and we will continue to have this major presence in the market and continue to have our mainstay there.

Tanya Kothari: Madam/ despite a strong PAT growth, ROE remains modest at around 5%. What are the key levers management is focusing on to structurally improve ROE whether it is underwriting discipline or expense control or capital efficiency?

Ms. Girija Subramanian: So basically, all of these parameters have contributed to this growth. Actually, we will elaborate on that.

Management: Coming to ROE, right now it is in the single digit. The focus is to bring it up to the double digits and the primary lever will be to reduce the ICR. The results are quite sensitive to the swings in ICR with every percentage improvement creating quite a substantial improvement in the PAT. So, the aim is to improve the ICR in order to increase the profitability and thereby increase ROE. So, the first goal is to reach double digit ROE.

Tanya Kothari: Okay. Sir/ the budget did not include major direct support for the General Insurance sector though it introduced a tax abstention on interest awarded in Motor accident claims. So, do you

view this change in the broader policy environment for General Insurance in the budget especially in terms of improving penetration, competitiveness or the pricing dynamics?

Ms. Girija Subramanian: So basically, New India has declared this year as the year of SME. And we are totally committed to see that we are abEe to give support to the large population of SMEs which form around 1.6 crore. And we want to see that we are absolutely in line with the government's intention to see that they are financially included. And the budget that has given now so many enablement for the MSME sector. So, this opens up a lot of insurance opportunities for us where credit is concerned, where overall protection for the SME is concerned. And also the expansion into tier 2, tier 3 cities. So, I think all of this will contribute to New India expanding its book on MSME. And already we are actively engaging in awareness programs for MSMEs across the country. We are liasoning with agencies like Dun & Bradstreet, ET Now and such media agencies to ensure that we have these shows where we bring in a lot of awareness for MSMEs. The MSME book has also grown by 36% up to November 2025. And we know that this is going to grow in the months to come.

Tanya Kothari: Okay Madam, thank you so much. Thank you.

Moderator: Thank you. The next question is from the line of Harsh Jain, an individual investor. Please go ahead

Harsh Jain: Hello. Thanks for the opportunity, Madam. So, I have few questions. The first will be on the segmental wise performance. So, can you throw some light on your segmental performance especially on your other businesses? Because if you see we have de-grown by 26% on Quarter-on-Quarter basis. So, what exactly happened in this Quarter where we declined 26% that much?

Ms. Girija Subramanian: Crop insurance, mainly because of Crop Insurance. We have de-grown by 26%. That is in the other segment. That is mainly because of Crop Insurance. Basically, we do not write Crop on a Direct basis in the market. We used to write Crop as a reinsurer for Agriculture Insurance Corporation. This year because of some regulatory issues, Agriculture Insurance could not seed the business on a reinsurance basis and therefore there we have de-grown significantly.

Management: Just to put some numbers. The others include both Crop and the miscellaneous segment. Crop, the premium has come down from Rs. 180 crore last year same Quarter to Rs. 5.7 crore. Whereas in the miscellaneous others segment, which is a focus area, the premium has gone up from Rs. 246 crore to Rs. 309 crore which is an increase of close to 26%. So, because Crop premium came down, overall basis you are seeing this number as minus 26. Otherwise, if you see within that, excluding crop the business has grown by 26%.

Harsh Jain: Okay, so my next question would be on the, if you exclude the wage revision impact what would be the combined operating ratio look like for our Q3 or for the 9M for this year?

Ms. Girija Subramanian: Yes, without the impact of the wage revision, the COR for the Quarter would have been 110.13% as compared to 117.98% which is including the wage revision, this is for the Quarter.

And up to the Quarter with the wage revision,the COR was 124% and without the wage revision provision it would have been 117.6%.

Harsh Jain: Okay, and my last question is on your new business. You are entering into new business line for Parametric. So, can you just give me some road map or what are your plans and what we are currently standing at, some numbers, maybe? Some ball park numbers or something,

Ms. Girija Subramanian: Yes, so basically Parametric Insurance is a new type of insurance which will take time to pick up in India because it is not exactly on the principles of insurance like wherein there is a threshold fixed for a particular weather-related peril and once the threshold is breached then everything from ground up is paid. So, whether the person suffers from a loss or not, it is paid. So, this involves a lot of active collaboration with FinTech companies, InsureTech companies who understand weather related perils, who understand the kind of portfolio that we are insuring and then they are able to fix up a threshold in a way that it is not an everyday issue, it is not an everyday loss. So, basically this is something that is slowly picked up. We have done some 10 or 12 contracts till now but I think the days to come, this is being sought after, both from a penetration agenda because the government wants that penetration gets done faster and quicker and Parametric ensures that penetration can be done faster because it is possible to issue policies for a large number of people at one go from a digital interface and also to settle claims in no time through the digital interface wherein people get paid the claims in hours, in minutes. So, this is something wherein the claim reaches the insured within a few hours of the catastrophe whereas the normal claim procedure takes a lot of time, lot of processing and all of that. So, this is something that eases the whole burden of claim processing and therefore this is going to be one of the very happening lines of businesses going forward. But as of now since it is yet to develop, it is slow. So, as I said that though the pickup is not very fast but it is one of the most sought-after products people wanting to know more and more about it, many people going for it also and therefore we see a very big traction for this in the coming year itself.

Harsh Jain: Okay, thank you. That is all from my side.

Moderator: Thank you very much. Ladies and gentlemen that was the last question. I now hand the conference over to Mrs. Girija Subramanian - Chairman cum Managing Director, New India Insurance Company Limited for closing comments. Over to you Madam.

Ms. Girija Subramanian: Thank you. Before we conclude, I would like to extend my sincere gratitude to all our stakeholders for joining us today and for your continued confidence in New India Assurance Your support plays an important role in strengthening our resolve to uphold the highest standards of service, governance and operational excellence. I would also like to acknowledge the unwavering commitment of our employees across India and our overseas offices. Their

dedication and professionalism continue to be the backbone of this institution enabling us to serve millions of customers with consistency and care. Most importantly, we remain deeply grateful to our policyholders who have placed their trust in New India Assurance for over 106 years. Their confidence inspires us to continually improve, innovate and deliver on our promises with sincerity and accountability. As we move forward, the management team and I reaffirm our commitment to sustainable growth, prudent risk management and consistently enhancing our service standards. We will continue to work towards strengthening our operational capabilities, enhancing our digital initiatives and contributing meaningfully to the development of the insurance sector and the broader economy. Thank you once again for your time and participation. We look forward to your continued engagement.

Moderator: Thank you very much Madam. On behalf of New India Assurance Company Limited, that concludes this conference. Thank you all for joining us today and you may now disconnect your lines